Nazara Technologies (NAZARA)

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Call: May 2023

Nazara Technologies Limited

Nazar aTM

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May 25, 2023

To,
Listing Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai - 400 001.
Scrip Code: 543280 Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1. G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400051.
Scrip Symbol: NAZARA

Dear Sir/Madam,
Subject : Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations") – Transcript of call with Analysts/ Investors to update on raising of fund by Nodwin Gaming Private Limited

This is further to our letter dated May 19, 2023 and pursuant to Regulation 30 read with Part A of Schedule III of the Listing Regulations, please find enclosed herewith the transcript of the call with Analysts/ Investors to update on raising of fund by Nodwin Gaming Private Limited conducted through digital means on F riday , May 19, 2023 at 0 1.00 PM (IST) .

We request you to take the same on record.
Thanking You,

Yours faithfully,
For Nazara Technologies Limited

Pravesh Palod
Company Secretary and Compliance Officer
M. No. A57964

"Update call for th e fund raised by Nazara
Technologies subsidiary company –Nodwin Gaming "

May 19, 202 3

MANAGEMENT : MR. NITISH MITTERSAIN – CHIEF EXECUTIVE OFFICER
& JOINT MANAGING DIRECTOR
MR. AKSHAT RATHEE – CO-FOUNDER & MANAGING
DIRECTOR - NODWI N GAMING
MR. SIDDHARTH KEDIA – CHIEF EXECUTIVE OFFICER –
NODWIN GAMING

MS. ANUPRIYA SINHA DAS – HEAD OF CORPORATE DEVELOPMENT

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Moderator : Ladies and gentlemen, good day and welc ome to the update call for the fund raise d by Nazara Technolog ies subsidiary Nodwin. This conference call me contain forward -looking statements about the company which are based on beliefs, opinions and expectations of the company as on the date of this ca ll. These statements are not the guarantees of fu ture performance and involve risks and uncertainties that are difficult to predict. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questio ns after the presentation concl udes. Should you n eed assistance during the conference call please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nitish Mittersain , CEO & Joint Managing Director , Nazara Technologies Limited . Thank you and over to you Sir!

Nitish Mittersain : Thank you. Good afternoon everyone. Thank you for joining us at this short notice for a big business update to discuss the rec ently announced fund raise at Nodwin Gaming our subsidiary on e Sports. I have with me Akshat Rathee who is the founder of Nodwin, Anupriya Sinha Das who is Head of Corporate Development, and SGA our investor relations advisor. Nodwin has announced a fundra ise which consists of a primary fund raise of INR197.2 Crores through private placement and a secondary sale of shares of INR34.76 Crores by the founding shareholders to Nazara. Accordingly the total transaction value amounts to INR232 Crores. The se funds are envisaged to be channelized towards growing the eSports ecosystem in India by Nodwin as well as expandi

ng and in cubating newer IPs,
growing the emerging market footprint and carrying out strategic acquisitions that will drive value to the over all ecosystem. All the existing investor s of Nodwin Gaming which includes us a majority owner of Nodwin as well as Krafton team and JetSynthesys will join new incoming investors which include Sony Group and Innopark India Private Limited in this funding ro und. Post this ro und of fun d raise Nazar a will continue to hold 52.71% stake in Nodwin . I will now open the floor for Q&A. Thank you.

Moderator: The first question is from the line of Abhishek Banerjee from ICICI securities . Please go ahead .

Abhishek Banerjee: Yes Sir just a couple of questions from my side. First of all with this dilu tion how much stake is left for the original promoters ?

Akshat Rathee : Post this round how much stake is left for the founder ?

Abhishek Banerjee: Yes.

Nitish Mittersain : The founder s have approximately 17.5% to 18%.

Abhishek Banerjee: Understo od and any clarity that you can provide on what the i nfusion is for I s ee an interesting name in your investor list which is Sony so does this kind of indicate a bigger foray in to the devices part?

Akshat Rathee : Great question and thank you for that. I will try to a nswer this as much as possible to go ahead and not wishy-washy I am not one of th ose people or some of the people who have talked . I think it is an intent that we have. Sony if you go ahead and look at it v/s what Nodwi n we are trying to go ahead and build has very similar overlaps on mu ltiple vecto rs. For example we have devices division which we know which is called Wings. Sony has a great devices business , Sony has a music business , Nodwin has a gaming music busine ss that we have that we do on weekender and festivals, Sony has a live event business w e have a live event business, S ony has a camera business which becomes very interesting for us as part of our broadcast solutions , Sony has a OT T business that we believ e we can go ahead and find synergies on and finally Sony has obviously t he play station and the gaming business which has been very core to us and we also have a scripted content business which we have through Rusk which allows us and begin synergies with Sony Pictures and Sony

Entertainment . So across different sectors we have multiple oppo rtunities to go ahead and cooperate . We do not have any specifics that we have to go ahead and discuss. I think we are all getting into this boat together, all going towards the same road trip and I think we have a lot of comm onality of interest. I think c ooperation is going to be a tactical layer as we go forward.
Abhishek Banerjee: So did you say cooperation w ill be our tactical layer?
Akshat Rathee : Correct because look they are not a majority shareholder of ours right so tomorrow i f we want to go ahead and do a festival together or a music line together or a device together or gaming events together or any sports IP together that is the tactical layer for us .
Abhishek Banerjee: Understood but you can always do something with that te ch right you can u tilize that tech give them royalties and all , so with that you do not need them to be the majority shareholders?
Akshat Rath ee: No and it does not matter. I think the answer to your question here is they have shown an intent that we are ve ry similar and thi s is great partnership potential for everyone in the future and they have stake in the ground to go ahead and invest into us. Sony Corp has not invested for a very long time. We have not been invested in by Sony Music, by Sony Entertainme nt and by Sony Pic tures. We have been invested in from Sony Corporation itself.
Abhishek Banerjee: So basically you got funding from the holding Company ?

Akshat Rathee : No, Sony Co rporation is not the holding company Sony Co rporation is the listed entity in Japan.
Abhishek Banerjee : Got it. Fa ir enough understood. Thanks so much.
Moderator : Thank you . The nex t question is from the line of Jinesh Joshi from Prabhudas Lilladher Private Limited . Please go ahead .
Jinesh Joshi: Thanks for the opportunity. Sir I just wan ted to know out of this $ 20 million that was coming in from new investors how much is Sony bri nging in and what will be the ir stake in Nodwin post money ?
Anupriya Sinha Das : So in terms of the investment on the cap table on the post money basis, so Sony af ter the investment will roughly have around 3.2% stake .
Jinesh Joshi: And the amount invested by Sony is 10?
Akshat Rathee : 10 million ye s. It is a simple calculation . 10 on 349.
Jinesh Joshi: Correct. Sure got that part and secondly if you can also provide an indicative breakdown as to how m uch money will be utilized for new IP development or for that matter expanding into new geography and any specific funds which you have earmarked?
Akshat Rathee : I think the best way to go ahead and answer your question is this is not a specific utiliz ation of funds that we are looking at. The way Nodwin looks at is it is not like I will say for my new geography I do not know, Africa I am going to allocate $1.2 million and then we will be out of it . We believe we will be armed with ban ks and dry powder at this time gives us flexibility and choose our territories or (audio cut) 09:45 across the world of g aming everywhere in the developing market and let us be flexible around what we want to go ahead and do for that market. We are in the lookout for companies that go ahead and get us great gaming IPs which are multiple year running properties that ha ve renewability or profitability or we are looking for capacity which ha s the ability to have delivery cente rs that can go ahead and deliver things profitably by going and reducing costs from develo ped markets or we are looking at capabilities. We are looking for people and company that playing the AHA factor and the differentiating factor for quality of delivery . So there is no specific breakdown. Nearly all of it is for both either through mergers and acquisitions or (audio cut) 10:40.
Jinesh Joshi: Sure I get that . Sony will be holding 3.2% stake on a post money basis . Will it just be a financial investor into Nodwin or will they a lso provide any kind of strategic g uidance as such?

Akshat Rathee : I guess Sony that you have asked because I could not could not hear the first word you have said is that is that your question saying is Sony just a financial investor or would that also

be a strategic guidanc e?
Jinesh Joshi: Yes.
Akshat Rathee : The answer in this is look every one of our cap table people is a strategic investor with us. We believe in the strategic nature of investors because they give us patient long -term capital to go ahead and buildin g what we like to go ahead and build over a long term and o bviously for that they will go ahead and join as an observer in our Board and as part of the observer we will continue to go ahead and interact on strategy and growth and vectors that we will go ahead and have together .
Jinesh Joshi: Sure thank you so much.
Moderator : Thank you . The next question is from the line of Rahul Jain from Dolat Capital . Please go ahead .
Rahul Jain: First of all congratulation on this development and my ques tion is we also saw Krafton infusing fresh money into this transaction so just wanted to understand their rational e into it and incidentally also we saw some media article now that there is a lift on the BGMI ban s o anything more on that if y ou could share ?
Akshat Rathee : Yes, I think it is just lucky for us I gue

ss where our funding and the game ban lift happened simultaneously. Sometimes you have a bad luck games get banned and sometimes it becomes bo th together so thank you for the well wishes that you sa id at the start of this we truly appreciate it and respect everyone's opinion here of what we are building. Your specific question was why has Krafton won an invest ment it is not my place to go ahead and tal k for them but the in tent for Krafton was t hey appreciate wha t we had built. If you remember they were our last investors and in this tumultuous market across the world where stock markets , tech companies and everything ha ve gone and taken hits and everything have been re priced . We have gone ahead and given them 270 % return on their investment in approximately 25 months so they are very, very appreciat ive of what we are building. They see what we are and t hey were happy to go ahead and join in. T heir support to us remains . We run multiple IP s for th em not only in Ind ia now, but we believe Krafton and we are great partners and some of their IPs are extremely relevant to those markets. We also provide the means let just say o r having any sports company within the Krafton family ecosystem to go ahe ad and help them across the world .
Rahul Jain: Sure and another question ex tended to that is that we saw that in FY2023 in the second half we saw significant drop in the media rights revenue a nd some of these things are also related to th e kind of frequent ban that kept on co ming on different games that we were

more supporting and as a result media right s revenue specifically next to and also over from FY2021 until FY2023 has not grown to the t rue potential , now with have two aspect s one BGMI coming back that how you see that on the media right s side and secondly as we already saw Star taking some interest in taking it to the Linear TV and now with Sony coming in do you see that the media rig hts opportunity both from having the key title back and also from mul tiple media companies having interest in the India gaming ecosystem both way the vector should help drive our media right s revenue potential in the next two to three years?
Akshat Rathee : We have answered both of the questions so yes we are sports medi a company right. Fundamentally what we are trying to go ahead and build is a sports media business. Our sport of choice is eSports we are not doing cricket or kabaddi or any other sport s our choice of sport always remains eSports and when we try to build t his ecosystem around that which is there whether it is sports entertainment with our playground series that is a scripted content series that had 400 million reach on Amazon or we had our BGMI series which you saw with Star Sports which we have a three -year contract with S tar or any other properties that we keep on manifesting. We believe in the business of sports media rights and anything we can go ahead and do to invest short term, long term, and medium term into that either building throu gh IP s or to bring in partner s and investing in the business of sports media for eSports is (inaudible) 17:29 . The outcome of the causality is just like in the past every year whether it was t he PUBG mobile ban three to four years ago, whether it was the free fire ban or th e BGM I ban we have given th is exa m multiple number of times . Nodwin has had to give this exam three times already we kind of pas sed with 50 %, 7 0% and 80% through different ti mes and we have been able to go ahead and do that because of the robustness of the revenue streams that we have from different parts of the business so while we might have the media rights business for BGMI, which is the largest game in our country as a portfolio going in tanking because the game wa s banned . We have been able to go ahead

an

d supplement some of that with our scripted language series or we have been able to go and supplement that with white label service s so that is just market evolutionary. As far as guidance I do not like giving guidances and forward -looking statements but I do believe with the game coming back we are in a happier place today than we were .
Rahul Jain: Sure. A short term kind of a question that some of the partnerships that you think can potentially happen with Sony and also BGMI comi ng in . You think some of this could play out in this year second half itself or you have to wait a little longer for these things to play out?
Nitish Mittersain : I will tell you one thing about our business and there are lots of analysts her e today and it is a very important thing to do. We ca nnot control future it is impossible unlike any kind of cyclical business which is there we ca n only promise certain efforts which are there and I will give you an example and I am not joking about it. D ay before yesterda y I landed in Delhi from Dubai and there was this big storm in Delhi and the pilot said the outside

temperature is 25 degrees . It is May 15, 2023 and I have this as an answer, which is there. We are living in a world of war. We are living in a world where e verything is topsy -turvy . Nobody knows any kind of this. All I can go ahead and tell you is look at what we are doing. We have got a great strategic partner. We will put in the effort. Nobody has like example if there is a sports cricket tournament happeni ng on Star Sports that was booked five months ago or one year ago . No one is going to change that tournament because we have now BG MI coming back right. We will have to find the next slot that is available . Now that can happen this quarter, next quar ter, next to next quarter, April, May, June, next year that is just when we can find that slot. This effect has just come we will go ahead and evaluate the impact of this effect. Will we have something in that of course we will . When it is no t something that I can control or whatever we have talk to your partner , we sit down with them , we could figure o ut the o pportunities and the peo ple who can go ahead and figure out the opportunities is the team that can actually go, have that ability to go ahead and execute and which is what we have been always exhibiting during this time also th at we have the ability to execute if and when the opportunities come.
Rahul Jain: Sure thanks for that color. Just last bit from my side regarding the utility of thi s fund you said th at there are many areas where you may like to work on bu t specific to understand from M&A perspect ive so what ever allocation s goes toward s that, what are your thought process in terms of A in the area if you think some of the gaps whi ch you need to participate on and secondly what kind of EBITDA margin profile you would have in your filter bec ause some of the recent transactions that we have done were not very accretive to our profitability?
Nitish Mittersain : I think pro fitable is a better answer for u s in terms of what the profitability and it is an impo rtant thing I need to go ahead and do. The value upside of Nodwin is not shorter for us so we do not like losing money, but that does not mean we will go ahead and declare a huge amoun t of profitability and then sit on that cash to go and do nothing. I will utilize all cash that is necessary fo r me to go a nd keep up my growth momentum. I think my revenue of global company not just in India powerhouse . We want to build for the world out of India and I wil l continue to go ahead and invest as many resources as I can to go out and have profitable re venue growth across the world. The profitability margin and the margin contribution to us I think is something which we will go ahead a

nd look at after three to
four years as such. It does not mean we are going to be losing money or whatever, but what I really need to go a head and do is become the world' s number one and number two company in my sector. This is of utmost important to us by going red efining the entire business model across the world . Most of the companies in my sector globally go ahead and lose money we do not we do not like losing, but we want to ensure the world that a profitable business model for us runs across the world and hence that gives me the answer to your first question. Where are we going to deploy this? We will believe we want to go ahead and build horizontal s than vertical s so look at it this way saying we want to go ahead and find out delivery centres that are extremely profitable for ou r business across the world

and we want to find out revenue centres that are extremely value accretive for us from an IT perspective from across the world. We look at those two lenses to find great IP s that we can go ahead and invest in a nd find great prof itability and delivery centres and capability centres that we can go ahead and invest in. It is just a matter of actual location they might be in Turkey or they might be in Romania or they might be in Philippines or they might b e in Mexic o or they might be in the Middle East that is just the outcome of the search.
Rahul Jain: Right and ju st a smal l clarification when you say delivery cent er. Are you trying to talk about something like what we did with Publishme ?
Akshat Rathee : Publish me what I think was a transaction that was done by Nazara and Nitish & Mani sh is no longer a part of it. So N itish can answer that .
Nitish Mittersain : That is correct.
Rahul Jain: Understood. That is it from my side and best wishes for the future.
Moderator : Thank you . The next question is from the li ne of Akshat Agarw al from Jefferies . Please go ahead .
Akshat Ag arwal: Good afternoon everyone and t hanks a lot for the opportunity and congrats on the fundraise. Most of my questions have been answered. Just one quick clarification can you please help me w ith what would be Nazara 's ownership in Nodwin on a fully dilut ed basis after this transaction?
Anupriya Sinha Das : That will be 52.71 % Akshat.
Akshat Agarwal: No, that is the predilu ted right that is non-diluted basis there are some partly paid up shares as well or not full y paid shares in Nodwin?
Anupriya Sinha Das : It is around 43% including part ly paid up shares.
Akshat Agarwal: Sorry how much?
Anupriya Sinha Das : 43%.
Akshat Agarwal: I do not think that is correct maybe we can send for the correct inf ormation .
Anupriya Sinha Das : Yes.
Siddharth Kedia : I can jum p in. This is Siddharth I am the CEO of Nodwin . On a fully diluted basis considering all considering everything it is about 47 %.

Anupriya Sinha Das : 47.63%, yes that is correct.
Akshat Agarwal: Perfect. Thanks a lot. That is all from my side.
Moderat or: Thank you . The next question is from the line of Abhishek Agarwal from Gems Quest . Please go ahead .
Abhishek Agarwal: Thank you for giving me the opportunity and congratulations on the fundraise. So my questi on is related to t he earlier participant's question my question is why the fundraise at this point in time . Do we actually have anything on the anvil or any concrete opportunities that we are building on or in advance stages of?
Akshat Rathee : Nitish do you want to h elp us answer that question please .
Nitish Mittersain : I will answer it . So I think there are two reasons. I think for us the participation of global marquee investors that can be strateg ic in nature for us including Krafton coming back in and investing which is after entering or in

vest ing two years ago, coming back and investing after having a turbulent period in India right. I think it is a great validation for Nodwin as well as the overall ecosystem Nazara is building in India as well as the Indian eSports opport unity, so I think that was one important aspect that we continue to build strategic partners in this business as we are building it out and this was an opportunity to provide an access to them to come in and second is I think it is an opportune time for us to double down on investing in the business , building the ecosystem and also as you see globally given market sentim ents over the last year or year -and-a-half on tech related stocks, etc., valuations are suppressed so we would get mor e value opportunities to buy so we can eye on that. We took a call to do this fundraise. We are engaged with many prospects that we would like to consider but there is nothing imminent.
Abhishek Agarwal: Just one more on this, have we actually signed any def initive agreements with Sony in terms of O TT or broadcasting or any other event that we would like to go with ?
Nitish Mittersain : Not at this point.
Abhishek Agarwal: Fine. Thank you so much.
Moderator : Thank you . The next question is from the line of Moha na Kumar an Individual Invest or. Please go ahead .
Mohana Kumar: Congrats on the fundraising just a quick question from my side so how do you envis age the

splitting of this particular fundraise between organic and inorganic means, could you throw some light on that ?

Akshat Rathee : Most of it is going to be like true definition of the word inorganic it is most of it is going to be inorganic this is dry powder for us to go ahead and acquire assets but we do believe some of it is going t o be used by us for experiments to go ahead and either g o ahead and run keeping running our experiments on new communities and new games because remember in our ecosystem , games often come and go over multiple times s o we will continue to go ahead and run, let us just say an accelerator for gam ing and eSports ga mes as an opportunity to go ahead and keep investing in it but most of this is supposed to be for us to work and grow there and scale fairly quickly on an international basis.

Mohana Kumar: By when a re you expecting to probably announce t he first couple of deals with this financial year or is it a longer term process?

Akshat Rathee : As soon as possible .

Mohana Kumar: Perfect . Thank you. All the best.

Moderator : Thank you . Ladies and g entlemen that was the last question. I now hand the conference over to the management for their closing comments.

Nitish Mittersain : Thank you again everyone for joining us at a short notice. I hope some of your queries have been answered and there is more clarity. Wish you a very good day. Take care. Thank you everyone. App reciate it.

Akshat Rathee : Take care. Thank you everyone. App reciate it.

Moderator: Thank you members of the management team . Ladies and gentlemen o n behalf of Nazara Technologies L imited that concludes this conference call . We t hank you for joining us. Y ou may now disconnect your lines .

Call: May 2023

Nazara Technologies Limited

Nazar aTM

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May 16 , 2023

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Exchange Plaza, Plot No. C/1. G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400051.
Scrip Symbol: NAZARA

Dear Sir/Madam,
Sub: Transcript of the Investor/Analyst Earnings Call held on Wednesday , May 10 , 2023

In furtherance to our letter dated May 10, 2023 regarding the audio recording of the investors earnings call for the quarter and financial year ended March 31, 2023 , please find enclosed herewith the transcript of the said call. The Transcript is also available on the Company's website i.e. www.nazara.com .
We request you to take the same on record.
Thanking You,
Yours Faithfully
For Nazara Technologies Limited

Pravesh Palod
Company Secretary & Compliance Officer
M. No. A57964

Encl: a/a

"Nazara Technologies Limited

Q4 FY23 Earnings Conference Call"
May 10, 202 3

MANAGEMENT : MR. NITISH MITTERSAIN – JT. MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER
MR. SUDHIR KAMATH – CHIEF OPERATING OFFICER
MR. RAKESH SHAH – GROUP CHIEF FINANCIAL
OFFICER
MS. ANUPRIYA SINHA DAS – HEAD OF CORPORATE
DEVELOPMENT

MODERATOR : MR. ABHISHEK KUMAR – JM FINANCIAL

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Moderator: Ladies and gentlemen, good day, and welcome to Q4 and FY23 Earnings Conference Call of Nazara Technologies Limited, hosted by JM Financial. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchton e phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Abhishek Kumar from JM Financial. Thank you, and over to you, sir.
Abhishek Kumar: Thank you, Yashashri. Good morning, everyone. Welcome to this call of Naza ra Technologies to discuss fourth quarter and full year FY23 results. We have with us the management team of Nazara, represented by Mr. Nitish Mittersain, CEO and Managing Director, Mr. Sudhir Kamath, Chief Operating Officer, Mr. Rakesh Shah, Group Chief F inancial Officer, and Ms. Anupriya Sinha Das, Head of Corporate Development.
With that, let me now hand over the call over to Mr. Nitish Mittersain for his opening remarks. Thank you, and over to you, Nitish.
Nitish Mittersain: Good morning, and a very war m welcome to all of you to Nazara Technologies Limited Q4 and FY23 Earnings Call. We have uploaded our results presentation on the exchanges, and I hope you have had opportunity to go through it.
We are delighted to report another milestone here for Nazara . We have delivered a strong performance in FY23 with revenues surpassing the INR1,000 crores mark for the first time at INR1,091 crores and our EBITDA coming in at INR109.7 crores. Revenue growth was at 75.5% year-on-year with an overall EBITDA of 10.1% a nd year -on-year 21% PAT growth, a healthy year-on-year revenue growth across all business verticals, including gaming, eSports and Ad tech demonstrates our commitment to drive sports aggressively alongside profitability, while prioritizing growth so that we can achieve scale and market leadership in the spaces, which we operate in.
In terms of our performance for the quarter gone by, revenue grew by 65% year -on-year to INR289.3 crores. EBITDA grew by 86% to INR27.7 crores and the PAT increased by 92% year - on-year to INR9.4 crores. The company is currently operating in three key segments, which are gaming, eSports and Adtech . Our Gaming segment compris es of sub -segments namely gamified early learning, freemium , RMG and telco distribution , generated a total of INR406.3 crores, which was up 28% year -on-year and delivered an EBITDA margin of 17.5%. Our eSports business generated INR531.5 crores in revenue, up 74.9% to a 7.8% margin and our Adtech business generated INR153.2 crores reve nue with 8.8% margin.
Through our acquire and scale model, we continue to address pre -identified white spaces in our existing business segments via strategic acquisitions while being focused on profitable and sustainable organic growth of our existing busi nesses. Our existing businesses are generating cash, which is being redeployed first to drive organic growth. And thereafter, for acquisitions, as can be seen in the recent Sportskeeda and Pro Football Network deal. This operating model

enables us to creat e a flywheel that keeps gaining momentum across table, growing and diversified cash flow generating businesses in the spaces we operate.
On the M&A side, we will continue to expand our presence in Gaming, eSports and Adtech . The current market envir onment provides us with several attractive opportunities, and we are continuing to work actively towards the same. Lastly, on the skill -based Real Money Gaming space, by emerging regulatory clarity is a huge positive product industry. The Ministry of IT has recently issued a framework for operating sk

ill based RMG and clarity on online gaming TDS that was provided in the budget and thereafter has also been helpful. While clarity on GST is yet to emerge, we are hopeful that this will be resolved in the coming months. Since currently, skill - based RMG is only 5% of our total revenues, it provides a significant scale -up opportunity for us going forward.
And with the regulatory clarity emerging, we are working on a three -pronged approach towards the same through growth in our existing games, launching and publishing new RMG games we had acquiring existing RMG companies to drive scale for ourselves in this sector.
I would now like to hand over the call to Anupriya to give some highlights on our spec ific business segments, over to you, Anupriya.
Anupriya Das: Thank you, Nitish. Good morning, everyone. As you are aware, Nazara operates across three segments, Gaming, eSports and Adtech . Gaming includes Gamified Early Learning, Real Money Gaming, Freemium and Telco Distribution sub-segment s. This segment grew by 28%,

contributed to 37% in revenues and 56% in EBITDA in FY 2023.
Our playbook here is to invest in user acquisition backed by unit economics, while focusing on product and content updates to drive retention metric s. All our key IPs continue to see growth.
If you look at Kiddopia which is our flagship IP within Gamified Early Learning segment, we continue d to see subscriber growth in Q4 FY23 , despite negative impact of sea sonality. As you know, Q3 is the festive season in the US and Q4 typically sees a pullback, but in spite of that, we have seen a growth in the subscribers for Kiddopia.
The subscriber number increased to 311,758 in March 2023. Kiddopia continues to be the number two Grossing app for kids under five years in the US. EBITDA margin for the business improved to 18.4% in Q4 FY23 versus 11.6% in Q3 FY23 , driven by cost per tria l reduction to $35.9 in Q4 from $37.3 in Q3.
Moving on to Animal Jam, which is another IP in our Gamified Early Learning segment. We are setting the platform for growth and retention. The team has worked on improving the analytics back -end to get actionabl e products and User Acquisition Insights. On the product side, we have improved the cadence of content updates to drive growth. We are leveraging group capabilities for user acquisition via Datawrkz. The emphasis on optimization on a non -core cost has led an improvement in EBITDA margins from 3% in Q3 to 11.6% in Q4 FY23 , and we continue to -- we expect this app upward trajectory to continue.
Moving to WCC, World Cricket Championship, we have significantly improved monetization of users, leading to 38% growth in ad revenue, 26% growth in overall revenue and improvement

in EBITDA margin from 19.1% in FY22 to 26.2% in FY23 . We have also announced that we are acquiring an additional 19.5% stake in NextWave Multimedia, the holding company for WCC. And this transaction is expected to be completed in the next few days.
Openplay , which is Nazara's initial step into RMG space, we have seen a revenue growth of 33% year -on-year in FY23 , and EBITDA growth of 79% year -on-year due to better cost optimization. We weeded out players that were not generating revenue but consuming bonus. We are further improving the acquisition funnel, branding and player journey. Tamil Nadu banned online games with chance of money, including rummy and poker in April 2023. Tamil Nadu contributed to 20% of revenue and active player base in FY23 , and hence the ban will have a short -term negative impact on the business . However, we are trying to actively mitigate this downcycle.
As Nitish mentioned with new regulatory clarity emerging for the RMG segment, we are working on a larger blueprint for Nazara in the RMG space, using organic and inorganic levers .
Moving to our eSports segment, which contributes 49% of our t

otal revenue. This segment grew
by 75% in FY23 , specifically at Nodwin the revenue grew by 84% in FY23 , driven by gr owth in multiple IPs. The IPs which have seen a strong growth are playground, PUBG in South Asia and Dig tl, as well as a strong growth in Wings, our gaming accessories business.
Operating leverage will kick in with scale , a non -linear growth in EBITDA to come from own IPs and media rights, accessories business to become margin accretive once brands get more strongly established. Nodwin has acquired 51% in Branded Pte Ltd . for a cash consideration of $1.3 million. Singapore based Branded Pte has built marquee IPs, including All That Matters , It's a Girl Thing and CreatorWorls . This acquisition will also drive sponsorship revenue for all of Nodwin IPs in India and internationally.
Sportskeeda revenues grew by 55% in FY23 and US revenues grew by 89%, 104% growth in revenue from eSports in FY23 for Sportskeeda. Direct brand sales now contribute to INR26.7 crores in FY23 , which is more than double of the corresponding number in FY22 . Sportskeeda acquired 73% stake in Pro Football Network, a premium source of coverage and analysis of NFL in the US in March '23 for $1.82 million . With more than 5 million MAUs, PFN is ranked 3rd amongst the top NFL focus ed media website in the US as per Similar Web rankings in January '23.
Adtech our newest growth engine also performed well and grew by 53% year -on-year in FY23 . This segment contributed to 14% of revenues and 11% of EBITDA in FY22 . Datawrkz added 42 new clients in FY23 contributing the 34% of total revenues in the same period. The company lost one significant client, however, there will be a minimal EBITDA impact due to growth in new client s. Datawrkz continues to build all three of its businesses , ITD which is the services for advertisers, Mediaw rkz which is a services for publishers and Vizibl , a self -serve demand side platform. The company is ramping -up sales capabilities globally and is also actively evaluating M&A.

All our business segments continue to be cash generative. We closed the year with I NR628.3 crores of cash in our balance sheet . Our strong cash position not only provides financial strength for organic growth but also allows us to deploy capital for strategic M&A.

I'll close by remarks here and we'd like to open the call for Q&A. I would request Nitish, Sudhir and Rakesh Shah to join me for the Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Jinesh Joshi from Prabhudas Lilladher. Please go ahead.

Jinesh Joshi: Thanks for the opportunity. So at the Adtech business, you have reported a loss in this quarter. So the question is, has it got to do with the loss of client, which you just highlighted. If yes, what was the reason behind that loss? And when do we expect the business to stabilize as such?

Nitish Mittersain: Can you re peat the second question also?

Jinesh Joshi: The EBITDA figure for Adtech and telco business, which we have not given in the PPT this time around, if you can share those numbers?

Nitish Mittersain: Sure. Okay. So just to clarify the Datawrkz , the Adtech business has not posted the loss. It is revenue of INR39 crores in Q4, with INR4.7 crores of EBITDA. So it's profitable 6.9% EBITDA in Q4. And total EBITDA of INR13.5 crores for the year on revenues of INR153.3 crores , the EBITDA margin being 8.8%. The business continues to be profitable. We mentioned the client that was contributing revenues for the low -margin client. So we don't expect any large impact on our EBITDA, and we expect that we will continue to do well in the coming FY24 .

We've been adding a lot of new clients. We've also appointed some sales team in the US. So we are actually on a pretty aggressive gro

wth path forward and feeling very confident about our business. On the telco business, we had around INR52.8 crores of revenue with INR13.9 crores of EBITDA, which was a 26.3% margin.

Jinesh Joshi: Sure, sir. I was looking at the EBIT number, which was negative and hence the confusion, thanks for the clarification. Sir, my second question is on Nodwin. So if I look at the content views that we have shared in the PPT that have gone up in FY23 , even the distributi on adds are up when I compare it with the last financial year, yet the contribution of media rights revenue has come down from about 39% -odd to about 21% in this financial year. So does it mean that pricing has taken hit towards here? If not, can y ou explain the reason behind it?

And also, if you can share, I mean, what kind of EBITDA margins can we make on mature IP truly from media rights license , because apparently, it appears to be a high -margin business for us. So, just wanted your th oughts on that.

Nitish Mittersain: Sure. So, on the media rights revenue, right, I think for FY23 , while our percentage contribution has dropped in absolute terms, the revenues are have been broadly flat for us. And one of the large contribut ors for that is because of a lot of the popular games were banned, some of the media deals we had in place kind of dropped out, we should have generated significant growth in media revenue. So, I think despite the games being banned, us being able to also maintain the

media rights where they were for the good performance, and we expect in the coming year that to normalize. So, that's one aspect.

I think for our established IP with media rights, we should be able to get to -- in the short near -term, about 20%, 25 % kind of EBITDA margins once there is stability on the games -- popular eSports titles. I hope that answers your question.

Jinesh Joshi: Yes, sir. One last question from my side. The PFN business that we acquired recently, apparently seems to be ma rginally loss -making at the operating level in CY 22. So, I just wanted to know what can be the steady state EBITDA margin in this business? And by when do you expect to achieve that?

Nitish Mittersain: Sorry Jinesh, which business?

Jinesh Joshi: The Pro Football Network business that Sportskeeda, the PFN business .

Nitish Mittersain: No, I think that's a fantastic plug -in for Sportskeeda . Its a top 3 destination in the US and it deepens Sportskeeda 's presence in that vertical . And team there is fantastic. And even its early days, we are already seeing some very strong growth in KPIs. So, we are very confident of delivering good profits and good EBITDA on that business in the current year. We think the synergies b etween Sportskeeda and PFN will play out very well, and we should start seeing that from as early as this year next quarter.

Jinesh Joshi: Would you like to share an indicative steady state EBITDA margin number over here?

Nitish Mittersain: It's very early Jinesh, so would like not to do that.

Jinesh Joshi: Sure, sir. Thank you so much and all the best.

Moderator: Thank you. We have a next question from the line of Abhis ek Banerjee from ICICI Securities. Please go ahead.

Abhishek Banerjee: Yes. First of all, a great set of numbers, sir. Just a couple of questions. First on Kiddopia, the CPT decline d of close to $1.4, if you would give us some clarity on how that h appened? And what is your outlook going forward? So could we see another $1 kind of decline in that CPT, which would have a very big impact on your margins going forward, or is it likely to stabilize at this level?

Nitish Mittersain: Yes. I think, the team has been working hard on getting the right optimal mix of cost per trial and the volumes that we are able to spend in acquired users. And I think Q4, because Q3 usually is October to December Christmas season in

the US and it's a peak season. Q4 usually i s a bit slower and I think we're focused on optimizing our CPT in this period, you can see the results in front of you. I think there have been a lot of things we have done in the Kiddopia business in the last few months, which includes the price increase s, includes you know, trying to start scaling up the volumes, again.

We've kind of overcome that IDFA issue. We've gone back to spending a lot on Google, which we had earlier stopped . So I think this quarter has been for us to stabiliz e the business, just check

out on our key metrics, healthy and stable, which we are finding they are. And I think the way to look at it is the CPT range will still remain between the $35 to $37.

Now our focus going forward is to be how can we also paral lelly start scaling up some of the spend volumes to start increasing the subscriber base. If you see in Q4, our EBITDA margins improved quite significantly, 18.4% versus success ive quarter of 11.6%. So I think we're on the right track with Kiddopia stabilizing the business and making it back on growth trend.

Abhishek Banerjee: Got it. So but -- and on one hand, you're saying that you have stabilized Kiddopia business and CPTs came down and eve n in a lean season, you managed to grow subscribers. So is there some tailwind, which is happening in the sector? I mean, are people coming into the segment?

Nitish Mittersain: No. I think Kiddopia business itself is – the Kiddopia app right is quite a lot -- that continues to be very popular and the team continues to work very hard on the product side. As you might have seen, even Tim Cook , CEO of Apple recently came to India and met Kiddopia team and also tweeted about how Kiddopia is impacting positively to kids all over the world. That's a big validation of the product. And I think that's what's helping us, I would say, outperform competition.

Abhishek Banerjee: Understood. Also, in terms of the acquisit ion pipeline going forward, so, you have been very active in this space, right? But at some time, management bandwidth becomes a constraint to support such a wide portfolio. So would you give us some clarity on what kind of acquisitions you will try to do in the next year?

Nitish Mittersain: Yes. I think the flywheel we have, right, is the distribut or flywheel . So what I mean is that let's take Sportskeeda , for example. You know Nazara went and acquired Sportskeeda 3.5 years back and grew it from, let's say, a INR15 crores revenue to this year as we done INR122 crores revenue, right with INR38 crores -- INR39 crores EB ITDA this year. 3.5 years back when we acquired the business, we had a zero EBITDA.

So this company has accumulated cash over the last two years, generating profits. And we built a strong management team there. We have a CEO in place. We have a chief strategy officer in place who is very focused on M&A. And through our experience, we've kind of guided these teams. And the Pro Football Network is an acquisition done by Sportskeeda and being completely managed by the Sportskeeda team under o ur guidance.

So what this structure allows us is to continue doing this M&A activity without it sucking up a lot of our operational bandwidth at Nazara level. So while Nazara may be selective in doing acquisitions, you may see bolt -on acquisitions happen at a more rapid pace as the company is below because they are getting cash, accumulating cash, it's a great deployment of their cash to further their businesses. That's when we kind of bring in our experience and expertise in doing these transaction s, but the actual operations of these M&As are done by the teams of the subsidiaries. I think that's working very well for us. At the Nazara level, I think our thought process going forward is that we will be taking fewer and larger bets on M&A whereas bol t-

on
acquisitions will largely happen at the subsidiar y level .

Abhishek Banerjee: Understood. And if you're talking about larger acquisitions, does that mean taking on some debts?
Nitish Mittersain: Sorry, can you repeat that?
Abhishek Banerjee: So if you're talking about larger acquisitions, does that mean taking on some debt?
Nitish Mittersain: At this point of time, we've not looked at it. But I would say that from zero debt to moving to a low debt could be an option, but largely any debt, if you were to take it, it would be purely against the cash flows of the target company and not back stopped by Nazara.
Abhishek Banerjee: Understood. That is very clear. Thank you so much sir .
Moderator: Thank you. We have a next question from the line of Abhishek Bandari from Nomura. Please go ahead.
Abhishek Bandari: Thank you for the opportunity, Nitish. I had one question. If I go to your slide number 32. I'm just trying to reconcile the slowdown of EBITDA into operating cash f low while we generated INR100 -plus crores of EBITDA in FY23 , the net cash flow from operations is just ~8, part of it is explain because of working capital. But if you could elaborate how are you thinking to bridge the gap between the two or is it a nature of the business that this kind of gap will always exist?
Nitish Mittersain: No. I think this year we've seen a slight increase in working capital in many of our businesses. And I thi nk also, there's some -- for example, in the case of Kiddopia because we had an SVB issue , we kind of advanced significant amounts of money to places like Google where we advertise to kind of secure those funds. So I think it also got skewed because of tha t. I think we should continue generating good cash in FY24 , we expect to generate good cash. I think the other place our working capital got stuck or something is the gaming accessories business in Wings , which is working capital intensive business. So we are working closely with the team on how can we create better cash flow management so that working capital doesn't get sucked in there continuously.
Abhishek Bandari: Got it. So is it fair to say that the steady state EBITDA to operating cash flow co nversion would settle at a higher rate -- like would it be like 40%, 50% ?
Nitish Mittersain: Yes, absolutely.
Abhishek Bandari: Got it. Thanks, Nitish and all the best.
Nitish Mittersain: Yes.
Moderator: Thank you. We have a next question from the line of Deep Shah from B&K Securities. Please go ahead.
Deep Shah: Hey, good morning, sir. Thanks for the opportunity. Sir, the first question was around the -- some qualitative commentary on the VALORANT Challengers tour. The context is last year, we had a deal with Star Sports thanks to BGMI. And I hear you alluded that some media deals have lapsed because of games being ban ned. So, any rough metrics that you can call out as to what is

the engagement level for VALORAN T that can give us some guidance on when those medial deal come back? Because if I understand correctly, more than monetization it is the reach which would have been large, with Star Sports as a partner? That's my first question.
Nitish Mittersain: So shall I just answer that first. So the BGMI or Star Sports was the first program, we ran with Star Sports and that was extremely successful. We had great response and Star Sports was very excited about Season 2 of same . However, because of the BGMI ban, we could not continue with that. And that was also one of the reasons our media revenue kind of dropped. Our marketing didn't grow as we expected in the previous year, FY 2023.
VALORANT is early days the league has just launched and we will be building up.
VALORANT versus BGMI, the difference is that VALORANT is a PC game , with a slightly smaller co

mmunity compared to BGMI. It has more intense community, from a visibility point of view, viewership point of vie w, it's a bit smaller. So we are kind of building it out before we take it with a large channel.
The other media content that has done well for us is the Playground series. Season 1, got about 17 million view ers, Season 2 got about 40 million viewers. We have Season 3 launching in June and that is actually a change in the format of bit and going to run a year -long season. So I think that should also be very positive for us.
Deep Shah: Right, . Sir, second question. I hear in your opening remarks. Please correct me if I am wrong, but I hear that operating leverage has started to come down in the eSports market this year. But I would rather think that profitability would be reduced , given that we have a lot more new IPs, a lot more marketing required, given that, as you rightly said, rather than is it different game than BGMI. So how can we think about this profitability piece? Will it be reduced or will we see a lot of profitability from FY 2024? And as a parallel question, what is the plan for new IPs? Anything that you can help us with that?

Nitish Mittersain: So, I think just to summarize if I understood your question, you are asking about the eSports margins in FY 2024?
Deep Shah: Yes, so should we see a pickup right in FY 24 or will it take some time? And second, on the new IPs or where do you see scaling up of existing IPs that we have? Any thoughts would be helpful .
Nitish Mittersain: So I think in terms of margins, we are still projecting specifically for NODWIN gaming, we are not in FY24 protecting large, very large enhancements in EBITDA. We will try and optimize where possible, and our focus is we want to continue drive strategic growth in that business. I think in terms of your second question of IP s, right, VALORANT is one that NO DWIN has already launched. The y launched a chess league which is also doing very well. There are two or three different leagues that NO DWIN is currently in the midst of launching or has launched which we think will build a strong IP.
There is a Kingfisher India Premiership 2023 which h as been announced. This is having games like Tekken 7 and C lash of Clans. There's a PUBG New State Pro series challenge .. I think there's a lot of high key work in progress, working with major gaming publishers who want to

do a larger India play. So I think there's a lot of activity happening there, and you will see that buildup happen throughout FY 24.
Deep Shah: Sure, si r, this is very helpful, thank you so much.
Moderator: Thank you. We have a next question from the line of Mukul Garg from Motilal Oswal. Please go ahead.
Mukul Garg: Hey, Nitish, good morning. So it is just a follow -up on the Nodwin point. If you look at the content view or the distribution between Q4 FY22 and Q4 FY23 , it obviously has some of a bit. I just wanted to get your sense on how we should think about the opportunities playing out over the longer term. This quarter, we were tryin g to do that through VALORANT and ESL, but clearly the response has not been up to what BGMI or FIFA were kind of receiving from players. So how are you going to visualize the longer term opportunity capture which is out there in the space? Because you hav e been able to grow your revenues quite smartly but that is probably more because of broadening of offering rather than the -- you know viewership or distribution.
Nitish Mittersain: No absolutely, so I think you are bang on that in terms of you know the viewership is obviously got impacted due to the games that were banned. See we need very popular mobile gaming titles in a country like India to drive maximum viewership and one or two things will happen. Either the space that is curr ently there will get filled up by some new titles or

you will have some of the existing titles come back which is also possible in the next few months.
So I think while that happens, obviously we are working on creating many other IPs. We do see VALORANT etcetera also building out, we are working closely with them and building it out. But to see a large search, I think you need to get those large mobil e eSports titles on the back of which a lot more viewership can be generated.
Mukul Garg: Right, so just to follow -up on this, are there any potential names which you are seeing which are in the pipeline? Or are you in discussions with the government in te rms of what we can argue in terms of these Free Fire or BGMI, which work quite popular in the country, to kind of get them back as an option?
Nitish Mittersain: Yes, so no, we actively have this important stakeholder in this whole space. We are obviously interacting both with government as well as the publishers to see what solutions can be found here and we're very hopeful that some positive news will come in the coming months. That said, there are many other games like Call of Duty Mobile, etc . that we are working with. So I think focus is on expanding the titles that we work with, as well as working closely with the publishers to see whether some important titles can be re -launched.
Mukul Garg: And the second question was, again related question, when I look at WCC performance. It has been weaker than what it was same time last year. You have on the other hand increased your stake in the next wave. So, any thoughts on how you are visualizing your investment into the space there's a lot of strategie s happening on the mobile gaming side. Are you hoping to kind of aggressively expand and create an alternate opportunity here?

Nitish Mittersain: Yes, so I think we are at a point where we think that WCC can be starting to scale. We've always been focused on KPIs. And I think our LTV/CAC equation over there is starting to make sense. So, we will hope -- I think for the franchise that work with the Championship is in India, the kind of monetization we do today or even the kind of user base we have is relatively low. And there’s a lot more that can be done in terms of scaling this up. So, I think that’s hard for FY 24 that how do we monetize this product better and how do we scale up the user base so that we have a multiplier effect on the overall business. We also brought in a Chief Operating Officer recently from a large gaming studio and is working very closely with the team to kind of action some of the things we want to implement.

Mukul Garg: So, should we expect kind of front -ended investments to kind of believe the required growth? Or are you alrea dy seeing a tipping point and we see that the growth will happen while the U.S. is kind of getting favorable returns on the investments?

Nitish Mittersain: No, I think we don’t anticipate large investments in terms of SG&A costs, etc . But I think in the near future, we will potentially ramp up our user acquisition on that product to scale the user base.

Mukul Garg: Got it. Thanks for answering my question and best of luck for the quarter s ahead.

Nitish Mittersain: Sure. Thank you.

Moderator: Thank yo u. We have our next question from the line of Abhishek Kumar from JM Financial. Please go ahead.

Abhishek Kumar: Yes, thank you for taking my question. First, I just noticed that we have not given any guidance for FY 24. So, just any sense on how are we l ooking at the overall portfolio growth and also how should we look at margins now, things appear to have stabilized, so any color on growth and guidance for next year?

Nitish Mittersain: Yes. Abhishek, we’re not giving the guidance at this point of time. As you have seen since listing , we’ve usually given guidance in September once we have better break of the whole year. But our intent t

his year is to obviously enhance margins in businesses where we can and through certain businesses, we should continue to take strategic growth for mar ket leadership. So, I think we’ll continue following the same approach. Generally, overall sense of mine today is that there should be some margin improvement in the overall year.

Abhishek Kumar: Okay. Now, second question is on real money gaming. A l ot of regulatory clarity has emerged over the past couple of months with a self -regulatory body and even on TDS. And we have also talked about a larger blueprint now in RMG. So, I just wanted you to flesh out what would that mean? What would that entail bo th in terms of organic and inorganic strategy?

Nitish Mittersain: Yes. So, like I mentioned in my opening remarks, there are three ways we are approaching this. One is how can our existing RMG businesses, especially Openplay , classic rummy br and grow fast and more aggressively. While Anupriya mentioned, there was a short -term lift because of the TN ban, where this game is quite popular. I think that’s the short -term for us. But we are looking at the larger picture, how can we really scale that business. That’s point number one.

Point number two is we are working with many new game developers -- sorry many developers and global companies to publish RMG games in India, which are innovative and new and scale them up. And I think with this framewor k we can do it a lot more confidently, we can invest more aggressively. And then, build our user s base and scale revenue s. So I think that’s the second thing we’ve been actively working at. And the third is we are in talks with various existing RMG peers to see whether there is a consolidation opportunity possible. So I think basis these three actions, we’re looking to definitely start scaling our RMG business going forward.

Abhishek Kumar: Okay. Just one clarification, you said, you’re working with global publishers. So are we also looking at expanding beyond Rummy in RMG.

Nitish Mittersain: Yes, most definitely. So just to clarify our focus on RMG is the Indian market, but we are definitely looking at launching new games outside of Rummy as well in the Indian market which are fresh and new and will be appealing to the consumer this year.

Abhishek Kumar: All right. Okay. Thank you and all the best.

Nitish Mittersain: Sure. Thank you.

Moder ator: Thank you. We have our next question from the line of Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain: Yes. Hi. Thanks for the opportunity. My question is pertaining to the Gamified business, Kiddopia and Animal Jam, I know you shared some of your thoughts earlier, but to I think from a real growth addition point of view, I think this segment would play an important part in this year. So if you could share beyond what you just shared in terms of the stability and eventual progress, so how you see the demand based on the revised pricing and the churn behavior? And when you think would be, what is the data point that you would watch out for before you kind of speed up the pedal to drive your marketing spend here to drive growth? And how th e revival on the cost side and in terms of content side shaping up, in Animal Jam? And what kind of growth one should envisage over the next four to six quarters there?

Nitish Mittersain: So on Kiddopia, one thing we have launched a lot of new content and features which are quite appealing to the consumers both parents and kids for example the coding for kids which has been launched in Kiddopia has been very well appreciated and I think parents are willing to spend the extra money that we have increased pri ces right from $7.99 to $9.99 without hesitating and that reflects in our KPIs like churn which is if you see the last four quarters or five quarters that we have shown in this is pretty constant you know irre

spective of the price increase. I think
that is the good news that and the way that's going to help is you know with our cost per trials in control and the price increase our margins in FY24 are going to look much healthier than what they were in FY23 because the LTV CAC ratio has improved significantl y.
So I think that's one aspect. Now what we are basically seeing is while keeping our cost of trial let's say between 35 to 37 dollars how can we increase our spend from a million dollars a month to you know significantly more. What we don't want to do is again break the cost per trial range that we have established. So we don't want to you know take it to $40 plus. So we've kept a guardrail there and the team is working actively on various channels to see how we can start

increasing spends within this gua rdrail of cost per trial so that our margins are also protected.
Coming on to Animal Jam I think we are very excited with what we've seen in the last fe w months after the acquisition.
We spent a lot of time getting a grip on data. I think the data is very interesting and is showing some healthy results already. Q4 if you see we've also worked a lot on optimizing various costs that were built into the business. If you see Q4 FY23 you kno w we've seen a growth in EBITDA margins to 11.6% and we think we should get this business very quickly to about a 20% EBITDA margin and move it from there. A lot of product work is happening on you know features that can help monetization better. So one of the challenges with Animal Jam we found was that you know the conversion to monetization was fairly low because you know the feature that were implemented did not make the people play a lot.
95% of the game was being played for free and I think t hat we th ink we have to redo some of those things which will help us improve conversions and scale the revenue. So very excited about Animal Jam as well. It's a very strong IP s within the consumer base and I think in gaming as long as you are owning good IPs there' s a lot more you can do with it. So Kiddopia and Animal Jam are you know strong IPs in this sector and there's a lot more we can do with them going forward.
Moderator: We have our next question from the line of Moh ana Kumar, an Individual Investor. Please go ahead.
Mohana Kumar: Congrats on a great set of numbers and it's been a pretty solid last couple of years. I just want to get some qualitative understanding of what the growth could look like in the over the nex t year.
I understand that you know it's still very early and you probably are comfortable providing numbers towards the second half of the year but do you feel that the growth trend that we have seen can actually continue to grow organically if not at the same rate as last couple of years but at a maybe like a 10 to 15 percent range of what we've seen in the last couple of years?
Nitish Mittersain: Yes I think again without giving any specific guidance I think we will continue to drive you know for growth i n all our businesses wherever we can and as these businesses continue to generate cash we will keep redeploying this cash you know that's accumulating into organic as well as in organic growth. So I think we will see good organic growth. I don't want to gi ve a specific number there but it should be north of what you just spoke about.
Mohana Kumar: And which is the business where you feel that the margin expansion is going to drive the expansion for the broader group right now? You mentioned that you're expecting in a few of these subsegments but where are you expecting a larger the biggest chunk to actually come from?
Nitish Mittersain: I think we should see good margin expansion in our gaming business overall with Kiddopia and you know WCC as well as An imal Jam. So I think these products should continue to drive fairly good margin expansi

on in FY24. We also expect Sportskeeda to do well in terms of margins. So
yes I think leaving aside our NODWIN eSports business where we are not projecting large margin expansion I think other businesses all will be seeing upward tick on margins .

Mohana Kumar: Sounds good. Thanks a lot, and all the best for the coming year.

Nitish Mittersain: Thank you.
Moderator: Thank you. We have a next question from the line of Rahil Shah, an Individual Investor. Please go ahead.
Rahi l Shah: So I understand you're not giving any guidance on the EBITDA margins but my question is a little more far ahead in the future. So I wanted to ask what have you envisioned a number, a potential or steady state EBITDA margins when your investments in new business verticals reduce and the business is stabilized. So have you targeted any number or if not targeted can you just share with us any number which is you know you're confi dent is possible.
Nitish Mittersain: Yes, sure. Sudhir, do you want to take this one?
Sudhir Kamath: Yes sure. Rahil, just so I can understand what you were saying. You're asking for each of the businesses or overall?
Rahi l Shah: No, overall, so yo u are in a process of scaling up, now you're investing a lot in new business vertical s, correct. So I'm just asking, when you're done with this and when this business is stabilized, what kind of potential of steady state EBITDA margins you are confident th at you will be able to achieve?
Sudhir Kamath: Sure. So I think one is, each of our segments if you look at it right now we are very much in very fast growth phase. So there's a lot of investment which is happening in the current year, in the previous year as you've seen and we do expect that phase to continue for a little bit. So I think when we say what the steady state EBITDA numbers we may need to look a little further in the future than just six months or a year or two years. If you look at segment by segment if you start with eSports I think definitely on that you will see at least a similar kind of margin structures to what we have today for the near future because that opportunity is probably the largest in terms of abs olute growth numbers currently.
Down the road we do expect it will be an especially as the media properties decay and IPs get much higher value that should be a very highly profitable segment as well in line with what you would see in the media world. So I prefer you to look at steady state EBITDA margins there. On the gaming side we defini tely see already about a 20% kind of margin structure in the businesses and that number will expand in the near future and longer term steady state I mean if I were to guess I'd probably go around a 30% kind of a number but again it might take a bit more t ime and investment before we get there.
Adtech is a different kind of business that's more of a services business and in that current numbers are closer to 9% or 10% as you have seen which will expand a bit but not hugely as long as it stays focused on services. There are some product type possibilities in that as well which if those come true then that increases the margin significantly over time but at this point we don't have a significant amount. I hope that answers your question.

Rahi l Shah: Okay yes that's helpful and another would be why have profit margins dropped significantly in Q4 compared to Q3 so I'm just trying to understand is it because of like the seasonality factor or what happens in Q4 and when do you expect it to revise?
Sudh ir Kamath: I was just actually looking more at a broader picture for the year rather than because there are these there are seasonal variations as well business specific one which I think we called out at the different business segments rather than giving us a better answer

.
Nitish Mittersain: Yes but just to just to add to that our EBITDA margin for Q3 was 9.7% which came in at 9.6% in Q4. Given Q3 is you know a high margin business for many of our products across Sportskeeda for example in the US realizes very high (__) during this period and similarly to some of the other businesses Q3 is a high seasonal business quarter. I think we've done pretty well with the margin actually in Q4 9.6% if you compare it to the previous year also we proved it was 8.5% in Q4 of FY22 whereas it's 9.6% in Q4 of FY23.
Rahi l Shah: Okay, sir. All the best. Thank you.
Moderator: Thank you. We have our next question from the line of Rahul Jain from Dolat Capital. Please go ahead.
Rahul Jain: Thanks for the opportunity again. Just one more incremental input on the Adtech business specifically that we are more targeting this in the US market. So how you are seeing that market shaping up we also saw a client impact so how you see in light of relatively weakening macro trend in that market and of course we have a very strong client addition matrix so how it should balance out during this year in your view.
Nitish Mittersain: Rahul we see that the services that Datawrkz offers and also backed by some of the new products they've launched they've launched a platform for media works and they've also launched a black product called Vizibl. We think there's a lot of value pro position for clients and because Datawrkz operates much of its team and operations from India there's a lot of arbitrage saving that they can offer to the clients besides you know better results. So I think the weakening market

in the US should not hurt Da tawrkz much because clients will look to optimize costs and actually Datawrkz may benefit from that.
New clients signing up has been going on at a very good rate there's a lot of efforts that the team is doing there so we're very optimistic about this busi ness into FY24. We also see some very interesting bolt -on opportunity there which can actually enhance margins by you know acquiring placing entities in the US and Europe which we are currently looking at. So I think overall we can you know see good growth , good margins in this business and the new products that we have launched will also add value to that over a period of time.
Rahul Jain: Right, and you did this transaction of Pro Football I think it's a fantastic transaction given the large opportu nity and I was looking at some of the ir peers which are much larger than what this company has achieved up but this is a very young company so now if you could give more input in terms of what are the scalability opportunities here is there any synergy to existing SK business and also is there any meaningful seasonality in terms of the way they recognize their revenue?

Nitish Mittersain: Yes sure so I think of course NFL season probably happens in Q2, Q3 so Q1 for example is the lowest season for Pro Football Network but the team at Sportskeeda has a lot of ideas and a lot of synergies actually with Pro Football Network so even in the lean season we've actually seen significant uptick in some of the KPIs of Pro Football Network since we've kind of acquired them so it's probably a small transaction within you know our network but we are very excited about this opportunity at this point of time. This is sure..
Sudhir Kamath: Nitish, if I may just add couple of points there.
Nitish Mittersain: Yes.
Sudhir Kamath: So Rahul, I thin k I want to emphasize that Pro Football is about American football obviously which in India is sometimes called rugby but American football and that's actually the largest sport in the world not just in the US but across the globe and PFN is the unique property in the or I mean they've built something very interesting and they're growing very rapidly obviously. Seasonality wise the Ameri

can football s eason lasts broadly corresponding to Q2 and Q3 of our year so for us we've seen this quarter Q1 as an opportunity to sort of build a lot of build further on the product side there and look at the synergy between Sportskeeda tandem which there are and Q2, Q3 is what will actually show the results we hope in that but we do expect this to be a significant driver of value for Sportskeeda overall in the coming years.
Rahul Jain: Right. Thanks for that additional comment. Just a little bit more curious about t he opportunity size, because when I see this space, I see that there is one or two players which are significantly larger than what we are -- and of course, they are very old business that way . And there are a lot of -- lot of sites which are dedicated to particular league or team and that is also a huge market. So is there something that we could do to consolidate this space? Because otherwise, I think there is a lot of loyalty led volume or c ontent consumption that happens in this market for us to scale to a meaningful level? Or you think independent entity covering the entire support is what will trend in the future?
Sudhir Kamath : Maybe if I take that. So I think that's definitely an interesting and important point there which is the way customers and viewers consume content from this. Many of them will be very loyal to specific teams or regions and or even say college football teams and they follow that with a great deal of passion. So one way to grow this segment which the Sportskeeda and the PFN team are very focused on is looking at how do you target those individual communities or segments and there are different kinds of answers on that and the team is very fo cused on using that insight. I'll be just a bit careful on what we say here because it's not just one website it is definitely much more that they do and that insight which you shared Rahul that's definitely one thing that they'll approach .
Rahul Jain: Sure. Thanks for that. Thank you so much. That’s it from my side.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments. Over to you.

Nitish Mittersain: Thank you very much everyone for spending the time today on the call. We look forward to continuing to strive hard to deliver you know good results in FY24 and beyond and look forward to your ongoing support and feedback. Thank you very much.
Moderator: On behalf of JM Financial that concludes this conference. Thank you for joining us and you may

now disconnect your lines.

Call: Aug 2023

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August 03, 2023
To,
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Scrip Code: 543280 Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1. G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400051.
Scrip Symbol: NAZARA
Subject :Transcript of the Investor/Analyst Earnings Call held on Monday , July 31, 202 3
Dear Sir/Madam,
In furtherance to our letter dated July 31, 2023 regarding the audio recording of the investors earnings call for the quarter ended June 30 , 2023 , please find enclosed herewith the transcript of the said call. The Transcript is also available on the Company's websi te i.e. www.nazara.com .
We request you to take the same on record.
Thanking You,
Yours faithfully,
For Nazara Technologies Limited
Varsha Vyas
Company Secretary and Compliance officer
Encl: A/a Membership No. - 57238

"Nazara Technologies Limited

Q1FY24 Earnings Conference Call"
July 31, 202 3

MANAGEMENT : MR. NITISH MITTERSAIN – JOINT MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. SUDHIR KAMATH – CHIEF OPERATING OFFICER
MR. RAKESH SHAH – GROUP CHIEF FINANCIAL
OFFICER
MS. ANUPRIYA SINHA DAS – HEAD OF CORPORATE
DEVELOPMENT

MODERATOR : MR. GNANASUNDARAM SAMINATHAN – AVENDUS
SPARK

Moderator: Ladies and gentlemen, good day, and welcome to Nazara Technologies Lim ited Q1FY24 Earnings Conference Call hosted by Avendus Spark.
This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sundar from Avendus Spark. Thank you, and over to you, sir.
Gnanasundaram : Thank you. Hi all, greetings from Avendus Spark. We welcome you all to the 1QFY24 Conference Call of Nazara Technologies Limited. The company would be represented by Mr. Nitish, Joint Managing Director & CEO ; Mr. Sudhir Kamath , Chief Operating Officer; Mr. Rakesh Shah, Group CFO; and Ms. Anupriya Sinha Das, Head of Corporate Development.
Thank you, and over to the management.
Nitish Mittersain: Good morning, everyone. A very warm welcome to all of you to Nazara Technologies Q1FY24 Earnings Call . This is Nitish speaking here. We have uploaded our results presentation on the exchanges, and I hope all of you have had an opportunity to go through the same.
We are happy to share that this is our 10th quarterly results since our IPO, and we have delivered consistent year -on-year growth in revenues and profits, demonstrating the stability and long - term compounding opportunity that Nazara's diversified gaming platform provides.
For the first quarter of FY24 , we have reported revenues of INR 254.4 crores, which is up 14% year-on-year, EBITDA for the quarter increased by 10% year -on-year to INR 33.1 crores and our PAT increased to INR 20.9 crores, which is up 31% year -on-year.
In the gaming segment, we owned several renowned IPs including Kiddo pia, Animal Jam and World Cricket Championship, targeting diverse consumer demographics. In this quarter, we witnessed an impressive 24% year -on-year revenue growth and a substantial 41% year -on-year growth in EBITDA for our gaming segment with a healthy E BITDA margin of 24.6%.
Our strategic focus lies in owning well-recognized IPs in gaming that cater to both the Indian home market and global audiences, especially in North America. This approach enables us to build a scalable and sustainable high -margin bu siness. The success of our games has

demonstrated India's potential to create and operate games for the global market, presenting us with a significant opportunity to capitalize on in the future. We remain committed to investing in and acquiring Indian and global gaming IPs and are currently in discussions with various gaming studios to further strengthen our portfolio.
In eSports, we saw 15% revenue growth, and we anticipate further acceleration of this growth in the coming quarters, especially in the Nodw in business due to key launches in Q2 and Q3 of our established IPs, including the recently announced BGM S, which we have partnered with Star Sports and Rooter, DreamHack , NH7, among many others. Sportskeeda delivered exceptional performance with a 52% yea r-on-year growth in both revenues and margins (52% year-on-year growth in Revenues and 55% year -on-year growth in EBITDA) and we look forward to our continued perfo

rmance, especially in Q3 and Q4 due to important sporting events coming up like the Cricket World Cup as well as NFL season that will benefit our recently acquired Pro Football Network business.
The Adtech business is solely comprised of Datawrkz had a muted quarter and is expected to consolidate in FY24 , while we lay a foundation for FY25 and beyond. We have started leveraging Datawrkz capabilities for internal user acquisition, and we are seeing very encouraging results, especially in our game, Animal Jam. I believe we now have the stage set for higher revenue growth in the coming quarte rs across all our business segments.
Nazara has built a well -diversified gaming platform with an established track record of acquiring and scaling businesses post acquisition. We have built an experienced internal M&A team that is looking on creating a str ong pipeline of opportunities in various segments that we operate in. Again, with a strong focus on adding gaming IPs and teams to our platform.
I understand that many of you may have questions regarding the recent regulatory and tax announcements concerni ng the online skill -based money gaming sector in India. As stated since our IPO, we have chosen to exercise prudence and await further clarity in this area before

scaling -up. This approach has been proving to be beneficial for us, especially regarding the current turbulent situation that the sector is navigating .

Now with the clarity starting to emerge, there may be opportunities for Nazara to seize in the coming days, especially as the business model, including our RMG segment settles and aligns with the new policies and regulatory framework. We closely monitor th ese developments and remain prepared to take action accordingly. Feel free to ask more detailed questions during the Q&A around this topic.

Finally, as you know, we have also taken an enabling resolution from our Board and now seeking shareholder approval for a fund raise of up to INR 750 crores. We intend to raise these funds at an appropriate time, and we'll keep you posted as we progress on this front.

I would now like to hand over the call to Anupriya, Head of our Corporate Development to give some high lights of our performance in this quarter. Thank you very much, and over to you, Anupriya.

Anupriya Sinha Das : Thank you, Nitish. Good morning, everyone. Thank you for joining us today. I will cover the segmental performance, as Nitish mentioned.

Starting with our gaming segment, which includes gamified early learning, real money gaming, freemium and telco sub -segment. This segment contributed to 43% of revenue and grew by 24% year-on-year in the first quarter. The EBITDA margins for this business is a robu st 24.6%. If we move to Kiddopia, the revenue grew by 10% year -on-year for the Kiddopia business, while EBITDA increased to INR 16.1 crores from INR 9.7 crores in Q1 FY23 , resulting in an EBITDA margin increase from 18.4% to 28% in Q1FY24 .

During the quart er, there was a technical issue with our attribution partners, which temporarily disrupted our marketing campaign and led to higher cost of user acquisitions. However, the issue has now been resolved and we expect normalized CAC and marketing spend s going forward.

Moving on to Animal Jam, which we acquired in August 2022. Since acquisition, we have worked on multiple things , first and foremost, improving the analytics back -end to get actionable insights as well as improved cadence fo r content updates. In addition, we have optimized the non-core cost, which has led to improvement in EBITDA margin from 11.6% in Q4FY23 to 22.5% in Q1FY24.

Datawrkz has been working with Animal Jam for driving and optimizing the user acquisition spend s. In the next phase of growth, we are looking to further scale -up the user acquisition spend s while maintaining profitability.

Moving to

World Cricket Championship. We are working on revamping the franchisee.

Christopher Franklin who joined WCC as the CEO, h as over 20 years of experience in game design and studio leadership across GSN, EA among others. Chris is working on several product and growth initiatives to set the stage for growth in the coming quarters.

Moving to OpenPlay, Q1FY24 revenues and EBITDA f rom Classic Rummy was INR 11.2 crores and INR 0.2 crores of EBITDA, respectively. As you are aware, Tamil Nadu banned all rummy games which includes skill -based real money games like Rummy in April 2023. Tamil Nadu contributed to 20% of revenues and active player base in FY23 and Q1FY24 performance saw an impact due to the same.

Reiterating our skill -based R MG business contributed to 4.7% of revenue and 0.5% of EBITDA in Q1FY24 . Nazara's pragmatic approach and limited exposure to this segment have minimized impact to our consolidated financial performance. To the extent required , as Nitish mentioned, the company will proactively take steps to mitigate any further impact.

Moving to our eSports segment, which contributed to 46% of our total revenue and grew by 15% year-on-year. Looking at Nodwin , Nodwin reported revenues of INR 68.6 crores with an EBITDA of negative INR 4.8 crores in Q1FY24 . Key IPs were deferred to Q2 FY24 to take advantage of market opportunities of the key mobile game coming back. The revenue from this IP will reflect in upcoming quarters, including Q2 FY24 .

In line with the previous year, established IPs are currently planned in H2, Nodwin continue d to scale newer IPs in this quarter, which is still in the investment phase. This along with increased marketing and brand spend in the gaming accessories business ahead of the upcoming festive season had a short -term impact on Q1FY24 . So, for FY24 , we expect Nodwin to achieve healthy growth backed by overall profitability.

Moving to Sportskeeda, which reported revenues of INR 46 crores, a 52% year -on-year growth and an EBITDA of INR 16 crores, 55% year -on-year growth in Q1FY24 . Sportskeeda is among the top 10 multi -sport destination in the U.S and ranks number two among the sports websites in India. The company caters to over 80 million monthly active users across m arkets. PFN, the business which was acquired by Sportskeeda in Q4 FY2 3 has been integrated well and is geared up for the upcoming NFL season.

Our Adtech business was acquired in April 2022. Over the last year, we've been focusing on higher -margin business clients and simultaneously expanding our client base to minimize dependency on a few customers. This has resulted in overall gross margin improvement fr om 18.4% in Q1 FY23 to 22.9% in Q1FY24 . There was a revenue degrowth of 16% in Q1FY24 due to loss of one large however, low margin contributing client . With strong emphasis on high - margin and diversified client base, we expect revenue and EBITDA growth to pick up from Q3 onwards.

With this, I'll close my remarks here, and we'd like to open the call to Q&A. I would request Nitish , Sudhir and Rakesh Shah to join me for the Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Nitin Jain from Fairview Investments .

Nitin Jain : So I have two questions. First one is regarding Animal Jam. So can you provide the numbers on what has been the revenue growth year -on-year in this business? Because I can see quarter -on- quarter, the revenues have stayed flat.

And the next question is regarding Kiddopia. So would it be possible to elaborate on the issue faced by Kiddopia in this quarter and how it has impacted subscriber growth? And the follow - up to th at is what kind of subscriber growth we can see in Q2 and Q3? And would the margins come back to the last year's same quarter level?

Nitish Mitters

ain: So, for Animal Jam, we did not consolidate revenues in Q1 of FY23 , which is why we've not given the comparison with that. However, if I were to focus on what's happening on Animal Jam, as we have also updated in the presentation, there's been a lot of back -end work that has gone -in in the last few months since we acquired the company to enhance our insights into it as well as improve monetization features of the game so that our LTV/CAC in that business increases significantly.

On the second hand, we have been working very closely with the Datawrkz team to optimize the user acquisition. And I think we presented quite some details in the presentation on how we are doing that and the benefits that we are starting to see. In the meanwhile, what we have done surely is, focused both on the cost side of operations of this business as well as optimize our

margins. So you would have seen that even sequentially, in our margins, our EBITDA margins have increased from 11.6% to 22.5% in this quarter. And I think we should b e able to at least maintain these margins going forward when we start ramping up our user acquisition and growing the overall revenues. That's on Animal Jam .

On Kiddopia, we basically had this issue with Google ad platform, where there were certain changes and that caused a temporary interruption in our ability to spend effectively. T hat got resolved in early June and therefore, we think we will normalize the spend as well as the CPT or the CAC that we track in coming quarters, as said positive impact of it in Q2. We believe that with this normalizing, you will again see subscriber growth happening in the coming quarters and we are also experimenting now with further monetization methods, et c., to increase our overall ARPU. I hope that answers your questi on. Happy to answer any follow -up questions you may have.

Nitin Jain : Yes. Just a follow -up on the margins. If we go back to our usual quarterly spends , where do we see the margins going back to ?

Nitish Mittersain : I think Kiddopia is, today we should look at a 22%-23% kind of margin range because we need to kind of balance margins along with growth. So if we do get a good opportunity to scale -up at costs that we are comfortable with, will definitely prioritize growth as well. So I think 20% to 23% on a steady state is what we should look at.

Moderator: Next question is from the line of Rohan Nagpal from Helios Capital Management.

Rohan Nagpal: A couple of questions. One, there have been a number of acquisitions that have taken place over the last year. So would it be po ssible to break -out the growth numbers for gaming and eSports on a like -for-like or organic basis.

And my second question was on Kiddopia. Your subscriber numbers have been more or less flat. So are you seeing some sort of -- are you seeing like a plateau or a high plateau in terms of the subscriber rate or do you think there is possibility to expand this further. So those are two questions from my end.

Nitish Mittersain : On the eSports business, we are seeing a steady 30% to 35% organic growth on an annual basis. And I think we will continue to maintain that as many of our IPs start maturing. We will continue to see that. In addition to that, any M&A activity that we do, we'll add to that business. And as you also know, Nodwin Gaming has recently closed aro und a funding of about $28 million from existing investors as well as Sony Corporation.
And you can expect to see more M&A activity on that front. On the gaming side, the only acquisition that was not there in the previous quarter was -- sorry, the year -on-year quarter Q1 FY23 was Animal Jam. Everything else is organic for us at this point of time. Your second question unfortunately actually broke up a bit. Can you just summarize the question for me, please?

Rohan Nagpal: Yes. On Kiddopia, you seem to have hit a sort of all in terms of subscriber growth, it sort of stayed at that 300,000, 310, 000 number for a while. So are you seeing market saturation or do you see scope for sort of breaking through that into a slightly higher level?
Nitish Mittersain : Yes, sure, of course. So just to give you the perspective, right, over the last many quarters , obviously, we had hit the plateau and actually even declined due to the Apple IDFA issue. But we took several steps, which was one was doing price increases and also getting LTV/CAC that we were comfortable with to start spending more and acquiring more users. So , for Q3 and Q4 of FY23 , you actually saw increase in subscriber base after a plateau for a long time.
So we saw 5% growth in Q3 and 1%-2% growth in Q4. We were expecting that momentum to continue and start growing. However, like we mentioned, Q1FY24 saw a technical interruption, which kind of held it, but we expect the growth to continue. I don't think we are anywhere close to market saturation.
There is a much larger opportunity here with to Kiddopia. We've just been very disciplined on, I would say, the LTV/CAC equation that we want to maintain. And that said, we are working on how can we scale this much higher. The team is very much on that. Ju st to give you a perspective, right. In the U .S., there are 23 million kids in the 0 to 5 age group, maybe a little higher that will be expanded to the 2 to 8 age group. Kiddopia has 300,000 subscribers. There's a lot more that you can cover.
Moderator: Next question is from the line of Bala Murali Krishna from Oman Investment Advisors.
Bala Murali Krishna: So regarding the Nodwin, could you see any margin improvement in the upcoming quarters of this financial year?
Nitish Mittersain : So two things. One is this quarter, you saw actually an EBITDA loss for two reasons. One is we consciously decided to defer one key launch of ours into Q2 because of BGMI coming back, we thought we would see much more traction in Q2 and we've announced a large event, BGMS where we have partnered with Star Sports, we are going to be telecasting it live from August 4 onwards and also OTT play ers that are broadcasting this.
So I think that impact we will see in Q2. The second thing in Q1 was that we spent aggressiv ely on branding and marketing activities around the gaming accessories business, Wings, because Q2 and Q3 are the main peak season for them because of Diwali, etc., and they are kind of preparing for that. So you will definitely see the margins improve in Q2, Q3, Q4 as revenues grow. You will also see I can assure that our objective of running all our businesses in a profitable manner continues and Nodwin will be profitable for the entire FY24 . So Q1 EBITDA loss is not representative of what will happen in the entire year.
I think for an overall perspective, our objective in FY24 still is to get the accelerator or strategic growth, creating Moats , creating an ecosystem. So we are not running for very high margin expansion for FY24 . I think FY25 onwards, we w ill be focusing on that.
Bala Murali Krishna: And one more thing regarding Sportskeeda. So we have good growth and some good events are lined up in the next coming quarters. So what kind of growth we are expecting in coming quarters

and down the line 2, 3 years, what could be the growth potential in Sportskeeda and margins, any projection s please?
Nitish Mittersain : Yes. So I don't have any specific numbers to share at this point of time. However, like I mentioned in my opening remarks as well, we believe that the rest of the year should be very good for Sportskeeda and they should continue to see growth. Also, it's important to note that Sportskeeda had acquired Pro Football Network in the U .S.
Q1 is an off

-season for Pro Football Network. It start s picking up from mid of Q2 and the peak
season will be Q3, Q4. So , I think that, along with the Cricket World Cup should really help us in the current FY24 . I think for me, the bigger picture is that team that has done a fantastic execution up to this poi nt. But for expansion, I believe, Sportskeeda will be a great platform to roll-up many other similar properties like they have done in PFN.

So we are really excited to see how this integration with PFN and performance of PFN after Sportskeeda investing or taking majority stake plays out. That will kind of open -up many more opportunities for us going forward and fastens scale -up that we can do.

Bala Murali Krishna: And lastly on Kiddopia. I mean, this margin can be continued for the next year, this quarter o r next quarter. So is there any possibility to see a decline in margin and on freemium side, the revenue, margins are very good, but is there any -- the revenues are a little bit consistent over the last few quarters . So is there any possibility to see any uptick in these revenues ?

Nitish Mittersain : So, on Kiddopia, I would say the 28% margin that you are seeing in this current quarter is also obviously a bit higher due to lower spends, right? And therefore, I would factor -in normalizing of this margin that we again increase our spends to acquire more users. So like I answered earlier, 20% to 22 %-23% is the margin range we should be looking at for the entire year.

Coming to the freemium business, I believe is the own high -quality gaming IP like we have already Kiddopia, Animal Jam, World Cricket Championship. There is a lot of potential in these IPs that can be unlocked. Today, we are just monetizing the obvious ways like in -app purchases, advertising and subscription, but many more opportunities can be unlocked in terms of monetizing over a period of time.

So our focus is to make sure that we are building and acquiring very high -quality IP that can be built over a period of time. Gaming business in general should remain a high -margin , scalable, sustainab le business, and that's why we're very excited about it.

Moderator: Our next question is from the line of Jinesh Joshi from Prabhudas Lilladher.

Jinesh Joshi: So my question is, for what sum have we sold the digital and TV rights for BGMI Master Series 2? And will this IP be profitable for us? And a follow -up to this is that apart from BGMI, which other game has this kind of a strong fandom from a viewership standpoint? And are we organizing any event surrounding it in the near future?

Nitish Mittersain : So as far as the BGMS deal is concerned, this is a 3 season deal with Star Sports, we are in season 2 right now. And on the digital, we have licensed it for one season with the OTT player.

The BGMS is already a profitable IP for us. You will also see it bein g profitable for us in Q2. We saw a fantastic response in the season 1 that we did last year, and we expect to see a much better response in this current season that starts on 4th of August. The second question, can you please just repeat it.

Jinesh Joshi: Any other game apart from BGMI, which has this kind of fandom and are we planning to organize any events around it.

Nitish Mittersain : Yes. I mean we've done a lot of work around Valorant, and we are starting to see that buildup. Of course BGMI is e xtremely popular in India. And there are other games that we are also expecting either to come back or become more popular going forward. So we are doing a lot of work around Valorant for example in South Asia and the whole cities. The game is going to be released at those promising is Counter Strike 2 . So we'll also wait and see how that performs.

Jinesh Joshi: Sure. And sir, secondly, I have a question on the ARPU of Kiddopia. So if I remember correctly, we took one price hik

e in June last year. And then there was another one in the month of December as well. So I understand that the benefit of price hike will be visible over a period of time as new subscribers come in at a higher price and the old ones get weeded out. However, if I look at our ARPU o ver the last 4 to 5 quarters, it has been relatively stable in the band of about 6.7 to 6.8 despite seeing major price hike. So how should one thin k about the growth in ARPU here?

Nitish Mittersain : Yes, sure. I'll ask Sudhir, our Chief Operating Officer t o answer this one.

Sudhir Kamath : Hi. I think what we're seeing is that as the price hike was taken and it takes a bit of time for it to build it because old users continue to renew at the earlier rates. There's also a small mix change from monthly to annu al subscriptions where we reduce churn, then that locks in at a slightly lower rate. So what you're seeing is because of that, so far, ARPU growth has been muted, but we expect that to keep building and continuing in the coming quarters. Does that answer y our question?

Jinesh Joshi: I just have one follow -up. So can you just give out the breakdown out of 3 lakh odd subscribers that we have, how much of them are on new ARPU and how much are on the old ARPU?

Sudhir Kamath : I don't think we've been breaking th at percentage out. I'll get back to you on that. But so far, it is still a small percentage, which is on the new ARPU.

Jinesh Joshi: Sure. One last question from my side on the R MG front. This is for Nitish, s o can you share

what kind of impact are you seeing in the R MG space after the GST side, a tax of about 28% on
the impact value. Because if I recollect in the last quarter, your average monthly active users in
Classic Rummy was about 19,000 odds. So do we anticipate a fall over Tier 1 implementation
happen and to what extent? And secondl y, will this move also lead to any kind of reduction in
platform fee to ensure that the price pool does not fall to a large extent?
Nitish Mittersain : I think we have an important announcement coming up on August 2 when the GST Council
meets again to clari fy certain points on the application of this tax, especially on what value is it
going to get applied or is it going to be on entry fee or deposit, et c. So I think once we have full

clarity here, we will be in a better position to answer that. But neverthe less, I think there is
definitely going to be a reset in the economics of the skill base d money gaming business. We
have already started playing out various scenarios depending on what the clarity comes in, and
you will see a reset happening here.
In the short -term, you may see revenue impact. But I believe that over a period of time, the cost
clarity would have finally emerged, there will be many opportunities as well that will be thrown
up. And we should be able to take advantage of it. I will jus t share a quote, in the midst of chaos,
there is always this opportunity, and that's what Nazara has been really focused on.
Moderator: The next question is from the line of Abhishek Kumar from JM Financial.
Abhishek Kumar : I think most of the questions ha ve been answered. Just one question, again, around RMG and
actually around capital allocation in the backdrop of what has changed in the regulation. Nitish,
how do you see that? You said that there are certain clarities emerging. But in terms of capital
allocation, do you see a change in your stance incrementally, would you be allocating more
capital towards real money gaming given that the sector is undergoing significant change, at
least on the unit economics of the business?
And also in terms of capital allocation, you have on fundraise plans, et c., and you spoke about
some acquisitions lined up in the gaming side as well. So incrementally, I just wanted to
understand where should the focus be of Nazara, in ter

ms of incremental capital allocation?
Nitish Mittersain : Sure. So I think, as you know, we've always been focusing across our business segments on how
we can expand through the acquire and build strategy, either at the Nazara level or even at a
subsidiary level now because many of our subsidiaries ar e generating and accumulating their
own cash. So each of our subsidiaries will continue doing their own allocation or capital
allocation, which we very actively work with them.
But at the Nazara level, I think two areas that we were very focused on was one was adding
gaming IP, which is well -recognized and can be build -out for India and global markets. So I
think capital allocation on that front is going to be important for us. I think the other segment
that we were definitely looking at doing a lot more ca pital allocation was in the R MG sector.
This current turbulence obviously has made us paused and think and become much more clearer.
But I have a feeling that this may actually form -up many opportunities that Nazara has been
waiting for on the guidelines for a long time. So I think the next few months are going to be very
interesting. We need to observe very closely. We are already in touch with all the stakeholders
in this ecosystem . And whether organic or inorganic, once the clarity has been fully achiev ed. I
think this will be a large potential for us to stay into.
Abhishek Kumar : Yes. So just a follow -up here. I think I agree that this can throw -up a lot of opportunities. Just
maybe if things remain status quo, just your view on how the industry can adj ust itself. Do you
think with status quo staying industry can actually withstand this and survive and only stronger
players can stay, and therefore, we will have significant opportunities. Just your initial view, I
know this is still very, very early days, but what are your thoughts?

Nitish Mittersain : Sure. Firstly, unfortunately, there is still un -clarity of what is status quo today, but I think that
will be very clear by August 2 in the next meeting announcement. So I think we are not very far
away from that. But assuming an impact of the tax, right, I think clearly, this is going to impact
a lot of the small players or the smaller players, and they will therefore have to consolidate if
they have a chance to survive. That could be one opportunity.
The lar gest players will also have to relook at the way they operate their economics. Some will
try and absorb some of the tax impact on behalf of the consumers. So their short -term
profitability may get hurt for the next year or two as they kind of bounce back f rom this. But
once they have stabilized it, I think the clarity will really help set a path to growth, which would

be, I would say, a factor of multiple, right? It will grow significan tly over a 3 to 5 year segment. So I think that's what we are trying to look at that how do we now, we've always been on the sideline saying, we want regulatory clarity and tax clarity. Now that, that is almost here, how does Nazara navigate to grow a large scalable and sizable business here is what we are focused on.

Moderator: The next question is from the line of Mukul Garg from Motilal Oswal.

Mukul Garg : First, on this, if I look at your investments over the last 2 years, events have pushed quite aggressively into the U.S. market. But unfortunately, because of one or other reason a lot of U.S. properties are right now without growth, most recent being Animal Jam, which I think has come down in terms of top line from about INR 30 crores earlier. What is your kind of perception of the opportunity and focus which we h ave -- you guys have done a fairly handsome job of managing profitability th ere despite the lack of growth.

But where do you think you would like to focus more. Is the agenda more on the growth side, which clearly is more visible in

the Indian market or do you think a lack of monetization limits your opportunity here? And hence, you will keep on kind of pushing more into developed markets where profitability can be relatively more achievable?

Nitish Mittersain : So I think for us, always getting the fundamen tals of the business in place is very important because we rush into scaling companies . So let's take WildWorks as an example. I think spending the last 6 -7 months, getting a lot of data discipline and tools in place was very important for us because we do n't like to press the accelerator if we don't have clear visibility ahead of us of what we are doing, right?

And I think that's what we are doing at whichever business we enter, we like to make sure that we are very comfortable with each metric of the busi ness before we press on the accelerator. So of course, we are not buying any of these businesses to just run them on a steady basis and increase profitability. I don't think that's our objective. We have to grow these businesses. We've just been doing a lot of plumbing work before we are able to press the accelerate there.

So I do think some of these products can also be taken to emerging markets, including India. We've not focused a lot on monetizing that. I mean Kiddopia itself is a great example, right ? All our monetization comes today, predominantly 80% plus comes from the U.S. India is a very small contributor. And we need to really find the India strategy that is going to work, something

we're very actively now working on because this can open -up lar ge opportunities, which today we are not accessing. So I think that's how we are thinking.

From an India market perspective, I believe the IP business as well as advertising revenue business can be scaled -up, the freemium business can be scaled up. We've b een doing work on WCC, for example, for quite some time. But now we have a new team there. We have a new CEO there who comes with a lot of gaming experience on design, especially Chris was a lead game designer.

And we've all along said that the design needs to be right to monetize properly. So we are again hopeful that we'll be able to demonstrate with WCC in the quarters to come that we are able to scale it, and that can open -up many more opportunities for us to kind of start pushing other games as well in the Indian market.

Mukul Garg : Sure. Also, just again, talking on the RMG side, do you see a potential scenario after obviously, the government decision on 2nd, that we might be kind of on the exit sort of the consolidation in some scenario or do you thin k there is only one way of us kind of being a buyer out there?

Nitish Mittersain : When you say exit scenario, what you mean?

Mukul Garg : We kind of exit the real money gaming market given the adverse kind of investment dynamics there.

Nitish Mittersain : Yes. So see, at this point of time, we don't have a view to exit the business. Like I said, we are actually looking at it as a glass half full instead of half empty and having a positive view on how can you build a business here given what it p resents. But depending on how the final clarity comes in, obviously, if there is a policy that we feel may make the business unviable, then we will take a prudent call as required.

Moderator: Next question is from the line of Abhis hek from ICICI Securities .

Abhishek : First, on the Kiddopia front. So exactly what happened, which boosted margin so much in this quarter? I understand that there were some pullback on the marketing spend because of the issue that came up. But there must have been some other chang es also, I mean changes to the fixed cost model, which will be retained going ahead. So if you could give us some clarity on that.

Nitish Mittersain : Yes, sure. Sudhir, you want to take this?

Sudhir Kamath : Sure. Abhis hek, think it's essentially two thing

s . I think the bigger impact is actually because of
the marketing spend side pull back. As I said, we had a small issue. If you look at the cost structure of Kiddopia acquisition is the biggest cost item , so a small pull back there also makes significant delta on that. But as Nitish said earlier, we do want to -- and as of early June, we're kind of back to normal spend levels will be back to normal. So that bump is more of one -off.
The second thing there is we are experimenting with a few other potential revenue sources that apart from up -gradation in U.S. subscription model. So once it is bearing fruit, I think those would be sustainable, so that's still in experiment.

Anupriya Sinha Das : Abhis hek, if I may just add a couple of things. Anupriya here. So one is, if you look at the marketing spend, right, the digital marketing spend from this quarter versus the same quarter last year, they look similar. However, we were also experimenting more on the branding side at that point, which has an incre mental cost, it's not reflective in the KPI sheet in particular, right? So that will even see a slightly lower margin in Q1FY2 3 when we compare to Q1FY24 in spite of the same performance marketing numbers.
Abhishek : So on the branding front, so Nitish just mentioned that you might look at bringing those assets down. So what would be the real investments that are going to be adapting such a developed market product towards India?
Nitish Mittersain : Abhis hek, there's not much -- I mean Kiddopia is already pop ular in India in terms of user base. Just that it doesn't -- the LTV/CAC doesn't add up very well for us. So we don't spend a lot of money in marketing. But I think there will be not much localization required from an India perspective in terms of the prod uct itself. It is going to be more around product pricing, monetization models. Do you do it more subscription or you do ad, brand monetize. So I think those are the areas that we need to really work on rather than trying to localize the product in India, whether it's Animal Jam or Kiddopia.
Abhishek : Understood. So going ahead, what kind of subscriber additions should one be building for Kiddopia.
Nitish Mittersain : We don't have a specific guidance out there right now. I think we will look at incre mental growth at this point of time, but we are actively seeking at how do we break -out in the broad range that we are in. How do we kind of break out to 400,000, 500,000 subscribers is something we are still working on. Until then I think you will see inc remental growth.
Abhishek : Okay. Now just one more question on the new celebrity endorsement which you did, with cricketer Shubman Gill for eSports. I understand Shubman Gill is pretty popular. But I did not really understand what is his connection with eS ports. So if you could give some clarity on the thought process.
Nitish Mittersain : Sure. So he specifically has come in as a brand ambassador for our gaming accessories business which is Wings. It's an overlap between I would say youth icon and Shubman Gill is also very active gamer himself so I think a lot of the communication is going to be around that , leveraging him and his passion in gaming into the Wings gaming accessories business.
Abhishek : Got it. So I mean, is my understanding correct that you're trying to reach out an audience slightly larger than the hardcore gamers.
Nitish Mittersain : Yes. With the casual gamers also .
Moderator: Next question is from the line of Rohan Nagpal from Helios Capital Management.
Rohan Nagpal: Continuing with the theme of kind of understanding the metrics of the business. I want to go back to what you said about 30% to 35% organic growth. So if I look at Q1 FY23 , based on your presentation, if I add -up all of the units that are included in Gaming , you need to be or that adds

up to about 40% of the revenue. So even Q1 FY23 generated INR 89 crores in revenue. If I look at gaming in Q1FY24 , and I net -out the INR 22 crores from Animal Jam at 87.5. So is it fair to say on an organic basis that revenue is actually shrunk?
Nitish Mittersain : So 2 things, right? One is 30% to 35% growth that we spoke about or I spoke about also, -- I was alluding to the eSports business, question pertaining to the eSports business. I think largely, if you look at our Gaming IPs, right, you ha ve Kiddopia, you have World Cricket Championship, you have OpenPlay business, real money gaming business, which is Classic Rummy and you have WildWorks now. These are the Animal Jam business. So Kiddopia has grown 10% year -on-year. WCC has been largely flat at this point of time.
And the negative impact you are seeing is on the RMG business because the Classic Rummy business took a hit in Q1 due to the Tamil Nadu ban because for that particular product you have

you have almost I think about 20% of revenues come from that state, which were banned in early April. So you saw a sharp drop over there. So I think that's the current mix of the business. So you're rig ht, it's kind of flattish on a combined basis, but we are quite hopeful with the work we are doing, we will start growing those businesses.

Rohan Nagpal: Okay. And speaking of -- and the reason also, disaggregation on Sportskeeda as well was because in Q4 FY23 , I think the revenue number was 28.7. This quarter, once you've included your -- the football network, all that number is 46. So what do the numbers look like on an organic basis over here.

Nitish Mittersain : I don't have a breakup at this point of ti me, but just to give the right perspective, I think much of the growth has come organically in Q1 from Sportskeeda because you also had IPL in Q1 that took place. This is actually the lowest quarter or the lowest season for Pro Football Network. So there i s some revenue contribution and 0 EBITDA contribution by Pro Football Network in Q1.

Sudhir Kamath : If I may just add. Sudhir here. I think it's worth mentioning. Pro Football Network is a single sport kind of site, right? So it's only around American foot ball or what we could call Rugby in India maybe, American football, that one. And that NFL, that season basically runs from September to January every year. So this quarter is completely kind of off season for them. So this season actually had a marginal maybe loss on EBITDA for them and definitely as Nitish said a very little contribution. So , most of this is organic growth .

Rohan Nagpal: So this is primarily organic growth driven by IPL traffic?

Sudhir Kamath : Not just IPL. If you look at Sportskeeda as well, more than half of the revenue now comes from the U.S. So IPL definitely is a factor, but they have grown on other U.S. sports quite significantly as well, and that continues.

Rohan Nagpal: Could you just provide some color on like where that growth is coming from in the U.S. because it is a sizable job, r ight, even on a quarterly basis?

Nitish Mittersain : Let me answer that. So just to break it up and shed some data. So Pro Football Network at about INR 2.5 crores of revenue out of this INR 45.8 crores that we did in Q1. So as you can see, the contribution was fairly limited. Growth has come from I think one is U.S. ad revenue, the

ECPMs that we get have grown significantly. The monthly active user base has grown, plus we have direct sales that have also grown quite a bit. So I think these are the key contributors to revenue growth in this quarter.

Moderator: Next question is from the line of Nitin Jain from Fai rview Investments.

Nitin Jain : Thank you for the follow -up opportunity. So I'd like to talk about the employee expenses. So there is been a jump of aroun

d 60% over last year. So is there any one -off here like if you can clarify?

Nitish Mittersain : I think one is we've added many more teams , for example, you have the entire Pro Football team come in. And also you have some small one -off expenses I think, in the year, but they would not overall. So I think it's overall team addition and also WildWorks. The Wi ldWorks team is in the U.S. So that entire team has also got added I think about 35 to 40 people. Those are the new additions to what would increase the employee cost.

Nitin Jain : Okay. And like do we see this trend going forward as well?

Nitish Mittersain : In terms of cost increase?

Nitin Jain : Yes, employee expense cost increase.

Nitish Mittersain : I mean if you were to acquire new businesses that come in with new teams, then obviously, those costs will get added on. Organically, we don't expect the team cost to increase much.

Nitin Jain : Okay. And just on the margins again. So at the end of Q4, the commentary was more in the direction of margins improving this year for the overall business. Now if you look at the 3 verticals other than gaming, the ot her two verticals, eSports and Adtech, they have seen a decent EBITDA margin decline. So how do we see the profitability for the rest of the year?

Nitish Mittersain : We are aiming for a margin that would be higher than the previous year, for sure, for FY24 , which is on a blended basis. Again, I don't have a specific guidance at this point of time, but we expect the overall margins to be better than previous year.

Nitin Jain : To be better than FY23 ?

Nitish Mittersain : Correct.

Nitin Jain : And the last one is on the recent regulation change on GST announcement. So do we also see an impact on eSports because there is a profit pool involved there too. So if you could clarify.

Nitish Mittersain : No, there is no impact whatsoever on eSports because there is no wagering or there is no money put in by the consumers or players with taxation policy specifica lly for where money is put in to win money .

Nitin Jain : Okay. So no impact on eSports whatsoever?

Nitish Mittersain : Absolutely.

Moderator: Ladies and gentlemen, we'll take the last question from the line of Rahul Jain from Dolat Capital.
Rahul Jain : Just to understand what has happened in this case in this quarter from a Nodwin business point of view and how much of that is also pertaining to this ban -lift that happened on BGMI during the quarter? And how from a 12 -month and beyond perspective, you see this business can change provided the status quo remain in terms of BGMI continuing as a game in India?
Nitish Mittersain : So in this quarter, Rahul as I have mentioned earlier, we have certain key launches like BGMS, which was accounted for in Q1 of FY23 , which we kind of pushed into Q2 FY23 , so that we had enough time to take advantage of the BGMI coming back and launching wi th that. So , I think you would have seen lower growth of revenue in Q1 compared to FY23 . We have growth , but not as fast as you expect Nodwin to, but that will come in Q2.
And also much of the established IPs, say, on DreamHack, NH7 Weekender, et c. will al l come in Q3, Q4. So there is no positive impact of the ban -lift of BGMI in Q1. You will start seeing results of that from Q2 onwards. I think from a zoomed -out perspective, as far as our eSports business is concerned, especially Nodwin, as you've seen, we had a lot of confidence by existing partners in that space. Krafton, which is the owner and developer of BGMI has only recently reinvested in Nodwin.
So they are very committed to this partnership. You've had Sony come in again, which is a great validatio n for our business. So I think we're very much on the right track, building our eSports business profitably, building some of these IPs over the next year or 2 should pay off rich divide

nds to us.
Moderator: Thank you very much. I now hand the conference o ver to the management for closing comments.
Nitish Mittersain : Yes. Thank you, everyone, for joining the call. We will continue to strive hard and deliver good results in the coming quarters and stay on course to achieve profitable growth. There is a lot happening in the gaming world, a lot of new technologies coming. You have AI happening, you have web3 happening, virtual reality seems to be coming nearer and nearer. So it's very exciting times to be in this bu siness.
I'd like to draw inspiration from a famous quote that said that the future belongs to those who believe in the beauty of the ir dreams. As you know, we have embarked on a relentless pursuit of our vision, making India the gaming capital of the world. For the past two decades, Nazara has persevered with un -wavering determination , and our commitment remains resolute as we continue t o strive tirelessly until we transform our dream into a thriving reality. Thank you very much.
Moderator: Thank you very much. On behalf of Avendus Spark, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank yo u.

Call: Nov 2023

Nazara Technologies Limited

Nazar aTM

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November 15 , 2023

To,
Listing Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai - 400 001.
Scrip Code: 543280 Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1. G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400051.
Scrip Symbol: NAZARA

Subject :Transcript of the Investor/Analyst Earnings Call held on

Dear Sir/Madam,
In furtherance to our letter dated November 09 , 2023 regarding the audio recording of the investors earnings call for the quarter ended September 30, 2023 , please find enclosed herewith the transcript of the said call. The Transcript is also available on the Company's website i.e. www.nazara.com .

We request you to take the same on record.

Thanking You,

Yours faithfully,
For Nazara Technologies Limited

Varsha Vyas
Company Secretary and Compliance officer

Encl: A/a

"Nazara Technologies Limited
Q2 & H1 FY2024 Earnings Conference Call "

November 0 9, 202 3

MANAGEMENT : MR. NITISH MITTERSAIN – JOINT MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER
MR. SUDHIR KAMATH - CHIEF OPERATING OFFICER
MR. RAKESH SHAH – GROUP CHIEF FINANCIAL OFFICER
MS. ANUPRIYA SINHA DAS – HEAD OF CORPORATE

DEVELOPMENT

MODERATOR : MR. ABHISEK BANERJEE – ICICI SECURITIES

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 9th November 2023 will prevail.

 Moderator : Ladies and gentlemen, good day and welcome to the Nazara Technolog ies Limited Q2 and H1 FY2024 Earnings C onference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. P lease note that this conference is being recorded. This conference call m ay contain forward -looking statements about the company which are based on beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of the future performance and involve risks and uncertainties that are difficult to predict. I now hand the conference over to Mr. Abhisek Banerjee . Thank you and over to you Sir!

Abhisek Banerjee : Hello everyone. Welcome to the Nazara ’s Q2 FY2024 c onference call. We have with us from Nazara management Mr. Nitish Mittersain - Founder and CEO . Mr. Sudhir Kamath – COO and Ms. Anupriya Sinha Das – Head of Corporate Develop ment . Thanks everyone for giving us the opportunity to host this call and now over to Mr . Nitish Mittersain for his opening comments . Thanks Sir.

Nitish Mittersain: Thank you . Good morning everyone and a very warm welcome to all of you to Nazara’s Q2 FY2024 earnings call. This call is joined by Sudhir Kamath , Our Chief Operating Officer , Mr. Rakesh Shah - Group Chief Financial Officer, Ms. Anupriya Sinha Das – Head of Corporate Development and SGA, our IR Advisors . We have uploaded our result presentation on the exchanges, and I hope all of you had an opportunity to go through the same.

In Q2 FY2024 our re venue increased by 13% year -on-year reaching Rs.297.2 Crores. Our EBITDA grew by 30% year -on-year to Rs. 27.9 Crores and our PAT in the same period increased by 53% YoY to Rs.24.2 crore .

For H1 FY20

24 we reported revenue of Rs.551.7 Crores and EBITDA for the same period reached Rs. 61 Crores which is up 19% year -on- year and our PAT climbed 42% to Rs. 45 Crores. T he EBITDA margin for the first half of the year was recorded at 11.1% compared to 10.6% in the comparative period of the previous year.

Our c ore business segments gaming and eSports continue to grow and specifically, the Gaming segment saw a YoY 19% revenue increase and a 43% EBITDA jump in the first half. While Q2 saw a year -on-year 14% revenue growth and 46% EBITDA grow th. In eSports segment H1 FY2024 saw saw a 21% revenue uptick and a 16% growth in EBITDA
 while Q2 saw a 26% year-on-year growth in revenue and 61% grow th in EBITDA. O ur Adtech business is still overcoming the challenges faced earlier due to the loss of a ke y customer but our margin profile is improving quite well especially driv en by products business and last two quarters efforts of building a strong sales pipeline are likely to convert into much better results in the coming quarters . Also, our internal use of data user acquisition capabilit y is yielding promising results as we had originally envisaged and we have right now experimented this with Animal Jam and hope to expand it to many of our different businesses going forward . Overall the first half of the year , we believe that many of our businesses are consolidating well , focused strongly on ensuring that the KPIs or the key performance indicators that we focus on are in the right direction a s the business generating cash which will be deployed in coming quarters for accelerating organic grow th as well as through strategic M&As .

Especially on the M&A front , given the opportunities in front of us , we are quite confident that we will be able to de ploy our cash reserves quite well . We have over Rs.1,300 Crores of cash on our consolidated books including Rs.510 Crores we recently raised in this quarter from Nikhil Kamath and SBI Mutual Fund. I believe Nazara is well position ed to leverage acquisition opportunities to further ac celerate our growth in the coming years .

We also see a promising Make in India opportunity in the gaming industry whe n Indian developers can create high quality game not only for the home m arket but also for the

world . Our new division “Nazara Publishing ” is geared to provide capital and services to assist developers in bringing top quality games to the growing consumer base .
I would now like to hand over the call to Anupriya, our H ead of Corporate Development to give some highlights of our performance segment wise in this qu arter. T hank you very much and over to you Anupriya !
Anupriya Sinha Das : Thank you Nitish. Good morn ing everyone . Wish you a very Happy Diwali . As you are all aware Nazara operates across three business segments gaming , eSports and Adtech. Gaming includes gamified early learning , skill-based real money gaming , freemium and telco sub-segments . This segment grew by 19% year -on-year in H1 FY2024 and 14% year -on-year in Q2 FY2024 coupled with EBITDA growth of 43% year-on-year in H1 FY2024 and 4 6% year-on-year in Q2 FY2024. T his segment contributed 39% in revenue and 68% in EBITDA in H1 FY2024. The EBITDA marg ins for this business are a robust 22.7% in H1 FY2024 and 20.9% in Q2 FY2024. N ow within gaming if we talk about specific IP s, Kiddopia the revenue grew by 8% year-on-year in H1 FY2024 to Rs. 113.9 Crores and 6% year-on-year in Q 2 FY2024 to Rs. 56.3 Crores . EBITDA for the business increased 29

 Crores a year-on-year increase of 57% , in Q2 FY2024 EBITDA increased by 46% to Rs. 12.9 Crores. W e have conti nued to focus on acquiring customers at an optimal cost to ensure healthy EBITDA margin . This has resulted in margin expansion . EBITDA margin i

ncreased from 17.5% in H1 FY202 3 to 25.5% in H1 FY2024 while Q2 margins increased from 16.5% in Q2 FY202 3 to 22.9% in Q2 FY2024. S easonally weak quarter which is the back to school post summer break coupled with challenges in scaling up UA spends via Google has led to a 2.7% decline in subscribers in the current quarter . However , we are work ing closely with various a d networks to enhance scale of user acquisition while maintaining the optimal level of CPT. We are also working on a multi -prong ed approach to bring growth back for Kiddopia . This includes going beyond direct to consumer acquisition sources to school networks , licensing popular IP s to drive organic growth , focusing on scaling up new markets and opening new revenue streams such as advertising and merchandizing . While some of these initiatives will take some time to show up in result s we are hopeful they will create a platform for stronger future growth .
Moving on to Animal Jam this is an IP we acquired in August 2022 . Since then we have worked on multiple things . We have optimized non-core cost which has resulted in EBITDA margin of 24% in Q2 FY2024, a significant increase from 11.6% in Q4 FY202 3. Within the product the focus has been on improving monetization loops. This has resulted in a 46% year -on-year increase in ARPDAU in Q2 FY2024, new user monetization increased to 2.0% in this quarter versus 1.4% at th e time of acquisition in August 2022 . We are working on licensing deals to introduce popular IP s within Animal Jam wh ich would drive organic growth . We expect to start scaling up m arketing spends in the coming quarters to drive revenue growth as well .
Moving to WCC the revenue for the WCC franchise stood at Rs. 5.4 Crores in Q2 FY2024 with an EBITDA growth of 23% year-on-year. In Q2 we transition ed our main titles WCC2 and WCC3 to online only mode where customers who want to play offline have to pay or watch a rewarded video ad , this resulted in a lower daily and monthly active use rs but we have not seen any dip in ad reve nues. Further this gives us more clarity on the true ARPU of ou r players and so we can increase spend o n user acquisition that would help us scale up this business to its true potential . We are also increasing focus on launching WCC in global markets where the ARPU would be much higher .
Moving to open play whic h is our IP in the skill -based real money gaming segment , this segment ’s revenu es and EBITDA stood at Rs. 25.2 Crores and Rs.3.3 Crores r espectively in H1 FY2024. I n July 2023 the GST Council decided t o levy a 28% tax on the entry fees of real money ga me, this has come into effect from October 1, 2023 . Due to the

 implementation of new GST tax ation from October 1 , 2023 we expect Classic Rummy to post an EBITDA loss in Q3 FY2024 before stabilizing to break even by Q4 FY2024 again. There have been industry wide issues related to large claims from authorities over past tax liability . We continu e to monitor this situation closely . With clarity on taxation Nazara will seek to grow the open play business once it stabilizes from the GST impact as well as actively explore attractive acquisition opportunities in the real money gaining segment .
Moving to eSports , this segment grew by 21% in H1 FY2024 and 26% year-on-year in Q2 FY2024 coupled with an EBITDA growth of 16% in H1 FY2024 and 61% year-on-year in Q2 FY2024. T his segment contributed to 52% in revenue and 28% in EBITDA in H1

FY2024. N odwin the re venue increased by 15% in H1 FY2024 and 20% in Q2 FY2024. A significant development in H1 FY2024 was the return of BG MI. Nodwin conducted a second season of BGMI M aster Series for India which was telecasted on Star Sports and Rooter. Multiple events including PUBG MOBILE Club Open (PMCO) and PUBG MOBILE Pro League South Asia (PMPL) were held in international market

s. As the popular games have only recently returned we expect momentum in IP s around these games and associated media rights to pick up going for ward . H2 is usually the key period for Nodwin where we have many established IPs and event schedule s. Our gaming accessor ies business Wings launched gaming focus laptop series for the festive season, some of the revenues during this period moved into Q3 due to Diwali being in November this year .
Moving to Sportskeeda we have reported a robust yea r-on-year growth of 50% to Rs.87.2 Crores in H1 FY 2024 and 47% year on -ear in Q2 FY2024 to Rs.41.4 Crores. EBITDA for the business improved to Rs.25.1 Crores in H1 FY2024 which is a growth of 44% year on - year whereas for Q2 FY2024 EBITDA increased to 9.6% which is a growth of 32% year-on-year. In the month of September we are happy to announce that Sportskeeda cross ed 100 million user mark for the first time . We have been able to significantly scale Pro Football Network , a business we acquired in March 2023 . In September 2023 PFN was ranked as the number two NFL focus website in the US . PFN business also achieved EBITDA profitability in September this year .
Moving to A dtech over the last year we have been focusing on reducing low margin work and moving towards higher margin business clients an d simultaneously expanding our client base to remove any further concentration risk . The loss of a key client continues to impact revenues in this quarter resulting in a year -on-year decline of revenues to Rs.50.2 Crores in H1 FY 2024 compared to Rs.67.6 Crores for H1 FY2023. However the gross margin percentage has sharply improved from 18% to 24.6% and total gross margins have also increas ed from Rs.12.0 Crores to 12.3 Crores in the same period showing that this

 revised approach is beginning to pay off . While gross margins have improved EBITDA has declined from Rs.6.8 Crores in H1 FY2023 to Rs.3.2 Crores in H1 FY2024. This reflects a significantly higher investment in our sales and marketing efforts in the form of team overheads as w ell as marketing events. These investments in marketing during Q2 FY2024 and the ongoing efforts in the current third quarter has significantly bolstered our pipeline and s tarted leading t o a higher conversion rate from our sales pipeline a nd the formation of key partnerships . Additionally, we have recently welcomed a senior marketing head who will s pearhead marketing initiatives across all verticals . Mediawrkz the dedicated P ublisher Monetization S olutions Division of Dataw rkz has earned the prestigious Google Certified Publis her P artner certification . This is expected to help with increased market penetration s in conjunction with new ad monetization products being rolled ou t by Mediawrkz . We continue to benefit from a closed working between Datawrk z and Animal Jam team and expect to expand th is to various other companies within our group . With this I will close my remarks here and would like to open the call for Q&A . I would request Nitish, Sudhir and Rakesh Shah to join me for the Q &A.
Moderator: Thank you very much . We will now begin the question -and-answer session . The first question is from the line of Jinesh Joshi from Prabhudas Lilladher P rivate Limited. Please go ahead .
Jinesh Joshi : Thanks for the opportunity . In the opening remarks you mentioned that due to this implementation of new GST r ate from October 1 , 2023 we expect Classic R ummy to post an EBITDA loss in 3Q but we expect that to stabilize in 4 Q so what I want to understand is what changes are we instituting to kind of get a breakeven within a quarter given the fact that the tax rate on full bet value is quite discouraging, also in order to attract players do we plan to reduce our platform fee or give a higher joini ng bonus , what is our plan here basically ?
Nitish Mitt

ersain: The way the GST has been implemented there is 28% tax on de posit now effective October 1, 2023 . At this point of time all the market players including us are absorbing entire impact of this increase in tax not pass it to the player what that means is basically erodes are margins and therefore we made a comment saying that in Q3 some level of EBITDA loss as we optimize the business . The way we are looking to come back to a break -even and early signs are quite positive is one of course as we knew that this change is coming up we had undertaken significant cost optimiza tion measures . I think they are helpful to us. S econd is we will slightly increase our commission that we charge or the rates that we charge which will increase our net revenues and the third we have also for example incentivized the users

to withdraw less , there is usually a very circular loop, people keep withdrawing and again
 positive , so w e are kind of incentivizing the users to keep m oney in the system rather than continuously withdraw and deposit to reduce our outgoing tax liability, so I think these a re some ideas I am sharing but there is a lot of work and lot of ideas that the team is implementing and we are very confident that the business will stabilize and then set a base for future growth . I think from Nazara perspective all along we have been saying for us getting clarity on taxation and regulatory aspects of the real money gaming space was very important before we took more ag gressive moves . I believe that has largely been achieved now and therefore we are in a good position to both push aggress ively for gro wth in open play going forward as well as look at potential acquisitions in that space .

Jinesh Joshi : Sure Sir got that . My second question is on eSports now I believe eSports was a medal event in the recently concluded Asian games so would you have any specific data to share on viewership and sponsors which can give us some idea on the acceptance of the sport as such, also I believe this time around the competition was on some seven titles so how does the selection of the game happen and do yo u expect the titles to rise going forward , so eSports was a medal event in the recently concluded Asian games so do you have any specific data on viewership and sponsors which you would want to share that can give us some idea with respect to the acceptance of the sport as such ?

Nitish Mittersain: So, answering the second question first is that the Asian games are current ly chosen by the Olympic Committee , OCA and it was broadcast on Sony LIV, we do not have very specific data on it but I think it is a great f irst start for eSports brought into the Asian Games . I think it just helps create s credibility of eSports being seen as a proper sport and even recent comment they will look at bringing on eSports into the Olympics soon . So I think all in all it is a very positive thing . There were no separate sponsors other than the Asian game s sponsors specifically for this .

Jinesh Joshi : Got that. T hank you so much Sir and all the best .

Moderator: Thank you . The next question is from the line of Mr . Abhishek Kumar from JM Financial . Please go ahead .

Abhishek Kumar : Hi good morning and congratulations on fund rise really for marquee investors there so my question is on the utilization of these funds while it is given in one of the slides the area that you are looking at but in terms of timelines do we have any timelines by which we want to deploy these funds and then I have a followup ?
 Nitish Mittersain: So Abhishek we have built a pretty strong pipeline I will say in most of this year and last 12 months I would say and the market is very conducive for us to be able to potentially acquire businesses at attractive prices and

that businesses that we believe can grow well for us in the future, so having a strong pipeline we are looking at trying to take some of these across the finish line in the next couple of quarters but we are not in some tearing hurry we want to make sure that just because we have raised capital we do not randomly buy anyt hing which is not helpful for us so we want to be very prudent about how we deploy at t he same time I think we would love to see some deployment of this capital before the end of the current financial year .

Abhishek Kumar : Maybe related question was that even before this preferential money comes in we were sitting at 820 odd Crores of cash and it is well distributed across our subsidiar ies I was just wondering do we really need 500 Crores additional and is the money which i s lying in different subsidiary fu ngible enough for us to kind of make acquisitions at the corporate level ?

Nitish Mitter sain: So to answer your second question first , we see lot of opportunities on the M&A side for the specific subsidiaries running their own businesses and therefore it is most efficient for us to deploy the capital directly from there rather than bring it back to the c orporate at this point of time, i f we had not seen opportunities in each of these businesses then we would probably try to do that but at this point of time we have acquisition pipelines in each of our businesses whether it is gamified learning business whether it is the eSports business , Sports keeda, e tc., so the idea is to really deploy from there to buy businesses or opportunities that will add value to each of that segment . In terms of why did we pull in additional capital I think we really at a point of time where the value opportunity for us is significant and I would love to see us be able to take some larger transaction s than what we have done in the pa st and therefore we wanted to make sure that we have money in the bank it puts us in a very strong negotiation space , we can negotiate hard and close some good deals that was really the intent to preempt our strategy .

Abhishek Kumar : Maybe one last question on the strategic direction from these acquisitions . On one hand we are saying that we have already launched the publishing business and at the same time we are looking to acquire and from what I read on the presentation s ome of the game studios so just wanted to understand where do we want to position ourselves as a publishing platform allowing game studios and developers an opportunity to really build games , etc., in the medium term or do we really want to be ourselves , game studios building these games for various platforms ? Thank you .

 Nitish Mittersain: I think both of these activities which is acquiring and owning our own game studios as well as providing a platform that allows publishing especially in a market like Ind ia which is much anticipated to grow big and lot of Indian developers as well as g lobal developers want to access this market are both very complimentary and synergistic a lot of our learning from the studios that we operate can be replicated in the publishing initiative and be very helpful to the third party developers that we bring in . Publis hing of course will be without equity to the developers but the studios that we really like we may also acquire so actually the publishing can also become a fantastic funnel for future acquisitions by Nazar a.

Abhishek Kumar : That is very helpful. T hank you and all the best .

Moderator : Thank you so much. T he next question is from the line of Mukul Garg from Motilal Oswal Financial Services . Please go ahead .

Mukul Garg: Thanks for taking my question s o Nitish just calling up on this Nazara P ublishing can you just share some thoughts on how you are seeing the value emerging from this model over the medium term while you have c

ommitted for minimum one Crores investment in e ach game generally how it will play out if a game start s winning traction , will your investment be more about kind of as a stake thing or a s a publishing kind of platform, what other kind of return opportunities you can generate out of it in the longer term and then I have a second question ?

Nitish Mittersain: Sure so there are two aspects to t his when we allocate capital in our publishing one is developers who require capital to develop the game, build their team , spun their teams, etc., I think if we depl oy capital there that would go in the form of equity and we would have a stake in the company and then there are develope rs who may have games that they have already made or already self invested in and they are just looking for a publisher to bring it to the market , invest capital in user acquisition for example provide some additional support in terms of game design , live operations, etc., so I think depending on which developer on a case-by-case basis we may take equity stakes upfront or not in these dev elopers . In terms of the long -term strategy for publishing we believe that how can Nazara create a very large consumer ba se across large number of high quality games that we publish we also intend to launch a Nazara SDK which will be embedded in each of these games and hopefully that will help us build a very large network which can then provid e additional value additions as the ability to cross , promote , have more first party data, etc., so we are not looking at this purely from a standalone success of a gam e but also building out the publishing network over a period of time .

 Mukul Garg: Right and just t wo followup question on this: are you kind of now beginning to look at kind of spend from users on these games in India and you can kind of like talk a little bit about WCC also how you see the longer term profile because it has been in a fairly narrow range and obviously monetization has not been that positive as of now and second what was the impression you got at IGDC are you seeing an improvement in the quali ty of games coming out and the interest in people ?

Nitish Mittersain: Sure so I think with growing consumer base and the more time Indian consumers are spending playing games on their phone the more they are evolving into starting to pay for it so I think incrementally we are definitely starting to see better IAP conversions although they are still far behind what you would see as global stand ards in evolved markets like US but I believe that this will accelerate and that is what we are kind of gearing ours elves for . Also micro payments , UPI, digital payments in India have progressed so well that they are going to be a very st rong tail wind for users making these high deals . Secondly to your question on WCC I think we are surely a little frustrated in terms of how WCC has not scaled up because the franchise is so strong and the game itself is well developed over many years and I think there is a lot more that can be achieved over here and towards that there are several things here one is we kind of brought in a new CEO who is coming from background of electronic arts, etc., and he spent the last 6 months doing a lot of ground work to get the game ready for a much larger launch .

The other thing you must have noticed our presentation is that we are making some key decisions which may disrupt the status quo that has been for the last 20 quarters or years . For example we moved all our users to online only mode because there were a lot of users playing offline which we were unable to monetize . Now by moving users onlin e we are able to increase the ARPU per user and therefore our LT V/CAC equation becomes much better and that should allow us to scale up .
A lot more focus has been increased on maintaining much more

live operations versus just
content updates . I think there is a lot of activity happening in the backend and I am hopeful that by Q4 we should be able to start spending a lot more in WCC to scale it to the level it really should deserve .
The last question you had was on IGDC Nazara was a diamond sponsor at IGDC this year and was very well received . What we are seeing on the ground is there is a lot of energy , a lot of enthusiasm by many Indi an and young developers . There were a few thousand developers there , in fact we hosted a lunch exclusively for new and upcoming developers

 which was very well received and we have had for new launch of a publishing division already I think close to 100 applications that have come in from developers for the games . I think very great start . I am enthused that the M ake in India sto ry in India is going to be very big for g aming and that is exactly an area we are focusing it may not become a very large source of monetization for Nazara immediately but I think strategically and eventually this will be very important for us sure .
Mukul Garg: If I may ask one more question on Kiddopia the activation rate continues to moderate down . Any colour on that or is it more volatility and should not be kind of stay there for longer term?
Nitish Mittersain: I think we have been using Google as the ma in source of user acquisition and unfortunately we have not been able to scale our spends . We have been trying to scale o ur spends but the spends have not grown beyond the steady state $800, $1000 a month, so the re are two, three things we are doing one is we are very actively working with very senior teams at Google and they are responding very well wit h us to try and solve this scale up problem . We are getting activations in the range that we want but we are not able to scale so hopefully both the teams w orking together will find some solution .
We are also considering going back to some of the other strong ad networks that we were working with earlier where we hope we can open more scale and then as we have mentioned and Anupriya spoke a bit about it we are also trying to find alternate ways of growth versus just linear user acquisition spend growth . I think generally for our kids games not specifically just Kiddopia but even Animal Jam or any other game that we may acquire I think IP licensing could be a v ery powerful way to break through this lo ck jam of user acquisition and we are in advanced conversations with a few well -known IPs to bring them into to our games that would boost our ability to do better user acquisition as well as drive a lot more organic growth so these are the ideas we are currently working on .
Mukul Garg: Perfect great . Thanks for answering my question .
Moderator: The next question is from the line of Mr . Manan Poladia from MKP Securities . Please go ahead .
Manan Poladia : Hi good morni ng team . First of all congratulations on posting a great set . So I have a couple of questions the first one is on the eSports side specifically Nodwin so what I want to understand is I understand that currently we are in an investment space for Nodwin, etc., and we are not really focused on driving EBITDA margins . What I want to understand i s in

 the long term say from a 5, 10 fiscal sort of perspective what sort of margin would we be aiming at in the future for Nodwin and my second question was on the content views is dropping from 377 million to 221 million in H1 FY2024 versus H1 FY202 3 I just wanted to understand the disparity betw een this is because some IP s have been postponed or Q1 did not have BGM I IPs?
Nitish Mittersain: As you know a lot of these games who are of the popular games were banned which came in Q1. Also some of these popular games when they c

ame in , the government had
announced that they will review it in 3 months or 6 months I think it was three months so I think a lot of the launches around these were tentative and while we did successfully do the BGMS on Star Sports , I think there is some lag effect . There has been s ome push into the next quarters. I n terms of IP spread across quarters you will see much more back ended into

H2. We have got a two of IPs happening in October , November , December which is the main season and also in Q4 of this year which is Jan to March. In terms of margins our stated policy on Nodwin has been tha t we need to strategically grow, over a per iod of time we are very hopeful tha t these margins will increase upwards of 10 -15% but we do not have a specific guidance on that at this point of time.
Man an Poladia : Correct I understand thank you so much . Secondly my other question is basically an accounting question so if you look at our P&L for this quarter sequentially at least there has been slight jump in purchase of stock in trade and change in inventor ies or stock in trade and I am guessing it has something to do with gaming but I am not completely sure if you could just provide s ome clarity on that ?
Nitish Mittersain: You are talking about stock ?
Manan Poladia : When you look at the P&L there is fi rst expense line item which is purchase of stock and trade and the second one which is chang e in inventory.
Nitish Mittersain: This is basically linked to our Wings gaming accessories because this is the main season , the big billion days on Flipkart, etc., so you would see more stock acquired for the sale of that.
Manan Poladia : Correct so the profit s of this will start showing in Q3 ?
Nitish Mi ttersain: Again this business has grown very well for us from the time we acquired so we are still building up the brand so it is a low margin business still for us , but going quite well . We have got Shub man Gill and good brand ambassadors and all on it so we are right now
 looking to grow the brand and the scale of it while remaining profitable , that is our approach .
Manan Poladia : Correct Sir I understand. T hank you so much for answering my questions .
Moderator: Thank you. The next question is from the line of Mr . Rahul Jain from Dolat Capital. P lease go ahead .
Rahul Jain : Hi thanks for the opportunity . Just wanted to check abo ut this Animal Jam business the metric on ARPDAU basis monetization has improved but we see that the revenue have been pretty stable although we have done well on the margin so what kind of thought process we should imply here do we see some scalability challenges from a demand side of it because if these metrics are up somewhere possibly the churn might have gone up so if you could explore on this thought and how we could see growth here from medium -term perspective ?
Sudhir Kamath : Rahul thanks for that quest ion Sudhir here. I think if you look at Animal Jam and Wild works , the company which makes it , since we acquired it last year the emphasis has very much been on fixing a lot of the underlying basics first . The first couple of quarters was really around that and since then as you would have seen the result has been that the margins are now increased significantly so our revenues are still if you look at it slightly flat but that is a misleading picture because this is also seasonal and the peak season for Animal Jam the target kids in the US is ac tually this current quarter and the next quarter with Halloween , New Year, etc., events coming up so that is where you actually see the revenue scale up beginning to happen but just a step back essentially what we are saying is that we kind of fixed the margins of the business . The last couple of quarters have been steady now at 22 -24% kind of margins compared to maybe even single digits whe

n we started and the revenue scale up is something that is beginning to happen . There is a lot more that needs to be done in terms of both user activation and maybe b rand related investments in that in the coming months but we are fairly comfortable that those initiat ives are together.
Rahul Jain : Sorry I missed the part in case you shared about the churn what has the behavior on a one year basis .
Sudhir Kamath : So this is not a subscription business so I do not think churn is the right word here . The pai d members had dropped slightly but they have actually been coming back quite strongly now . It is eventually the revenue t hat you will see and we are quite comfortable th at in the coming quarters you will see much better numbers there .
 Rahul Jain : Understood and on Adtech side given that we have a lot of positioning in the western world and there what we are seeing with other Adtech businesses , the challenges continues . So, what are the thought here from a one or two year perspective ?
Sudhir Kamath : See Dataw rkz which is our primary vehicle for Ad tech if you look that is a services business so it is definitely not immune to what is happening in the broader advertising space as well ECPMs is definitely under pressure globally that said what Datawr kz does is it provides a service to customers who are looking to deploy money for us er acquisition what we have seen is that we will be focusing on mo ving towards higher margin plan, also focusing more

on the product side of things that is definitely beginning t o have an impact, of course our scale is way too small and there is a lot of room left to grow that business and to keep growing th e margins from where we are . We also see that as more of a s trategic capability which we can use for our other games so we have done that in Anima l Jam where we had a pretty positive impact . We stared to do a lot of work also using Dataw rkz and potentially on other companies that we acquire .

Rahul Jain : One interesting data you shared is that PFN we have possibly scaled to the number two position an d what I understand it is a very, very large market when I look ed at the top guy out there so do you see a ver y, very hyper scalability potential in near term in that bus iness just like we saw for the SK business , in a way we could say that Sports keeda growth an d margin profile scaled up very, very sharply in last couple of years and the market for PFN is also very, very large so that way you see that scale up on a very small base could be very , very steep in the next couple of years ?

Sudhir Kam ath: Yes, so I think when we acquired P FN in difficult time so if you remember at that time it was still a negative margin business and I think we had mentioned at that time that we are looking to have a breakeven year with the m. I am glad to kind of note that in September we already had a breakeven month for P FN. W e do expect the margins to keep increasing on that business and Sportskeeda has proven a playbook of how to grow EBITDA margins and profitability and they are deploying that quite well in PFN as well. The amount of scale that can reach in terms of revenue is definitely much higher than where they are today but I think a good combination of both revenue as well as profitability grow th that we should see on that bu siness.

Rahul Jain : Understood thanks . That is it from my side .

Moderator: Thank you so much . The next question is from the line of Nitin Jain from Fairview Investment s Limited . Please go ahead .

 Nitin Jain: Thank you for the opportunity and congratulations on a good quarte r, so my first ques tion is last year you gave out a full year guidance for the entire company after the Q2 result so this year you have not given any guidance . So, like h

ow should we interpret this , is there uncertainty in the business going forward or if you can elaborate ?

Nitish Mittersain: I think we are quite confident that Q3, Q4 will pick up from H1 . I think what we found in the last couple of years is when we give a hard guidance in trying to make sure we meet that guidance a lot of strategic decisions kind of become que stionable in terms of whether we should do or not . We really do not know want to box ourselves by giving a guidance if we believe for example t hat let us say Kiddopia or Animal Jam we get fantastic acquisition opportunity and we are able to massively scale up our user acquisition right so now we do not want to be saying we will give X EBITDA guidance and therefore we should restrain ourselves and we need to be able to take such opportunity . So, we just do not want to box ourselves by not being able to take im portant strategic decisions that is the purpose.

Nitin Jain: Got that so just a followup on that I am not looking for num bers but directionally how do we see the year panning out compared to FY2023 ?

Nitish Mittersain: So I think directionally we should continue to see higher growth than H1 in terms of the revenue and also a higher grow th on EBITDA for the rest of the year that is what we are working towards .

Nitin Jain: Great so in terms of t he margin we should be better than last year ?

Nitish Mittersain: Yes definitely .

Nitin Jain: Perfect thank you and my next question is on Kiddopia so the unit economics , they seem to have deteriorated like for second quarter in a row and also our margin improvement is more out of the inability to scale up our spend s so how do we read this like is it out of increased competitive intensity in the business because larger players like ABCm ouse they are seeing a good growth and also on Kiddopia last year I think there was a mention of taking this business to specific geographie s in Europe like I think G ermany so is that still on card? Thank you and that is all from me.

Nitish M ittersain: So, the u nit metrics we generally found them largely in a range once you factor in seasonality . I am not sure if you are talking about any specific metric you want to highlight .

 Nitin Jain: The CPT is back to like around $39 and our subscriber growth in second quarter has declined and ARPU s again they kind of on a declining trend.

Nitish Mittersain: So we have been doing a lot of experiments yes CPT has been largely in the range of $36 to $38 but in attempt to unshackle the scalability issue we have been experimentin g trying to see whether increasing the CPT a little bit, increases our scale, etc., so I think a lot of it you are seeing is experimental work . Even the ARPU s slight decline is crucial recover in Q3 is because we did have some summer promotions to see whether that was just a spike because we want to obviously break out of this plateau that we are at , we obviously are doing a lot of experim entation so I think that is what you are seeing nothing much beyond that . In terms of competitive pressures actually if y ou look at some of the similar web type of app and data even ABC mouse has declined in the last two quarters so it is not that it is specific to Kiddopia, Kiddopia in fact continues to remain strongly a number two behind ABCmous e. So we are not so worried about that . I think in our mind we have to find alternate ways to break through this lock jam and we are as mentioned , elaborate of the se we have started working on a few of these ideas. L astly on the Germany thing we have done an experiment at that point of time it has not done great so we had kind of de-focused then the IDFA had happened so we had gone back to focus on the US markets but one of our growth strategies now is to try and aggressively open new markets as well .

Nitin Jain: Great and just

one last followup on Kiddopia again so last time we took a price hike you had given some data showing how Kiddopia was still cheaper compared to the other subscription so do we see ourselves exploiting that gap going forward or not again ?

Nitish Mittersain: We are not looking at immediately doing further price hikes . I think our focus right now is singularly on how do we scale the user acquisition .

Nitin Jain: Sounds good thank you so much and Happy Diwali .

Moderator: The next question is from the line of Mr . Manan Poladia from MKP Securities . Please go ahead .

Manan Poladia : Thank you for giving me the opportunity again so what I also want to understand is when we speak about Sportskeeda and PFN so PFN I think going forward is going to be a much larger portion of Sportske eda from what I understand and the larger player is significantly larger . I just want to understand what kind of scale are we looking at with respect to PFN say in the next three to five years ?

 Sudhir Kamath : I do not think we can give specific guidance on P FN itself but one thing I can definitely say is if you look at N FL right , NFL is the largest sports market in the US in fact even in t he world if I recall correctly something like 56% of the total sports market in the US . PFN is still quite small as you s aid compared to the data there is a lot of room to grow in the area. I think our focus is very much that we want to keep scaling up the number of users and we have seen that successfully starting to happen . The main NFL season itself is September onwards so we are still in the second month of this year season until about Jan/Feb. So we do expect to see much higher user numbers compared to last year and I think by then we will start giving you some more breakup of clarity on what is the kind of revenue and user numbers we are going to see from this . But I think at this point i t is too early to look at how much it can grow we just know that it can grow a lot . Other small point that I should mention , when we acquired P FN one of the key things we are also looking at is the synergies between P FN and Sportskeeda and Sportskeeda as you know also has a strong presence in the US and combined with P FN and Sportskeeda , we think that now provides you the critical mass to start looking at much more direct selling to customers which a lso then will help drive profitability EBITDA , even higher than what especially for P FN is going to make a b ig difference so we just thought mention ing that.

Manan Poladia : Right thank you so much for answering that question . My second question is with regards to the new launches that we have built about Rs.1,300 Crores or so what I wanted to understand is when we are looking at acquisitions from her e going forward is there one specific scale or size that we are looking at . Secondly , are we looking at acquiring in differ ent businesses than we already are in or are we looking at acquiring with respect to say Bolt-on acquisition where we can develop synergies ?

Nitish Mittersain: So in terms of the scale of a cquisitions like I mentioned if something is very strategic to us we may do a Bolt-on for a smaller business and most likely that will happen at the subsidiary level and not at the corporate level . We are looking at larger acquisitions at the corporate level while there is no necessarily any specific number but I would say w e would look at least businesses generating Rs.100 Crores upwards of revenue at a minimum level ideally and largely being profitable . So I think that is what we are looking at it . We are definitely not looking at launching any new segments of business at this point of time I think there is a lot more that can be done in our core gaming IP, sports , eSports and even Adtech business so I think w hatever acquisitions will be done will be one

way or other synergistic to our existing businesses .

Manan Poladia : Correc t so I have just a small followup to that now that we have spoken about RMG in this

call as well where all the regulation has happened and that 28% GST slab has come in . Sso
 are we looking at RMG now more positively or are we still looking at letting the industry stabilize for a bit and then get into R MG acquisitions what is the situation th ere plus what kind of games like are we only focus ing on rummy or are we going to do poker , teen patti as well?

Nitish Mittersain: So specific to RMG we are looking at it as glass half full which means they are leaning positively towards seeing what are the opportunities and even earlier we were in very active discussions with a lot of players . So, I think within the open play business there could be Bolt-on acquisitions for sure and there are some discussions going on . We could look at some new formats outside of the existing open play business as well where we will only go into new format if we believe that we can be a leader in that segment , else we will not . But within the open play busi ness we will definitely look at consolidation . I think the only one thing we need to figure out at this point of time is in the past many of these companies are sitting with past tax claims right now and how do we navigate that piece while doing any M&A activity is something we are trying to figure out .

Manan Poladia : Correct thank you Nitish. T hank you for answering my questions .

Moderator: Thank you so much . As there are no further questions on behalf of ICICI Securities that concludes this conference. Thank you for joining us. Y ou may now disconnect your lines .

Call: Feb 2024

Nazara Technologies Limited

Nazar aTM

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February 13 , 202 4

To,
Listing Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai - 400 001.
Scrip Code: 543280 Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1. G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400051.
Scrip Symbol: NAZARA

Subject : Transcript of the Investor/Analyst Earnings Call held on February 07, 2024

Dear Sir/Madam,
In furtherance to our letter dated February 0 7, 202 4 regarding the audio recording of the investors earnings call for the quarter ended December 31 , 2023 , please find enclosed herewith the transcript of the said call. The Transcript is also available on the Company's website i.e. www.nazara.com .

We request you to take the same on record.

Thanking You,

Yours faithfully,
For Nazara Technologies Limited

Varsha Vyas
Company Secretary and Compliance officer

Encl: A/a
Nazara Technologies Limited
November 0 7, 2023

1

Nazara Technologies Limited Q3 and 9MFY24 Earnings Conference Call
07-Feb-24

MANAGEMENT : MR. NITISH MITTERSAIN – JOINT MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER
MR. SUDHIR KAMATH - CHIEF OPERATING OFFICER
MR. RAKESH SHAH – GROUP CHIEF FINANCIAL OFFICER
MS. ANUPRIYA SINHA DAS – HEAD OF CORPORATE DEVELOPMENT

MODERATOR : MR. JINESH JOSHI – PRABHUDAS LILLADHER PRIVATE LIMITED

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 7th February 2024 will prevail.

2 - Moderator :

- Ladies and gentlemen, good day and welcome to Nazara Technologies Limited Q3 and 9MFY24 Earnings Conference Call hosted by Prabhudas Lilladher Private Limited. As a reminder, all participant lines will be in 'listen -only' mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call , please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.

- I now hand the conference over to Mr. Jinesh Joshi from Prabhudas Lilladher. Thank you and over to you, Sir.

- Mr. Jinesh Joshi - Prabhudas Lilladher:

- Yeah. Good morning, everyone. On behalf of Prabhudas Lilladher, I welcome you all to the 3Q and FY24 Earnings Call of Nazara Technolog ies. We have with the management represented by Mr. Nitish Mittersain - CEO & JMD and Mr. Rakesh Shah who's the Group CFO, Mr. Sudhir Kamath - COO and Anupriya Das who is the Head of Corporate Development. Majority of the questions today will be taken by Mr. Nitish, Sudhir and Anupriya.

- I would now like to hand over the call to the management for opening remarks. Over to you, Nitish Sir.

- Mr. Nitish Mittersain:

Hi everyone. Good morning and a very warm welcome to all of you to Nazara Technologies Q3 and 9MFY24 Earnings Call. On this call, I'm joined by – Sudhir Kamath, our Chief Operating Officer ; Rakesh Shah, Group CFO ; Anupriya Sinha Das, our Head of Corporate Development and SGR , our IR Firm. We have uploaded our results presentation on the Exchanges. I hope all of you have had an opportunity to go through the same .

- For this quarter , our Revenue stood at INR 320.4 crores and EBITA grew by 24% year-on-year to INR 37.7 crores. We saw healthy growth in 'Animal Jam' and 'Sports keeda' resulting in our EBIT DA increase by 24% year-on-year d espite softer revenue growth on an overall basis due to some declines we have seen in our Ad Tech business as well as our Real Money Gaming business.

- Our EBIT DA marginally increased from 9.7% in Q 3 FY23 to 11.8% in Q3 FY24 as we continue to push for higher margins in our business.

- Our E sports segment witnessed a remarkable 79% EBITDA growth year -on-year. For 9MFY24 we've reported 9% year-on-year increase in revenues to INR 872.1 crores and

3 EBITDA for the same period increased by 20% to reach INR 98.7 crores. Our overall EBITDA margins for the first nine months have increased by 110 bps to 11.3% and our PAT has climbed 44% to INR 74.6 crores .

- Our approach of acquiring Global Gamin g IPs and leveraging focused user acquisition along with data driven product innovation is starting to pay off for us as demonstrated by Animal Jam’s performance in Q 3. When we acquired the WildWorks business, we thought that we could make a good impact on it and with all the hard work that has been put in by our team in the last few quarters we're actually starting to see the results of the same. Now we are more confident that this playbook can be expanded and scaled up significantly and we will continue to try and replicate this in the coming quarters as well , potentially new game studio acquisitions.

- We have also completed our FY24 fundraising goal. We ha d set up as a target of INR 750 crores, we managed to secure INR 760 crores through a preferential placement to marquee investors like Mr. Nikil Ka math, SBI Mutual Fund and IC ICI Prude ntial Mutual Fund. With significant cash res erves t oday, we are in an excellent position to pursue the exciting acquisition opportunities our team has identified . They have been working diligently for the last year on putting together many opportunities and we hope to take some of these to their natural conclusion in the coming quarters.

- Our Nazara Publishing division has hit the ground running with its inaugural set of games going LIVE soon. I think as a leading Indian company and also we are very focused on Make -in-India and for India we are supporting a lot of Indian developers with this new initiative and we hope to build a large user network through our Nazara Publishing platform.

- Finally, this March we're proud to lead the Indian Delegation at GDC San Francisco. This is the world's largest gaming conference and we are cohosting the first ever “India pavil lion” marking a significant milestone for us and the Indian Gaming Community, which we believe is the time for them to shine.

- I would now like to hand over the call to Anupriya who will give highlights of performance in this quarter. Thereafter, we will be happy to answer all your questions. Thank you very much.

4 - Ms. Anupriya Sinha Das:

- Thank you, Nitish. Good morning, everyone. As you're all aware, Nazara operates across three business segments - Gaming, Esports and Ad Tech. We continue to be well diversified across demographic geography and business models. Gaming contributed to 36% revenues and 56% EBITDA in the 9M ending December ’24. During the same period esports contributed to 55% in revenues and 38% in EBITDA while Ad Tech contributed the rest.

- Gaming includes Gamified Early Learning, Skill -Based Real Money Gaming , Premium and Telco sub segments. This segment grew by 7% in 9MFY24 . EBIT DA grew by 27% year-on-year in 9MFY24 and was down by 3% in Q3FY24 compared to Q 3FY23. The EBIT DA margins for this business is at 2 0.6% in 9MFY24 versus 17.3% in 9MFY23 and stood at 16.4% in Q3FY24 .

- Within gaming , in Kiddo pia the revenues for 9M stood at 168.6 crores compared to 162.9 crores in 9MFY23 . For the quarter gone by , the revenue stood at INR 54.7 crores versus INR 57.1 crores in Q 3 FY23. EBIT DA for 9M grew by 77% to INR 44.4 crores from 25.2 crores in 9MFY23 . EBITDA margin increased substantially to 26.3% from 15.4% in 9MFY23 . For Q3FY24, the EBITDA margin increased to 28.2% compared to 11.7% in Q3FY23. Due to an increase in user acquisition costs and lower marketing spend s, we experienced a higher rate of subscribers decline in this quarter. However, due to control on the CPT, we delivered higher EBITDA margin of 28.2% in Q3FY24. We made a hard switch between our preferred user acquisition channels in December ’23 to improve performance in the coming quarters. ARPU saw an increase of around 3% quarter -on-quarter in Q3FY24. We are working on alternate growth opportunities, for example IP licensing , which can breakthrough the current user acquisition logjam

- Moving to Animal Jam. Animal Jam delivered its highest quarterly revenue and EBITDA numbers since Nazara acquired it. Revenue and EBITDA for the quarters increased to INR 26.8 crores and INR 6 crores, respectively. EBITDA margin for the quarter stood at 22.2%. The growth was driven by a very successful set of in -app events across the quarter culminating in a 'Wishing well' event that was very enthusiastically received by our community of young gamers. In addition to ongoing performance marketing, Animal Jam also started experimenting with other user acquisition methods including a campaign on Tik Tok with many influencers coinciding with the holiday season. More broadly, Animal Jam growth over the year was driven by product developed and a better UA driven by deeper analytics. The success of Animal Jam gives confidence to us for deploying a similar playbook with other popular Global Gaming IPs.

- Moving to World Cricket Championship, revenue for the WCC franchises stood at INR 18 crores with EBITDA of INR 4.3 crores in 9MFY24. The EBITDA margin for the business stood at 23.7%. As we share d in Q2, Nextwave is reinventing the WCC franchise to position it for growt

h and help it break out of its current scale. The initial set
Nazara Technologies Limited
November 0 7, 2023

5 of actions have been taken over Q2 and Q3 including a revamp of Nextwave's Ad monetization, live ops, brand sales and user acquisition operations. Product related changes will continue through Q 4. This includes changes to the existing games, WCC 2 and WCC 3 as well as a new game to be launched in Q 1FY25.

- Moving to OpenPlay, this segment's revenue and EBITDA stood at INR 32.9 crores and INR 0.8 crores effectively 9MFY 24 compared to 43.6 crores and INR 8.5 crores in 9MFY 23 respect ively. In July '2023 , a 28% tax on entry fees for Skill -Based Real Money Gaming was implemented effective from 1st October'23. The impact of increased GST cost has largely been absorbed by all industry players including Classic Rummy. While player deposits are inclusive of 28% GST paid to the government , the player still gets the full amount via a loyalty promotion bonus which can be used in the game . Post GST implementation , Classic Rummy recorded an EBIT DA loss in Q3FY 24 while Gross Revenue before netting loyalty promotion bonus is steady i.e. player activity has not reduced. However, Net Revenue is lower due to higher loyalty promotion expense. The added GST cost led to a n EBITDA loss in Q3FY24. With c lear GST policy guid elines Nazara will actively seek consolidation opportunities in the sector.

- Our esports segment grew by 24% year-on-year in 9MFY 24 and 27% year-on-year in Q3FY24. While EBITDA grew by much faster by 44% in 9MFY24 and 79% in Q 3FY2 4.

- Moving to Nodwin , the revenue for the quarter increased by 20% to INR 133.9 and grew by 17% year -on-year in 9MFY24 to INR 327.9. EBITDA was at INR -5.8 crores in 9MFY24 and INR -2.2 crores in Q3FY4. These numbers include Publishme which was acquired by Nodwin in October'23. The EBITDA loss during Q3FY24 is attributed to the gaming accessory business Brandscale Innovations which houses the brand Wings . To support upcoming product launches and expand into new markets including laptops , Brandscale requires a substantial injection of fresh capital for marketing and branding efforts. Nodwin has chosen to for ego further investment and relinquish control enabling Brandscale to seek growth capital from new investors. Nodwin 's shareholding remains unchanged but Brandscale will be treated as an associate in the consolidated financial reporting from February 3rd, 2024 . Large media rights have been pushed out going to consolidation in the Media, TV and OTT industry . However, Nodwin has been able to secure independent media rights for individual property. Each of these independent media rights are higher than previous years. Revenue per partner has increased from INR 1.63 crores per revenue partner in 9MFY 23 to 2.7 1 crores per revenue partner in 9MFY24. I would also like to highlight that these three acquisitions made by Nodwin, which are propelling the expansion of product offering and market presen ce.

- In October'23, Nodwin acquired 100% stake in Gaming Marketing Agency Publis hme for a sum of $2 million from its existing shareholder Nazara and Ozgur Ozalp . This acquisition will provide the essential tailwinds for Nodwin Gaming to drive its mission of leading the emerging markets market sports media landscape. In December'23, Nodwin invested INR 33 crores in Freaks 4U Gaming, a marketing services company for Gaming

 and esports , delivering its services across the world, especially in the PC games in develop ed markets. In January'24, Nodwin Gaming has announced acquisition of 100% stake in Comic Con India through a cash and stock de al valued at INR 55 crores. Nodwin not only looks to diversify its youth portfolio but to also expand presence in global entertainment space. Nodwin remains committed to its vision of becoming o

ne of the top
three esports companies globally. The growth trajectory will be sustained through both organic expansion and strategic M & A aimed at enhancing capabilities in emerging and developed markets.

- Sportskeeda continues to have a stellar performance. We have reported a robust year-on-year revenue growth of 57% to INR 147.0 crores in 9MFY 24 and 68% in Q 3FY24 to INR 59.8 crores. EBITDA for the business improved to INR 51.8 crores in 9MFY2 3 (9MFY24) , a growth of 67% year -on-year, whereas for Q3FY 24 increased to 26.7 crores, which is a growth of 97% year -on-year. EBITDA margin for the business improve to 35.2% in 9MFY24 from 33% in 9MFY23. Though Sportskeeda continues to grow its revenue and EBITDA, in Q3FY24 its subsid iary Pro Football Network , a business we acquired in March '23, also reported a healthy margin bolstered by the ongoing NFL season. Both Sportskeeda and PFN continue to grow in the U .S. Sports Media market where Sportskeeda is ranked Number 6 in the sports domain in the U .S. and PFN is ranked Number 3 in the American Football Domain in the U .S. in December '23 as per similar web.

- Moving to Ad -Tech, our third segment. Over the past few years we have shifted focus from low margin work to securing high margin business clients. This strategic pivot resulted in a year -on-year revenue drop to INR 76.3 crores in 9MFY24 from INR 114.2 in 9MFY23. Despite this, our Gross Margin percentage saw a significant increase from 19% to 27% indicating an effectiveness of our strategy. Although our Gross Margins have improved , Datawrkz EBIT DA fell to INR 6.6 crores in 9MFY24 from INR 10.8 in 9MFY23. T his decrease reflects our heightened investment in sales and marketing including team overheads and commercial events. These investment s, particularly during Q3FY24, has significantly enhanced our sales pipeline leading to improved conversion rate and establishment of crucial partnership.

- With this, I will close my remarks here and I'd like to open the call for Q&A. I request Nitish, Sudhir and Rakesh Shah to join me for the Q&A.

- Mr. Nitish Mittersain:

- Thank you, Anupriya, for that. I'm going to actually ask our Chief Operating Officer, Sudhir Kamath, and Anupriya to step up to answer the questions today and I also would jump in where required. So, let's get started.

- Moderator :

 - Thank you very much. We will now begin the Question & Answer session. Anyone who wishes to ask a question may press * and 1 on their Touchtone telephone. If you wish to remove yourself from question queue, you may press * and 2. Participants are requested to use handset while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

- The first question is from the line of Nitin Jain from Fairview Investment Private Limited. Please, go ahead.

- Mr. Nitin Jain - Fairview Investment Private Limited :

- Yeah. Thank you for the opportunity and congratulations on the good execution in Esports and Animal Jam. So, I wanted to dwell a bit on the Kiddopia business. So, despite all your efforts the subscriber growth it's not picking up as expected, so what do you think would be the reason behind that? Like is it the product or is it the cohort that we are addressing in terms of their propensity to spend? Or let me put it this way, like are there any learnings from Animal Jam that we could replicate here?

- Mr. Nitish Mittersain:

- Sudhir, let me take this one. So, I think for Kiddopia, right, the challenge is not at all on the product or the consumer behavior or the penetration of the market. I think it's a very simple challenge of being able to acquire users effectively at the cost that we are willing to pay. So , I think , that is where the challenge we have faced . In this year, we have tried a lot with the main Ad n

etwork but with these Q3 number s also we're not able to achieve success.

- So, two things we are doing. We are moving or we've actually moved as of December into some other ad networks which we are hopefully will be more effective for us and the team is working on that. But I think we also need to move beyond linear user acquisition into other ways of acquiring users. One thing we are quite excited about is, licensing Popular IP. So, today if you see Kiddopia or Animal Jam, both these games are 100% original IP games but we have seen that many companies in this space and the kids space globally are doing much better when they are licensing Popular IP of well -known characters from companies like Hasbro or a Mattel or a Disney and a lot of these companies we have spoken to and they're very keen to work with us because our quality of product is well proven. So, we are hoping to execute some of the opportunities in the coming one or two quarters. That will allow us to boost user acquisition through organic needs and not just through paid UI . So, I think , that could be a potential game changer for us, which we are very actively working on.

- Yeah, I hope that answers your question.

- Mr. Nitin Jain - Fairview Investment Private Limited :

- Yeah, that's good. And just to continue on the Kiddopia bit, so there was a plan to roll it out to other geographies. So, what would be the status of that project?

- Mr. Nitish Mittersain:

- So, we have at this point of time continue to focus a lot on getting the core business stable. Look, I think, North American market has capacity for a user base to double. So, we need to get that right before we focus elsewhere. We do have experiments running in markets like Japan, we have seen some success but we really haven't doubled down because we want to solve the core problem.

- Mr. Nitin Jain - Fairview Investment Private Limited :

- Okay, thank you and all the best.

- Moderator :

- Thank you. A reminder to all participants, you may press * and 1 to ask question.

- Next question is from the line of Manan Palodia from MKP Securities. Please, go ahead.

- Mr. Manan Palodia - MKP Securities :

- Hello. Hi, good morning. Am I audible?

- Mr. Nitish Mittersain:

- Yes, Manan.

- Mr. Manan Palodia - MKP Securities :

- Yes. First of all, congratulations on posting a stellar set. Firstly, my question is also on the Kiddopia bit. I just wanted to understand, this bleak that we're seeing in terms of subscriber degrowth, etcetera and I understand you've made a hardship from an acquiring platform, can you give me some color on why the churn has happened? I understand the new user acquisition being an issue but the churn rate I'm not really sure. So , what's the situation there?

- Mr. Nitish Mittersain:

- Sudhir.

 - Mr. Sudhir Kamath :

- You want to take this?

- Mr. Nitish Mittersain:

- Yeah, I'll take it. I'll take it. So, you know, what happens is that when our spends are running well, we acquire new users but the existing users who have elapsed also get reactivated. So, when you see a churn number, you see a net churn number which includes activation and reactivation because our overall spends in this quarter have gone down significantly. The reactivation s have dropped, which is why you are seeing a little higher net churn.

- Mr. Manan Palodia - MKP Securities :

- Correct, I understand that. My second question is on the Wings acquisition that we made a while back and last quarter also I'd spoken to you and I asked you about the purchase of stock and trade line item and we had purchased some, I think , 64-65 crores worth of equipment for the Wings platform and we were supposed to sell it in the festive season, etcetera. Can you give us an update about the perform

ance of how that went?

- Mr. Nitish Mittersain:

- Okay. So, I'll just repeat my answer. So, Diwali was reasonable for us and our inventory levels have come down but (inaudible 22.16 -22.22). One is, there are seeing a lot of opportunity and initial success in areas such as laptop (inaudible 22.30 -22.31) and we just felt that this was going a bit more away from where the core business is. (inaudible 22.41)…

- Moderator :

- Nitish Sir, we're still not able to hear you.

- Mr. Sudhir Kamath :

- Nitish, I think let me just step in on this one. Manan, so I just want to put that again. I'm not sure if you could hear Nitish clearly. Wings, there are two things. I think one is, your question was around inventory. Inventory levels have come down over the festive season. Overall, it went very well for them and especially laptops as a category , which they had launched, went very well.

- However, for us the big ger question with Wings has been so direct ionally, I mean, the growt h for them is in segments which are away from the core Esports (inaudible 23.17) which we had entered. So, laptops, for example, is not really connected to the esports

10 business and that's more of a generalist use case. So, that's probably what you also see in an announcement which was put out 2-3 days back where Nodwin has decided not to take up its option to take majority control of that business.

- Does that answer the question?

- Mr. Manan Palodia - MKP Securities :

- Yeah -yeah, I think it does. Thank you for answering that question. My last question is with regards to the Sportskeeda and Nodwin numbers. From what I understand that this was a seasonally strong quarter, especially for Nodwin as well as Sportskeeda, due to the PFN thing. I just wanted to understand how should we look at number s going forward? Like is this something that would seasonally be weak or strong? Or from here do we see bluer skies going forward?

- Mr. Sudhir Kamath :

- No, I think, in general if you look at the last few quarters as well, Sportskeeda has consistently done well in all the quarters and we expect this to very much continue . That said, there is seasonality in the business. So , Q4 might be lower than Q3 but Q4 will definitely be much better than Q4 of the previous year. So, growth is definitely there .

- For Nodwin as well , I think , the long term trend is clearly high and continues to upward looking and good .

- Mr. Manan Palodia - MKP Securities :

- Right. Understood. Thank you. Thank you so much, guys, for answering my questions.

- Moderator :

- Thank you. A reminder to all participants, you may press * and 1 to ask question.

- Next question is from the line of Raj Joshi from A ce Securities. Please, go ahead.

- Mr. Raj Joshi - Ace Securities :

- Thank you, Sir, for the opportunity. Sir, I have a couple of questions. Our Ad Tech business is still facing challenges, how do we look at growing this business?

- Mr. Sudhir Kamath :

Thanks for that question, Raj. I think, as we have said in the previous con call as well, we see this business as leading a more fundamental shift away from some of their low

11 margin businesses which were there earlier to a slightly higher margin businesses on the services side as well as on some of their product businesses. That switch takes time. It's the fundamental reset of the DNA of the company, the organization structure, etcetera. So, what you would have seen in the last quarter as well as in this quarter is there's overall revenue degrowth but most of that degrowth is on the lower margin businesses which we are moving away from. So , at the gross contribution level the percentages have improved quite dramatically on a quarter -on-quarter basis . Gross margin on product from 20% to

31%. Post Gross Margin , we then look at the investments that we make into the marketing team and marketing event and that has resulted in the that is what we expect to actually drive the growth of this business in the coming quarter as well and we think that we are on track with that part and the team will execute it as per the plan.

- Mr. Raj Joshi – Ace Securities:

- And my other question is, how do you look at the organic growth for FY25?

- Mr. Sudhir Kamath:

- For Adtech business or Nazara Group?

- Mr. Raj Joshi – Ace Securities:

- For both.

- Mr. Sudhir Kamath:

- From the Adtech business side as well, I think a lot of investment has gone in this year into the marketing team and events there has started delivering in terms of new clients . And that too was a great contest time for significant and became a more fruitful Adtech as you saw but next year growth to come from that business. On the product business, that has started delivering good results. It's still early days for that business but initial set of clients , that have started increasing and there's high stickiness of those clients . All that has been quite positive, we see that very positively for the coming years. Overall , at Nazara, I think organic growth will be strong across the board is what we feel. As Nitish said in his opening remarks, we are sitting on a lot of capital which will be deployed towards M&A. So , we do expect bo th organic and organic growth in the coming years.

- Mr. Raj Joshi – Ace Securities:

- Thank you Sir, that's it from my end.

- Moderator:

 - Thank you. Next question is from the line of Rahul Jain from Dolat Capital. Please go ahead.

- Mr. Rahul Jain – Dolat Capital:

- Hi! Hope I am audible.

- Mr. Sudhir Kamath:

- Yes Rahul

- Mr. Rahul Jain – Dolat Capital:

- I have a few questions. Firstly, on Animal Jam I have seen, we have seen improving growth out here. What is the right benchmark given where you are at the stage in terms of monetizing it? Can we see a 15 -20% kind of a growth potential here on or we still would have to monitor in a non -seasonal quarter to understand what kind of a growth it can?

- Mr. Sudhir Kamath:

- In Animal Jam, a lot of effort in the last year was around fixing the processes and structure of how they were doing analytic s, how they were doing user acquisition, what puts monetization in play . A lot of those things are in place and in December, they delivered one of the best ever events in the game which they called "wishing well" . Now all of these basic s are now in place and they are beginning to see good scale -up now in terms of user base as well as monetization. We do expe ct that therefore this, you said 10% to 15% growth , that kind of growth should be deliverable in all the quarters on a year-on-year basis. But we would like to wait for at least one more quarter to see how it performs in a non-season quarter as well. Then we can give more confidence on that. But directionally I think we are there now.

- Mr. Rahul Jain – Dolat Capital:

- Got it. On the Nodwin business, you have mentioned that brand scale side where we basically would is it safe to assume that we would see improvement in EBITDA margins starting Q4 since it could not be consolidated and what will be the stake for us over time as you have also highlighted that they may be raising more money in that or we will be retaining our stake or we may also see dilution over time?

- Mr. Sudhir Kamath:

- In terms of impact of EBITDA, I think it definitely will be possible, will be positive starting from 10 to 20, in that territory. We have not broken up like that numbers of

 revenue and EBITDA at this point so we cannot share the details but it will be a positive impact on profitability

for Nodwin. Can you please repeat the 2nd question?

- Mr. Rahul Jain – Dolat Capital:

- 2nd part was that, we have mentioned that the reason we have done this is they have some different plans now or expanded plans and they may need more capital so which would mean that we may get diluted over time or we would also participate in subsequent round out there?

- Mr. Sudhir Kamath:

- I think those calls we will take as and when. The call we have taken is that, we have not retain ing the right to majority or the right to appoint the majority of the directors partly. That right we have given up. Nodwin is currently at about 40% of brand scale. It will become an associate for us. We can let it dilute as well but we could continue to invest as well. So, options are open and it depends on t he Company on the decision the company takes, how much capital it needs, which other investors are.

- Mr. Rahul Jain – Dolat Capital:

- Got it. On the real money gaming business, what is the right roadmap to look at in this business here on and also any inputs you could share on the potential risk from GST liabilities that we saw on media for at least some of our peers. So what are the forwarded status for us and potential output?

- Mr. Nitish Mittersain :

- I will step in here. Is my voice clear?

- Mr. Rahul Jain – Dolat Capital:

- Yes, I can hear you Nitish.

- Mr. Nitish Mittersain :

- Ya, ok. 2 aspects on the R MG side. One is stabilizing our own business and we have seen some positive traction there but we need another quarter there to get that done. In terms of M&A, we are talking to a few people and see ing what opportunities for us to potentially consolidate in the market. And 3rd in terms of GST liability as you know, the industry, it's been a large industry issue where there have been notices sent for tens and thousands of crores to RMG companies. We have 2 RMG companies – Openplay and Halaplay. We did get summons for both of them and we had supplied relevant information. If there is any further development, we will share with the market at the

 appropriate time but it is important to remember that the scale of our business in RMG is much smaller than many of the people who are sitting on very large claims . Overall we think that hopefully over a period of this year, we are quite hopeful that these retrospective (inaudible 33.27) will follow up, the courts will take the right view over it but that's the right status.

- Mr. Rahul Jain – Dolat Capital:

- Got it. One question on the Telco business. We have seen some increase in losses here. Is it pertaining to some increase in corporate level expenses or is it more to do with the initiative towards Nazara Publishing?

- Mr. Nitish Mittersain :

- Ya, it is not specifically to do with the telco business but some of the expenses have moved within that. I think it's more one-off expenses that you are seeing showing some losses there.

- Mr. Rahul Jain – Dolat Capital:

- Got it. That's all from my side.

- Mr. Nitish Mittersain – CEO & JMD, Nazara Technologies Limited:

- Thank you.

- Moderator:

- Thank you. A reminder to all participants, you press star and 1 to ask question. The next question is from the line of Rohit Mehra from SK Securities. Please go ahead.

- Mr. Rohit Mehra – S.K. Securities:

- Ya, thank you for the opportunity. The 1st question from my side is Q3 for Nazara is expected to be better in terms of quarter and number of events as well. What has led to the lower growth in media and revenue and content view?

- Mr. Sudhir Kamath:

- I think the 1st point as everyone knows BGMI is now back and (inaudible 34.54 -34.57) we have expected media (inaudible 34.59 -35.02). However , there is a lot of churn as you know in the overall media sector as well with the Zee and Sony and Star etc.

which are
going. What it seems is there is a little bit of reluctan ce to look at very large scale across the board kind of media deal. The problem that we must focus on in this quarter is more

15 individuals, smaller deals property. Growths have been happening in better terms than the previous year. The bigger kind of media transaction is not yet happening. We do expect it in the next few quarters.

- Mr. Rohit Mehra – S.K. Securities:

- Got it, ok. And my next question is, we have good cash in hand. How do you look at deploying the same? Which areas are we focusing on?

- Mr. Sudhir Kamath:

- I think we have a very clear laid out strategy which is look at business having growth poten tial and where we see a very clear cash flow and growth both. We are looking businesses across all three of our segments . So, you already would have seen some announcements coming in from Nodwin over the last few days and on both gaming as well as Adtech , there are multiple opportunities we are looking at over the last few months. And Nitish said, we do hope to get them to the logical conclusion in the coming quarter, but the pipeline is very good this quarter as well.

- Mr. Rohit Mehra – S.K. Securities:

- Ok. And how should we look at the growth in WCC over the longer term because it has been a fairly narrow range . Obviously , the monetization has not been that positive as of now. Can you share some views?

- Mr. Sudhir Kamath:

- I think on the WCC as well, these are historic business around WCC 2 and WCC 3 (inaud ible 36.56 -36.58). And those have been value center range bound . I think the longer -term plan if you look at, there is a significant reset of those games as well as new games that gets launched by the studio and the last couple of quarters. And the last couple of quarters and this quarter as well, there are more product development changes. We do expect next year to be a significant growth year but but I think we should look at that in Q1 or Q2 of next year once we actually have results to talk about .

- Mr. Rohit Mehra – S.K. Securities:

- Ok, that answers my question. That's it from my side. Thank you and all the best.

- Moderator:

- Thank you. A reminder to all participants, you may press star and 1 to ask questions. the next question is from the line of Manan Puladia from MKP Securities. Please go ahead.

 - Mr. Manan Puladia – MKP Securities:

- Hello, hi! Am I audible?

- Management:

- Yes.

- Mr. Manan Puladia – MKP Securities:

- So my 1st question is, on the Nodwin side, I am not sure if we are used to earlier but if I could please know the break -up for the content views quarter by quarter for this year?

- Mr. Sudhir Kamath:

- We don't have the numbers off hand but we will get it across to you after the call. We do have it broken out at each of our quarterly presentation . You could just look it up.

- Mr. Manan Puladia – MKP Securities:

- Ok, I will look that up afterwards. My 2nd question is with regards to, there is a statement that you put on slide no.26 where you said these large media brand deals have been postponed due to consolidation in TV and OTT . And the revenue is also some 50cr. vs. 68 for year-on-year. If you can say how we can see this in the next 6 -9 months going forward with respect to the large deals that you have spoken about?

- Management:

- Yes. I think in the previous year there was a large deal for example with Star TV which was not specific to one event was but also pulled in (inaudible 39.14 -39.18) put it together . So, those kind of deals are not yet started happening again . So far , we are still looking at more deals which are individual event and their media rights (inaudible 39.28 - 39.29). We expect to go back to the larger deals in the co

ming quarters but we cannot say
about t hese deals will happen in this quarter on next quarter.

- Mr. Manan Puladia – MKP Securities:

- I understand that. As far as IPs go, we are pushing from what I understand, more IP this year than they did last year. Right?

- Management:

- Absolutely, yes.

 - Mr. Manan Puladia – MKP Securities:

- Ok, perfect, thank you.

- Ms. Anupriya Sinha Das:

- If I can just add there, sequentially what we have seen is that revenue from a particular IP has been grow ing, if you see the revenue per partner which is an indicative for all media rights and brand sponsorship partner so the revenue per partner has steadily increased. So that is a good positive for us.

- Mr. Manan Puladia – MKP Securities:

- There is a follow -up – I just wanted to understand what sort of traction are we seeing on the sponsor end and the media? Is there more excitement about esports per se or is there more interest in partnering with you guys to do IPs or either sponsor your IP s?

- Ms. Anupriya Sinha Das:

- We continue to see increased interest. An indication from that as I mentioned about the revenue per partner is increasing. So while we don't share IP wise trajectory, we have seen a sequential increase.

- Mr. Manan Puladia – MKP Securities:

- Just one last question – there has been many competitors that have come up for Nodwin like Skysports or somebody else or Villager e sports etc. They have been taking some smaller IPs from the publisher that is invested in u s, that is Krafton, right . They still have been getting some of the smaller IPs that are publisher backed. I am just curious what the industry structure should look like and how we should think about it? Are we going to get most of the bigger IPs and the smaller IPs will keep on going to the se smaller players?

- Ms. Anupriya Sinha Das:

- Sudhir, do you want to take it or should I take it?

- Management:

- Go ahead.

- Ms. Anupriya Sinha Das:

- Ok. At Nodwin, our effort is to create IPs across the levels. Right? Grass root, national international and give people that opportunity to create heroes and become larger

 international part while creating those grass root level IPs and efforts will be on that trajectory and historically we have also done that. In terms of the mix of revenues, white labels and other IPs, white labels predominantly IP s provide s us with good margin support but at the same time our efforts go on increasing our own IP in that sense which gives us nonlinear ity in revenue s and EBITDA to come. So the efforts will be on both sides – building the grass root level IP which proliferates esports in the country and at the same time grow international IPs as well.

- Mr. Manan Puladia – MKP Securities:

- Ok, I understand that. Thank you Anupriya. Thank you Sudhir. Bye.

- Mr. Sudhir Kamath:

- I will just add a little here. I know there's a question on a row, but I think there's a bunch of IPs like many of these are bigger IPs like College Rivals . Many of these are the bigger IPs in this space and we continue to focus on those as well as adding on new IPs . We also saw the announcement around Comic Con India which is again a very well know property and Nodwin coming in coming into the pop-culture space .

- Ms. Anupriya Sinha Das:

- And we continue to be the market leader by disproportionate basis in India and other markets.

- Moderator:

- Thank you. A reminder to all participants, you press star and 1 to ask question. The next question is from the line of Raj Joshi from A ce Securities. Please go ahead.

- Mr. Raj Joshi – Ace Securities:

- Thank you Sir again for the opportunity. Sir, I would like to understand what is the scaling opportunity of the recent acquisition done by Nodw

in?

- Management:

- I think each of the propert ies that you must have seen in the recent past have a lot of potential. Nodwin has a focus there on taking well known IPs and then growing further. In the last, if I take a slightly broader view over the last year, it started with Singapore one which was branded which actually started showing growth already. Then there is Publish Me which covers of middle east. There is Comic Con which happened this year and Freaks 4U which is more western facing and also gets into PC gaming.

- Now all of these are going to bring different growth levers for us. They all have strong legacy of many years . They all have strong customers and I think what Nodwin will be able to do is to grow and leverage in other markets or for example bringing in branding partners or customers who may be present in one geography and are looking for other geographies and they can actually leverage them with other properties in those geographies as well as capabilities . So, it is a So it is a fairly strong growth play that Nodwin is making here, and will continue to do so.

- Mr. Raj Joshi – A Securities:

- Thank you Sir.

- Moderator:

- Thank you. A reminder to all participants, you press star and 1 to ask question. The next question is from the line of Jinesh Joshi. Please go ahead.

- Mr. Jinesh Joshi – Participant:

- I have a question on our classic rummy business. I think we absorbed the GST impact in this quarter and hence our EBITDA was into the negative territory and now if I remember right, in the last earnings call we had mentioned that perhaps we may be able to achieve breakeven in 42. But my question is, despite absorbing the GST impact, we had seen the revenues fall by about more than 50%. If we are planning to achieve a breakeven in the next quarter, do we plan to pass of the GST impact and in that case, what will be the consequent impact on revenue. And also a related question is that, we are looking at consolidation opportunities in this sector although the policy guidelines are quite clear right now but given the impact on revenue and profitability which we are seeing, I mean what exactly are we looking out in terms of big opportunities in this space is what I want to understand?

- Mr. Nitish Mittersain:

- I am going to take that answer Sudhir, Nitish here. So two things - I think, one is very important to understand that the actual business of Classic Rummy has n't fallen in this quarter as the revenues presented showed a significant drop and the reason for that is, consumers have continued because GST is completely absorbed by us , consumers continue d to play in the way they were paying earlier and therefore we haven't seen any significant drop in consumer traction. The amount of money being played with is the same. The reason that revenues are lower is because we have issued bonus to the consumers to offset the GST cost and as per our accounting standards, we are now deducting the bonus from the revenues to display net revenues. So I think that's why you are seeing a larger fall in the revenues versus the actual business in itself. Hopefully that

 will stabilize over a period of time. We can reduce this bonuses that we are issuing as the market also evolves. In this competitive thing, we need to see what our competitors are also doing etc. We expect that to start normalizing in the quarters to come.

- In terms of consolidation, we are actually actively at what are the opportunities. I think one thing we need to look at is about the restrospective liabilities that these companies are carrying and in any consolidation move, how do we ensure that they not get carried over to our companies. We are have lawyers looking at all these aspects and in the due course we will take some action

if it is appropriate for us.

- Mr. Jinesh Joshi – Participant:

- Sure Sir. My 2nd question is on the media right business. I understand we stated that there was some deferment in deal but can you share which all OTT partners are we currently negotiating with and what kind of escalation can we see in the next year , atleast in terms of media rights?

- Mr. Nitish Mittersain:

- I will answer that again. I don't think we want to disclose specific partners at this point of time because it is competitive information and we cannot share in competition. But we do see a lot of interest. the team has been building a strong pipeline and especially on some of our exclusive IP led playground, you will see, for example Amazon did season 1 and season 2. They will be making an announcement for season 3 very soon where the rights are going to be again sold at a premium. So I think the trajectory is in the right direction.

- Mr. Jinesh Joshi – Participant:

- Sure Sir. One last clarification is required – I think we have mentioned that we will not invest more in brands cale but our shareholding will remain unchanged and we will remain as an associate and consolidation will not happen. So the question is, if the shareholding is unchanged, why is the accounting changing?

- Mr. Nitish Mittersain:

- So basically today we had an option at our discretion to increase the stake to majority. Right? And because we took a view that we do not want to invest more, we waived that options so that the company can raise money from external investors because we have waived the option to increase our holding in the company. We have lost the rights to consolidate the business as per the Indian accounting standards.

- Mr. Jinesh Joshi – Participant:

- Got that Sir. Pretty clear from my side. Thank you very much and all the best.

- Moderator:

- Thank you. A reminder to all participants, you may press star and 1 to ask question. As there are no further questions, I would like to now hand the conference over to Mr. Sudhir Kamath for closing comments.

- Mr. Sudhir Kamath:

- Thanks everyone for the questions and thanks especially to Jinesh and his team at Prabhudas Lil ladher for hosting this . Just to summarize for the quarter, I think we have a very robust platform for future growth . We are quite optimistic that we will be able to deliver good results in the coming quarters and we are on course to continue with a profitable growth trajectory . We remain steadfast in our commitment to make Nazara play a very substantial part in India's quest to become a global gaming powerhouse. Thank you, everyone. Thanks for the time and look forward to having good interactions in the coming days and coming quarter. In case of any further queries, please do get in touch with us or with SGA, our investor relations advisor. Thanks and have a good day, everyone.

- Moderator:

- Thank you. On behalf of Prabhudas Liladher Pvt. Ltd., that conclude s this conference. Thank you for joining us and you may now disconnect your lines.

- END OF TRANSCRIPTION

Call: Feb 2024

Nazara Technologies Limited

Nazar aTM

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February 13 , 202 4

To,
Listing Compliance Department
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Scrip Code: 543280 Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1. G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400051.
Scrip Symbol: NAZARA

Subject : Transcript of the Investor/Analyst Earnings Call held on February 07, 2024

Dear Sir/Madam,
In furtherance to our letter dated February 0 7, 202 4 regarding the audio recording of the investors earnings call for the quarter ended December 31 , 2023 , please find enclosed herewith the transcript of the said call. The Transcript is also available on the Company's website i.e. www.nazara.com .

We request you to take the same on record.

Thanking You,

Yours faithfully,
For Nazara Technologies Limited

Varsha Vyas
Company Secretary and Compliance officer

Encl: A/a
Nazara Technologies Limited
November 0 7, 2023

Nazara Technologies Limited Q3 and 9MFY24 Earnings Conference Call
07-Feb-24

MANAGEMENT : MR. NITISH MITTERSAIN – JOINT MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER
MR. SUDHIR KAMATH - CHIEF OPERATING OFFICER
MR. RAKESH SHAH – GROUP CHIEF FINANCIAL OFFICER
MS. ANUPRIYA SINHA DAS – HEAD OF CORPORATE DEVELOPMENT

MODERATOR : MR. JINESH JOSHI – PRABHUDAS LILLADHER PRIVATE LIMITED

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 7th February 2024 will prevail.

2 - Moderator :

- Ladies and gentlemen, good day and welcome to Nazara Technologies Limited Q3 and 9MFY24 Earnings Conference Call hosted by Prabhudas Lilladher Private Limited. As a reminder, all participant lines will be in 'listen -only' mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call , please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.

- I now hand the conference over to Mr. Jinesh Joshi from Prabhudas Lilladher. Thank you and over to you, Sir.

- Mr. Jinesh Joshi - Prabhudas Lilladher:

- Yeah. Good morning, everyone. On behalf of Prabhudas Lilladher, I welcome you all to the 3Q and FY24 Earnings Call of Nazara Technolog ies. We have with the management represented by Mr. Nitish Mittersain - CEO & JMD and Mr. Rakesh Shah who's the Group CFO, Mr. Sudhir Kamath - COO and Anupriya Das who is the Head of Corporate Development. Majority of the questions today will be taken by Mr. Nitish, Sudhir and Anupriya.

- I would now like to hand over the call to the management for opening remarks. Over to you, Nitish Sir.

- Mr. Nitish Mittersain:

Hi everyone. Good morning and a very warm welcome to all of you to Nazara Technologies Q3 and 9MFY24 Earnings Call. On this call, I'm joined by – Sudhir Kamath, our Chief Operating Officer ; Rakesh Shah, Group CFO ; Anupriya Sinha Das, our Head of Corporate Development and SGR , our IR Firm. We have uploaded our results presentation on the Exchanges. I hope all of you have had an opportunity to go through the same .

- For this quarter , our Revenue stood at INR 320.4 crores and EBITA grew by 24% year-on-year to INR 37.7 crores. We saw healthy growth in 'Animal Jam' and 'Sports keeda' resulting in our EBIT DA increase by 24% year-on-year d espite softer revenue growth on an overall basis due to some declines we have seen in our Ad Tech business as well as our Real Money Gaming business.

- Our EBIT DA marginally increased from 9.7% in Q 3 FY23 to 11.8% in Q3 FY24 as we continue to push for higher margins in our business.

- Our E sports segment witnessed a remarkable 79% EBITDA growth year -on-year. For 9MFY24 we've reported 9% year-on-year increase in revenues to INR 872.1 crores and

3 EBITDA for the same period increased by 20% to reach INR 98.7 crores. Our overall EBITDA margins for the first nine months have increased by 110 bps to 11.3% and our PAT has climbed 44% to INR 74.6 crores .

- Our approach of acquiring Global Gamin g IPs and leveraging focused user acquisition along with data driven product innovation is starting to pay off for us as demonstrated by Animal Jam's performance in Q 3. When we acquired the WildWorks business, we thought that we could make a good impact on it and with all the hard work that has been put in by our team in the last few quarters we're actually starting to see the results of the same. Now we are more confident that this playbook can be expanded and scaled up significantly and we will continue to try and replicate this in the coming quarters as well , potentially new game studio acquisitions.

- We have also completed our FY24 fundraising goal. We ha d set up as a target of INR 750 crores, we managed to secure INR 760 crores through a preferential placement to marquee investors like Mr. Nikil Ka math, SBI Mutual Fund and IC ICI Prude ntial Mutual Fund. With significant cash res erves t oday, we are in an excellent position to pursue the exciting acquisition opportunities our team has identified . They have been working diligently for the last year on putting together many opportunities and we hope to take some of these to their natural conclusion in the coming quarters.

- Our Nazara Publishing division has hit the ground running with its inaugural set of games going LIVE soon. I think as a leading Indian company and also we are very focused on Make -in-India and for India we are supporting a lot of Indian developers with this new initiative and we hope to build a large user network through our Nazara Publishing platform.

- Finally, this March we're proud to lead the Indian Delegation at GDC San Francisco. This is the world's largest gaming conference and we are cohosting the first ever "India pavil lion" marking a significant milestone for us and the Indian Gaming Community, which we believe is the time for them to shine.

- I would now like to hand over the call to Anupriya who will give highlights of performance in this quarter. Thereafter, we will be happy to answer all your questions. Thank you very much.

Nazara Technologies Limited
November 0 7, 2023

4 - Ms. Anupriya Sinha Das:

- Thank you, Nitish. Good morning, everyone. As you're all aware, Nazara operates across three business segments - Gaming, Esports and Ad Tech. We continue to be well diversified across demographic geography and business models. Gaming contributed to 36% revenues and 56% EBITDA in the 9M ending December '24. During the same period esports contributed to 55% in revenues and 38% in EBITDA while Ad Tech contributed the rest.

- Gaming includes Gamified Early Learning, Skill -Based Real Money Gaming , Premium and Telco sub segments. This segment grew by 7% in 9MFY24 . EBIT DA grew by 27% year-on-year in 9MFY24 and was down by 3% in Q3FY24 compared to Q 3FY23. The EBIT DA margins for this business is at 2 0.6% in 9MFY24 versus 17.3% in 9MFY23 and stood at 16.4% in Q3FY24 .

- Within gaming , in Kiddo pia the revenues for 9M stood at 168.6 crores compared to 162.9 crores in 9MFY23 . For the quarter gone by , the revenue stood at INR 54.7 crores versus INR 57.1 crores in Q 3 FY23. EBIT DA for 9M grew by 77% to INR 44.4 crores from 25.2 crores in 9MFY23 . EBITDA margin increased substantially to 26.3% from 15.4% in 9MFY23 . For Q3FY24, the EBITDA margin increased to 28.2% compared to 11.7% in Q3FY23. Due to an increase in user acquisition costs and lower marketing spend s, we experienced a higher rate of subscribers decline in this quarter. However, due to control on the CPT, we delivered higher EBITDA margin of 28.2% in Q3FY24. We made a hard switch between our preferred user acquisition channels in December '23 to improve performance in the coming quarters. ARPU saw an increase of around 3% quarter -on-quarter in Q3FY24. We are working on alternate growth opportunities, for example IP licensing , which can breakthrough the current user acquisition logjam

- Moving to Animal Jam. Animal Jam delivered its highest quarterly revenue and EBITDA numbers since Nazara acquired it. Revenue and EBITDA for the quarters increased to INR 26.8 crores and INR 6 crores, respectively. EBITDA margin for the quarter stood at 22.2%. The growth was driven by a very successful set of in -app events across the quarter culminating in a 'Wishing well' event that was very enthusiastically received by our community of young gamers. In addition to ongoing performance marketing, Animal Jam also started experimenting with other user acquisition methods including a campaign on Tik Tok with many influencers coinciding with the holiday season. More broadly, Animal Jam growth over the year was driven by product developed and a better UA driven by deeper analytics. The success of Animal Jam gives confidence to us for deploying a similar playbook with other popular Global Gaming IPs.

- Moving to World Cricket Championship, revenue for the WCC franchises stood at INR 18 crores with EBITDA of INR 4.3 crores in 9MFY24. The EBITDA margin for the business stood at 23.7%. As we share d in Q2, Nextwave is reinventing the WCC franchise to position it for growt

h and help it break out of its current scale. The initial set

 of actions have been taken over Q2 and Q3 including a revamp of Nextwave's Ad monetization, live ops, brand sales and user acquisition operations. Product related changes will continue through Q 4. This includes changes to the existing games, WCC 2 and WCC 3 as well as a new game to be launched in Q 1FY25.

- Moving to OpenPlay, this segment's revenue and EBITDA stood at INR 32.9 crores and INR 0.8 crores effectively 9MFY 24 compared to 43.6 crores and INR 8.5 crores in 9MFY 23 respect ively. In July '2023 , a 28% tax on entry fees for Skill -Based Real Money Gaming was implemented effective from 1st October'23. The impact of increased GST cost has largely been absorbed by all industry players including Classic Rummy. While player deposits are inclusive of 28% GST paid to the government , the player still gets the full amount via a loyalty promotion bonus which can be used in the game . Post GST implementation , Classic Rummy recorded an EBIT DA loss in Q3FY 24 while Gross Revenue before netting loyalty promotion bonus is steady i.e. player activity has not reduced. However, Net Revenue is lower due to higher loyalty promotion expense. The added GST cost led to a n EBITDA loss in Q3FY24. With c lear GST policy guid elines Nazara will actively seek consolidation opportunities in the sector.

- Our esports segment grew by 24% year-on-year in 9MFY 24 and 27% year-on-year in Q3FY24. While EBITDA grew by much faster by 44% in 9MFY24 and 79% in Q 3FY2 4.

- Moving to Nodwin , the revenue for the quarter increased by 20% to INR 133.9 and grew by 17% year -on-year in 9MFY24 to INR 327.9. EBITDA was at INR -5.8 crores in 9MFY24 and INR -2.2 crores in Q3FY4. These numbers include Publishme which was acquired by Nodwin in October'23. The EBITDA loss during Q3FY24 is attributed to the gaming accessory business Brandscale Innovations which houses the brand Wings . To support upcoming product launches and expand into new markets including laptops , Brandscale requires a substantial injection of fresh capital for marketing and branding efforts. Nodwin has chosen to for ego further investment and relinquish control enabling Brandscale to seek growth capital from new investors. Nodwin 's shareholding remains unchanged but Brandscale will be treated as an associate in the consolidated financial reporting from February 3rd, 2024 . Large media rights have been pushed out going to consolidation in the Media, TV and OTT industry . However, Nodwin has been able to secure independent media rights for individual property. Each of these independent media rights are higher than previous years. Revenue per partner has increased from INR 1.63 crores per revenue partner in 9MFY 23 to 2.7 1 crores per revenue partner in 9MFY24. I would also like to highlight that these three acquisitions made by Nodwin, which are propelling the expansion of product offering and market presen ce.

- In October'23, Nodwin acquired 100% stake in Gaming Marketing Agency Publis hme for a sum of $2 million from its existing shareholder Nazara and Ozgur Ozalp . This acquisition will provide the essential tailwinds for Nodwin Gaming to drive its mission of leading the emerging markets market sports media landscape. In December'23, Nodwin invested INR 33 crores in Freaks 4U Gaming, a marketing services company for Gaming

 and esports , delivering its services across the world, especially in the PC games in develop ed markets. In January'24, Nodwin Gaming has announced acquisition of 100% stake in Comic Con India through a cash and stock de al valued at INR 55 crores. Nodwin not only looks to diversify its youth portfolio but to also expand presence in global entertainment space. Nodwin remains committed to its vision of becoming o

ne of the top three esports companies globally. The growth trajectory will be sustained through both organic expansion and strategic M & A aimed at enhancing capabilities in emerging and developed markets.

- Sportskeeda continues to have a stellar performance. We have reported a robust year-on-year revenue growth of 57% to INR 147.0 crores in 9MFY 24 and 68% in Q 3FY24 to INR 59.8 crores. EBITDA for the business improved to INR 51.8 crores in 9MFY2 3 (9MFY24) , a growth of 67% year -on-year, whereas for Q3FY 24 increased to 26.7 crores, which is a growth of 97% year -on-year. EBITDA margin for the business improve to 35.2% in 9MFY24 from 33% in 9MFY23. Though Sportskeeda continues to grow its revenue and EBITDA, in Q3FY24 its subsid iary Pro Football Network , a business we acquired in March '23, also reported a healthy margin bolstered by the ongoing NFL season. Both Sportskeeda and PFN continue to grow in the U .S. Sports Media market where Sportskeeda is ranked Number 6 in the sports domain in the U .S. and PFN is ranked Number 3 in the American Football Domain in the U .S. in December '23 as per similar web.

- Moving to Ad -Tech, our third segment. Over the past few years we have shifted focus from low margin work to securing high margin business clients. This strategic pivot resulted in a year -on-year revenue drop to INR 76.3 crores in 9MFY24 from INR 114.2 in 9MFY23. Despite this, our Gross Margin percentage saw a significant increase from 19% to 27% indicating an effectiveness of our strategy. Although our Gross Margins have improved , Datawrkz EBIT DA fell to INR 6.6 crores in 9MFY24 from INR 10.8 in 9MFY23. T his decrease reflects our heightened investment in sales and marketing including team overheads and commercial events. These investment s, particularly during Q3FY24, has significantly enhanced our sales pipeline leading to improved conversion rate and establishment of crucial partnership.

- With this, I will close my remarks here and I'd like to open the call for Q&A. I request Nitish, Sudhir and Rakesh Shah to join me for the Q&A.

- Mr. Nitish Mittersain:

- Thank you, Anupriya, for that. I'm going to actually ask our Chief Operating Officer, Sudhir Kamath, and Anupriya to step up to answer the questions today and I also would jump in where required. So, let's get started.

- Moderator :

 - Thank you very much. We will now begin the Question & Answer session. Anyone who wishes to ask a question may press * and 1 on their Touchtone telephone. If you wish to remove yourself from question queue, you may press * and 2. Participants are requested to use handset while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

- The first question is from the line of Nitin Jain from Fairview Investment Private Limited. Please, go ahead.

- Mr. Nitin Jain - Fairview Investment Private Limited :

- Yeah. Thank you for the opportunity and congratulations on the good execution in Esports and Animal Jam. So, I wanted to dwell a bit on the Kiddopia business. So, despite all your efforts the subscriber growth it's not picking up as expected, so what do you think would be the reason behind that? Like is it the product or is it the cohort that we are addressing in terms of their propensity to spend? Or let me put it this way, like are there any learnings from Animal Jam that we could replicate here?

- Mr. Nitish Mittersain:

- Sudhir, let me take this one. So, I think for Kiddopia, right, the challenge is not at all on the product or the consumer behavior or the penetration of the market. I think it's a very simple challenge of being able to acquire users effectively at the cost that we are willing to pay. So , I think , that is where the challenge we have faced . In this year, we have tried a lot with the main Ad n

etwork but with these Q3 number s also we're not able to achieve success.

- So, two things we are doing. We are moving or we've actually moved as of December into some other ad networks which we are hopefully will be more effective for us and the team is working on that. But I think we also need to move beyond linear user acquisition into other ways of acquiring users. One thing we are quite excited about is, licensing Popular IP. So, today if you see Kiddopia or Animal Jam, both these games are 100% original IP games but we have seen that many companies in this space and the kids space globally are doing much better when they are licensing Popular IP of well -known characters from companies like Hasbro or a Mattel or a Disney and a lot of these companies we have spoken to and they're very keen to work with us because our quality of product is well proven. So, we are hoping to execute some of the opportunities in the coming one or two quarters. That will allow us to boost user acquisition through organic needs and not just through paid UI . So, I think , that could be a potential game changer for us, which we are very actively working on.

- Yeah, I hope that answers your question.

- Mr. Nitin Jain - Fairview Investment Private Limited :

- Yeah, that's good. And just to continue on the Kiddopia bit, so there was a plan to roll it out to other geographies. So, what would be the status of that project?

- Mr. Nitish Mittersain:

- So, we have at this point of time continue to focus a lot on getting the core business stable. Look, I think, North American market has capacity for a user base to double. So, we need to get that right before we focus elsewhere. We do have experiments running in markets like Japan, we have seen some success but we really haven't doubled down because we want to solve the core problem.

- Mr. Nitin Jain - Fairview Investment Private Limited :

- Okay, thank you and all the best.

- Moderator :

- Thank you. A reminder to all participants, you may press * and 1 to ask question.

- Next question is from the line of Manan Palodia from MKP Securities. Please, go ahead.

- Mr. Manan Palodia - MKP Securities :

- Hello. Hi, good morning. Am I audible?

- Mr. Nitish Mittersain:

- Yes, Manan.

- Mr. Manan Palodia - MKP Securities :

- Yes. First of all, congratulations on posting a stellar set. Firstly, my question is also on the Kiddopia bit. I just wanted to understand, this bleak that we're seeing in terms of subscriber degrowth, etcetera and I understand you've made a hardship from an acquiring platform, can you give me some color on why the churn has happened? I understand the new user acquisition being an issue but the churn rate I'm not really sure. So , what's the situation there?

- Mr. Nitish Mittersain:

- Sudhir.

 - Mr. Sudhir Kamath :

- You want to take this?

- Mr. Nitish Mittersain:

- Yeah, I'll take it. I'll take it. So, you know, what happens is that when our spends are running well, we acquire new users but the existing users who have elapsed also get reactivated. So, when you see a churn number, you see a net churn number which includes activation and reactivation because our overall spends in this quarter have gone down significantly. The reactivation s have dropped, which is why you are seeing a little higher net churn.

- Mr. Manan Palodia - MKP Securities :

- Correct, I understand that. My second question is on the Wings acquisition that we made a while back and last quarter also I'd spoken to you and I asked you about the purchase of stock and trade line item and we had purchased some, I think , 64-65 crores worth of equipment for the Wings platform and we were supposed to sell it in the festive season, etcetera. Can you give us an update about the perform

ance of how that went?

- Mr. Nitish Mittersain:

- Okay. So, I'll just repeat my answer. So, Diwali was reasonable for us and our inventory levels have come down but (inaudible 22.16 -22.22). One is, there are seeing a lot of opportunity and initial success in areas such as laptop (inaudible 22.30 -22.31) and we just felt that this was going a bit more away from where the core business is. (inaudible 22.41)…

- Moderator :

- Nitish Sir, we're still not able to hear you.

- Mr. Sudhir Kamath :

- Nitish, I think let me just step in on this one. Manan, so I just want to put that again. I'm not sure if you could hear Nitish clearly. Wings, there are two things. I think one is, your question was around inventory. Inventory levels have come down over the festive season. Overall, it went very well for them and especially laptops as a category , which they had launched, went very well.

- However, for us the big ger question with Wings has been so direct ionally, I mean, the growt h for them is in segments which are away from the core Esports (inaudible 23.17) which we had entered. So, laptops, for example, is not really connected to the esports

10 business and that's more of a generalist use case. So, that's probably what you also see in an announcement which was put out 2-3 days back where Nodwin has decided not to take up its option to take majority control of that business.

- Does that answer the question?

- Mr. Manan Palodia - MKP Securities :

- Yeah -yeah, I think it does. Thank you for answering that question. My last question is with regards to the Sportskeeda and Nodwin numbers. From what I understand that this was a seasonally strong quarter, especially for Nodwin as well as Sportskeeda, due to the PFN thing. I just wanted to understand how should we look at number s going forward? Like is this something that would seasonally be weak or strong? Or from here do we see bluer skies going forward?

- Mr. Sudhir Kamath :

- No, I think, in general if you look at the last few quarters as well, Sportskeeda has consistently done well in all the quarters and we expect this to very much continue . That said, there is seasonality in the business. So , Q4 might be lower than Q3 but Q4 will definitely be much better than Q4 of the previous year. So, growth is definitely there .

- For Nodwin as well , I think , the long term trend is clearly high and continues to upward looking and good .

- Mr. Manan Palodia - MKP Securities :

- Right. Understood. Thank you. Thank you so much, guys, for answering my questions.

- Moderator :

- Thank you. A reminder to all participants, you may press * and 1 to ask question.

- Next question is from the line of Raj Joshi from A ce Securities. Please, go ahead.

- Mr. Raj Joshi - Ace Securities :

- Thank you, Sir, for the opportunity. Sir, I have a couple of questions. Our Ad Tech business is still facing challenges, how do we look at growing this business?

- Mr. Sudhir Kamath :

Thanks for that question, Raj. I think, as we have said in the previous con call as well, we see this business as leading a more fundamental shift away from some of their low

11 margin businesses which were there earlier to a slightly higher margin businesses on the services side as well as on some of their product businesses. That switch takes time. It's the fundamental reset of the DNA of the company, the organization structure, etcetera. So, what you would have seen in the last quarter as well as in this quarter is there's overall revenue degrowth but most of that degrowth is on the lower margin businesses which we are moving away from. So , at the gross contribution level the percentages have improved quite dramatically on a quarter -on-quarter basis . Gross margin on product from 20% to

31%. Post Gross Margin , we then look at the investments that we make into the marketing team and marketing event and that has resulted in the that is what we expect to actually drive the growth of this business in the coming quarter as well and we think that we are on track with that part and the team will execute it as per the plan.

- Mr. Raj Joshi – Ace Securities:

- And my other question is, how do you look at the organic growth for FY25?

- Mr. Sudhir Kamath:

- For Adtech business or Nazara Group?

- Mr. Raj Joshi – Ace Securities:

- For both.

- Mr. Sudhir Kamath:

- From the Adtech business side as well, I think a lot of investment has gone in this year into the marketing team and events there has started delivering in terms of new clients . And that too was a great contest time for significant and became a more fruitful Adtech as you saw but next year growth to come from that business. On the product business, that has started delivering good results. It's still early days for that business but initial set of clients , that have started increasing and there's high stickiness of those clients . All that has been quite positive, we see that very positively for the coming years. Overall , at Nazara, I think organic growth will be strong across the board is what we feel. As Nitish said in his opening remarks, we are sitting on a lot of capital which will be deployed towards M&A. So , we do expect bo th organic and organic growth in the coming years.

- Mr. Raj Joshi – Ace Securities:

- Thank you Sir, that's it from my end.

- Moderator:

12 - Thank you. Next question is from the line of Rahul Jain from Dolat Capital. Please go ahead.

- Mr. Rahul Jain – Dolat Capital:

- Hi! Hope I am audible.

- Mr. Sudhir Kamath:

- Yes Rahul

- Mr. Rahul Jain – Dolat Capital:

- I have a few questions. Firstly, on Animal Jam I have seen, we have seen improving growth out here. What is the right benchmark given where you are at the stage in terms of monetizing it? Can we see a 15 -20% kind of a growth potential here on or we still would have to monitor in a non -seasonal quarter to understand what kind of a growth it can?

- Mr. Sudhir Kamath:

- In Animal Jam, a lot of effort in the last year was around fixing the processes and structure of how they were doing analytic s, how they were doing user acquisition, what puts monetization in play . A lot of those things are in place and in December, they delivered one of the best ever events in the game which they called "wishing well" . Now all of these basic s are now in place and they are beginning to see good scale -up now in terms of user base as well as monetization. We do expe ct that therefore this, you said 10% to 15% growth , that kind of growth should be deliverable in all the quarters on a year-on-year basis. But we would like to wait for at least one more quarter to see how it performs in a non-season quarter as well. Then we can give more confidence on that. But directionally I think we are there now.

- Mr. Rahul Jain – Dolat Capital:

- Got it. On the Nodwin business, you have mentioned that brand scale side where we basically would is it safe to assume that we would see improvement in EBITDA margins starting Q4 since it could not be consolidated and what will be the stake for us over time as you have also highlighted that they may be raising more money in that or we will be retaining our stake or we may also see dilution over time?

- Mr. Sudhir Kamath:

- In terms of impact of EBITDA, I think it definitely will be possible, will be positive starting from 10 to 20, in that territory. We have not broken up like that numbers of

 revenue and EBITDA at this point so we cannot share the details but it will be a positive impact on profitability

for Nodwin. Can you please repeat the 2nd question?

- Mr. Rahul Jain – Dolat Capital:

- 2nd part was that, we have mentioned that the reason we have done this is they have some different plans now or expanded plans and they may need more capital so which would mean that we may get diluted over time or we would also participate in subsequent round out there?

- Mr. Sudhir Kamath:

- I think those calls we will take as and when. The call we have taken is that, we have not retain ing the right to majority or the right to appoint the majority of the directors partly. That right we have given up. Nodwin is currently at about 40% of brand scale. It will become an associate for us. We can let it dilute as well but we could continue to invest as well. So, options are open and it depends on t he Company on the decision the company takes, how much capital it needs, which other investors are.

- Mr. Rahul Jain – Dolat Capital:

- Got it. On the real money gaming business, what is the right roadmap to look at in this business here on and also any inputs you could share on the potential risk from GST liabilities that we saw on media for at least some of our peers. So what are the forwarded status for us and potential output?

- Mr. Nitish Mittersain :

- I will step in here. Is my voice clear?

- Mr. Rahul Jain – Dolat Capital:

- Yes, I can hear you Nitish.

- Mr. Nitish Mittersain :

- Ya, ok. 2 aspects on the R MG side. One is stabilizing our own business and we have seen some positive traction there but we need another quarter there to get that done. In terms of M&A, we are talking to a few people and see ing what opportunities for us to potentially consolidate in the market. And 3rd in terms of GST liability as you know, the industry, it's been a large industry issue where there have been notices sent for tens and thousands of crores to RMG companies. We have 2 RMG companies – Openplay and Halaplay. We did get summons for both of them and we had supplied relevant information. If there is any further development, we will share with the market at the

 appropriate time but it is important to remember that the scale of our business in RMG is much smaller than many of the people who are sitting on very large claims . Overall we think that hopefully over a period of this year, we are quite hopeful that these retrospective (inaudible 33.27) will follow up, the courts will take the right view over it but that's the right status.

- Mr. Rahul Jain – Dolat Capital:

- Got it. One question on the Telco business. We have seen some increase in losses here. Is it pertaining to some increase in corporate level expenses or is it more to do with the initiative towards Nazara Publishing?

- Mr. Nitish Mittersain :

- Ya, it is not specifically to do with the telco business but some of the expenses have moved within that. I think it's more one-off expenses that you are seeing showing some losses there.

- Mr. Rahul Jain – Dolat Capital:

- Got it. That's all from my side.

- Mr. Nitish Mittersain – CEO & JMD, Nazara Technologies Limited:

- Thank you.

- Moderator:

- Thank you. A reminder to all participants, you press star and 1 to ask question. The next question is from the line of Rohit Mehra from SK Securities. Please go ahead.

- Mr. Rohit Mehra – S.K. Securities:

- Ya, thank you for the opportunity. The 1st question from my side is Q3 for Nazara is expected to be better in terms of quarter and number of events as well. What has led to the lower growth in media and revenue and content view?

- Mr. Sudhir Kamath:

- I think the 1st point as everyone knows BGMI is now back and (inaudible 34.54 -34.57) we have expected media (inaudible 34.59 -35.02). However , there is a lot of churn as you know in the overall media sector as well with the Zee and Sony and Star etc.

which are
going. What it seems is there is a little bit of reluctan ce to look at very large scale across the board kind of media deal. The problem that we must focus on in this quarter is more

15 individuals, smaller deals property. Growths have been happening in better terms than the previous year. The bigger kind of media transaction is not yet happening. We do expect it in the next few quarters.

- Mr. Rohit Mehra – S.K. Securities:

- Got it, ok. And my next question is, we have good cash in hand. How do you look at deploying the same? Which areas are we focusing on?

- Mr. Sudhir Kamath:

- I think we have a very clear laid out strategy which is look at business having growth poten tial and where we see a very clear cash flow and growth both. We are looking businesses across all three of our segments . So, you already would have seen some announcements coming in from Nodwin over the last few days and on both gaming as well as Adtech , there are multiple opportunities we are looking at over the last few months. And Nitish said, we do hope to get them to the logical conclusion in the coming quarter, but the pipeline is very good this quarter as well.

- Mr. Rohit Mehra – S.K. Securities:

- Ok. And how should we look at the growth in WCC over the longer term because it has been a fairly narrow range . Obviously , the monetization has not been that positive as of now. Can you share some views?

- Mr. Sudhir Kamath:

- I think on the WCC as well, these are historic business around WCC 2 and WCC 3 (inaud ible 36.56 -36.58). And those have been value center range bound . I think the longer -term plan if you look at, there is a significant reset of those games as well as new games that gets launched by the studio and the last couple of quarters. And the last couple of quarters and this quarter as well, there are more product development changes. We do expect next year to be a significant growth year but but I think we should look at that in Q1 or Q2 of next year once we actually have results to talk about .

- Mr. Rohit Mehra – S.K. Securities:

- Ok, that answers my question. That's it from my side. Thank you and all the best.

- Moderator:

- Thank you. A reminder to all participants, you may press star and 1 to ask questions. the next question is from the line of Manan Puladia from MKP Securities. Please go ahead.

 - Mr. Manan Puladia – MKP Securities:

- Hello, hi! Am I audible?

- Management:

- Yes.

- Mr. Manan Puladia – MKP Securities:

- So my 1st question is, on the Nodwin side, I am not sure if we are used to earlier but if I could please know the break -up for the content views quarter by quarter for this year?

- Mr. Sudhir Kamath:

- We don't have the numbers off hand but we will get it across to you after the call. We do have it broken out at each of our quarterly presentation . You could just look it up.

- Mr. Manan Puladia – MKP Securities:

- Ok, I will look that up afterwards. My 2nd question is with regards to, there is a statement that you put on slide no.26 where you said these large media brand deals have been postponed due to consolidation in TV and OTT . And the revenue is also some 50cr. vs. 68 for year-on-year. If you can say how we can see this in the next 6 -9 months going forward with respect to the large deals that you have spoken about?

- Management:

- Yes. I think in the previous year there was a large deal for example with Star TV which was not specific to one event was but also pulled in (inaudible 39.14 -39.18) put it together . So, those kind of deals are not yet started happening again . So far , we are still looking at more deals which are individual event and their media rights (inaudible 39.28 - 39.29). We expect to go back to the larger deals in the co

ming quarters but we cannot say
about t hese deals will happen in this quarter on next quarter.

- Mr. Manan Puladia – MKP Securities:

- I understand that. As far as IPs go, we are pushing from what I understand, more IP this year than they did last year. Right?

- Management:

- Absolutely, yes.

 - Mr. Manan Puladia – MKP Securities:

- Ok, perfect, thank you.

- Ms. Anupriya Sinha Das:

- If I can just add there, sequentially what we have seen is that revenue from a particular IP has been grow ing, if you see the revenue per partner which is an indicative for all media rights and brand sponsorship partner so the revenue per partner has steadily increased. So that is a good positive for us.

- Mr. Manan Puladia – MKP Securities:

- There is a follow -up – I just wanted to understand what sort of traction are we seeing on the sponsor end and the media? Is there more excitement about esports per se or is there more interest in partnering with you guys to do IPs or either sponsor your IP s?

- Ms. Anupriya Sinha Das:

- We continue to see increased interest. An indication from that as I mentioned about the revenue per partner is increasing. So while we don't share IP wise trajectory, we have seen a sequential increase.

- Mr. Manan Puladia – MKP Securities:

- Just one last question – there has been many competitors that have come up for Nodwin like Skysports or somebody else or Villager e sports etc. They have been taking some smaller IPs from the publisher that is invested in u s, that is Krafton, right . They still have been getting some of the smaller IPs that are publisher backed. I am just curious what the industry structure should look like and how we should think about it? Are we going to get most of the bigger IPs and the smaller IPs will keep on going to the se smaller players?

- Ms. Anupriya Sinha Das:

- Sudhir, do you want to take it or should I take it?

- Management:

- Go ahead.

- Ms. Anupriya Sinha Das:

- Ok. At Nodwin, our effort is to create IPs across the levels. Right? Grass root, national international and give people that opportunity to create heroes and become larger

 international part while creating those grass root level IPs and efforts will be on that trajectory and historically we have also done that. In terms of the mix of revenues, white labels and other IPs, white labels predominantly IP s provide s us with good margin support but at the same time our efforts go on increasing our own IP in that sense which gives us nonlinear ity in revenue s and EBITDA to come. So the efforts will be on both sides – building the grass root level IP which proliferates esports in the country and at the same time grow international IPs as well.

- Mr. Manan Puladia – MKP Securities:

- Ok, I understand that. Thank you Anupriya. Thank you Sudhir. Bye.

- Mr. Sudhir Kamath:

- I will just add a little here. I know there's a question on a row, but I think there's a bunch of IPs like many of these are bigger IPs like College Rivals . Many of these are the bigger IPs in this space and we continue to focus on those as well as adding on new IPs . We also saw the announcement around Comic Con India which is again a very well know property and Nodwin coming in coming into the pop-culture space .

- Ms. Anupriya Sinha Das:

- And we continue to be the market leader by disproportionate basis in India and other markets.

- Moderator:

- Thank you. A reminder to all participants, you press star and 1 to ask question. The next question is from the line of Raj Joshi from A ce Securities. Please go ahead.

- Mr. Raj Joshi – Ace Securities:

- Thank you Sir again for the opportunity. Sir, I would like to understand what is the scaling opportunity of the recent acquisition done by Nodw

in?

- Management:

- I think each of the propert ies that you must have seen in the recent past have a lot of potential. Nodwin has a focus there on taking well known IPs and then growing further. In the last, if I take a slightly broader view over the last year, it started with Singapore one which was branded which actually started showing growth already. Then there is Publish Me which covers of middle east. There is Comic Con which happened this year and Freaks 4U which is more western facing and also gets into PC gaming.

- Now all of these are going to bring different growth levers for us. They all have strong legacy of many years . They all have strong customers and I think what Nodwin will be able to do is to grow and leverage in other markets or for example bringing in branding partners or customers who may be present in one geography and are looking for other geographies and they can actually leverage them with other properties in those geographies as well as capabilities . So, it is a So it is a fairly strong growth play that Nodwin is making here, and will continue to do so.

- Mr. Raj Joshi – A Securities:

- Thank you Sir.

- Moderator:

- Thank you. A reminder to all participants, you press star and 1 to ask question. The next question is from the line of Jinesh Joshi. Please go ahead.

- Mr. Jinesh Joshi – Participant:

- I have a question on our classic rummy business. I think we absorbed the GST impact in this quarter and hence our EBITDA was into the negative territory and now if I remember right, in the last earnings call we had mentioned that perhaps we may be able to achieve breakeven in 42. But my question is, despite absorbing the GST impact, we had seen the revenues fall by about more than 50%. If we are planning to achieve a breakeven in the next quarter, do we plan to pass of the GST impact and in that case, what will be the consequent impact on revenue. And also a related question is that, we are looking at consolidation opportunities in this sector although the policy guidelines are quite clear right now but given the impact on revenue and profitability which we are seeing, I mean what exactly are we looking out in terms of big opportunities in this space is what I want to understand?

- Mr. Nitish Mittersain:

- I am going to take that answer Sudhir, Nitish here. So two things - I think, one is very important to understand that the actual business of Classic Rummy has n't fallen in this quarter as the revenues presented showed a significant drop and the reason for that is, consumers have continued because GST is completely absorbed by us , consumers continue d to play in the way they were paying earlier and therefore we haven't seen any significant drop in consumer traction. The amount of money being played with is the same. The reason that revenues are lower is because we have issued bonus to the consumers to offset the GST cost and as per our accounting standards, we are now deducting the bonus from the revenues to display net revenues. So I think that's why you are seeing a larger fall in the revenues versus the actual business in itself. Hopefully that

20 will stabilize over a period of time. We can reduce this bonuses that we are issuing as the market also evolves. In this competitive thing, we need to see what our competitors are also doing etc. We expect that to start normalizing in the quarters to come.

- In terms of consolidation, we are actually actively at what are the opportunities. I think one thing we need to look at is about the restrospective liabilities that these companies are carrying and in any consolidation move, how do we ensure that they not get carried over to our companies. We are have lawyers looking at all these aspects and in the due course we will take some action

if it is appropriate for us.

- Mr. Jinesh Joshi – Participant:

- Sure Sir. My 2nd question is on the media right business. I understand we stated that there was some deferment in deal but can you share which all OTT partners are we currently negotiating with and what kind of escalation can we see in the next year , atleast in terms of media rights?

- Mr. Nitish Mittersain:

- I will answer that again. I don't think we want to disclose specific partners at this point of time because it is competitive information and we cannot share in competition. But we do see a lot of interest. the team has been building a strong pipeline and especially on some of our exclusive IP led playground, you will see, for example Amazon did season 1 and season 2. They will be making an announcement for season 3 very soon where the rights are going to be again sold at a premium. So I think the trajectory is in the right direction.

- Mr. Jinesh Joshi – Participant:

- Sure Sir. One last clarification is required – I think we have mentioned that we will not invest more in brands cale but our shareholding will remain unchanged and we will remain as an associate and consolidation will not happen. So the question is, if the shareholding is unchanged, why is the accounting changing?

- Mr. Nitish Mittersain:

- So basically today we had an option at our discretion to increase the stake to majority. Right? And because we took a view that we do not want to invest more, we waived that options so that the company can raise money from external investors because we have waived the option to increase our holding in the company. We have lost the rights to consolidate the business as per the Indian accounting standards.

- Mr. Jinesh Joshi – Participant:

- Got that Sir. Pretty clear from my side. Thank you very much and all the best.

- Moderator:

- Thank you. A reminder to all participants, you may press star and 1 to ask question. As there are no further questions, I would like to now hand the conference over to Mr. Sudhir Kamath for closing comments.

- Mr. Sudhir Kamath:

- Thanks everyone for the questions and thanks especially to Jinesh and his team at Prabhudas Lil ladher for hosting this . Just to summarize for the quarter, I think we have a very robust platform for future growth . We are quite optimistic that we will be able to deliver good results in the coming quarters and we are on course to continue with a profitable growth trajectory . We remain steadfast in our commitment to make Nazara play a very substantial part in India's quest to become a global gaming powerhouse. Thank you, everyone. Thanks for the time and look forward to having good interactions in the coming days and coming quarter. In case of any further queries, please do get in touch with us or with SGA, our investor relations advisor. Thanks and have a good day, everyone.

- Moderator:

- Thank you. On behalf of Prabhudas Liladher Pvt. Ltd., that conclude s this conference. Thank you for joining us and you may now disconnect your lines.

- END OF TRANSCRIPTION

Call: May 2024

Nazara Technologies Limited

Nazar aTM

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May 31 , 202 4

To,
Listing Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai - 400 001.
Scrip Code: 543280 Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1. G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400051.
Scrip Symbol: NAZARA

Subject : Transcript of the Investor/Analyst Earnings Call held on May 27 , 2024

Dear Sir/Madam,
In furtherance to our letter dated May 27 , 202 4 regarding the audio recording of the investors earnings call for the quarter and financial year ended March 31 , 2024 , please find enclosed herewith the transcript of the said call. The Transcript is also available on the Company's website i.e. www.nazara.com .

We request you to take the same on record.

Thanking You,

Yours faithfully,
For Nazara Technologies Limited

Varsha Vyas
Company Secretary and Compliance officer

Encl: A/a

"Nazara Technologies Limited Q4 FY24 Earnings
Conference Call "

May 2 7, 202 4

MANAGEMENT : MR. NITISH MITTERSAIN – CEO & JOINT MANAGING
DIRECTOR , NAZARA TECHNOLOGIES LIMITED
MR. SUDHIR KAMATH – CHIEF OPERATING OFFICER ,
NAZARA TECHNOLOGIES LIMITED
MR. RAKESH SHAH – GROUP CHIEF FINANCIAL
OFFICER , NAZARA TECHNOLOGIES LIMITED
MS. ANUPRIYA SINHA DAS – HEAD OF CORPORATE
DEVELOPMENT , NAZARA TECHNOLOGIES LIMITED
MODERATOR : MR. ABHISHEK KUMAR – JM FINANCIALS

Moderator: Ladies and gentlemen, good day and welcome to Nazara Technologies Limited Q4 and FY24 Earnings Conference Call hosted by JM Financials.

As a reminder, all part icipants line will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Kumar. Thank you and over to you , sir.

Abhishek Kumar : Thank you. Good morning, everyone. Welcome to this call to discuss 4h Quarter and FY24 Results for N azara Technologies.

We have with us the Management Team of Nazara represented by Mr. Nitish Mittersain - CEO and Joint Managing Director ; Mr. Su dhir Kamath - Chief Operating Officer ; Mr. Rakesh Shah - Group Chief Financial Officer and Ms . Anupriya Sinha Das - Head of Corporate Development.

With that introduction, let me now hand over the call over to Nit ish for his opening remarks.

Nitish Mittersain : Hi, good morning everyone. Let me start with a summary of our "Performance " for the Financial Year ending 2024 . FY24 :

Our revenue from operations increased by 4.3% year-on-year to INR 1 ,138 crores. We saw EBITDA growth of 16.5% to INR 128 crores with our EBITDA margins improving by 110 basis points to 11.2 %. Our PAT from continued operations grew by 41% to INR 89.5 crores and most notably, and what is important for us, our operating cash flows increased to INR 131.4 crores in reflecting the company's strong underlying fundamentals.

This year , we have arisen successfully between the parent entity and our subsidiaries INR 950 crores of equity capital marking our largest fundraise to date and resulting in a net cash balance of approximately INR 1 ,450 crores. We took many key initiatives this year. It includes our new publishing platform , new game launches, IP partnerships and a strong M &A pipeline . And many of these are expected to yield results in FY25 and beyond. Our subsidiaries have been successfully executing our M &A strategy, notab ly Absolute Sports, which runs Sportskeeda acquired Pro Football Network in March 23 and has doubled the business of this company and turned it profitable.

Next, we have recently acquired UTP, a casual card game, and NODWIN Gaming has acquired Comic Con India, which is a very popular youth IP. In 2024, we have taken significant steps to lay a foundation for accelerated growth in coming years, with the target of achieving an EBITDA of at least INR 300 crores in FY27. We are optimistic about FY25 anticipating faster growth in both revenue and EBITDA and the impact of many of our initiatives should be visible from Q2

onwards . With substantial cash reserves and a strong M &A pipeline, we are well positioned to seize further growth opportunities and enhance our trajectory through strategic M&A over the next 12 months. With that, I now hand over the call to Anupriya, our Head of Corporate Development for further business highlights. Thank you and over to you, Anupriya.

Anupriya Sinha Das : Thank you, Nitish. Good morning, everyone. I hope I am loud and clear.

Nazara operates across three business segments :

• Gaming .
• Esports .
• Ad Tech.

We are well diversified across demographics, geography and business models.

In FY24, Gaming contributed to 36% of our revenues and 53% of EBITDA, while Esports contributed 55% of revenues and 41% of EBITDA. Ad Tech accounted for the remaining share .

Gaming which includes Gamified Early Learning, Skill Based Real Money Gaming , Freemium and Tel co Supplements . This segment s revenue remained stable compared to FY24, while EBITDA grew by 13 % with margin

expanding to 19.9%.
Within Gaming, Kiddopia , the FY24 revenue was stable, while EBITDA grew by 57% year-on-year. Q4 revenue declined by around 12% to INR 60.9 crores, while EBITDA increased to Rs. 11.7 crores. The flat revenue but higher EBITDA refle cts strong core profitability as we maintain tight control on user acquisition spending. We are exploring growth opportunities like IP licensing to expand the game beyond current user acquisition efforts. Lower user acquisition spending led to a higher rate of subscriber base decli ne in this quarter, while ARPU increased by around 1% quarter -on-quarter in Q4 FY 24.
Moving to Animal Jam :
FY24 revenue was INR 95 crores with EBITDA of around Rs. 19 crores. Q4 revenue increased by around 7% to INR 24 crores with EBITDA going to INR 2.9 crores. Q4 revenue was bolstered by the success and monetization of Wishing Coins. Wishing Wells was introduced in the Animal Jam to enhance player engagement. W ildWorks is exploring integrating popular IP s into Animal Jam to drive user acquisition and is also working on a major new game set to beta -launch ed in FY25.
Moving to World Cricket Championship :
FY24 revenue was around INR 22 crores with EBITDA of around INR 4 crores. Next, we have plans to launch new game within Q1 to expand beyond its current scale. Open Play FY24 reven ue

and EBITDA stood at INR 37.4 crores and INR 2.1 crores respectively. The new GST regime since October 23 has impacted the entire real money gaming industry profitability. Our focus has been on improving operating efficiencies through new product launches and cost optimiz ation . We are exploring consolidation in the R&D space following regulatory clarity.
Our E sports segment grew by 19% year-on-year in FY24 and 6% year-on-year in Q4 FY 24, while EBITDA grew much faster by 51% year-on-year in FY24 and 71% year-on-year in Q4 FY24.
Moving to NODWIN :
The Q4 revenues decreased by 9% to INR 99.1 crores, while FY24 increased by 10% year-on-year to INR 427 cr ores. During FY24 , NODWIN raised INR 190 crores from strategic investors and made several acquisitions including Comic Con India, Publis h.Me, Ninja , Freaks4U, which is an investment branded and the IP related to Playground . These investments are part of its broader strategy to dominate the E sports and Youth Media space. The financial impact from these acquisitions will reflect in FY25 and beyond.
Sportskeeda reported a robust year-on-year revenue growth of 60% to INR 196 crores in FY24 and 71% year-on-year growth in Q 4 FY24 to INR 49 crores. EBITDA grew by 67% year-on-year to INR 65 crores in FY24 and by 67% to INR 13 crores in Q4 FY 24. Sportskeeda's subsidiary Pro Football Network, acquired in April 2023, reported stellar revenue growth of 112% year -on-year in Q4 and has been profitable each month since September 202 3. Ad Tech FY24 was a reset for data works as we shifted focus from lower -margin clients to h igher-margin clients and product business . This strategy pivot resul ted in the revenue drop from IN R 153 crores in FY23, INR 104 crores in FY24. Gross margins improved from 19% in FY23 to 27% in FY24. We continue d to invest in product development and increased marketing efforts, especially in the US market, expecting these investments to show results in FY25. This led to a decrease in EBITDA margin from 8.8% in FY23 to 8% in FY24.
With this, I conclude my remarks and we will now open the call for Q&A. I invite Nit ish, Sudhir and Rak esh to join me for this session.
Nitish Mittersain : Anupriya , we will have Sudhir, Anupriya, Rakesh and myself answer all the questions you may have. So, let us please start.
Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Deep Shah from B &K Securities. Please go ahead.
Deep Shah : The first quest

ion is around Esports, so this quarter we really didn't have any game ban impact and neither did we and also we had a favorable base because I understand BGMI was banned in the base quarter , now, could you help us understand the organic NODWIN, the Esports piece, because if we remove brand scale deconsolidation, what is the net impact and ideally we were

thinking that this is a business which could grow much faster, right, maybe 20 %-30%. So, if we could help us understand what is happening there ?
Nitish Mittersain : Let me answer that. So, basically, I think what we have found is that with games getting unbanned , many of the properties are coming back ; however, there is a lag effect, so we expect much of the upside or the reflection of these games coming back to be seen in FY25 versus

FY24. I think the other side, especially on Media Rights, FY24 second -half has not been a great time because everything that is happening in that world. The OT T players, given the start up funding crunch have struggled to raise capital and therefore have kind of slowed down media spends and also everything that is going on with the TV channels and the large media companies that kind of slowed down that process. But that said, we personally expect FY25 to come back very strongly on Esports and are very bullish. We have seen also some good signs, for example, our playground IP is really taking strong footing. We have seen, I would say, season 3 doing very well. We have also see n international demand for that IP. So, I think on the whole, we are feeling very optimistic that FY25 wil l be a much stronger year for Es ports given everything we have done in FY24.

Deep Shah : So, just a follow up there, so we had some plans of having international tournaments, so any update on that and the second follow up is the fact that you alluded for the stagnation or sluggish media revenues , they are likely to remain for foreseeable future, right. So, if we have the viewership and we have the kind of players, then we should be able to get away despite these problems. So, I was just trying to understand that with B GMI is the kind of traction we see on the ground, it seems very di fficult to say that no OTT player or rather the kind of viewership we can generate that we are not able to win media deals , so one on the international front and second is this changing? What is t hat catalyst which will lead to this change ?

Nitish Mittersain : Yes, I think on the international front, we are definitely making large moves. If you would have seen in the last quarter or I think this was December quarter , NODWIN made an investment in Freaks 4U, which is the largest Esports player tournament organizer in Europe. And along with that team, there are a lot of international activities going on, which you will keep hearing in the coming quarters and especially, see a lot of expansion in international activity in FY25 on the Esports side. I think you are right in terms of the ground level activity like I have referred, we have seen Playground do very well for us. We are hopeful that the other tournaments in FY25 will scale in terms of user base , in terms of audience and we will breakthrough this glass ceiling of where the media rights are at this point of time. That said, our FY25 growth numbers are not entirely subject to media rights, we are seeing many other monetization opportunities and therefore feel that we will grow a lot more than wh at we have grown in FY24 on the NODWIN side.

Deep Shah : The second question is on the Ad Tech business. So, I fully understand the challenges in US and it is actually terrible what we have done in terms of focusing on better customers. But where do we see this process stopping and then we are reverting back to growth because at every stage

you have customers who are lower margin vis-a-vis your branded margin, right. So, even today you will have some customers who will be lower than your reported gross margins. So, when do we see this revenue declines, margin optimization process stop and then growth returning with stability margins ?

Nitish Mittersain : We are backing that Q2 onwards of this year. We should be able to achieve our growth status on the Ad Tech. I think again we have done a lot of groundwork there and FY2 5 should bounce back on go to growth both in terms of revenue and EBIT DA.

Deep Shah : On the Kiddopia front , we ha ve seen elevated levels of churn, about 7% monthly churn, which practically means that since we took the tariff hike to $8, about 60% of our customers would have churned out and then because we net lost 16,000 customers, about 120,000 would have come in as fresh, but we haven't really seen ARPU trends improving. So, if you could help us understand what is happening there ?

Sudhir Kamath : So, I think actually the net churn, not the churn from the previous month only , so it is not actually correct to say , only old users or not. It also happens that you have trials which have come in and people who can after a month or two may discontinue. So, the churn is the net effect and the older customer s do still continue on the older price point, so partly is that. Partly it is also there will be periodic small discounts etc. , because of which ARPU doesn't t ranslate fully. So, I think that is the basic reason. But overall if you see the last few quarters you would see there is an upward trend on ARPUs, and we expect that to very much continue.

Moderator : Thank you. The next question is from the line of Abhishek B from ICI CI Securities. Please go ahead.

Abhishek B : First, is there any clarity now on the acquisition pipeline? I think Anupriya made a comment about awaiting regulatory clarity on RMG , does that mean only when the government comes? In terms of clarity, they have already provided, right , are you trying to wait for a reversion of the GST rates? What is the thought process there and in terms of segment other than R MG in the gaming space, are you looking at any acquisition there and what would be the timeline i f any?

Nitish Mittersain : So, I will answer that. So, I think clearly M&A is the top priority for us. We have a very strong team that we put together especially in FY24. We have done a lot of activities to build a strong M&A pipeline which includes for the first time really going out very aggressively globally, participating in a strong manner in, for example, game developer conference in the US, which is the largest gaming conference in the world and making our name out there and it has been taken with a lot of g reat response , I would say . People are looking at Nazara as a really potential consolidator of their businesses, not only in India but also in markets like the US which throws up very good opportunities to us. In the last few months , we have been in advanced conversations with many companies. At this point of time, we at least have 4 -5 ongoing diligences with various

companies and we hope to get at least a couple of them across the finish ed line by Q2 of FY25. In terms of focus areas, one key focus is core gaming IP s, very similar to what we did with WildWorks and Animal Jam, which is playing out pretty well for us and we think we can double down over there. Especially with new technologies like AI, we think there is a lot more that these studios can produce, and we can take advantage of that. So, we have kind of started working a lot on AI to create a playbook that can really scale up these studios once we acquire them. So, I think that is one area of strong focus for us . On the R MG side , we are not waiting for any regulatory clarity , like you hav

e right away mentioned , GST is already quite clear going forward and we are active plea in conversations with a couple of large players in that space to do something.

Abhishek B : Any idea what is the timeline on that?

Nitish Mittersain : On the R MG, I don't have a definitive timeline at this point of time, but on the gaming studio acquisitions, I would definitely expect that we are able to pull something over the finish line by Q2.

Abhishek B : Sir, j ust in terms of the gaming studio part , in the past also we have seen acquisitions such as WildW orks doing very well, however, sports reaching a kind of scale, especially in developed markets, the revenue growth then becomes a challenge as we are now seeing for Kiddopia, so are the new acquisition that you are looking for going to be more India centric or will it be US centric for that matter ?

Nitish Mittersain : Gaming studio or acquisition studio are more western market focused; I would say while they can definitely be also launched in India, but from a monetization perspective, they will be US focus ed. We expect whether it is Kiddopia , whether it is Animal Jam, we are trying out many new ideas to break through the portal through scale. I think the reason for inability to scale has been more around the user acquisition and we have a few ideas, including ongoing conversations with IP partnerships to kind of breakthrough that. So, we are very confident that that business can scale and on the other hand , I think there are a lot of margin expansion opportunities after acquiring these studios. One is there is an India arbitrage opportunity, lot of the work these studios do while core product would still continue to run in the US for example, a lot of the backend work can be moved to India's expanding margins. We also think that there is an opportunity over a period of time to save on some of the margin s that we pay the platform providers and the third, which I was talking about AI right, I think that is a game changer and I think Naza ra is really doubling down on how we are going to use AI to one , optimize these studio s as well as enhance their ability to engage with players, to analyze data etc. , and I think that could potentially be a game changer for us. So, these are the 2 -3 areas that we are very focused on deploying.

Abhishek B : So, my second question is on the NODWIN gaming part and if I look at the media revenues number for the quarter, there seems to be an uptick just for Q4, if I see about Rs. 20 crores you

have done in Q4 vis -a-vis ab out Rs. 13 crores you have done last year and the content views also seem to be kind of catching up in Q4, so is that reading right or do you still see material weakness in media revenues as of now?

Nitish Mittersain : So, Q4, you are seeing an uptick one is , of course with our Playground IP like I was mentioning we are in season 3 and Playground has done very well for us. It has wide acceptance and the media channels are will ing to pay for it. Sponsors are, you have great spon sors coming in. So, I think that ha s been a breakthrough for us and I think that this i s just a starting point because with season three you have an IP that is now getting really established and we expect that season 4, season 5 should start seeing more non -linear growth. I think the other thing we are excited about there is this is the first time , I would say , a potentially global IP has been created in India on something that is really innovative on Gaming and Esports. And we are seeing demand now from many different countries, different players to kind of either license this IP or copro duce with us, and that actually throws up the whole world open. So, we think that this particular IP is very exciting for us. You have seen some reflection of that in Q4 and I think you will continue to see that in t

he years to come.
Moderator : Thank you, sir. The next question is from the line of Samarth Patel from Equ irus Securities. Please go ahead.
Samarth Patel : Just to expand on the Kiddopia point, the subscriber growth has been sluggish for several quarters now. So, while we have attributed this to our limiting marketing spend, how confident are we that the root cause is not in product or technology?
Sudhir Kamath : See, our internal aspect is very clear that it is essentially around how much we a re able to spend on the UA and there is a direct correlation between that and the number of subscribers. So, product wise, we think it is working just fine. From a r etention point of view of customers , how many convert , what is the activation rate , all of those metrics are holding just as long as they go.
Samarth Patel : Additionally, can you please elaborate on the strategy for generating merchandising income through Kiddopia and what plans are in place for this merchandising revenue stream specifically for Kiddopia ?
Sudhir Kamath : So, at this point, it has been a small revenue stream for us, but Captain Kit, which is a character in Kiddopia is one that we want to expand further, especially in the US market around all kinds of merch andise . It is still very small. So, we are not breaking that number out at this point, but we will share more details in coming quarters. I think the broader strategy though is to expand the IP base, which is used in the games that we have both for Kiddopia and for Animal Jam a nd there it cou ld actually expand both t he core revenue as well as the ancillary revenues for the games.

Samarth Patel : Now just coming to Sportskeeda , can we expect the strong margin performance to continue into FY25 or should we anticipate some level of moderation in the margins going forward ?
Sudhir Kamath : We do expect actually that it will continue for a while longer still. The market in the US is much larger than what we currently tap , even in terms of number of sports . Right now, we are still present in a couple of the smaller sports in a dominant way and we have a small position now in Pro Football, which is the largest sport there and we still have , I would say , limited presence or smaller presence in the other main sports which are popular in the US. So, we think there is a lot of room fo r growth and we do expect the momentum to continue.
Moderator : Thank you. The next question i s from the line of Rahul from Dola t Capital. Please go ahead.
Rahul : So, couple of questions here. Firstly , on the Animal Jam side, can you bit share about the new game launch that we are talking about and is this nudging things which you have shared around the Wishing Wells and stuff? Is it something what the earlier management was not doing and this is enhancing their revenue potential for the business. Any color on these things would help?
Sudhir Kamath : So, I think with Animal Jam, there are two kinds of product developments which happen. One is there is a content level update which goes out every quarter, sometimes maybe a couple of times every quarter and that has kept happening and we just introduce more discipline, put more resources behind that and that has kind of continue to do well over the last few months and will continue in the next year as well. When we say new game, we mean something different, which is an entirely new game bein g developed by the team and that is something that we expect to take into alpha in about 3-4 months and beta by the end of the year. So, that would be a major development , not just an incremental thing within the existing game.
Rahul : And one question for Nitish , to your comment that you would like to consolidate some of the gaming entities at the parent level. Will that essentially reduce the cash flow requirement for future acquisition because the

n you would be generating lot of cash at the top and does it chang e your strategy towards acquiring gaming studios which you were mentioning, which has very high R OCE business, but not necessarily maybe growing business. So, any input on this overall thought process would be of great he lp?
Nitish Mittersain : So, I think what we are trying to really address is that if you are able to generate significant free cash flows at the parent level, it gives us a lot of flexibility to reinvest his capital as you can see in our current structure, most of our companies are ge nerating good cash, but the cash gets stuck in the subsidiaries below which is not a very efficient structure. So, the way we are looking at approaching this is a hybrid approach where we start bringing in some of our core gaming IP s at the parent level. This would happen through either mergers of existing subsidiaries or direct IP purchase in new M&A that we do and this will not b e, from deal to deal basis may be different , but wherever possible we will try and do this to bring the business directly to the parent level that will give us a lot more flexibility . At the same time , many of our adjacent businesses of

today whether it is the Esports business , Sportskeeda b usiness , Data W ork, etc ., will continue to operate as satellite bus inesses and we may also make new investments and new acquisitions in that way. So, I think only the core gaming IP business is what we will try and bring to the parent level. And we think that will be a very efficient way to move forward . In terms of buying high ROCE businesses which don't have growth or much growth , I think it finally depends on the value we pay f or it, but I think we w ould prefer to see businesses, one that have clear cut sustainability of the business they are doing and then we have some ideas in our own mind on how we can grow these businesses once we acquire them, even if in the last year or two years they have had m uted growth. I earlier mentioned a few points where we are creating a playbook and we believe we have a playbook that can very positively impact these businesses both on margin expansion and growth. So, that is the whole idea we are pursuing.

Rahul : Just follow up on that part to your EBIT DA outlook, which you have shared, of course this is very encouraging, but if you could try to explain it a bit more in terms of what are the easy avenues for you to begin with in terms of EBITDA expansion, is it some kind of integration? Is it more about scaling up margin on the existing business or any way you would like to explain that?

Nitish Mittersain : Of course. So, I think for our existing businesses, we are going to continue to push for higher growth as well as higher margins. We believe that core gaming businesses should generate 25%-30% kind of margins and there is enough room for us to increase our margins. So, I think there is a lot of focus on that and over the next year or two years, we are very confident of uplifting the margins. I also think some of our businesses like Esports, NODWIN, which are large revenue businesses but n ot contributing a lot of EBIT DA at this point of time, will actually start contributing better EBITDA and a few percentage point movement over there will make a significant impact on overall EBITDA in terms of absolute numbers. And lastly , of course, we believe that most of the acquisitions we will do will also be good EBITDA contributors to our business.

Moderator : Thank you. The next question is from the line of Abhishek Kumar from JM Financial. Please go ahead.

Abhishek Kumar : My first question was on the M &A strategy. We have in the past acquisitions used our own equity as a currency as it kind of brings the founders skin in the game as well. Has that changed given so much cash on the book? Are we looking at

all cash deals or would it still be a combination share swaps and cash ?

Nitish Mittersain : So, I think there will be predominantly all cash deals at this point of time . We want to reduce the amount of equity we issue unless it is really needed. Of course , if it is for incentivizing founders, we may consider some of it, or we may find alternate ways to incentivize including cash bonuses to link the performance etc. So, we are evaluating all options , but in general I would say going forward, we are not keen to issue equity very easily.

Abhishek Kumar : I am not sure if that kind of exposes us to the risk of founders leaving , I am asking ?

Nitish Mittersain : No, I u nderstand. I don't think so, look for us to do an M &A deal in our model while we are not hands -on running every operation, having the founders and management incentivized is the primary goal and we will not do any deal which does not allow for that. But that can be addressed through multiple structures. I am not saying that we will not issue any equity. We would issue some equity, but those issues may change or we may find alternate or better structures, but ensuring that founders and management teams are highly incentivized is something that we are going to definitely prioritize in any M&A we do .

Abhishek Kumar : One related question is on our decision to acquire the remaining stake in World Cricket Championship , this property has not been doing very well , any particular reason why we have decided to do that ?

Nitish Mittersain : So, we brought in a CEO in the previous year, and we believe that we hav e done a lot of good work that should start reflecting in numbers pretty soon . We have also in recent times scaled up our marketing and starting to see good traction. We see some global expansion opportunities. We see platform expansion opportunities on consoles, PCs and other platforms outside of mobile. And we are also launching a brand new game now in this quarter very shortly. So, I think while the IP has not perf ormed as we would have liked to in the last few years , I also believe that this value it was up a good opportunity for us to get in, take control of the entire business and drive it to the direction we want to. And I also think that AI is going to play a role here to drive it in the next year or so.

Abhishek Kumar : So, my last question is on the game publishing business , obviously it is very exciting. I just wanted to understand as a publisher and when we onboard various studios, what our role typically is, are we going to advertise and do the user acquisition a nd if that is the case, I just wondering, given our focus is on the US market for these gaming studios, will the users that we acquire for these games as a publisher will also be based out of US or would that be a more global kind of a clientele ?

Sudhir Kamath : Abhishek, I think here , the primary focus for the publishing team is actually the India market. So, we have essentially two kinds of studios that we work with or intend to work with on the publishing side, one are the smaller indie studios where maybe small indie developers locally from India, who may also target the US market. And that is actually going to be a smaller part of the overall population story. The bigger thing is working with larger studios, global ones who have already a big ga me which is bi g globally, maybe kind of undere xplored in India, t hey already have some revenue from India, but we believe that we can help them to scale it up much further . In that particular case, we would be spending our money on scaling up both the user acquisition, but also marketing , branding kind of spends , working with influencers, working with media , etc., to help those games scale up and that will be yet in the primary focus in the coming 12 months is what you will see.

Abhishek Kumar : And we are confident of monetization, given even WCC, which is the most popular game in India, right, cricket, monetization is a challenge when it comes to Indian users. So, how confident are we that we can bring in the games , global popular games and we can still monetize them?

Sudhir Kamath : So, the games which are monetizing well in India right now better are either on the R&D side or on the I AP side. So, you do have large global ga mes which have the majority of their revenues coming from I AP, some of which have actually struck a good chord with Indian users and are generating in t he millions of dollars, not small numbers, but reasonably sized numbers, and which are growing. So, those are the kinds of games that we would want to target for this situation, not necessarily ad supp orted games only.

Moderator : Thank you. The next question is from the line of Manan P oladia from MKP Securities. Please go ahead.

Manan Poladia : My first question is with regards to what the first participant asked on the Kiddopia thing, the subscriber growth really seems to have plateaued, and you have spoken about how our user acquisition etc ., has been a problem. Also, my understanding was when we had acquired the Ad Tech platform that is what we were going to use to solve our user acquisition problem. So, if you could just give me some color on what is going on there and are we realizing any synergies or what are we doing with the user acquisition piece over there ?

Nitish Mittersain : Kiddopia , firstly , I think the linear approach of trying to solve user acquisition clearly is not hitting a kind of a dead end, right, which is very evident in the last few quarters. We have tried many things and it is not really improving. So, we expect that the business will plateau if we are not able to breakthrough through an alternate route. What we are very bullish about right now is that by bringing in popular IP of known characters, because these IP's and characters are very popul ar with kids, we should be able to drive a lot more organic traffic, which kind of provides us scale and provides us with a much better blended cost per trial. So, we are in advance conversations with many global popular IP holders. I don't want to name specific companies till we sign a deal. But I expect in the next quarter or so we will definitely do one or two such deals both for Kiddopia as well as for An imal Jam and I think that can reall y great so I have seen a few other kids businesses in the US whic h have been more IP driven who have done very well , despite the UA issue and that is what we are trying to trying to solve it the same way. The advantage we have is that both Kiddopia and Animal Jam are very widely appreciated by these IP holders in western markets, so it is easy for us to license from them and we are not like a n unknown player coming in and asking for these licenses. So, we are currently betting that is going to be one way for us to breakthrough. I think the overall business opportunity is still very large , but we need to do something different, and we are very much trying to do that currently.

Manan Poladia : So, my second question is on the NODWIN front. My understanding of channel expansion is that there is some slowdown with respect to spending like you yourself mentioned and my understanding is also that there is some competition coming up like specifically right now the

whole BG IS IP is going on, which in my opinion is a fairly big IP, right a nd I am given to understand Tesseract, one of the competitors is running that specific IP, so if you could just give some clarity on the competition situation since NODWIN is the market leader there?

Nitish Mittersain : I think competition is always good to be there. It keeps

us on our toes. We think NODWIN is
way ahead of the game at this point of time in terms of market share, brand awareness and partnership that is advanced. So, I think competition to a certain extent will help expand the market. We are not worried about that. On the whole, we think the overall Esports market should see good expansion in FY 25 and NODWIN should be the max imum beneficiary of that. NODWIN currently has 80% market share a nd I think that is a tough one to breakthrough given the kind of partnerships and investors NODWIN today has.
Manan Poladia : So, just a short follow up, I understand that Krafton is an investor in NODWIN as well and I get that that would give us a decent chunk of that business. Also, the second on the playground bid, I see that we have seen much better impressions etc. , I was just wondering if you are willing to give some breakdown of what sort of monetization we have gotten from that particular IP since, I think there is something we mentioned in one of the previous calls as well that we are focusing on monetizing our own IP s more than the white label IPs?
Nitish Mittersain : Yes, I think the advantage of monetizing our own IP is obviously is that as the rights increase, right, the profitability and margin contribution of these IP's would be significant. Season 3 had 24 million viewers. So, I think we are starting to achieve a scale that is worth looking at. And a lot of sponsors as well as Amazon, Mini TV have come in again in season 3 to generate significant revenues. I don't immediately have exact revenue numbers contributed, but I think they were at least 50% higher than season 2. So, I think it is right in the right direction and we are only talking , remember, we are only talking about India right now. I think Playground is an IP that can actually go global and if you can take this IP into markets like the US, then really speaking sky is the limit. So, we are very excited about it.
Moderator : Thank you. The next question is from the line of Kartik, who is an Individual Investor. Please go ahead.
Kartik : This is related to the comments that you made saying that AI as a game changer, I wanted to understand, recently I think the text images and videos and audios with the large language model also with tally and with the opening, I sort of relieved that, right , so I wanted to understand a little bit more on what sort of, wh ere are you sort of applying this AI and also whether you have in-house network models to expand the gaming in Nazara?
Nitish Mittersain : So, I think AI can be leveraged in gaming in multiple ways. Low hanging foods are, for example, creatives, right? Whether it is creatives for your games, whether it is design elements, whether it is creatives for user acquisition, etc. , can be easily used. We are looking at automating product testing through AI stress testing , through AI , having AI characters compete with each other on

our games to really see how the games kind of evolve and how players will engage. So, I think there are unlimited use cases of AI that we can deploy in gaming both in terms of how the games are being produced faster, better, more effect as well as how we are using AI to do 2 more things, one is how do we throw all the data being generated by the players during their activity to the AI to make a lot more personalized offerings which will help increase engagement as well as better monetization through adverti sing and user acquisition. So, I think the analytics piece can be very powerful and overall engagement of the user can be done in a far more better way. Like I said, we are paranoid as well as excited about AI because we know it is moving very fast and we need to be in t he forefront of this. We have AI task force internally that is focusing on many innovative ways of using AI , testing it out on a co

uple of our studios with intent to create a
playbook that can be replicated across everything else we do.
Moderator : Thank you. The next question is from the line of Rajkumar Vaidyanathan, who is an Individual Investor. Please go ahead.
Rajkumar Vaidyanathan : Just couple of questions and one comment. The first question is on the inorganic growth that you have been mentioning in the call, I just want to know are we pursuing inorganic opportunities just because we have enough cash in the balance sheet or are we looking at, I just wonder what is the thought process behind the? Parsing and acquisition.
Sudhir Kamath : I think what you were asking was what is the rationale behind pursuing inorganic opportunities, is that correct?
Rajkumar Vaidyanathan : That is correct, I just want to, when you are looking at the growth in the next 3-4 years , so you are looking at more of organic growth or inorganic growth to meet your objectives ?
Sudhir Kamath : I think both will happen. Organic growth is definitely high on the agenda for its business specific ally and we have broken that down in some of our discussions as to where we expect a lot of updates to happen in 25 and beyond. Inorganic will also happen, and I think to your question of why inorganic in the first place, I think clearly when we look at each of these businesses, scale does matter. And as we continue to add IP, for example, or add heft on the gaming side, then you are also able to get significa nt synergies across that . We are also able t o get significant cross sell across games which then help us with the user acquisition site and so on. So, there are definite advantages to scale here is what we feel.

Rajkumar Vaidyanathan : And the second question is when you do when you pursue M&A opportunity, I just want to know , how do you keep the f indings kind of motivated because I have seen in business that when you acquire the company that founder generally leave when the retention kind of gets paid out for a period of time. So, how do you think that you will keep the founders mitigated because they are different people? So, how do you think that they will accept the role of an employee from an entrepreneur ?

Sudhir Kamath : So, let me take that. First of all, whenev er you acquire the business founders take one significant stake in the business. Seco nd, we never considered them as an employee of the business, right? They are founders running the business and in fact largely have autonomous way of running the business. We support them in whichever way we can, but he is the founder who runs the business and we very much respect that. In the past , I think we have seen good success of founders working with us, being able to accelerate the business significantly after joining hands with us and at every step we have tried to create liquidity for the founders at higher valuations. So, founder can see that by creating value, they are able to monetize it themselves and I think that playbook has worked quite well for us.

Rajkumar Vaidyanathan : And lastly one comment, I can see t hat there are a lot of questions on EBITDA improvement and so on and so forth. But I know the promoters are more focused on the long term. So, I just want to kind of reemphasize that point you please stay focused on creating value for the company over the longer term, despite the short -term P&L pressures ?

Sudhir Kamath : We have appreciate that sentiment completely agree to it and I can assure you that we are taking absolutely no decision with the short term quarter -on-quarter pressure and only taking what we truly believe is the right decision for the company. Of course we may be wrong sometimes, but we will take measured risk and only take decisions which we believe are truly in the interest of the growth of the company.

Moderator : Thank you. The next

question is fro m the line of Nikhil who is an I ndividual Investor. Please go ahead.

Nikhil : So, my question revolves around the promoter stake. So, I just read a news stating that the promoters have sold 6% of stake to the existing investor, what I understand is the current valuations of N azara is at the lowest, which I believe. So, selling it at a lower valuation, which I thought the promoter should have been actively buying it for the long term. So, I just need your views on that ?

Nitish Mittersain : Look, it is important to understand that as a promoter family, right, we have been running this company for the last 25 years. And the way the company developed, we never had large amounts of liquidity in the past. So, at some point of time, I think it was important to have for the promoter family to get some liquidity and it is impossible as to get the timing perfect for this . I think what is more important to understand are two points. One is the promoters will remain fully in control of the business , myself as CEO of the business, remain fully committed to running this business and taking it to its eventual scale. For me, it is not about capital, it is more about a legacy of 25 years, a dream that was about how India can become really big in gaming and we continue to very aggressively pursue that. I think the second point is Plutus has been an investor with us since the pre -IPO days. They initially put in a large amount of capital to purchase the stake and I think they also participated in the future , some of the placements that we did, including the

latest one and them now again coming back and buying this sizable stake, shows confidence in the company's growth prospects , in the promoters as well as the management.

Nikhil : Another follow -up. So, is it the case that sinc e the Plutus, these investors have bought the stake at a higher valuation before, they are keen to buy at this valuation so that they can average down. Is it the case?

Nitish Mittersain : No, I don't think so. If you look at Plut us' cap table, right, the way they have entered it, I don't think this is about averaging down. I think it is about taking a larger b id that this business will grow very aggressively in the future, and they want to increase their stake to the extent possible.

Nikhil : So, the promoters will be around 10 % to 12% if I am not wrong after this, right?

Nitish Mittersain : Correct.

Moderator : Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Nit ish Mittersain for closing comments.

Nitish Mittersain : Thank you everyone for joining the call. Just to summarize, we have laid a robust platform for future growth, making us optimistic to deliver good results in the coming year and years, I should say and stay on course to build Nazara as a global gaming company out of India to reckon with.

Thank you very much again . In case of further queries , we request you to get in touch with us or Valorum Advisors or higher firm. Have a good day.
Moderator : On behalf JM financials that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

Nazara Technologies Limited

Nazar aTM

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August 20 , 202 4

To,
Listing Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai - 400 001.
Scrip Code: 543280 Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1. G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400051.
Scrip Symbol: NAZARA

Subject : Transcript of the Investor/Analyst Earnings Call held on August 14, 2024

Dear Sir/Madam,
In furtherance to our letter dated August 14 , 2024 regarding the audio recording of the investors earnings call for the quarter ended June 30 , 2024 , please find enclosed herewith the transcript of the said call. The Transcript is also available on the Company's website i.e. www.nazara.com .

We request you to take the same on record.

Thanking You,

Yours faithfully,
For Nazara Technologies Limited

Varsha Vyas
Company Secretary and Compliance officer

Encl: A/a

"Nazara Tech nologies Q1 FY -25 Earnings Conference Call"

August 14, 2024

MANAGEMENT : MR. NITISH MITTERSAIN – CEO & JOINT MD,
NAZARA TECHNOLOGIES
MR. SUDHIR KAMATH – CHIEF OPERATING OFFICER ,
NAZARA TECHNOLOGIES
MR. RAKESH SHAH – GROUP CFO , NAZARA
TECHNOLOGIES
MS. ANUPRIYA SINHA DAS – HEAD OF CORPORATE
DEVELOPMENT , NAZARA TECHNOLOGIES
MODERATOR : MR. ABHISHEK BANERJEE – ICICI SECURITIES

Moderator : Ladies and gentlemen good day and welcome to the Nazara Technologies Q1 FY25 earnings conference call hosted by ICICI Securities.
As a reminder all participant lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Abhishek Banerjee from ICICI Securities. Thank you and over to you sir.
Abhishek Banerjee : Good morning , everyone. On behalf of ICICI Securities , I would like to welcome all of you to the Q1 FY25 Earnings Call of Nazara Technologies.
We have with us from the Management Team , Mr. Nitish Mittersain – CEO and Joint MD , Mr. Sudhir Kamath – Chief Operating Officer , Mr. Rakesh Shah – Group CFO and Ms. Anupriya Sinha Das – Head of Corporate Development.
With that introduction , let me now hand over the call to Nitish for his "Opening Remarks ". Please go ahead sir.
Nitish Mittersain: Thank you Abhishek. Good morning , everyone.
For the 1st Quarter of the Year Ending Financial Year 2025 , we achieved a consolidated revenue of INR 250.1 crores , an EBITDA of INR 24.9 crores and a PAT of INR 23.6 crores. This is our fourteenth successive profitable quarter since our IPO and our focus remains on driving growth with profitability in FY25 and beyond through the organic growth of our existing businesses as well as M &A especially in the core gaming sector.
Recently we announced the acquisition of the remaining stake in PaperBoat apps. Now our holding is 100% and we believe that there are several opportunities in front of us that can help grow this business going forward. We also acquired Fusebox an exciting IP based gaming studio in the UK that has done very well and again we bel ieve this will add a lot of value in terms of potential growth and profitability to our business.
Our other subsidiaries have also been very active in the M&A side with NODWIN recently acquiring 100% of a leading e -sports company in Europe Freaks 4U as well as iconic property Comic Con India , Sportskeed a also acquired Saop Central and Deltia's gaming in recent days.
In FY24 our team has worked very hard to create a strong pipeline of opportunities that fit our objectives , very patiently but at the same time very actively and as can be seen , we are now deploying our cash reserves this year to acquire such businesses that we like and we expect that

these acquisitions will help us accelerate towards our FY27 goal of achieving EBITDA of INR 300 crores that we have set for ourselves.
With that I now handover the call to Anupri ya our Head of Corporate Development for further "Business Highlights ". Thank you and over to you Anupri ya.
Anupriya Sinha Das: Thank you, Nitish . Good morning , everyone. As you're aware Nazara operates across three business segments gaming , e-sports and Ad Tech.
We are well diversified across demographics , geography and business models. In Q1 FY25 gaming contributed 37% of revenues and 43% of EBITDA while e -sports contributed 53% of revenue and 55% of EBITDA. Our third segment Ad Tech accounted for the remaining share. If you look at businesses within gaming Kiddopia reported revenues of 49 crores , EBITDA of 10.4 crores with an EBITDA margin of 21.4% in Q1 FY25 .
Most of our key performance indicators have either improved or stabilized this quarter , especially our cost per trial has decreased , our activation rate has increased and the average revenue per user has improved. The churn has also reduced in the same period. As a result , the rate of decline in subscribers in Q1 FY25 was lower compared to other qua

rters in the past . With
stable or improving KPI's we anticipate that our subscriber base will begin to grow again in the coming quarters. We are also making prog ress on closing IP partnerships which will provide a boost to organic user acquisition going forward.
Moving to Animal Jam :
Q1 FY25 revenue increased by 7% to 23.6 c rores, driven by the ongoing success and monetization of Wishing C oins and the launch of a new pet Dragons via the wishing well within the game. We had higher investments in user acquisition in Q1 FY25 which is expected to pay back over 12 to 18 months timeframe .
Moving to OpenPlay , the R MG business :
While gross gaming revenues have declined only slightly that is customers are still playing almost the same , increased GST has led to a sharp decline in net revenue after GST. Our organic focus has been on enhancing operating efficiencies to achieve profitability within the constraints of the new GST regime. Our e -sports segment revenue grew by 12% while EB ITDA grew much faster by 85% in Q1 FY25 .
Moving to N ODWIN :
The NODWIN revenue grew by 3% compared to the last year to 71 crores. However , accounting for the deconsolidation of Wings which took place on 3rd February 2024 , the revenue growth is much higher of 35%. The growth is led by strong performance from N ODWIN’s proprietary IP,

including branded gaming matters , Comic Con and others and the media business which showed 44% growth year -on-year. Profitability was muted as N ODWIN continued to invest in new events and IPs. With a healthy pipeline of upcoming events in the next two quarters , we expect accelerated growth for the year ahead with profitability .
On the M&A side:
NODWIN has increased its investment in Freaks 4 U gaming from 13.5% to 57% initially and subsequently 100% , eventually through a share swap deal valued at 271 crores. Notably Freaks 4U reported revenues of INR 223 crores in CY23 and we will consolidate this business in NODWIN from the 1st July, 2024 onwards.
Moving to Sports keeda :
Sports keeda continues its growth journey for both revenue and E BITDA this quarter reporting a year -on-year revenue growth of 33% in Q1 FY25 while E BITDA increased by 28%. So Sportsk eeda has done two acquisitions. In June 2024 the company acquired Soap Central.com for US$1.4 million which is approximately 11.6 crores. This acquisition aligns with an overall strategy of acquiring smaller niche assets and expanding them under full ownership and control for Sportsk eeda. In August 2024 , the company agreed to acquire Deltia's Gaming in an all-cash deal worth US$ 900 K. Deltia's Gaming produces high quality content for specific games such as Baldur's Gate 3 and Elder Scrolls Online on platforms including You tube, Twitch and its own website.
Moving to the third segment Ad Tech:
During Q1 FY25 , we strategically shifted away from lower margin business resulting in a year-on-year revenue drop to 25.7 crores from 27.6 crores. However gross margin improved significantly , leading to a gross profit increase to INR 7.3 crores from 6.2 crores due to a higher share of product business. We continue to invest in product development and increase marketing efforts especially in the US market which has kept E BITDA subdued compared to Q 1 FY 24. We expect these investments to positively impact busi ness outcomes in the coming quarter.
With this I conclude my remarks and will now open the call for Q &A. I would like to invite Nitish , Sudhir and Rakesh to join me for this session.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Abhishek Kumar from JM Financial.
Abhishek Kumar: First question is on the GST notice I saw that we have got 1 ,100 odd crores. Now we understand this is a n industry wide phenomenon. What is our view on this

and is there any provision that
we plan to make against this notice?

Nitish Mittersain: Let me take that. This is Nitish. So , there are a couple of things. Of course , it's an industry wide known issue and it is subsidized. The various hearings are going on and we will see how that pans out as well as the position that the GST Council takes . In terms of the notices, they are on two of our subsidiaries OpenPlay and Halaplay. And as you know both of these do not at this point of time contribute material revenues or profitability to our overall performance. At this point of time , we do not require to take any provisions on the Nazara balance sheet.

Abhishek Kumar: Second on our recent acquisitions , I just wanted to understand given the speed with which we have been acquiring some of these assets , what is the risk and governance framework that we have to select these to basically assess their future potential etc . given these are not in India and we are doing it at a fast pace.

Nitish Mittersain: Again , I will answer that one. You know while it may look like we are you know executing at a very fast pace , there are a couple of points here. One is as I mentioned in my earlier commentary you know most of last year , we spent a lot of time diligently looking at opportunities and going through because we have a very clear framework of opportunities that we want to go ahead and acquire in terms of the potential business of the company , the management , the structure of the deal as well as the value that we pay. So , I think we have been very selective in what we are buying and not going after every deal that is off ered to us. So that's one point.

The second point is also , as you can see many of our subsidiaries are active in M &A, whether it is NODWIN, Sports keed a for example. And these have focused managements who understand their core business value very well. And alongside support from Nazara and the Nazara corporate strategy team , they are able to execute these transactions which provides us with a lot of bandwidth. This is I think one of the unique positionings of our company's platform that allows us to do this at a scale with a lot of bandwid th. Lastly I think there is a common set of format , agreements , legal teams that work on this , so that a lot of our basic thought process of M &A remains constant in the way we have done over the years and also incorporates the learning that we have gathered over the years. I hope that answers your question.

Abhishek Kumar: And maybe just one last question again on the acquisition. So , this 100% stake in Paperboa t, I think this is the second instance. Earlier we had done it with WC C if I am not wrong. What is the rationale here to take this up? Because that would mean that the founders of that business will no longer be associated with us. So , does that create any sort of risk going forward?

Nitish Mittersain: I think the founders have done a fantastic work of bringing the business to the stage it is. In any business that we would acquire 100% and we believe that there is potential in the business which is why we are acquiring 100%. We also believe that the value we are acquiring is accretive to us and our stakeholders which is why we are acquiring the business. I think if you look at Sports keeda as an example where we acquired stake from the founder , who builds Sports keeda into a fantastic company . The professional mana gement over there has done a fantastic work beyond that in being able to scale the business to the next level. So , we also believe that in the

most recent acquisition of K iddopia for example , by acquiring 100% stake it opens up a lot of synergies that we directly at Nazara can operate. We do have a strong management team in place and will continuously strengthen

it and try and scale the business. We have specific ideas. Some of these we have a ctually shared in our presentation which we are very actively working on which we believe can help Kiddopia break out of the kind of plateau it has been since a few quarters.

Moderator: The next question is from the line of Jinesh Joshi from Prabhu das Lilladher Private Limited.

Jinesh Joshi: My question is again on Kidd opia. I understand you have shared some insights with respect to how you plan to scale the business up for instance, by planning beyond the US geography or for that matter entering into India. But I mean wherever we choose to operate the Apple IDFA issue will continue to trouble us. So , what exactly are we trying to think through? Why acquiring this balance sheet and how do we plan to get back on the growth path? I am asking this because for quite some time , we have seen the subscriber base fall off in Kidd opia. So just your thoughts on that.

Nitish Mittersain: I think the biggest opportunity here is to boost organic traffic and for achieving that we need to partner with popular IP characters of kids from all over the world and integrate them into Kiddopia . We are very actively in discussions with many such large IP holders , most names you would know but I will not disclose on the call till we have an agreement in place which I believe will lead to a large boost in organic traffic for the company. I think what we need to do is move away from the pure user acquisition led model and we have seen competitors of ours in the US for example do very well through this organic IP driven road. G iven that Kiddopia’s core product remains very popular remains very sticky , we think the combination of Kidd opia product with popular IP can be a very successful one and we are hoping that in the coming months we announce and integrate these and take them to market to give a fresh lease of life to the product. We still believe there is a lot of potential , this can be a much larger scale business but we need to think out of the box which is what we are currently very actively working on.

Jinesh Joshi: When do we plan to induct the IP character that you just spoke about?

Nitish Mittersain: The companies that we are talking to are very large corporations and therefore they have their own processes. We have been in discussions for the last two quarters at least and I believe we are coming to a point where maybe in Q 2 or latest by Q3 we should be able to announce some deals. We will go with the content that we have that is easily adaptable to these characters so that the time to market takes a lot of time. I think Q 3 or latest Q 4 which is October to December period is when we look at launching IP driven content in Kiddopia .

Jinesh Joshi: My second question is on Fuse box, from whatever I have understood is that we basically publish themes based on popular TV IP s. So , are we supposed to pay any kind of royalty to the production studio? That is question one. And secondly if our game is dependent on some TV

show or an IP for that matter , basically the content intelligence is with someone else then we are just trying to basically mimic it. So just wondering how durable and successful this format can be.

Nitish Mittersain: It is actually the way this works is , firstly of course it's actually an IP play , so similar to what we are talking about Kiddopia which is licensing popular IP . In this case also the studio is licensing popular IP which gives them a significant boost in organic traffic. So , in Fusebox we can already see the success of what IP can do which is what we are trying to replicate in Kidd opia. And if you have seen the Fusebox numbers we uploaded , you have seen rapid growth . With a lot of the revenue coming from iOS despite the IDFA issues etc . Now the model that works is basically a revenue share. So

usually , you are paying net revenue , in some cases after UA , in some cases before UA you are paying you know anywhere from 12% to 20% range for IP. But that cost generally is lower than the cost that you would pay for user acquisition. So , the margin profile is much higher even after factoring in for this cost . In terms of content , for example in the case of Fuseb ox while you draw on some of the chara cters of the show , the content is actually fairly delinked. It's within the guidelines of the show but it is pretty delinked. And with now with AI etc., the ability to produce its content is much faster . With Fusebox particularly why we were very excited is , that they have got a proven engine for narrative based , story -based games and we believe that beyond the current IPs that they have , one which is very successful , one which is going to launch in the next few months , we believe we can take this engine ac ross the world in different geographies , partner with local you know popular television , serials or shows and launch. So , I think it's quite a scalable platform that we have acquired, and we will build on.

Jinesh Joshi: One l ast question from my side. I believe we still own about 40% in Brandscale and our exposure is about 53 crores as of date. But I believe the business is not making money. And currently we are also evaluating options to raise money. So just wanted to know have we taken any write down in our investments so far within Brandscale?

Nitish Mittersain: So, we own 40%. As you know that we deconsolidated this business due to two reasons. One they wanted to venture into the laptop stage which was not you know conducive to our own model or where we wanted to go. And second it was not able to making losses which we could not really want to sustain. So , at this point of time , we are evaluating options to either sell the hard stake if we can get a buyer or the company is looking to raise capital. At this point of time , we have not taken any im pairments but there is a potential risk of impairment in the future.

Moderator: The next question is from the line of Manan P oladia from MKP Securities.

Manan Poladia: My first question is on the Datawrkz business. I think it's been I am not sure five or six quarters or more since we have acquired the business.

Moderator: Ladies and gentlemen , we have lost the connection of the current participant. We will move on to the next participant. The next question is from the line of Samrat Patel from Equiru s Securities.

Samrat Patel: I had three questions. The first one is with the BGMI Master Series tournament now streaming on Star Sports , how should we think about the growth trajectory and margin outlook for e -sports segment this particular year?

Nitish Mittersain: I am going to call Sudhir to take up questions around the e -sports business.

Sudhir Kamath: Samrat, I think as you mentioned streaming has started . In this quar ter if you look at the numbers , we have seen an uptick in media revenues for N ODWIN 's business , so almost a 45% kind of an uptick compared to the same time last year. That doesn't actually reflect a lot of the B GMI Ma ster Series revenue yet. So that will still come in the coming quarters. So , we do expect a pretty nice growth on that front.

Samrat Patel: Would that quantum be similar to what we had last time when the streaming used to happen on Star Sports or is there any material difference in terms of media revenue?

Sudhir Kamath: I think it's still a little early to say that. Earlier with Star Sports apart from the series there was also different packages that we were providing. I think on that front there is still work being done. So , I think maybe just wait a quarter or so and then we'll give you a more detailed update on that.

Samrat Patel: Apart from that considering the Smaaash Entertainment

which operates the physical
entertainment centers across various cities in India and how do you envisage the synergy between Nazara's core gaming business , e-sports business and the Smaaash Entertainment going forward?
Sudhir Kamath: I'd just like to first call out that Smaaash as you know it's in a NCLT led process. So , the committee of creditors has selected Nazara as the preferred bidder but it still awaits NCLT court approval so that we think will take a few more months. So , until then we can't say anything much about Sma aash at this point . But just broadly from a strategic point of view , the way we see it is there is an emerging kind of hybrid gaming model that we see where you will have physical centers like Sm aaash or others which also become an avenue for online games like ours to have cross selling synergies. The same customer segment is there, and they can get exposure to both sides. So , we do see synergies especially with two parts of our business. One is the kids gaming side with Kiddopia and Animal Jam and the second is with the e -sports and live event side. And I think both will hopefully come through in future years.
Samrat Patel: And my last question is on RMG. So , is there any change in our acquisition strategy in the RMG segment? And like if we are pursuing it how close are we to securing a deal of any significant scale here?
Sudhir Kamath: So, there is no change in the strategy . As we mentioned in previous quarters , we are looking at sizable companies which are market leaders or in the top three at least in their segments and that

continues to be the focus. So , these will be sizable. The alternate thing is which we are looking at is very small tuck ins which can combine entirely with OpenPlay and use their tech and product platform which would be smaller in nature. So , both are still in the pipeline. I would say that we are working on this. I t is very difficult to predict when things will close. And specifically , in RMG there is also the added complexity of the legacy tax claims which are there. So , we do need some resolution. I do b elieve as we have seen in the budget the government has now got the powers to waive past tax rates . We are just waiting to see how the government uses those. And then I think some of these transactions will do us much more quickly.
Moderator: The next question is from the line of Nikhil Gupta , who is an individual investor.
Nikhil Gupta: My question is for Nitesh. It is around Smaaash only. I know you cannot share more details at this point but I just want to know , let's say we go ahead with the deal. What is your vision for next 5 years? How do you see getting integrated the offline and the online and the revenue growth , the projections we can see in the next 5 years?
Nitish Mittersain: I will answer in context to offline o r physical gaming zones and entertainment zones versus a specific response to Smaaash. So , we think that as Sudhir mentioned , one is e -sports with NODWIN what we have , NODWIN e-sports already has a lot offline tournaments etc . which we believe can integrate very well with a footprint that we have in the offline gaming zones. I think that is one clear cut opportunity for us. The second is we believe that VR /AR etc. taking off very well. We have been actively looking at acquiring some VR studios for example and I think online offline VR experiences could be also very interesting play. Third is we want to roll out our online -offline Nazara loyalty platform which can also integrate into this. So , we have several ideas on how we can really make this value accredit ive for both online and offline. In terms of just the offline entertainment , I think increasingly with India's growing consumerism , the ability to expand significantly across the country , the scale and opportunity for such businesses over the next y

ears is going to be immense. And we want to have our own play in the same.
Nikhil Gupta: So, if you can have some tentative number you have in mind which can grow in the next 5 years ?
Nitish Mittersain: Not at this point.
Moderator: The next question is from the line of Abhishek Banerjee from ICICI Securities.
Abhishek Banerjee: A couple of questions for me. So , with regards to the Kiddopia business , I understand that the CPT has remained in a bag, and you managed to contain that but the marketing spends are still pretty low. So , you used to have a 2.7 -2.8 million kind of run rate and it is much lower than that as of now. Given that the subscriber number has been declining , I take your point that the decline has arrested a little bit but it's still a decline, nevertheless. So why are we not being more aggressive on acquisitions at this point by increasing the marketing spend?

Sudhir Kamath: Abhishek absolutely thanks for hosting this and also for the question. I think on the CP T side what you said is correct. I mean we have managed to keep it at the current level but that's at the current spend level of about 2.4 million or so. What we have seen in the past is that when we scaled up CPTs and churn have typically increased a little beyond what we think is a comfortable level for the citizens. So , I think as Nitish said in one of the earlier answers , for K iddopia the growth we'll keep the UA probably stable at this level or maybe slightly higher as we can. We keep exploring other ch annels for that. But eventually the bigger chunk of growth will come from non -UA led measures. So IP integration is probably the number one , IP initiated there which is where we want to acquire minimum organic users. And that's what has to be drive a bigger goal.

Abhishek Banerjee: But if we even look at that route , so whatever royalties will be paying will that be in the same , I mean the CAC , will it come to the similar kind of a number as what we are seeing today?

Sudhir Kamath: So, we have done various simulations on this, and we also seen how some of our competitors not just in Kid but also other segments which have used IP have done. And we do firmly believe that the cost including royalty of what we pay for those users. So , the CAC there would be lower than what we are seeing from a purely ….

Abhishek Banerjee: My next question would be on the Pro Football Network . So, there you have talked about some changes to the product that has happened. So first I mean so PFN has been an exceptional performer for you guys. So exactly what has been modified here and what kind of growth are you expecting in PFN for the Q 2, the peak season ?

Sudhir Kamath: I think it's not so much changes , it's actually new product which PFN has been able to create with the support from the Sports keeda team. So PFN had a fairly small team and Sports keeda obviously has a much larger infrastructure in terms of people who could help them both on the tech side and on the content tool side. And many tools have been developed which will then be given to customers in the coming NFL season which actually starts i n September. So that's what we are looking forward to . In Q1 what you saw there was about a 50% kind of revenue growth over the previous year. Obviously , that's off season. We are waiting to see if that gets replicated in the actual season as well or not. I don't want to really put a number on it at this stage, but I think by next quarter's results you will start seeing some numbers.

Abhishek Banerjee: And finally on the e -sports business , there also you've spoken about a lot of new IPs which are coming in the next quarter. So , any clarity on what is exciting you there?

Sudhir Kamath: I think there obviously the biggest excitement is around the whole Freaks 4U acquisition and that allows us to expand into a very hig

h value geography and at the same time leverage teams which for us can sit in India, Turkey and other places. So , we think that combination is going to be quite powerful. That also brings with it a bunch of IPs for those markets and the IPs from the

India market as well which are coming up. So , I think it's generally very exciting times for NODWIN.

Abhishek Banerjee: So, thanks a lot for the answers but just a request from my side if we can give some sort of guidance on what happens to the organic business at least that would really help us to make our models at least for the next one year.

Moderator: The next question is from the line of Keval Shah , who is an individual investor.

Keval Shah: My question is related to the publishing division of ours. So , I see we have recently tied up with FAU -G, one of our decent size games I believe . So, I just wanted to understand in detail what is the business model here for publishing? What is the opportunity size and how do we have revenue sharing etc . and what are the long-term margins possible in this division as well?

Nitish Mittersain: So first I want to clarify. What we have signed is the contract for publishing a new game which is called FAU -G Domination. There was a game called FAU -G a couple of years back. That's a different game from the same team but we are basically going to be focusing on the new game which is being launched. So , at this point we are still in the pre-registration kind of a process of stage right now. We expect a full release to happen around Diwali time , end of October or thereabouts. And our target is to have at least 5 million pre -registrations before that. If we do that then the game will be one of the biggest successes out of India. The way the revenue would work is , again there is the revenue share kind of a structure. So , we have not actually disclosed the percentages etc . here but I think broadly the way this would work is as you would understand that we as Nazara would invest in the marketing and promoting that game , helping it to scale and then th e revenues get shared between the studio which developed it , nCore and Dot Net and us.

Keval Shah: I just wanted to know overall for the publishing division , how does the business model works in general not only specific to FAU -G?

Nitish Mittersain: So, publishing follows the same model which is somebody else let's say has developed a game which we like and which you think works in our selected markets , which could be India , could be Middle east or could be global rights . For those markets , Nazara would then invest funds for user acquisition , marketing , branding , any other kind of support which we need. And the revenue

typically flows through Nazara and then a percentage of that is given to the developers. So that's
the typical model .
Moderator: The next question is from the line of Rahul from D olat Capital.
Rahul: I just wanted to understand the seasonality , some of the newer businesses that we are integrating
soon , how this would play out in some of these businesses and even on the revised way how we
have to see from the existing businesses that how this should play out ?

Sudhir Kamath: Rahul I didn't exactly get the question ; you are talking about seasonality for Q2) coming up or.
Rahul: So, what I am trying to understand like for example the bigger units like Freaks 4U or F usebox.
What are the right way s to think about in terms of the flow of revenue through the year? Are
they more seasonal because of the kind of a back -end events that they are linked to or they are
more like through the year kind of businesses? And at the overall level if you could give that
you know how the weight of the revenue for Nazara as a company should play out over four
quarter s, is it going to be bigger , tw

o big quarters versus two smaller quarter s or anything of that
flavor would be of help ?
Sudhir Kamath: So, I think Nazara if you know it's fairly diversified across businesses , so it does help us to
smooth out these kinds of variations. But at the individual business level there definitely are
seasonalities in play. Let me go through a couple of them individually first. So, if you take
something like Freaks 4U, that definitely sees significantly higher revenue in the second half.
Just given the nature of how tournaments will happen in Europe again this is winter kind of
season which works bett er. Similarly , for PSN there is very high seasonality. The season
typically runs from September to January for the m. O n the e -sports side as well for Sports keeda
there is an IPL season which is Q1. But other than that , for US sports and for the US part of the
business second half is again higher , ad rates are also higher in that period. So again , from
revenue quality there is a significant seasonality there. If you look at something like Fusebox
which was the other one , Fusebox because it is linked to a TV IP, there is a linkage to when the
season is airing. And historically they had high seasonality linked to that. But what the team has
done successfully over the last year and one of the reasons why we really like that business is
they've been able to kind of be linked how the seasons in the game go versus seasons on the TV
show. So that makes it now a lot more spread out over the course of the year. Overall if I would
say I think for Na zara as a whole second half of the year is definitely higher seasonality wise in
aggregate but it does balance out a bit more than these individual businesses do.
Rahul: And just follow up on the Fusebox question. Of course , there is some more input that you have
shared in the PPT but just to try to understand how the scalability potential out here is because I
think we are going to widen the number of IPs that it would. I think there is a mention of Big
Brother. So , is that already b aked into the Jan -July number, or this is going to be a bigger part
of it is going to be in the future?
Sudhir Kamath: No, all of this is in the future. Let me clarify. So , the current revenue is almost (+90%) from a
single game which is the Love Island game. And that has scaled very nicely over the last year ,
year and a half for them. And we do expect that specific game itself to continue scaling for the
coming quarters and years. In addition, Big Brother is new IP based game which is going to be
launched which we expect to launch maybe by the end of this financial year , early next financial
year for us . However, we are most excited about is that the platform that they have built , the tech
platform and the product and the processes around it , that can be leveraged for other IPs as well
which is beyond these two and which we would like to work with the team to figure out for those

same markets or other markets as well. And obviously that will require more investment also in
terms of team and content creation ability scale. But we do believe there is ability to grow that
platform further beyond the first and the second game.
Rahul: One last question from my side. Given that now we have the entire control on the Kiddopia
business as well , so does that change the way we could possibly strategize it? Given that the
operational day to day is now in a much more control , is it going to change the way we strategize
or it’s more about the consolidation thing that is going to happen but from an operational point
of view , it would not have much of a difference ?
Sudhir Kamath: I think there will be differences which you will see in the coming quarters. I think the
consolidation is one part of it but especially the focus on IP based games which Nitish spoke
about and other expansion plans w

hich we have. I think you will see a difference in the coming
quarters .
Moderator: Thank you . As there are no further questions, I would now like to hand the conference over to the management for closing comments.
Nitish Mittersain: Thank you everyone for joining the call. I believe that with all the activity that is currently ongoing , the remainder of FY25 should be exciting for us and we will continue to work hard to deliver value for all our stakeholders. Thank you very much.
Moderator: On behalf of ICICI Securit ies that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

Nazara Technologies Limited

Nazar aTM

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November 21, 2024

To,
Listing Compliance Department
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Mumbai - 400 001.
Scrip Code: 543280 Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1. G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400051.
Scrip Symbol: NAZARA

Subject : Transcript of the Investor/Analyst Earnings Call held on November 18, 2024 :

Dear Sir/Madam,

In furtherance to our letter dated August 1 8, 2024 regarding the audio recording of the investors earnings call for the quarter & half -year ended September 30, 2024, please find enclosed herewith the transcript of the said call. The Transcript is also available on the Company's website i.e. www.nazara.com .

We request you to take the same on record.

Thanking You,

Yours faithfully,
For Nazara Technologies Limited

Rakesh Shah
Chief Financial Officer

Encl.: As above

"Nazara Technologies Limited Q2 & H1 FY25
Earnings Conference Call "

November 18, 2024

MANAGEMENT : MR. NITISH MITTERSAIN - CEO & JT. MANAGING DIRECTOR , NAZARA TECHNOLOGIES LIMITED
MR. SUDHIR KAMATH - CHIEF OPERATING OFFICER , NAZARA TECHNOLOGIES LIMITED
MR. RAKESH SHAH - GROUP CFO, NAZARA TECHNOLOGIES LIMITED
MS. ANUPRIYA SINHA DAS - HEAD OF CORPORATE DEVELOPMENT , NAZARA TECHNOLOGIES LIMITED
MODERATORS : MR. SUNDARAM - AVENDUS SPARK

Moderator : Ladies and gentlemen, good day and welcome to Nazara Technologies Limited Q2 & H1 FY25 Earnings Conference Call.

This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risk s and uncertainties that are difficult to predict.

As a reminder , all participant line s will be in listen only mode and there will be an opportunity for you to ask question s after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sundaram from Avendus Sp ark. Thank you and over to you, sir.

Sundaram: Thank you, Sej u. This is Sundar from Avend us Spark. Hi, one and all. Festive greetings from our side. Avend us Spark is pleased to welcome you all to the Q2 & 1H FY25 Conference Call of Nazara Technologies Limited. The Management today is represented by Mr. Nit ish Mittersain – CEO & Managing Director ; Mr. Sudhir Kamat h – Chief Operating Officer ; Mr. Rakesh Shah – Group CFO ; and Ms. Anupriya Das – Head of Corporate Development.

I now hand the call to Nitish for “Opening Remarks ” and then for the Q&A session. Over to you, Nitesh.

Nitish Mittersain: Hi everyone, a very good morning.

Let's get started by looking at our numbers :

In H1 FY25, we achieved revenues of INR 569 crores and an EBITDA of INR 50.1 crores. Q2 revenue came in at INR 318.9 crores with an EBITDA of INR 25.2 crores.

Our focus remains on driving profitable growth through both organic initiatives and strategic M&A with a strong emphasis at this point of time on the core game studio business. In Q2, we announced the raise of INR 900 crores via preferential equity issue from a group of marquee investors. These funds will support both our organic and inorganic growth initiatives. We have made our largest investment to date i n Poker Baazi parent Moonshine T echnologies. PokerBaazi is India's dominant online poker platform, bac ked by an extremely strong team and strong technology. With this step, we now have significant ownership in two market leaders, NODWIN Gaming in Esports and PokerBa azi in the skill -based gaming space, that further strengthens our position as India's leading diversified gaming platform.

Another important step this quarter was to acquire 100% ownership in Ki ddopia parent Paper Boat Apps and further increase in our stake in Absolute Sports, the parent of Sports keeda . In addition to acquiring a minority stake in an exciting fast -growing E sports community app called Stan, our intent has been to increase our ownership in our existing cashflow generating businesses. In addition to that, the merger of Ki ddopia Parent Paper Boat Apps with Nazara Technologies Limited has been approved by our board recently. And this step is aligned towards bringing core gaming businesses into the parent entity that will provide for fungible cash flows that can be subsequently deployed for organic and inorganic growth moving forward.

A key focus to improve operational efficiencies involves creating centers of excellence in various strategic areas such as data analytics, user acquisition, M&A, and particularly artificial intelligence which we believe can be used effectively to have a lot of positive impact on our businesses. We are also going to try and create centers of excellence for some back office operations such as HR, compliance and finance. We will continue to roll out these initiatives over the next 12 months and believe that th ese will bring significant

benefits due to shared
knowledge pools and provide opportunities also for cost optimization.

Some of the initiatives in the last few quarters are showing early signs of positive impact that should be visible in our H2 performance.
With that, I now hand over the call to Anupriya, our Head of Corporate Development, for further business highlights . Thank you very much, and over to you, Anupriya.
Anupriya Sinha Das: Thank you, Nitish . Good morning, everyone. As you're aware, Nazara operates across three business segments ; Gaming , Esports , and Ad-tech. We are well diversified across demographic , geography and business model. In H1 FY25, Gaming contributed 36% of revenues and 66% of EBITDA, while Esports contributed to 57% of revenue and 28% of EBITDA , with Ad-tech accounting for the remaining share. North America continues to be our largest market with 39% revenue contribution, while India and Rest of the World are at 31% and 30% respectively in H1 FY25.
Within Gaming , if you look at Kid dopia, the H1 FY22 revenues were INR 97.8 crores, an d EBITDA of 22.4 crores with an EBITDA margin of 22.9%. In Q2 FY25, as Nitish mentioned, we completed the 100% acquisition of Paper Boat, the parent of Kid dopia. Subsequently, several changes have been initiated to drive growth via product changes, refresh , new strategy and IP partnerships. We expect the results from these changes to be visible in the subsequent quarters.
In addition, Nazara's Board of Directors has approved the merger of Paper Boat with Nazara Technologies Limited. This step is aligned towards us bringing core gaming businesses into the parent entity to provide a fungible cash flow that can subsequently be deployed for organic and inorganic growth.
Moving to Fusebox :

Nazara has announced the acquisition of a 100% stake in UK -based Fusebox Games, a well - established IP -based gaming studio. Fusebox has been consolidated from 23rd August 2024 in our books. During this time, the business reported revenues of INR 23.2 crores with an EBITDA of INR 4.5 crores.
Moving to Animal Jam :
The core Animal Jam business is profitable and growing again. Product metrics for retention, engagement, and monetization of users are healthy. In H1 FY25, the revenue increased to INR 247.6 crores with an EBITDA of INR 7.7 crores. We had higher investment in user acquisition in Q2 FY25, which is expected to payback over the 12 months to 18 month period.
Moving to OpenPlay:
The Gross Gaming Revenues have declined only slightly, as customers are still playing among this almost the same, while the portion paid out as a GST bonus has increased sharply from 13.4% to 46.7% of the Gross Gaming Revenue . As a result, the net revenue, which is reported after GST and bonuses, has fallen sharply . Profitability has dropped across the sector and smaller and mid -sized companies have been hit hardest by this change.
Moving to the Esports segment :
This segment the revenue grew by 8% while EBITDA grew much faster by 36% in H1 FY25. NODWIN’s Q2 FY25 revenue grew by 4% compared to Q2 FY24. However, the like -for-like revenue growth was 111%, excluding Wings from Q2 FY24 numbers. The s ynergy in expansion base that was set last year has started seeing fruit in IPs and acquisition, especially Freaks4U . NODW IN continues to be a content provider of choice for nearly all global mobile publishers.
In H1 FY25, the year -on-year revenue, excluding Wings , grew by 69%. The growth was led by strong performance from NODWIN’s proprietary IPs and live events such as BGMI Master Series 3, multiple activities at Gamecom , Snapdragon Pro Series , All That Matters Season 19, Esports World Cup Global Broadcast, and Prime League for League of Legends. NODW|IN has announced dates of new or expanded IPs entering in second half with Comicon expansion to eight cities from existing five

cities, PUBG Mobile in Uzbekistan, NH7 coming back for Season 14, and announcement of Playground Season 4. NODWIN will continue consolidating multiple assets worldwide in emerging markets while investing in organic growth, thereby expanding its share of international revenue. Notably, international revenues were 40% of total in H1F Y25 versus 15% in H1F Y24.
Moving to Sportske eda, Sportske eda continues to maintain its ranking among top 10 US sports news websites. Absolute Sports, the group grew its revenue and EBITDA by 22% and 18% respectively in H1 FY25. The core Sportskeeda business continues to grow well both in terms

of revenue and EBITDA . However, overall revenue reported an impact due to a short term dip in Pro Football Network which recorded a year -on-year decline in EBITDA. Pro Football

Network was impacted during September which affected its traffic flow when the NFL season was starting. We believe this is a temporary glitch and the site should recover in the next few quarters.
Moving to the Ad-tech segment, during Q2 FY25, we continue to move away from lower margin business. This strategic pivot resulted in a year -on-year revenue growth of 7%, with gross margin improving significantly reflecting the higher share of product business. Throughout Q2 FY25, we have continued to invest in product development and increase marketing efforts, especially in the US market. EBITDA remain ed stable as compared to Q2 FY24 . We expect the impact from these investors to show business outcomes duri ng the coming quarters. .
Data wrkz through its 100% owned step -down subsidiary Data wrkz Operations UK acquired 100% of Space & Time Limited for an equity value of GBP 4.8 million, around 52.3 crores of INR. This acquisition is a key move in advancing Data wrkz growth ambition across Europe and North America, positioning it as a scale d player in global digital marketing.
With this, I conclude by remarks. And we will now be open for Q&A. I invite Nitsh, Sudhir, and Rakesh to join me for the session.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Abhishek Kumar from JM Financial. Please go ahead .
Abhishek Kumar: I have three questions on Outlook. First on Kid dopia, I see that the cost per trial has gone up again and it has almost crossed $40. While I know we have been trying alternate ways of monetizing and acquiring users. So how should we look at this metric going forward? And because what that is doing from what we see is that we are cutting down on our marketing spend, and that is in a way impacting user acquisition and re venue. So just any color on both the cost of acquisition and our marketing strategy, which would have some bearing on the user acquisition ?
Nitish Mittersain: Abhishek, hi, this is Nit ish. So I think a couple of points there. One is the reality is that the cost per trial has been kind of floating around this $40 mark, give or take plus minus 5%. And we haven't really proactively cut down our marketing spends, but we've really not been ab le to find an easy way to scale the marketing dollars at this price point. And even if we were to increase it, we don’t see that kind of result. So I think we need to find alternate solutions to break out of this logjam . In my personal opinion, one big breakthrough is going to be partnering with popular IP and starting to integrate it within Kiddopia . And I think we have probably spoken about it generally over the last few quarters. We are very close to closing some IP transactions of meaningful, large global IPs. And I think that would help us in multiple ways. It would help us bring down our cost per trial because conversion rates would increase. It would help reduce

churn . It would help g

enerate organic traffic for us beyond just the paid acquisition that we are doing. So, I'm quite bullish on this path that we are trying to take at this point of time. And hopefully within this quarter, which is Q3, we should be in a position to at least announce one or two IP partnerships.
So, I think that's one thing we are doing. The second thing is after acquiring 100% stake in the company, we are a lot more hands -on now and there are multiple quick iterations we are doing in terms of price points, monthly versus quarterly versus annual type of subscription plans, etc. I think we should be able to find some opportunities over there. So, I think this is what we are currently doing in Kiddopia while maintaining our current marketing spends in the best, sufficient manner as possible.
Abhishek Kumar: That's clear , second is on NODWIN. So, I noticed that you know while the headline number ex of Wing looks strong but there would have been a consolidation of Freaks4U and from my calculations if we remove that , the uptick that we generally see I think from Q1 to Q2 has not been very strong so just general demand environment both in terms of media rights and physical games, and outlook for second half for NODWIN specifically. And if we can separately provide for Freaks4U that would be helpful ?
Sudhir Kamath: So, if we actually remove Freaks4U , we would s imply have about 40% kind of organic growth across all the other businesses and keeping in mind that the three quarters have not been ahead , we think we're quite well positioned for good growth in this year.
Abhishek Kumar: Maybe just one clarification. The revenue composition of Freaks 4U, would that be similar to NODWIN in India in terms of media rights and sponsorship revenue, etc .?
Sudhir Kamath: The core business model and therefore the core revenue streams are similar in the sense of media rights plus sports events. There was a little bit of media , not too much on that side, but very similar in that sense to NODW|IN . The cost structures are slightly different of course, where the company based in Germany, Switzerland, Central Europe and Middle Europ e, so therefore that cost structure is higher. And one of the things that NODWIN will be able to leverage is the India team, its Turkey team, to also help drive more profitable revenue for people , but core business

is similar.
Abhishek Kumar: Okay, one last question is on margin and again outlook. Despite us moving towards higher margin business on a Y oY basis, there was a dip in EBITDA margin. Now going forward, how should we look at overall margins for the company? Can we get back to double digit within this year itself or any color on the way forward on margin? Thank you.
Sudhir Kamath: In general, I think we've kind of strived to steer away from giving specific guidance on this. But we do expect second half to be stronger. For many of the businesses, that's the bigger season or

a more peak season. So, we do expect that, but I don't think we're giving any specific guidance at this point.
Moderator: Thank you. The next question is from the line of Jinesh Joshi from Prabhudas Lilladher Capital. Please go ahead.
Jinesh Joshi: Sir, I have a bookkeeping question. You have mentioned that the depreciation increased in 2Q due to amortization of Freaks and Fuse box. But if I look at the number on sequential basis or even on YY basis, it appears to be quite high. So, is this an amortization or some kind of a write down, if you can clarify on that? And if it is not a write down, is this the new run rate going ahead? That is one. And the second question is also if I look at the employee cost, it has moved up considerably. And I believe it is predominantly due to consolidation of Freaks . And in the past, you had mentioned that t here were some challenges to cut down the staff on this busi

ness,
which operates in Germany. So, is the consolidation the primary reason for rising cost? And do you expect it to taper off going ahead and what should be the run rate ?
Sudhir Kamath : Thanks for the question again. Two quick responses. So, one is, these are not right now. These are amortization after the acquisition. Higher expenses are for two reasons. I think one is the general cost as we mentioned, but the other is deal related expenses, which have been expensed off fully as cost. That covers both questions.
Jinesh Joshi: So, that means, f rom third quarter the depreciation run rate should ideally be lower right ?
Sudh ir Kamath: It may be amortization of intangibles. I will need to come back to you on whether the run rate will drop. It probably should but maybe later in the call we can , I will just check exact data and come back to you on that one.
Jinesh Joshi: On the employee cost side if you can clarify ?
Sudhir Kamath: On the employee cost side, as we said, there definitely is a move to have more of the projects which are there for the Esports segment delivered out of India and Turkey or leveraging those now. So, as the revenue keeps growing, which we expect, the percentage cost which is being delivered from offshore will increase. So, there's that impact as well. So, overall, as a percentage, we do expect employee costs to drop -down significantly ahead.
Jinesh Joshi: And sir my second question is on Kiddopia . I mean, you responded to earlier participants a question that we're trying to close some IP partnerships and basically boost the organic user acquisition. But have any of your peers been able to do that recently in the US market? And once the partnership deal is concluded, which you highlighted that it may in 3Q, what kind of growth can we expect because we have seen the subscriber numbers dwindle for quite a few quarters. If you can just kind of give some insights on grow th?

Nitish Mittersain: So, far, we have seen several companies in the US as well as in the UK, which are focused on kids' IP or kids' related content, which have taken the IP approach and been quite successful. They have been able to overcome the user acquisition challenges and grow the business. So, we are very hopeful of emulating the same. It's not a first time attempt. We've seen other companies successfully do that playbook and we are just now replicating the same. It's taken us some time because our idea was to really go for best in class IP and as we announce, you will see that the quality of IP we are bringing to the table is important. It is important to note that given that we are working with global IP, it will take us at least a couple of quarters to really launch , but we are trying to accelerate it as soon as possible.
Jinesh Joshi: One last question from my side and that is on margins in the NODWIN business and the Fusebox business. So, in NODWIN , despite the consolidation of Freaks pre-EBITDA, we have barely managed a breakeven. So, how should we think of profitability from here on? That is question one. And also in Fusebox, I mean, if I look at the Jan to July number, which you had shared when we acquired Fusebox , the margin was 28% but now in the consolidation period it has fallen to about 19%. So, if you can highlight the reason behind that as well.
Nitish Mittersain: So, I think coming first to Fuse box, you know because these games are related to TV IP, during the summer months they have a much larger organic spike because the TV shows go on air in

the UK as well as in the US. You're probably seeing a period of higher revenues during that period. I think we should look at Fusebox margins similar to our other gaming company margins, whether it is Kiddopia or the other IPs that we have, like Animal Jam. We will be aiming for that 20% to 25% kind of a EBITDA margin on a steady state.

NODWIN gaming, I think Q3, Q4
is definitely the main seasons for this business. And you will see better EBITDA margins coming. Overall , as a business, I think we are at a point where we are starting to push for higher margins. There is strong alignment with the team. And hopefully you will also see that play out in the coming financial year beyond Q3 -Q4.
Moderator: Thank you. The next question is from the line of Sama rth Patel from Equirus Securities Pvt Ltd . Please go ahead.
Samarth Patel: So, given we are currently focusing on growth in PokerBaazi , what kind of topline CAGR , let's say, we can expect for next three years? And should we be able to sustain the current margin trajectory or would we try to improve upon it as well? So, that's the first question.
Nitish M ittersain: So, I'm going to take that on Pok erBaazi, look at this point of time, we are not consolidating the business. So, until we consolidate the business, you will not see direct impact on our financials.
At the same time, Poker baazi is by far India's most dominant poker platform, going at a very healthy 30 % to 40% year -on-year growth rate. And this business as it expands, as it scales, the margins would actually significantly expand because one of the core costs besides the increased GST payout is the money being spent on branding. And I think that will pay off rich dividends

on this business over a period of time. So, we expect over 2-3 years is to be a very highly cash generating business. But more specific numbers we will be able to give in coming quarters.
Samarth Patel: Now, coming to the Ad-tech segment, with the combining space and times growth, marketing expertise with the Datawrkz what kind of synergies we are expecting here , if you can just double click into that and any revenue update in near term, we would be able to see in this particular Ad-tech segment, which had been stagnant for some time now for us ?
Nitish Mittersain: Yeah, I think there are three points here. One is Datawrkz on its own. We are starting to see better output for many of the businesses, especially on the product side. And I think on a standalone basis, it will continue to improve, in Q3-Q4 and beyond. Now with Space and Time, which is a sizable business in relation to existing size of Datawrkz , there are at least a couple of immediate synergies. One is many of the products made by Data wrkz now can be sold in the UK and European market by space and time, therefore expanding, the revenue opportunity quite quickly. The second is Data wrkz can do some of the work of Space and Time in terms of execution and therefore lead to cost optimization for the Space and Time business, again creating an uplift of margins. So, we expect some of these synergies to show impact in the next couple of quarters. So, I think you'll really see the large impact of it in FY26. But yes, this business will add significant EBITDA to Datawrkz and Adtech business ’ existing EBITDA.
Samarth Patel: And the last question from my side is what kind of revenue and EBITDA contribution that we can see from the upcoming Big Brother game for Fusebox? Is it a medium term kind of play for us or should we see some revenue upt ick in the near term from the Big Brother game?
Nitish Mittersain: We aim to launch the game in Q1 of FY26. And in games usually you will soft launch it for 3-4 months, iterate the KPIs, and then make it mainstream. So, I think Q2 or Q3, FY26 onwards, we should be able to see them back. Big Brother, of course, as you know, is a large, well -established IP, and we have global rights for it. So, we are obviously very hopeful that we should be able to monetize it at scale. And you've already seen the kind of scale the existing IP, Love Island, is doing.
Samarth Patel: And just one last question from my side. Any further updates on the S maaash enter

tainment, if
you can just give some color on that, that would be really, really helpful .
Nitish Mittersain: It is still in the NCLT process. We hope to get approval in the next couple of months or so.
Moderator: Thank you. The next question is from the line of Manan from MKP Securities. Please go ahead.
Manan: I have a couple of questions. First, with respect to PokerBaazi, like you said, that the margins will go higher. If you could just call out the margins before the GST issue and right now in EBITDA terms , because I know you report revenue net of GST, right? If you could just give us some guidance on that and another suggestion is , even if you're not incorporating Poker Baazi

numbers into your console books, if you could just call them out on the presentation, I think that would be slightly helpful .

Nitish Mittersain: As we are still in the final process of closing the transaction , we thought it would make sense to start providing more detailed information from Q3 onwards So, I won't share specific margin profile right now but generally, if you look at pre and post GST, new GST policy implementation, all GST costs are basically 4X for most of the companies.
Manan: So, that's a number we can work with, right?
Nitish Mittersain: Yes.
Manan: And sir my second question is with respect to the business that we are already in with Classic Rummy, d o we see any place to scale it some sort of tie up with PokerB aazi or endorsement from PokerB aazi or something of that sort? And how are we thinking about the current existing business that we have in R MG?
Sudhir Kamath: Let me take that question, Manan. The existing business which is OpenPlay that is relat ively smaller scale. As we have called out in our presentation as well, the smaller companies have been worst hit . So, let's look at numbers to what you had asked earlier. This is a business which was doing say 25 %-30% EBITDA margins before the GST change. Now effectively all of that is going towards the higher GST and we have seen just about break even kind of numbers. We are doing a lot in terms of operational changes to help move that number up. We still expect that to be in the maybe low single digits to early teens kind of numbers in the coming quarter. Baazi is different , because it's a market leader in poker and has a much larger scale. They actually do expect margins to be higher even post GST . But in the present period, it will also be investing a lot of money back into brand marketing. It's already the leader, it also has a dominant position. So, over time, I think it will be a different profile. I think in the initial stage, it will be slightly different. And as Nitish mentioned in the previous one, right now we're not in any case consolidating the revenue and EBITDA for Baazi and obviously you'll be informed as well.
Moderator: Thank you. The next question is from the line of Rahul Jain from D olat Capital. Please go ahead.
Rahul Jain: Basis some of the input that has been shared so far, if I do a back of the envelope calculation, it seems like we're expecting a very strong profitability in Q3 -Q4, with some consolidation coming into play, as well as the improved commentary on the profitability. So, is it safer to assume the favorable seasonality of H2 would be more sharper this time versus the past trend ?
Nitish Mittersain : I believe so, that we should see a very positive H2 .
Rahul Jain: And from Kiddopia perspective, this IP upcoming IP announcement that we are talking about, let's assume it fructifies over Q3. Then ideally, what is the time lag between some of these things

actually playing into the cash benefit or retention benefit ? Is there any trend or observation that you might have seen that could help us build our thought process of the busi

ness?
Nitish Mittersain : So, assuming we close a couple of IPs in Q3, we would definitely try to launch them into Kiddopia in Q1 of FY26. If earlier possible, then we will do it. But I'm saying on a safer side Q1 FY26 because these IPs have a lot of approval processes, etc . because we are working with global companies, large companies. So, Q1 F Y26, we will launch, and hopefully we should be able to see early signs very quickly, maybe within a month, 45 days, two months of launching. So, hopefully we should be able to report back something in Q1 26. If not, then most definitely have some clarity of how it is helping us or going to help us in Q2 of F Y26.
Rahul Jain: And since there is still some time away from that point to happen, what should be the interim strategy in this business? Because I understand the reason of not spending so much on marketing is also about the kind of retention m etric that you're seeing. And what kind of LTV CAC you may be getting. But if you think with these IP O customer acquisition is going to improve later on and retention may improve on the across portfolio , will it make sense to start scaling up on the spends or general retention strategy to sustain the momentum right from post announcement of IP that step up would only happen once we are launching those IP in the game?
Nitish Mittersain : I think irrespect ive of IP or not, our objective and focus obviously is to enhance and improve the business metrics in all aspects. And I think we are looking at it at multiple areas. One I think there's a significant product enhancement we can do which has not happened for quite some time. Generally just st andard content updates were happening. But we're looking at introducing new elements to the product which will I think add more value to the children playing it but also the parents who are downloading it, actually paying f or it, right ? So, we have some parent tools, etc. that we're going to introduce. I think one is increased focus on the product. Second is, I think there's a lot of opportunity in experimenting with different price points, different periods of subscription, different periods of free trial that we give to the consumer, different geographies. We restarted a thrust in geographic expansion, which had kind of taken a backseat in the last I would say 18 months or so. So, I think there are multiple axis that we are working on besides the IP. So, it's not that we are only betting on the IP initiative. Beyond that, I think there's a lot we are doing on an ongoing basis, and you will see momentum pick up on that now that we have taken over this business completely.

Rahul Jain: And how the capital allocation of the funds that you might have in the Kiddopia subsidiary, what the strategy would change once now this is integrated? Will this unit can be leveraged to do subsequent M&A or this is not the thought process at this point?

Nitish Mittersain: Two things, we are looking at a couple of kids IP I see that we may invest in and acquire, but early days. So, if we get good opportunity, we will do that. But also remember that we are going to merge Paper Boat with Nazara, which means that we will have these funds available at the Nazara level to deploy wherever we need to .

Moderator: Thank you . The next question is from the line of Nikhil Gupta, who is an individual investor. Please go ahead.

Nikhil Gupta: Nitish, I just want to understand a long -term aspect in the sense that, let's say, 4-5 years down the line, which segment do you think will contribute more revenue and EBITDA? Will it be the core gaming segment or it will be the NODWIN , the Esport s segment?

Nitish Mittersain: It's difficult to give a perspective for five years out, but at this point of time, I'm actually very bullish on all three key segments, I would say. So, just to be specific, the

core gaming studio business, I think has a lot of potential to scale. I think we can really build a large business out of India, and especially with the new initiatives that we're doing, which is building a center of excellence around AI etc. I think there's a lot of optimization we can do to studios that we are acquiri ng and scale them. So, this will also be a high margin business and a high cash flow generating business. So, we will continue to build it out. NODWIN of course has been scaling revenues. The EBITDA margins have been lagging. But like I was mentioning earlier, I think going forward, the focus is now going to be to also start increasing EBITDA margins wherever we can. So, 3-4 years out, hopefully that should deliver good EBITDA because there's a lot to catch up on that front. The Adtech business with certain recent steps we have done should grow in EBITDA. And I think the R MG business, especially with our large position now in a market leader like PokerB aazi, can be a very large cash generating business for us. So, in that sense, I think directionally, all 3-4 businesses of ours are in the right direction. And I think 3-4 years out, we should and we must see much higher EBITDA margin profile from where we are today.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Nitish for closing comments.

Nitish Mittersain: Thank you everyone for joining the call. Looking forward to speaking to all of you again in Q3. Have a good day.

Moderator: On behalf of Nazara Technologies Limited and Spark Institution al Equities Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

Nazara Technologies Limited

Nazar aTM

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February 19, 202 5

To,
Listing Compliance Department
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Mumbai - 400 001.
Scrip Code: 543280 Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1. G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400051.
Scrip Symbol: NAZARA

Subject : Transcript of the Investor/Analyst Earnings Call held on February 14, 202 5:

Dear Sir/Madam,

In furtherance to our letter dated February 14, 202 5 regarding the audio recording of the investors earnings call for the quarter & nine months ended December 31, 2024, please find enclosed herewith the transcript of the said call. The Transcript is also available on the Company's website i.e. www.nazara.com .

We request you to take the same on record.

Thanking you,

Yours faithfully,
For Nazara Technologies Limited

Arun Bhandari
Company Secretary & Compliance Officer

Encl.: As above

"Nazara Technologies Limited Q 3 & 9M FY25 Earnings
Conference Call "

February 14, 2025

MANAGEMENT : MR. NITISH MITTERSAIN - CEO & JT. MANAGING
DIRECTOR , NAZARA TECHNOLOGIES LIMITED
MR. SUDHIR KAMATH - CHIEF OPERATING OFFICER ,
NAZARA TECHNOLOGIES LIMITED
MR. RAKESH SHAH - GROUP CFO, NAZARA
TECHNOLOGIES LIMITED
MS. ANUPRIYA SINHA DAS - HEAD OF CORPORATE
DEVELOPMENT , NAZARA TECHNOLOGIES LIMITED
MR. SENTHIL GOVINDAN , CEO AND FOUNDER ,

DATAWRKZ
MR. AJAY PRATAP SINGH , CEO, ABSOLUTE SPORTS
MR. KARANDEEP SINGH , GROUP CFO OF NODWIN
GAMING
MR. HARIT SHAH, IR

MODERATOR : MR. JINESH JOSHI – PL CAPITAL

Nazara Technologies Limited
February 14, 2025

Moderator : Ladies and gentlemen, good day and welcome to the Q3FI Y5 Earnings Conference Call of Nazara Technologies Limited, hosted by PL Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing the star, then zero on your touchstone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jinesh Joshi from PL Capital. Thank you and over to you, sir.

Jinesh Joshi : Yeah, good morning, everyone. On behalf of PL Capital, I welcome you all to the Q3 FY25 earnings call of Nazara Technologies. We have with us the m anagement, represented by Mr. Nitish M ittersain , CEO and JMD, Mr. Sudhir Kamath, COO , Mr. Rakesh Shah, Group CFO , Mr. Senthil Govindan, CEO and Founder, Data wrkz . Mr. Ajay Singh, CEO, Absolute Sports. Mr. Karan deep Singh, Group CFO of N ODWIN Gaming. Ms. Anupriya Das, Head of Corporate Development, and Mr. Harit Shah, who is part of the IR team.

I would now like to hand over the call to the management for opening remarks. Over to you, Nitish, sir.

Nitish Mittersain: Thank you. Good morning, everyone. In Q3FY25, we have achieved our highest ever quarterly revenue and EBITDA , reflecting the strength of our diversified portfolio. Revenue s came in at INR 534.7 crores with 67% year on year growth, and our EBITDA was at INR 52.4 crores , with a 39% growth. P AT from continuing operations was INR 13.7 crores post a one -time impairment of Brand Scale Innovations ’ equity investment. For 9MFY25, we reported revenue of INR 1,103.7 crores, EBITDA of INR 102.4 crores, and a PAT of INR 55.4 crores, respectively.

Our core gaming segment particularly stood out in this quarter , with a 53% revenue growth fueled by our strategic acquisition of Fusebox Games, as well as a fairly strong performance by some of our existing games, such as Animal Jam. Also, one large growth factor going forward for us, we've been making some good progress with the recent licensing agreements and upcoming integrations of popul ar entertainment IPs, which will enhance our user growth and engagement going forward. The recent collaboration by Kid dopia with Mattel for the globally renowned IP of Barbie and with Moonbug Entertainment for Little Angel will strengthen engagement among our young audiences. but we have also made partnerships with well -known franchises, including Big Brother globally, as well as Big g Boss in India, which we will launch in 7 or 8 languages that will allow our interactive story gaming business to scale.

We have also started acquiring popular gaming IPs. Recently, we announced C ATS , Crash Arena, TurboStars, and King of Thieves. These games are very popular IPs globally, and we have directly acquired them in Nazara Technologies Limited, which will also be published by Nazar a, therefore, ensuring revenue and profit from these accrue directly to the listed entity. We intend to further scale this model in coming quarters and think this can be quite accretive for us.

To support our continued expansion, we have placed a preferential placement of INR 495 crores to Aksana Estates LLP led by Mr. Arpit Khandelwal and Mr. Mithun Sacheti, founder of Carat Lane. These capital infusions combined with Nazara's strong cash reserves provide the company with financial flexibility to pursue further acquisitions as well as boost organic growth to drive long -term value creation. It's important to understand that at t his point of time, the opportunity at the global stage is very attracti ve for us and these acquisitions will tend to be very EPS-attractive as we go ahead and execute them.

With a strong foundation, a clear vision and an experienced te

am, we are well -positioned to build
a truly globally respected gaming company from India. With that, I now hand over the call to Anupriya for further business highlights. Thank you and over to Anupriya.

Anupriya Sinha Das: Thank you, Nitish . Good morning, everyone. As you are aware, Nazara operates across three business segments: Gaming, eSports, and Adtech. We are well diversified across demographics, geography, and business models. In Q3FY25, the Gaming segment accounted for 29% of total revenues and contributed 56% of EBITDA, while the eSports segment contributed 43% of revenues and 32% of EBITDA. For the 9MFY25 period, Gaming contributed 33% of revenues

and 55% of EBITDA, whereas eSports accounted for 49% of revenues and 37% of EBITDA. Adtech accounted for the remaining share in both the periods.

(A) Gaming

Our Gaming segment revenue grew by 52.7% in Q3FY25, with EBITDA margin of 22.2%.

1) PokerBaazi

• Moonshine, the parent company of PokerBaazi, Moonshine is reported as an associate in the books and is not consolidated .
• Key operating metrics of PokerBaazi were healthy, with Gross Gaming Revenue up 67% YoY, Gross Traded Value up 52% YoY and Deposits up 48% YoY in Q3FY25.
• 9MFY25 revenue for Moonshine Technologies was INR 357.3 crores, with an EBITDA of INR 26.9 crores. The company reported revenues of INR 151.3 and EBITDA of 18.3 crores in Q3FY25 .

2) Kiddopia

• Q3FY25 revenue was INR 47.6 crores, EBITDA was INR 12.0 crores and EBITDA margin stood at 25.2%.
• Kiddopia has entered into a licensing agreement with Moonbug Entertainment, owner of the popular IP, Little Angel to integrate Little Angel into Kiddopia, and a licensing agreement with Mattel, for integration of Barbie -branded content with Kiddopia.
• Integration of highly popular brands like Little Angel and Barbie with Kiddopia can aid stickiness in subscribers along with organic user acquisition at lower cost, which has the potential to drive revenue and margins in coming quarters.
• Nazara has filed the Scheme of Arrangement with the stock exchanges for the amalgamation of Paper Boat Apps Pvt Ltd with Nazara, and the appointed date of the scheme would be October 1, 2024.

3) Fusebox

• For Q3FY25, Fusebox reported revenues of INR 59.4 crores, with EBITDA of 12.6 crores, implying a healthy EBITDA margin of 21.2%. YoY revenue growth implied is 132%.
• Fusebox has been reporting strong performance, with key financial and operating metrics witnessing a healthy improvement including revenue, DAU and active payers.
• The studio recently signed agreements to acquire rights to produce new games based on popular reality TV shows "Bigg Boss" and “Big Brother”, and these are expected to launch in 2025.

4) Animal Jam

• Product metrics for retention, engagement and monetization of users are healthy.
• Revenue grew by a healthy 14% YoY in Q3FY25, while EBITDA grew by 55%.
• Q3 has traditionally been a seasonally high quarter for Animal Jam, which was witnessed again this quarter, led by good performance during the Halloween and Christmas seasons.
• A partnership agreement between Slinky and Animal Jam has been signed in Jan’25. WildWorks continues to explore integration of popular IPs to drive greater organic user acquisition.

5) OpenPlay

• Gross Gaming Revenues stood at INR 15.7 Crores, while Net Revenue stood at INR 5.1

crores.
• Despite the high share of GST at 47.4% of GGR, which impacted net revenue, EBITDA reached break -even in Q3FY25 with a small positive EBITDA, marking a significant financial improvement compared to last year.

• Cost optimization and operational efficiencies have yielded positive financial impact, even amid revenue challenges.

(B) eSports

Our eSports segment reve

nues grew by 20.1% in Q3FY25, with EBITDA margin of 8.4%.

1) NODWIN

• NODWIN's Q3FY25 revenue grew by 23% YoY. However, the like -for-like revenue growth was much stronger at 48% YoY, excluding revenue from Wings, which was deconsolidated from February 3, 2024. In 9MFY25, the YoY revenue (excluding Wings) grew by 57%.
• The growth was led by strong performances from NODWIN's proprietary IPs and live events such as Playground Season 4, Snapdragon Pro Series and Dreamhack and Comic Con integration as ONE event.
• NODWIN continued to make strategic acquisitions, including Trinity Gaming (Influencer/Talent Management), AKF Gaming (Content Management and Distribution) and StarLadder (IP and event production portfolio), investing over INR 75 Crores in these assets, whi ch involve a combination of cash and stock.
• Q3 EBITDA was impacted due to cancellation of the NH7 Weekender event in Pune in December 2024; NH7 is planned to be held in March 2025; some artistes have agreed to join and sponsors are supportive.
• NODWIN continues to invest in multiple assets worldwide in emerging markets, while focusing on organic growth, thereby expanding its share of international revenue. International revenues stood at 48% of total revenue in Q3FY25 and 45% in 9MFY25.

2) Sportskeeda

• Sportskeeda continues to maintain its ranking among top 10 ranking among US sports news websites.
• Absolute Sports (group) grew its revenue and EBITDA by 13% and 5% respectively in Q3FY25, with corresponding figures for 9MFY25 at 19% and 11%, respectively.
• The core Sportskeeda business continued to grow well with revenue and EBITDA increasing by 21% and 31%, respectively in Q3FY25. However, overall revenue and EBITDA were impacted due to a subdued performance in Pro Football Network (PFN).
• While PFN revenue declined YoY in 9MFY25 and Q3FY25, there are early signs of recovery, with December 2024 revenue higher YoY, and the month witnessing the highest -ever revenue month till date post -acquisition.
• SoapCentral saw a robust performance, with Q3FY25 revenue at 101% of pre -acquisition annual revenue, reflecting strong revenue scale -up post -acquisition.

(C) Adtech

• Datawrkz through its subsidiary Datawrkz Operations UK acquired 100% stake in Space & Time Media for an equity value of GBP 4.8 million (~INR 52.3 crores) in October 2024. Since then the business has been consolidated in the books of Nazara .
• Datawrkz on a standalone basis posted revenue growth of 38% YoY with EBITDA margin of 14.1% in Q3FY25 as efforts that were being made in prior quarters to shift towards more profitable business lines in Datawrkz's independent business are bearing fruit
• The company will be continuing its investment in sales and marketing to sustain the growth witnessed in Q3FY25.
• Post the acquisition of S&T (UK), efforts are in hand for speedy integration of the company into Datawrkz .

With this, I conclude my remarks and we will now open the call for Q&A. I request Nitish, Sudhir, and Rakesh to join me for the session.

Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press star and one on their touch tone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use

handset s while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The f irst question is from the line of Deep Shah from B&K Securities, please go ahead.

Deep Shah : Yeah, hi, good morning. Thanks for the opportunity. So, thanks for the detail ed split about numbers and segment al EBITDA , that is quite useful. But within that, say, in the N ODWIN segment, because before you acquired P okerBa azi, and even now, even afte

r the acquisition,
NODWIN could still be the out lier, which makes disproportionate money for us. So, I want ed to understand that slightly in detail. One is, I understand the 8 crore loss because of NH7 Weekend er, but otherwise we've not seen this business become profitable. So, one question would be that, what is that in flection point you believe, or probably the in flecti on point is way ahead in the future, where you see that we keep on investing before we start making money. Second, over the last year also, we've seen a few acquisitions , though they mig ht be small in individuality, in total they might build up. On top of my mind, we have Fr eaks 4U Gaming , we have Comi c Con, which I believe would not be there in the last quarter. So, if you could give some idea about how numbers are without those acquisitions, that would be useful. That's my first question on NODWIN . I'll ask the next question later. Thank you.

Nitish M ittersain: Sure. I'll answer it at a high level myself , this is Nitish, a nd then I'll call on Karandeep who's a CFO of N ODWIN t o get into more details. So, I think as we maintained right from a Nazara overall perspective, we've always seen N ODWIN a s a large growth driver for us at a macro trend of eSports and they've also now expanded their horizons to capture the attention of the youth in addition to e Sports in the adjacent areas that they have been active in. So, I believe that the company continues to build market leadership. It continues to build moats around its business. This whole attention of youth, live events, etc. are going to be very valuable in an economy like India. And I think N ODWIN is extremely well positioned, which is why from our perspective, you know, even if N ODWIN is not generating a lot o f profits for us in the short -term, we are supportive of them to continue to build it out over the next couple of years before we focus on the profitability. Karan, if you can step in and just answer some of the more details, it will be helpful.

Karandeep Singh : Sure, Nitish. Thank you for this question. I think just to baseline the numbers as far as Q3 is concerned, and you've pointed out, you know, the NH7 cancellation was the reason for the loss. And if you were to remove that cancellation cost, we get to the break -even. If you add to that, you know, th e opportunity of the profit that we've lost from the NH7, it would have made the quarter 3, you know, profitable for N ODWIN . Having said that, I think N ODWIN is always invested in growth. That's what Ni tish has called out, whether it was in the IPs that we are building or in the emerging markets that we are increasing our footprint. Last, I was calculating the acquisitions that we've done, you know, the kind of footprint we have is almost across 20 countries, which includes markets in Africa, includes markets in Central Europe, etc., which are very youth -centric markets, and that's ou r mission in terms of, you know, driving the engagement with the youth, which is what drives the brands and the publishers. But as we, you know, kind of tenure and mature on our IPs, we will definitely see the profitability, you know, kind of, you know, come through as we settle down in terms of our integration of the acquisitions. And as the footprint gets a lot more settled down and, you know, we operate as a more, you know, cohesive unit with all the acquisitions and all th e footprint, I think the profitability should come through. So that's a quick, you know, answer on that. In terms of the growth numbers, which you've called out, you know, Anupriya has called out, you know, a bout also 58% that you've seen on the YTD basis in terms of the growth, about 20% is from organic and about 38% is because of the inorganic acquisition. But again, please remember that in last year's numbers, there was N H7. If I remove the N H 7 from the last year's numbers, the organic growth will

go much beyond 20%, probably 25 -26%.

Deep Shah : Okay, understood. Thank you. Maybe I'll take a few details offline. The second question is on this partnership. So, we've seen this Animal Jam do spectacularly well. Yes, there is some seasonality, but we've seen margins improve there significantly. So, what I want to understand is, should we expect such kind of overlays here as this platform stays up? And how do these partnerships actually work when it comes to, say, IPs for, say, properties like Big g Boss or Big Brother? Is it upfront fee , is it payment basis number of downloads? If you could give some idea. And then the CAT S arena, will that work independently of Fusebox ? I heard you mention something that will work at NODWIN level , but will those developers work together? So how are we thinking, say, from this proposition as an owner of mobile games?

Nitish Mittersain : This is Nitish. I will take that question. So, I think Animal Jam for us as an IP has continued to sustain its revenues and profitability post -acquisition. And we are quite happy with the performance of that business. Now we are starting to expand the product portfolio with the team, given that it's a very experienced team. We recently acquired another license for Slingy and the team will start working on that game. It has already started working on that game with a release later in the year. So, we believe that now we can build Anim al Jam across different platforms, different IPs, increase the brand partnership over there. So, I think now that this Animal Jam game itself has shown that it's sustainable, there's a lot more growth we can build on this. This particular quarter, of course, I must call out, there was, you know, while the overall profitability has grown, it's also little exaggerated because of some, you know, one -time income that we got of about USD 300,000. So if you adjust for that, you would still see fairly good growth in margins as well as, I think, about a 14% growth in revenue.

Coming to your question on IP licensing and brand partnerships, you know, till now, most of our games, whether it is Kid dopia, whether it is Animal Jam, have been completely based on 100% original content. And the business model really runs in terms of also a lot of dependency on our ability to spend money to acquire users. But over the last year or two, as we are talking to many companies, we are seeing some companies have quite successfully worked around user acquisition challenges by working with, you kn ow, popular IP. Because popular IP, let's take, for example, in the case of Kid dopia, let's say Barbie, right? These IPs are well -known for their fan base and tend to generate organic downloads which are, in a way, free of cost for us. And therefore, also help in our advertising, you know, our click -through rates improve, so our cost of acquisition decreases, user engagement improves a bit.

So overall, we believe that by integrating some of these IPs into the games, we would benefit in multiple ways. How these IP licensing partnerships are usually structured are there are certain minimum guarantees involved. And beyond the minimum guarantee, we would share a certain percentage of revenue of the utilization of that IP. So, net-net, our expectation is that even with the IP licensing cost, if you were to compare that to what we spend on user acquisition, it would still be a lot more profitable fo r us. So, I think that's the direction we are going. Even with Big g Boss or with Big Brother global lunch, we've already seen Love Island as a game do extremely well and we're hoping to repeat that success with some of these new IPs. I hope that answers your question.

Deep Shah : Yeah, this is helpful. Thanks, Nitish. If I could squeeze in one more question. Sportskeeda for the last couple of quarters has been seen slowi

ng growth. So, anything potential to call out there?
Because it has grown quite well even on organic basis , while we maintain ed margins this quarter, anything specific there or it's just transient?

Nitish Mittersain : Yeah. So, I'll again share a high -level view, but I'd love to call Ajay, who is the CEO of Sports keeda to give a more detailed insight. So, from my perspective, you know, Sportskeeda's core business has continued to grow well. I think at an overall numbers perspective, it's slightly slowed down because of challenges we faced with Pro Football Network. But like Anup riya mentioned earlier in the commentary, we are already starting to see that recover. So, we're not very concerned or worried about that. I thin k we've also seen some of the recent acquisitions play out extremely well, although on a relatively small scale. Ajay will maybe share a bit on SoapCentral and how that has done. So, Ajay, I'll pass this over to you and why don't you give some context.

Ajay Pratap Singh : Yeah sure. Thanks, Nitish. Sportskeeda, to be honest, organically has been doing really well, both in terms of user base, in terms of yield per user. If you see this quarter, there were a couple of challenges that Nitish mentioned. One, Pro Football Network, we saw some dips for a couple of quarters because of Google Code updates and Pro Football Network was caught up, wrongly caught up in that. However, that said, December month was one of the best months for Pro Football Network in terms of overall revenue. And January also is looking really, really good for us. Last year, if you see Q3, we had Cricket World Cup, which contributed to good revenue numbers and EBITDA for Sports keeda . Unfor tunately, this was not there in this quarter. That said, I think the playbook is working really, really well, both in Pro Football Network and also the recent acquisitions tha t we did. Soap Central. So , on Soap Central, when we acquired Soap Central, just some numbers there, Soap Central was doing somewhere around INR 5.15 crores in 12 months that we acquired and in just October November and December quarters we surpassed that number. So, the playbook that we have created on Sports keeda has shown good resul ts. We

are pretty confident that Sports keeda will continue to grow both organically and via playbook application.

Deep Shah : Thank you so much and all the best .

Moderator: Thank you. Before we take the next question, we would like to remind participants that you may press star and one to ask a question. The next question is from the line of Abhishek Kumar from JM Financial. Please go ahead.

Abhishek Kumar : Yeah hi, good morning. Thanks for taking my question. I have three specific questions. First on Kiddopia, the cost per trial seems to have jumped quite significantly on a QoQ basis. I mean, it looks like things are getting from bad to worse, especially on the traditional user acquisition channel. I was just doing some numbers from 1Q22. You know, CPT has increased by 60%, while our ARPU has increased just by, I think, 9 -10%. So, while I understand that we are doing, you know, some intervention on the IP partnership, etc , but what is happening on the traditional side, because my understanding is this will still remain a significant channel for user acquisition going forward. Any color here would be useful. Thank you.

Nitish Mittersain : Sure. This is Nitish. Good question. I think we've taken full control of this business in the recent months. It's been, I think, three or four months. And there's a lot of work we have done to get better grip on data, underlying LTV, et cetera, trying to add new user acquisition channels. And I think some of that is starting to play out. So, while December particularly, you know, the heightened CPT was caused by, I would say, a larger spike in Decemb

er, I think with some of our implementations, you are going to see a much, much improved Q4 numbers. So, we're feel ing fairly comfortable that not only will we sustain what we have had, we will actually improve on it Q4 onwards. So, I think leaving aside the new IP partnerships , et cetera, just on the business as usual, you should see much better metrics starting Q4.

Abhishek Kumar : Okay. Second question is on Space & Time. There seems to be some change in accounting here . From gross net revenue , we are now doing a mix of gross and net revenue. What that has done is that has resulted in a significant increase in revenue run rate, but at the same time shrunk the margins significantly. In fact, you know, margin seems to be tracking below last year's E BITDA margin number. So how should we – first, what is the rationale of, you know, going with this accounting? And second, how should we look at the margin profile now going forward in this business?

Nitish Mittersain : Yeah, sure. So, to be honest, our preference in this business was to report the revenue as per net. However, bas is Ind -AS accounting and the advice received by our auditors, we had to take a blended accounting, which we have also explained in the presentation. There i s a note at the bottom of that slide , which explains how and why it is accounted for. So, I think certain contracts are being accounted at gross and certain contracts are being accounted at net on the basis of the nature of t hat particular contract, depending on what is the risk on Space & Time. So, I think that is how it is accounted and therefore you are absolutely right, revenues have increased and the margins have shrunk. That said, it's only days for Space & Time. I think there's a lot of integration to be done. And we believe as integration is done, overall margins will increase. You've already seen Data wrkz in this quarter has recovered extremely well. In the last year, Data wrkz was struggling, but we were quite confident that it's on the right track. And the standalone numbers of Data wrkz also reflect that. Senthil, who's the founder of Data wrkz and also the CEO, is on the call today. So maybe Senthil, you can add to this.

Senthil Govindan : Yeah, absolutely, Nitish. So, I think Nitish correctly points out that this is more than anything else, it is the accounting treatment that we're following. Maybe to drill one level deeper into what is being reported at gross versus reported at net - so, there are certain direct publisher relationships where Space & Time directly works with the publisher in order to buy inventory for delivering campaigns on behalf of brands that they work with. In those cases, the revenue is accounted at a net basis where they're working with player s such as Meta or Google or LinkedIn and so on. The revenue will be reported on a gross basis. And again, this is based on advice given to us by our audit partner.

Now, having said that, in terms of Space & Time itself and what we can expect going forward, so start with the core principle. Space & Time is a marketing agency, right? So, it's running

advertising campaigns on behalf of its clients. It's part of this, given that it is obviously a very people -centric business, there are costs that are associated with it. And therefore, their margin profile tends to be lower, given that Space & Time itself is in the UK, which is a higher cost geography.

Going forward, what we are expecting in this acquisition is first that we will be integrating a lot of the technology that Data wrkz has spent time and invested to build over the last many years, we'll be starting to deploy that in Space & Time, which should improve the collective margin profile of the Data wrkz group overall. And separately, we will also have, over the course of time, more of a bl

ended people approach between the UK and India, which , as we go along, let's say over a period of maybe one to tw o years, we will see that that also contributes to having their SG&A, their indirect costs come down as a percentage of their gross margin. So overall, I expect that the margin profile will improve over time. But these are the basic reasons why we are in the current situation and what I expect for the future.

Nitish Mittersain : Thank you, Senthil. And just to clarify, there's no change in accounting. This is how it has been .

Abhishek Kumar : Yeah, okay . One last question is on Brand Scale. You know , we have taken a write -off, and we also mentioned in one of the notes that there is INR 35 crores of Loans and Debentures , which will be provisioned . So, i f you could just please remind us what is the total investment that we did including the Debts and Advances and how much of it , I mean , this percentage seems the overall write -off i f that INR 35 crores also comes through , seems high . So, just trying to understand what is it as a percentage of overall investment equity .

Nitish Mittersain: Overall investments as Nazara ?

Abhishek Kumar: Into Brand Scale.

Nitish Mittersain: No, when you say percentage , do you mean percent of investment write off?

Abhishek Kumar : Write -off as a percentage of initial investment s.

Nitish Mittersain: It would be, we've done about, so the equity investment right now, we've written off about INR 15, 16 crores, which was the entire outstanding value of our equity investment. But some of it would have been amortized, et cetera, right? And the balance is 35. So, it's about 30, 35% of the total outstanding. Basically, the total equity investment has been impaired in our books.

Abhishek Kumar : Okay. And is there a, I mean, we don't see any possibility of recovering this amount , which we have advanced to them. I mean, what's the reason for providing for this now?

Nitish Mittersain: So, we do see some potential of recovery, whether it's through inventory, whether it's through some person who purchases, you know, the brand, et cetera, which we want to work over the next couple of quarters . We took a conservative view to do the equity impairment, given the state of that business.

Abhishek Kumar : You know, I was more referring to the loans that we are planning to provision for.

Nitish Mittersain: Yeah, we haven't provisioned yet, right, because we do see some potential to recover. But we have just, again, Nazara generally tends to have a conservative approach, and we like to transparently disclose any potential bad news, which is why we put it in just as a potential future exposure in the company.

Abhishek Kumar : OK sure. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Prem Sharma from Mirania Enterprises. Please go ahead.

Prem Sharma : Hi. Good morning and thank you for giving me a chance . I have two questions. One is how does one go about valuing IP for these companies when you acquire I Ps and when you acquire organizations that have multiple IPs, how do you value them? And the next question is about Plutus Wealth acquiring a majority stake in Nazara, what is the biggest point of it for Nazara?

Nitish M ittersain: I could understand your first question. I couldn't understand the second one. Maybe I'll answer the first one and then we can address the second one. So, when you say valuing IPs, are you referring to the games that we bought from Zepto Labs recently? Or are you referring to IP?

Prem Sharma : Yeah.

Nitish M ittersain : Okay. So basically, we're looking at multiple things. One is how popular those games have been. What are the app store ratings, downloads, current user base, current revenue trends, and current profitability trends that we're looking at. Point number one. Point number two, what we feel we can do after taking over those games. Can we expand that business? Can we scale it through, you know, multiple improving live ops, etc. And third is, usually these deals or these transactions are based on a n EBITDA multiple within a fair val ue range that we are willing to pay to purchase these assets.

Prem Sharma : Okay. And what about the I P of organizations like Star Ladder? How do you value them?

Nitish Mittersain : Sorry your voice is not very clear. Can you repeat that?

Moderator : Mr. Prem, can you please use your handset and speak?

Prem Sharma : Okay. Hello. Am I audible now?

Nitish Mittersain : Yeah, much better.

Prem Sharma : Yeah, I was asking how do you value I P for the organizations like Star Ladder?

Nitish Mittersain : You mean to say how do we value the acquisition price?

Prem Sharma : Yeah, because StarLadder also has IPs, right?
Nitish Mittersain: Yeah, yeah, yeah. Karan, why don't you take that?
Karandeep Singh : Yeah, so StarLadder, we obviously put an enterprise value on the company. It has revenues generated from both a combination of its IP as well as from other businesses that it gets. So, it's an enterprise value, sir, that we put from an acquisition point of view. And then, you know, the IP, then from an accounting point of view, purchase price accounting point of view, there's a value and all of that is done. But what you see in terms of the announcement you've done in terms of the acquisition, it's the enterprise value, not specific to the IP.

Prem Sharma : Okay, so no specific rate is given to IPs for such organizations, right?

Karandeep Singh: Yes, absolutely. I mean, the potential of the IP is pretty strong. So obviously, when we look at it, and when we obviously, you know, look at the projections on how the business is going to shape out both on the IP side and the non -IP side and accordingly the acquisition gets accounted for between IP and other ways of looking at other assets which is goodwill , which is certain assets that we acquire as part of the going concern.

Prem Sharma : Okay. Thank you. And the other question was about Plutus W ealth acquiring a majority stake in Nazara. What would be the vision? What's the vision involved on Nazara ?

Nitish Mittersain: Yeah. So, at this point of time, Plutus has not acquired a majority stake. Plutus plus Mithun Sacheti combined have crossed a 25% threshold, which has triggered an open offer of an additional 26%. But depending on how that open offer is subscribed to, it will be the final shareholding of these combined. As we already disclosed, Plutus and also Mr. Mithun Sacheti will join in as co -promoters in the company. In terms of the existing business management, nothing changes. The existing management remains completely in control of the business. And we will have support from Plutus as well as Mr. Sacheti as we need and as they can provide.

But overall, I would just like to comment on that. I think it's a big vindication for us to have our largest shareholder cross over the line and join us hand in hand as well as, you know, a celebrated entrepreneur like Mr. Mithun Sacheti join us. We feel very validated by that.

Prem Sharma : Okay. Thank you so much , that was helpful.

Moderator : Thank you. The next question is from the line of Vavik Shah from MK Ventures. Please go ahead.

Vavik Shah : Yeah, hello, sir. I just want to understand how do you see PokerB aazi going ahead? Like this quarter we see PokerB aazi turning EBITDA -positive again. So like, what has changed in the last two quarters where you were doing EBITDA loss and this quarter we turned positive? And how do you see these numbers going forward?

Nitish Mittersain: Sorry, this is about PokerB aazi, righ

t?

Vavik Shah: Yeah .

Nitish Mittersain : Look, I think PokerB aazi is the dominant poker platform in India, by far the leader. And therefore , it's very clear that at this point of time, they have to double down on creating a brand and creating a very large moat, which is very defensible on an ongoing basis. So, the entire focus is going to be on growing their gross revenue. And gross revenue, when I say I'm talking about the GGR, which is Gross Gaming Revenue, which is the rate that they take. And, you know, establishing a very large brand. A bulk of the marketing costs are going into brand building , sponsorship, for example, they're one of the l argest sponsors of Shark Tank , they're sponsoring IPL, etc. So, I think depending on quarter on quarter, their brand spends depending on where they are advertising , for example, in Q4, IPL is in March. So, there may be a large brand spend coming up in Q4. That's what you will see in the EBITDA. The core business is very profitable. At this point of time, it's the brand spends that move the EBITDA up and down. And you will continue to see that in the next few quarters.

Vavik Shah: So basically, we continue to invest in marketing. Maybe we have some losses. But this quarter, so we have a lower marketing spend and EBITDA -positive, right?

Nitish Mittersain : Yes, correct. That shows you the underlying strength of the business, of its ability to generate cash. It's important to understand that PokerBa azi is spending less on performance marketing or direct user acquisition and a lot more on brand building and therefore , as the brand gets built even larger, we believe that will become a very large mo at for the company.

Vavik Shah: Understood. Thank you, sir.

Moderator : Thank you. The next question is from the line of Yashita Banka from Ratna bali. Please go ahead.

Yashita Banka : Hi, I wanted to know that after doing...

Moderator: I'm sorry to interrupt. Your voice is coming very low. Could you speak a bit louder?

Yashita Banka : Am I audible now?

Moderator: No, ma'am. Still the same.

Yashita Banka : Is it better now?

Moderator: Can you come closer to the mic and speak please?

Yashita Banka : Yeah, am I audible now?

Moderator: Yeah, far better. Thank you.

Yashita Banka : Yeah, I just wanted to know that after doing so many acquisitions and raising so much cash in the last 6 to 8 months, what EBITDA guidance are we looking at for the next 3 to 5 years?

Nitish Mittersain : At this point of time, we'll stick with our FY27 EBITDA guidelines of INR 300 crores and we believe we are firmly on track to achieve that.

Yashita Banka : But don't we see any increase in this guidance , since we've done so many acquisitions and we're consolidating everything to the parent level?

Nitish Mittersain: Well, we obviously make our best effort to beat our prediction. But at this point of time, we're not prepared to give a fresh guidance.

Yashita Banka : Okay , thank you so much.

Moderator : The next question is from the line of Ramanuj Chandak, an individual investor. Please go ahead.

Ramanuj Chandak : Hello. Am I audible, sir?

Moderator : Yes, p lease go ahead.

Ramanuj Chandak : Hello. Yes, sir. My question is regarding broader perspective at the industry level. We have seen right from 2022, gaming industry as well as startups are facing a funding winter, not just USA but other countr ies also. So, do you think Nazara getting affected by that in any manner? And my second question is regarding, is it better for Nazara that you develop games in India and sell it in other countries or develop it worldwide and bring that to India? What would you prefer?

Nitish Mittersain: Sorry, can you repeat your first question, please?

Ramanuj Chandak : We have seen right from 2022, due to high interest rates, cur

rently the world is facing a funding winter for startups as well as for gaming industry. So, let's assume if this goes on for a long time, is Nazara affected by that?

Nitish Mittersain: No, it's a fantastic opportunity for us, no? Because we are able to acquire assets at very attractive prices, which is going to be very accretive for us and reduces risk of these acquisitions significantly.

Ramanuj Chandak : So, I mean, if other gaming companies are facing funding problems, is Nazara prepared for funds or will we also face some problems?

Nitish Mittersain: I mean, we've demonstrated in the last year or so that we've been able to quite successfully raise capital. And therefore, I was mentioning earlier that I think we're uniquely poised to take advantage of the opportunity globally, which is also why we've be en aggressive in terms of fund raise. Even though I understand that investors don't like dilution, the reality is that it's highly accretive at an EPS level at this point of time. And we're not playing an arbitrage game. We are very clear that we are getti ng attractive assets, which we will build on and grow over a period of time, sustain these assets and grow them.

For example, Animal Jam, we acquired two years back and that is sustained and growing. The Fusebox transaction is fairly recent, but we're quite confident of building on top of it. With that one game that they have, Love Island, since then we've already pa rtnered with Big Brother, with Bigg Boss, we're doing a couple of other games. So, I think our strategy of avoiding the 0 to 1, which takes a lot of time to build out, and then trying to scale these assets after acquiring them at a low value should pay ver y rich dividends in the next couple of years.

Ramanuj Chandak : Currently, how is the market in US and Europe for gamers? Are they able to raise funds in US and Europe?

Nitish Mittersain: I think it's been a difficult environment for multiple reasons. And, you know, it's a long answer, but I'll try and answer it a bit quickly. Basically, you know, when COVID hit, a lot of the gaming companies in Europe and the US saw large spikes in their revenue. Alongside that, you know, there was a significant drop in interest rates. So a lot of these companies were acquired or raised capital at high valuations. You know, funding was cheap and the business was booming. Post - COVID normalization happened, as well as this whole Apple IDF A issue hit gaming companies worldwide. And therefore, the revenues kind of fell off the cliff, wh ich have now stabilized over the last year, 18 months or so. And I think some of these Apple IDF A issues and all are also

starting to, you know, normalize , ad agencies have kind of tweaked their models to work for it. I think a lot of these companies are coming out of it.

Also, on the other hand, a lot of acquirers in Europe and US bought these companies at high valuations, raising a large amount of debt and now they are trying to solve for it. So all these situations create a very attractive opport unity for a company like Nazara that has an established playbook, has at this point of time has been able to raise capital and can go in and acquire these assets, which is why we've been very active, actively not only building a large deal pipeline, we've been very active in the conferences happening in Europe and US , sponsoring at G DC this year, which is the largest gaming conference that happens in March in San Francisco. So, I think 2025 will remain a very good opportunity for Nazara to pick up very high-quality assets at very attractive prices.

Ramanuj Chandak: Second question is regarding, do you find it cheaper to develop games in India, sell it worldwide or acquire games worldwide and bring back to India ? What is your preference?

Nitish Mittersain: I think we would do both o

f it. Through Nazara Publishing, we are definitely looking at bringing high-quality games and partnering with high -quality game developers for the Indian market because we believe that from a growth perspective, India will be a large gaming growth story. Although the base is small today, if you take a five -year view, gaming in India would grow , people would pay for high -quality games and if we are publishing these games, providing strong local support to global developers through local live ops, etc, localized marketing, that would be a win -win for everyone. So, we will surely do that , we already have Nazara Publishing that is working on it. At the same time, our Prime Minister has himself set a clear vision that, you know, building games in India for the world is a big opportunity that developers should do. And as India's only listed gaming company, that's a call to action we're very serious about. and that will involve obviously developing games in India, investing in local studios and building for the world.

Ramanuj Chandak: Last question is regarding the gaming talent in India. We are seeing that all major tech companies have resumed hiring. Do you see Indian software engineers moving towards gaming or is it still difficult to find gaming tech developers in India? What's the current scenario?

Nitish Mittersain: You are talking of gaming talent in India for developing games for the world ? Sorry, your voice is breaking a bit.

Ramanuj Chandak: I mean, does India have sufficient gaming talent that we can develop games in India? Or should we even in future rely on other countries?

Nitish Mittersain: You know, I think a hybrid way of working is today the best solution. So, I'll give you an example. You know, with Fusebox Games that we acquired, there's about 30 people, 35 people, great people working in UK. And they are the core of the business. They really have the real grip on how that particular genre of gaming works. I think if we were to do it from scratch in India, we would find it difficult. But the way we've built a hybrid strategy is for all the new games that Fusebox is making, like Big Brother, Big g Boss, etc , while the core team kind of oversees the game design, the game narrative, etc. and how the production quality is coming , a lot of actual development is now starting to happen. The engineering is starting to happen in India. And therefore, this hybrid model, I think, is a great way, at least for Nazara to work and take advantage of both worlds - the high design skill set in international markets, the great engineering, quality assurance, etc., talent available in India.

Ramanuj Chandak: Thank you for taking my question.

Moderator : Thank you. Ladies and gentlemen, if you wish to ask a question to the management you may press star and 1. The next question is from the line of Nikhil , an individual investor. Please go ahead.

Nikhil : Thank you for the opportunity. So, my first question is around can you please give an update on Smaaash Games. I think it's a bit some time that we have waited for it and if there is no update is there any tentative timeline, we can know something?

Nitish Mittersain: Well, it is, you know, we were the successful bidders for it or the shortlisted bidders for it. However, there are delays at the NCLT approval process and we have been following up on the same. And we hope that in the next quarter or so, we should be able to close and take control of the company.

Nikhil : Okay. And one last question. I think there were some headlines around Nazara partnering with state governments on adding commerce to our gaming studios. So, can you please comment on that thing , what's going on?

Nitish Mittersain: Yeah. I think what you're referring to is the G -commerce play. What we are trying to figure out is the one challenge

in the Indian gaming market outside of the real money gaming is that monetization through in -app purchases, you know, still a small propensity, small percentage of players are having the propensity to pay for in -app purchases. And revenues through advertising is quite a bit of struggle because the eCPMs are low, the bill rates are low, etc. Therefore, the whole idea is that how ca n we create alternate monetization models that could provide game developers in India a better way to monetize. And one thing we felt was that if you could integrate e -commerce within the gaming environment, since Indians are already very used to, you know, shopping online, etc., if we can target the right offers to the right consumers, perhaps the fees that we can earn through affiliate, etc., would be higher than the advertising.

We are in advanced stages right now of a pilot with ONDC. We are hoping to launch that pilot within Q4, before March. It will take us maybe another quarter to try and iterate that before we can come back to you with how this experiment has worked out. But generally, I feel G - commerce is something that could be a great innovation out of India for the Indian market also, but for the world. So that's something we are attempting at this point of time.

Moderator : Right. Thank you so much. The next question is from the line of Kewal Shah from Standard Chartered. Please go ahead.

Kewal Shah : Yeah. Thanks for the opportunity. Sir, my first question is on Freaks 4U. Not much information is given in the presentation. Can you help with some basic numbers like what would be the revenue , profitability, is it profitable right now? Is it being consolidated right now and what would be the outlook for this upcoming year for Freaks 4U, b ecause I believe it was a big-ticket acquisition from Nazara.

Nitish Mittersain: Yeah, sure. Karan, can you take that on please?

Karandeep Singh : Sure. So, we don't break out the numbers of Freaks separately, but I can tell you that the Freaks business, which is our venture into the German and the European market, is playing out beautifully because the brands who straddle across the European market, the Asian markets, the China market, they are keen to kind pf promote through the gaming community in that part of the world, we are able to leverage that. Freaks, per se is going through its turnaround, just to kind of call that out. We are very cautiously optimistic that this, we are helping them through the turnaround journey. That's the only thing I would say at this point of time, but there is a strong collaboration between the Asia and the China side, which is where we have the front end and a lot of the brands pushing the marketing dollars into Europe , where we have a beachhead in terms of Freaks, you know, helping to, you know, grow that business.

Kewal Shah : Okay, thanks. How is overall e Sports landscape in the European markets basically? For emerging markets, it is growing very well but can you throw some light like how is the industry doing over there?

Karandeep Singh : Yeah, no, absolutely. So, I think e Sports is, you know, there are big events which are happening, you know, there's the Counter Strike, you know, event which Valve's doing which is going to be in Hungary at the end of this year. We are, we are gunning for that. So that's a big event which is scheduled. The mobile markets, which is the Tencent and the PUBGs, they are exploring into markets which is beyond the shores of, you know, Asia and Middle East and getting into the Central Europe, which is why our presence and in less than one year since we've been present in the CIS countries, we've done an event for Tencent in PUBG in Uzbekistan. And we expect to kind of explore more with them. So Tencent obviously counts NODWIN as a preferred partner.

And with that point of view an

d given our strength in the mobile gaming side of the capabilities
that we've built, we should be able to partner and grow in the European side with them and other markets, other emerging markets, including A frica.

Kewal Shah : Okay. And is there any path to profitability, like any target internally that by this time, it might just become profitable?

Karandeep Singh : Yeah. So, like I said, you know, in the earlier questions, I think we've been investing in growth. And, you know, the growth has been first in the IP side, some of the IPs like the BGMS, which ran the third season, the Playground, which ran the fourth season, you know, the SPS, which has had a fantastic success. I think we are getting to that stage where the IPs, you know, which were invested for will become a lot more profitable. So that is one angle of growth that you should be able to see play out. The other is ob viously the emerging markets, like I just called out, you know, we've been investing in, you know, having presence and footprint in these markets as more and more brands and publishers, given the youth and given the audience over there and the general consumption patterns that, you know, increase, we are going to, you know, piggyback on that. A combination of these two and the capability stack that NODWIN has built with the acquisitions recently with the talent management with Trinity and the content distri bution and creation with AFK, I think we are now going to be definitely piloting and expanding our global delivery platform.

We've done this once , which was through the eSports World Cup where a combination of, you know, the teams of Freaks in Germany and the teams in India kind of collaborated to deliver, you know, a great, you know, outcome for the eSports team which ran the eSports World Cup out of Saudi. I think with our footprint, with our teams based in Turkey, in the Middle East, in India, in parts of, you know, Europe, we are going to, you know, drive the global delivery idea, which I'm sure all of you are very familiar with, which is what IT, IT ES, you know, world has done. And that's another lever of profitability for us.

Kewal Shah : Sure, thanks. And the last question , there was some plan of launching a new beta game under Animal Jam, I believe. So, is there any progress or update on that? Hello, am I audible?

Nitish Mittersain : Sorry, can you repeat that please?

Kewal Shah : Yeah, so there was some new game we were planning to launch under Animal Jam, I believe. There was a beta game launch which was planned this year. So, is there any update on that front?

Nitish Mittersain : Are you talking about the S linky game that I just spoke about or something else?

Kewal Shah : So just for clarity, the Slinky is a new IP addition or it's a new game under this edition?

Nitish Mittersain : Slinky is an IP that we've licensed and we're going to launch a new game on that. But it's early days so we probably have an MVP, which is, you know, initial beta version out in maybe about six, seven months. Then we will see how that performs. And if that performs well, we will mainstream it. So, I think from a revenue impact perspective, we are probably looking at, you know, next year versus anything in the next one or two quarters.

Kewal Shah : So, there will be new beta game launch based on this IP itself?

Nitish Mittersain : Correct.

Kewal Shah : OK thanks. That's it from my side.

Moderator : Thank you. Ladies and gentlemen, this will be our last question. It's from the line of Prakash Kapadia from Spark PMS. Please go ahead.

Prakash Kapadia : Yeah, thanks. Just, you know, one question. I think you mentioned around 3 billion EBITDA for 27, right?

Nitish Mittersain : Yes.

Prakash Kapadia : And that would assume just current businesses or it could imply inorganic also?

Ni

tish Mittersain : As of now, whatever we are focusing on or it could include some inorganic opportunities so I mean uh you know while we've not really broken it up through organic or inorganic as you know Nazara continues to be acquisitive and I'm sure from now to 2027 we will do additional acquisitions , but we're also quite confident that this the existing businesses will continue to grow well and continue to build on the profitability that we are delivering today.

Prakash Kapadia : OK, fi ne, thanks.

Moderator : Thank you. Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to the management for their closing comments.

Nitish Mittersain : Sure. Thank you, everyone, for joining the call. I think over the past few months, we have taken important initiatives to fortify our position and lay a strong foundation for future growth of the company. We remain committed to making Nazar a a robust player in the Indian and global gaming and e Sports ecosystem. Thank you very much for your continued support and if you have any further clarifications, we request you to get in touch with our IR team. Have a good day.

Moderator : Thank you. On behalf of PL Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Call: Jun 2025

Nazara Technologies Limited

Nazar aTM

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June 02, 202 5

To,
Listing Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai - 400 001.
Scrip Code: 543280 Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1. G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400051.
Scrip Symbol: NAZARA

Subject : Transcript of the Investor/Analyst Earnings Call held on May 26, 202 5:

Dear Sir/Madam,

In furtherance to our letter dated May 26, 202 5 regarding the audio recording of the investors earnings call for the quarter & financial year ended March 31, 202 5, please find enclosed herewith the transcript of the said call. The Transcript is also available on the Company's website i.e. www.nazara.com .

We request you to take the same on record.

Thanking you,

Yours faithfully,
For Nazara Technologies Limited

Arun Bhandari
Company Secretary & Compliance Officer

Encl.: As above

"Nazara Technologies Limited
Q4 & FY25 Earnings Conference Call "
May 26 , 202 5

MANAGEMENT : MR. NITISH MITTERSAIN – CHIEF EXECUTIVE OFFICER
AND JOINT MANAGING DIRECTOR – NAZARA
TECHNOLOGIES LIMITED
MR. RAKESH SHAH – CHIEF FINANCIAL OFFICER –
NAZARA TECHNOLOGIES LIMITED
MS. ANUPRIYA SINHA DAS – HEAD OF CORPORATE
DEVELOPMENT – NAZARA TECHNOLOGIES LIMITED
MR. TERRY LEE – CHIEF EXECUTIVE OFFICER – FUSEBOX
GAMES

MR. AKSHAT RATHEE – CO-FOUNDER AND MANA GING
DIRECTOR – NODWIN GAMING
MR. AJAY PRATAP SINGH – CHIEF EXECUTIVE OFFICER –
ABSOLUTE SPORT S PRIVATE LIMITED
MR. PUNEET SINGH – CO-FOUNDER AND CHIEF
OPERATING OFFICER OF BAAZI GAMES
MR. SENTHIL GOVINDAN – FOUNDER AND CHIEF
EXECUTIVE OFFICER – DATAWRKZ BUSINESS SOLUTIONS
PRIVATE LIMITED

MODERATOR : MR. JAYRAM SHETTY – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the Nazara Technologies Q4 and FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Jayram Shetty from ICICI Securities. Thank you, and over to you, sir.

Jayram Shetty : Hi, everyone. On behalf of ICICI Securities, I welcome you all to the Quarter 4 FY '25 Earnings Call of Nazara Technologies. We have with us the management repr esented by Mr. Nitish Mittersain , CEO and Joint MD of Nazara Technologies; Mr. Rakesh Shah, the CFO of Nazara Technolog ies; Ms. Anupriya Sinha Das , Head of Corporate Development, Na zara Technologies; Mr. Terry Lee , CEO of Fusebox Games; Mr. Akshat Rathee , Co -Founder and Managing Director of Nodwin Gaming; Mr. Ajay Pratap Singh, CEO, Absolute Sport s Private Limited ; Mr. Puneet Singh, Co -Founder and C OO of Baazi Games and Mr. Senthil Govindan, Founder and CEO of Datawrkz Business Solutions Private Limited.
I would like to hand over the call to the management for opening remarks. Over to you, Nitish sir.

Nitish Mittersain : Thank you. Good evening, everyone and thank you for joining us, especially on a very rainy day in Mumbai. In FY '25, we delivered our highest ever annual EBITDA of INR 153.5 crores on revenues of INR 1,624 crores with a PAT of INR 62.5 crores. Our ga ming EBITDA margins stood at 20% as well as generated healthy operating cash, reinforcing our intent to focus on core gaming business going ahead.
In Q4 FY '25, we delivered revenues of INR 520.2 crores, up 95% year -on-year and EBITDA of INR 51 crores, reflecting a 74% year -on-year increase. I'm also happy to share that since our IPO in FY '21, 4 years ago, Nazara's revenues have grown 3.6x and EBITDA has grown 3.4x, translating into a compounded growth of 38% and 36%, respectively. During this year, we have been very busy building out our strategic plans. We acquired Fusebox games in the U.K. establishing a strong hold in narrative -based mobile gaming.
We also entered offline gaming with Funky Monkeys and Smaaash, creating a 360 -degree gaming ecosystem. We took full ownership of Kiddopia, enabling fungible cash flows for faster strategic execution. We made our largest investment to date in PokerBaazi, st rengthening our leadership in skill -based real money gaming, and we also acquired well -known gaming IPs from

Zepto Lab. We made strong progress on key leadership hires and strength ening our internal capabilities.
Our centers of excellence in user acquisition, analytics and AI are rapidly taking shape and they will drive cross -group efficiencies and enable organic scale up in FY '26. As we look ahead into the coming year , FY '26 is poised to be a year of acceleration with increased contribution from high-margin gaming business, expecting to furth er strengthen our profitability.
Our latest acquisition of Curve Games enhances our global publishing capabilities with a strong portfolio of PC and console titles, further expanding Nazara's footprint across Western markets.

We remain focused on building a sharper and locally relevant gaming platform, defined by creativity, execution excellence and strong I P ownership.
With our growing presence across North America and Europe, strategic global acquisitions and recognition among the world's top gaming publishers, Nazara is steadily making its mark on the global stage, not just as India's gaming leader, but as a rising for ce in the global gami

ng
ecosystem. With this, I would like to request Anupriya to talk to you about segmental performance. Thank you, and over to you, Anupriya.

Anupriya Sinha Das : Thank you, Nitish. Good evening, everyone. In Q4 FY '25, our Gaming segment revenue grew by 72% , EBITDA grew by 111%, with EBITDA margin of 21.4%. In FY '25, the segment revenue grew by 27%, EBITDA by 27% with EBITDA margin of 19.9%.

Moving to Fusebox:

Fusebox reported revenue of INR 161.6 crores and EBITDA of INR 30.2 c rores in FY '25 for the period it has been consolidated with the books of Nazara. Q4 FY'25 revenue stood at INR 79.1 crores and EBITDA at INR 13.1 crores, up 149% year -on-year. Higher UA spend in Q4 FY '25 led to a strong top -line gro wth with a temporary margin dip. These UA investments are expected to drive growth in FY '26. Momentum will also be boosted by new game launches, starting with Big Brother and Bigg Boss in it.

Moving to Kiddopia :

In FY '25, Kiddopia posted revenue of INR 191.8 crores and EBITDA of INR 43.7 crores with a strong EBITDA margin of 22.8%. Revenue stood at INR 46.3 crores with EBITDA of INR 9.3 crores in Q4 FY '25 with an EBITDA margin of 20.1%. Kiddopia launched branded mini games in FY '25 through strategic licensing deals with Moonbug and Mattel, featuring Little Angl e and Barbie respectively. A new partnership with Hasbro will introduce PJ Masks theme d content featuring Catboy, Owlette and Gekko set to launch later this year.

Moving to Animal Jam :

Revenue grew organically 11% to INR 104.9 crores, while EBITDA rose 16% to INR 21.9 crores. In Q4 FY '25, revenue increased 12% to INR 26.8 crores with EBITDA surging 69% to INR 4.9 crores. This growth was driven by strong engagement with premium features such as Wishing Coins, super boxes and theme d content highlighting the effectiveness of our live ops and monetization strategy. Animal Jam signed a partnership with Slinky in January '25 and is developing a new casual game aimed at cross -generational appeal.

Moving to Funky Monkeys :

Nazara acquired 60% of Funky Monkeys, a leading indoor play center for kids aged 2 to 14 years in tier -1 Indian cities. FY '25 revenue was INR 17 crores and an EBITDA of INR 7.3 crores with a flat growth due to temporary closures in Gujarat, partially offset by gains in Chembur and Bandra. Q4 FY'25 revenue was INR 4.3 crores , EBITDA rose 45% year -on-year to INR 1.6 crores. Focus in FY '25 was on stabilizing o perations and reopening centers. FY '26 will prioritize expansion , center revamp s and enhanced marke ting and CRM with Nazara strategic support.

Moving on to PokerBaazi :

Moonshine PokerBaazi's parent is accounted as an associate and not consolidated in our books. PokerBaazi delivered strong operating metrics in Q4 FY '25, gross gaming revenue up 50% year - on-year, gross transaction value up 38% and deposits up 35%. Moonshine reported revenue of INR 588.3 crores in FY '25 with an EBITDA of negative INR 57.5 crores. Q4 revenue was INR 180.5 crores with EBITDA of negative INR 22.1 crores. March 2025 was PokerBaazi's best ever revenue month driven by NPS 2025, IPL and shark t ank campaign and increased mid -to-high stake engagement, strengthening monetization a nd top funnel growth for FY '26.

Moving to other segments :

Nodwin continues to execute its strategy of a strong organic growth and targeted acquisitions backed by hands on integration across teams, geographies and internal delivery centers. Q4 FY '25 grew 50% year -on-year post Wings deconsolidation. The business update will be covered by Akshat in a later section.

In October 2024. Datawrkz through its UK subsidiary acquired 100% of Space and Time for an equity value of GBP 4.8 million or INR

52.3 crores. Following the acquisition, S&P has been consolidated into Nazara's financials. On a standalone basis, Datawrkz was reported 3% year - on-year revenue growth and 13% year -on-year EBITDA growth in FY '25. This performance reflects the successful shift towards more profitable business lines in its independent active operations.

Absolute Sports , includ ing Sportskeeda and P FN, grew revenue and EBITDA by 22% and 19%, respectively, in FY '25. The core Sportskeeda business continues to grow well, with revenue and EBITDA increasing by 25% and 25%, respectively in FY'25. P FN revenue grew by a robust 51% in Q4 FY '25 reflecting a strong recovery with each quarter. This business continues to have strong EBITDA margin in Q4 FY '25. In May 2025, Absolute Sports ha s signed def initive agreements to acquire two IPs, TJRWrestling.net and ITRWrestling.com , from Titan Insider Digital in an all -cash deal valued at $1.25 million or around INR 10.5 crores. Before we open the floor for Q&A, we'd like to take a moment to spotlight two of our key b usinesses. Starting with Nodwin. I'll hand over the mic to Akshat. Akshat, over to you.

Akshat Rathee : Thank you, everyone, for joining the call. I'm very happ y to go and take you through what Nodwin has been up to the last year including public information on the company acquiring some assets and very, very actively get ting our hands dirty to go out and do consolidation, but also integration of those assets into our businesses.
And typically, we acquire companies for growing one of three metric s for us an d it's very always important. W e either grow in geographies we care about. We either i nvest into IPs we care about or monetization metrics that we care about.
You'll be happy to know that our live business vertical, which typically has Dream hack, the Gaming Matters, All That Matters, NH7 and all our Comic Con properties is doing extremely well. When we acquired Comic Con, they were running 5 IPs and w e have gone from 5 to 8 in the first year of acquisition and we are now expanding from 8 to multiple cities in double digits now this year.
And since we acquired Comic Con internationally, we'll also be expanding Comic Con internationally to multiple markets this year. We'll also go and talk about our portfolio of the battles. So , Gaming Matters went to the UAE, Cricket Matters with the ICC in the U.S.A, with Sport Matters with Hong Kong and for that matter, it remains the large on e that sits out of India. Dream Hack, obviously does really well and you'd be very happy to know that now gaming and e-sports are all doing well. We have states that come to support us in our activities. It's all great news for us. Our content IP, which is typically our influence r business , our media business and our broadcast business keeps on growing very well. Playground happens to be one of our marquee properties.
You might have seen that we just announced a big partnership with Endemol/Banijay to go out and expand that into multiple languages India and also co -develop this into other languages across the world. We'll also be building other properties with Endemol and Banijay in different market s.
Our i nfluence r partnerships, are again, doing extremely well with master partnerships in multiple

geographies with YouTube, Meta and X. We've also been adopting the flywheel approach, which is the ability to go and get really large clients to go ahead and keep on engaging with our portfolio approach, which has allowed us to go ahead and get over 100% growth in all our large client base, the people who typically pay a bout $1 million to us.
The e-sports business featured BGMI with our BGMS properties on Star S ports. We are also executing BMPS and the VALORANT Championship in India. And also , StarLadder has announce

d the world's largest major on C ounter Strike in Budapest in December, whose tickets are selling out like hot cakes.

Finally, our Central Asia division is doing very, very well. We've been able to go and make beachheads into Kazakhstan and Uzbekistan, while our German operations with Prime League on esports continues to do well and that has allowed us to be market leaders in CIS and in Africa within 18 months of setting up.
And these are typically growing because some of our founders w e acquire. You typically have two, three people founder teams who go ahead and take new missions and they go across the world to go ahead and find newer and crazier things to go into and they will help us to have very high momentum in what we are building.
Finally, our Middle East , which is UAE , Saudi Arabia and Egypt , continue s to do well. The EBITDA loss that you actually see is predominantly because of our NH7 Pune cancellation and the Freaks4U EBITDA hits that are there. And the good news is we've been able to go ahead and absorb most of those hits because of the diversification and the integratio n we were able to do.
I often like to say N odwin is a big ship that we fly and sometimes we don't know, which engine gets hit every year, either a game gets banned or something bad happens, but the diversification and the integration has helped us go ahead and not to get hit as badly as we could have . We are also focused very clearly into turning around Freaks4U into a core EBITDA positive engine as we go forward.
Final note on Brandscale, we’ve had proactive measures in play for a onetime impairment of INR 15 crores on the OCD investments that we have done that w as in Q4 of '25 and there are also an additional loans worth about INR 25 crores, which will be provisioned in due course based on the recoverability and the fixing of that business.
And finally, we'd also like to go ahead and declare that N odwin will continue to go ahead and raise additional capital to fuel its growth in the future. As we go and carry forward this momentum become -- trying to become one of the largest people in the youth media culture in the world. Back to you Anupriya. Thank you.

Anupriya Sinha Das : Thank you, Akshat. I'll now call upon Puneet Singh who is the Co -Founder and COO of PokerBaazi Business. Puneet, over to you.

Puneet Singh : Thank you, Anupriya. Hi, everyone. Just to begin with, FY '24 to '25, our journey has been about capturing the market share and also optimizing deposits to the gross revenue percentages. We all know that the new GST regime on deposits came into effect from October '23 . Our strategy

post October has all been about optimizing the deposits to the gross growth revenue numbers and also about brand building.
In terms of deposit to gross revenue percentage, we went from 33% to 57% currently. In terms of the gross gaming revenue, we grew from INR 848 crores to INR 1,363 crores. That's almost 60% growth from financial year '24 to '25. We were able to achieve this because of our product optimization and scale. The growth from Q4 FY ‘24 to FY '25 represents that. We grew our GGR from INR 229 crores to INR 343 crores, while optimizing the deposits. The deposits grew only 35% during that period.
Brand building becomes even more important post the new GST regime because at scale, we need to reduce our marketing spends to achieve higher EBITDA margins. We have spent monies

on properties like Shark Tank, IPL to create that top of the mind recall for poker and PokerBaazi. Apart from that, we've also launched and spend monies on IPs like National Poker Series and Circuit to support the brand recall.
The result of all this is an excellent March '25, where we have recorded peak number

s. Our focus
will continue to grow the entire Poker system and the ecosystem around poker. Our focus will be on the pillars of the game like Watch, Learn, Play, Analyze and Glorify. And for all such features , we have made some products around that as well. We have developed a Poker TV app to support the Watch aspect, where a person can personalize and create content -based one poker journey.
For the Learn aspect, we have the PokerBaazi school app, which focuses on the learning aspect of the game. Then for the Play aspect, we have the best -in-class desktop and mobile products, which are highly engaging in terms of the game play. For Analyze, we have the Poker shorts tool, which helps one analyze and improve one's game play.
And for Glorify, we are building our products like an IP like National Poker Series and Indian Poker Master, which helps the winners and also helps us in glorifying that. Going forward, our focus will continue to be spending on the ecosystem of poker and a main driver for the long -term growth would be the levers like Watch, Learn, Play and Glorify.
We all know Poker is a global ly recognized game. And we as the category leaders currently will be focusing on growing the market of poker in India, which will indeed benefit our numbers going forward as well. Thank you, Anupriya over to you.

Anupriya Sinha Das : Thank you. With this, I conclude my remarks and we'll now open the call for Q&A. I would request Nitish, Rakesh and rest of the management team to join me f or the session .

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Jinesh Joshi from PL Capital. Please proceed.

Jinesh Joshi: Sir, my question is on Nodwin . What is the path to profitability over here? We have seen an EBITDA loss of INR 15 crores in FY '25. And you also mentioned in the opening remarks that performance of Freaks 4U has been a bit subpar and we intend to turn that around in the near future. In addition to that, I believe additional provision of INR 25 crores from Wings might also come through. So just to get the big picture right , I mean, how should we think about the profits coming back into Esports . While in terms of scale, we are doing reasonably well, but consistently, we have been in the negative territory at the EBITDA level. So , your thoughts on that?

Nitish Mittersain: As you know, for us, all along, we are focused on growth for the Esports business and the Nodwin business, given that they are market leaders, and we want to ensure that we build the right kind of moats for this business going forward to take advantage of the macro trend that eSports offers us and the market leadership opportunity that it offers us. So I think broadly, we've all along been okay with a breakeven business as long as it's growing strategically and growing fast. I think that's how we have approached it. This year a couple of issues - a little lag on Freaks 4U profitability and the surpris e last -minute cancellation of NH7 Weekender colored the P&L a bit. But we are quite hopeful that FY '26 will be better. Akshat, can you add comments to this ?

Akshat Rathee: Yes, exactly what Nitish has said. And my answer to this is our core businesses remain extremely profitable. The reason you can see a small EBITDA loss is because there are aberrations . And this is the nature of the business -- you'll see that across the world, very few companies in the world in the eSports and in the pop culture space that we are in are profitable because most of them go ahead and invest into long -term growth. And that's exactly where we want to go ahead too. We do not like losing money. It's very against our DNA to go out and lose money. We will continue make sure that we hedge our businesses as we go forward.

But we do live in a territory,
where last -minute aberration are the nature. Rest assured that I want to go ahead and make sure that having an EBITDA positive business is extremely important for us, but we'll continue to go ahead and create momentum as we want to be the best in the world.

Jinesh Joshi: Sure. One bookkeeping question from my side. So if I look at our commission cost, it has gone up to about INR 61 crores in this quarter versus the past run rate of about INR 15 crores to INR 18 crores. Now I believe this cost predominantly pertains to the App store commission for our early learning business. So has there been any change in the share with our app store partners, so that's one? And secondly another bookkeeping question is, if I look at our stock -in-trade, it is at about INR 39 crores in this quarter. But I believe after the deconsolidatio n of brand scale , we do not have any product -centric business, if I'm right. So what does this exactly pertain to?

Nitish Mittersain: So Jinesh, I'll take this. On your first question around the app store commission – this because of the addition of the business of Fusebox. So it's not only for Kiddopia or early learning, but also for the addition of Fusebox which is a much larger business. So I think that's what's happening.
I think what you should look at is that globally the app stores are under significant pressure to reduce commissions . There ha s been a recent ruling to let people b ypass Apple’s payment flow in the US . I think internal mandate is to push downwards on these commissions that we pay.
I hope that answers your first question. I'm not sure I got the second question properly. Could you just repeat that?

Jinesh Joshi: Sir, the purchase of stock -in-trade in this quarter, that f igure is INR 39 crores. And I believe we don't have any product -centric business after the deconsolidation of Brandscale. So what does this pertain to?

Nitish Mittersain: Jinesh, I will have to check on that and come back to you.

Jinesh Joshi: Sir, just one last question from my side, and that is on PokerBaazi. I think in Q3 we were in the positive territory at the EBITDA level with about INR 18 crores of EBITDA. And in this quarter, I think we are into losses at about INR 22 crores. And also for the full year, given the change in tax regime, I think our EBITDA loss what we have stated is about INR 58 crores.
So from a 2 -3-year perspective, how should we think about the path to profitability given the fact that we are operating in a slightly unfavorable regime. And what would be that breakeven level, which we should ideally look forward to in this business?

Nitish Mittersain: Sure. So in terms of PokerBaazi, I will give it the first shot and then Puneet can add to it.
PokerBaazi is by far the clear market leader, and it's imperative for us to create the maximum moat for this business. And the biggest brand which will become a long -term differentiator for us.
And I think from that perspective, the PokerBaazi team is quite aggressively using the current market situation to build out this brand. You will see the movements in profitability, depending on the season and the spend.
So for example, in Q4, you would have seen a lot of spends on Shark Tank . In Q1 of '26, you will see significant spends on IPL. So I think some of these spends are seasonal in nature when the large opportunity presents itself , and that's what we're really seeing.
Puneet, do you want to add something here?

Puneet Singh: Yes. So just to add on it , in the Poker market in India, we already hold around 60% market share.
Like Nitish rightly pointed out, the Q4 negative EBITDA was because of the spends which we have done on Shark Tan

k and IPL, which fall s in the first quarter of FY '26.
The idea behind this is to grow the market. Being the market leader, we will be the first ones to benefit once the market grows further in terms of poker, and we are very confident on doing that going forward.

Moderator: The next question is from the line of Samarth Patel from Equirus Securities.

Samarth Patel: My first question is on Nodwin . Can you just help me with Nodwin 's revenue mix between, let's say, ticketing s, IPs , sponsorships and merchandise?

Nitish Mittersain: Akshat can you take that please?

Akshat Rathee: Of course. I'm happy to take you through a very 1 minute crash course on what’s the right way to think about the Nodwin business . IPs are not independent, right. So I'll give you an example.
Nodwin works on a strategy, which is called the triple dip strategy. That means our influencer that we manage through Playground and we discover through Playgrounds is the person we go ahead create content with and which also leads to brand endorsement.
That influencer then also comes in at our festival and then also participates in our eSports tournaments, which is there, right? And then finally, we launched business lines with this influencer for any merchandising, so where do we put what all goes there? You can actually go out and look at categorization across all our downstream subsidiaries and our consolidated results, which has line by line details on the separate businesses.
On the top of that, you will actually have intracompany transfers, where those services and those products are then utilized across the board. When you actually go ahead and look at our standalone of our downstream companies, I think you'll be able to go and look at some semblance of an answer. But we actually do not go ahead and report lines of revenue or profitability in any of our segmen t.

Samarth Patel: Understood, Akshat. That was helpful. My second question is on Curve Games. So with the Curve Games ’ global publishing reach, how do we plan to scale, let's say, Indian development games through this channel. And what would success look like for us over the, let's say, medium term i.e. the next 2 to 3 years?

Nitish Mittersain: So I think what we have been noticing in the Indian market is increasing ly a large number of games are being developed on the PC platform. And we see this even in IGDC, etce . which is the large gaming conference that happens in India, that there's a lot of velocity of Indian developers.
Now with the AI available to a lot of the developers in India, they can also make PC games faster, better and somewhat bridge the talent gap that has been there on certain aspects like monetiz ing spend or graphics, etc .. as compared to global titles. So I think India is going to have a large opportunity and a large funnel of games coming in. But a lot of these developers in India don't really have access to global markets or the mar quee publishers.
So I think with Nazara now owning Curve Games, Nazara becomes a perfect bridge for Indian developers to the world. Curve already has fantastic relations with the major distribution platforms on PC and Console and I think Indian developers can take advantage of the same through the Nazara gateway.

So I think that's what we are quite excited about, and even from Curve's perspective, getting high-quality games at potentially lower costs would improve their unit economics a lot. So I'm sure they will be very excited in coming down to India and spending time on ground with us discovering what the Indian market has to offer.
In terms of what success would look like in the next 2 -3 years, it would be our ability to work together with the Curve team, who's alrea

dy very strong. They are a fantastic management team,
who understands what games could potentially work. If we can add the Nazara network credibility and brand to them and jointly be able to negotiate and get a good funnel of games to publish and see some breakouts from that funnel that we launch in the next year or two, I think that would be very successful for Curve.

They've already seen successful titles like For the King , Human s Fall Flat, etc, which have been very popular. And we are very hopeful to get more such titles in our funnel over the next couple of years.

Samarth Patel: Understood Nitish, that was helpful. My next question is on capital allocation. So for FY '25, I believe we would have deployed around INR 1,500 crores towards inorganic growth. Now what IRR threshold do you have in mind across verticals? And how does that shape our FY '26 capital deployment?

Nitish Mittersain: Yes. I think for us, what is important is that the business that we acquired is not short -term IRR that we are chasing. It can strategically plug into the overall ecosystem we are building. Obviously, as you know, we like to acquire businesses that are profitable, cash flow generating and can take us to the next level.
So what we are seeing across our core gaming investments, where we are having the thesis of acquiring established gaming IPs, good teams , decent scale of revenue , existing profitability - we really like that segment of the business because there are a lot of tailwinds coming ahead of us. Like I mentioned earlier, the App Store commission s are potentially coming down , AI is going to help us improve the velocity of content at the same cost or even potentially optimize our cost. So we see future margin expansion happening in these businesses and also very healthy cash flows. These businesses are usually working on positive working capital.
They get paid by an Apple or a Google before they have to spend money on user acquisition, etc. So we like that as well. So I think this year, we are surely going to double down our capital investments towards that segment.

Moderator: The next question is from the line of Madhvendra, an Individual Investor.

Madhvendra: Sir, I have 2 -3 question s. First, our depreciation and amortization has increased significantly in FY '25. So where do you see this in FY '26 and the same for advertising and promotion expenses. And the third question is that Kiddopia is still struggling since I think it's been 2 years, and the segment is still struggling . And also the recent acquisition Curve Games, where I checked that its last 3 years revenue is stagnant.
So how do you plan to bring growth in this segment? And the third one is that we have acquired a lot of businesses in the last 2 -3 years and revenue have almost doubled which is really encouraging. But the bottomline is still not showing that much growth. So can't we just consolidate all these entities as of now and aim to bring the growth in these entities rather than going into acquisition in the years ahead.

Nitish Mittersain: Those are many questions, so I'll try and answer some of them. I didn't really get your first and second question well, but let me answer a couple of questions and you can ask the follow -on. So with respect to Kiddopia, as you know, we took control of this business a few months ago by acquirin g 100% stake from the F ounders.
And thereafter, we have put in our own growth strategies in play. We are starting to see results. As you can see from our presentation, in this quarter, you've seen a significant drop in the cost per trial, which ha d gone up to $40 -$42 and has now come down to $33 -$34 which is almost a 20% reduction on cost per trial, while more or less maintaining the amount of money we are spending at the number of trials we are gettin

g.
So I think that is a positive sign. We've also increased monthly pricing from $9.99 to $12.99, somewhere in the middle of Q4, and we will start seeing results of that. That has been fairly well accepted, and we've not seen any real negative reaction to tha t. It also helped us increase our annu al activations to 40% from 30%.
Usually, the annual activations give us better ARPU. So that's again a positive. So I think we're seeing a lot of positives in what we are doing. We've put in technology layers, which allow us for faster AB testing and there are a lot of different experiments we are doing to find at a sweeter spot that allows us to scale the business.

Lastly, we've spoken many times about building IPs or bringing IPs to Kiddopia. The good news is that you've started seeing that happen. We launched a small IP called Little Angel from Moonbug. And we've seen good results from that. Then we have launched B arbie from Mattel, whic h has seen even better results.
So early signs show that the IP Strategy is working for us and should show positive results going forward. So I agree that the last 4 years have been a lot of, I would say, efforts without measurable results, but we continue to feel optimistic that FY '26 will be the year of turnaround for Kiddopia.
So I hope that answers your question on that. In terms of your question around the many acquisitions we have done and the growth versus new acquisitions, right?
I think if you zoom out since the time of our IPO, , which was in March '21 and i f you look at products like Kiddopia and Nodwin gaming, or many of the other businesses likeSportskeeda, they have actually grown extremely well.
Sometimes when you zoom into 1 or 2 years of these businesses, they may have plateau d, but if you zoom out you will see that a CAGR on them still remains very efficient. And we will obviously continue to focus and prioritize organic growth wherever we can.
That said, I think, especially in the gaming space, we are at a moment in time, when Nazara is perfectly placed to very aggressively expand globally because we have the brand in place, we have a playbook in place, and we have very, very attractive valuations and opportunities in the global markets due to a multitude of reasons. So I think this time will not present itself to us forever. And therefore, we must act on it simultaneously. That's our view.

Madhvendra: Okay. And sir, and the Curve Games revenue is stagnant for 3 years. So how do we plan to scale this business?

Nitish Mittersain: For Curve, I think with the business, there were a couple of issues like they bloated it up a bit in the run -up to COVID and during the boom of COVID and then it came off in terms of revenues post-COVID, which a lot of gaming businesses have. But a lot of the optimization that was required to be done over there has already been done. So we're buying a business with a strong team, and a lot of the cleanup has already happened there.

And therefore, we can focus on positive growth going forward, which is why we bought this business. It has good revenues, strong profitability and very good cash flows. We'll be able to reinvest by its own cash flow in its growth, and we will, of course, c ontinue to support our team.

Madhvendra: And sir, one small question. Where do we see depreciation and amortization spends and advertising and the promotion expense in FY ‘26 . I’m asking b ecause there has been a significant jump in FY '25?

Nitish Mittersain: Yes. See, the thing with amortization is because we are a very acquisitive company, we tend to bring on a lot of intangibles onto our books through the acquisitions, which lead to a non -cash amortization, which has been growing, which is why our PA

T looks much lower thanks to the
amortization that is happening on these acquisitions. You will find that our cash flow is actually much higher than the PAT we report and even in the current year, I believe, close to 75% of our EBITDA has been c onverted into free operating cash flow .
So I think we're very focused as a company on our operating cash flow. The EBITDA to cash that we are generating is a key North Star metric for ourselves. In terms of the user acquisition, I would say it's very dependent on what the opportunity with each of our gaming businesses provides us. If we get a sweet spot where we are able to scale user acquisition and scale the revenues, we will definitely press on the accelerator.
So we don't have fixed budgets for it. We're looking for profitable growth. And if we see profitable metrics, we will spend as much as we can.

Moderator: The next question is from the line of Ramanuj Chandak, an Individual Investor. Please proceed.

Ramanuj Chandak: Sir my question is regarding our ad -tech platform. What kind of ad -tech platform does Nazara have? Is it open ended like Meta or Google or a close -ended platform only for limited customers?

Nitish Mittersain: I think it will be best for me to get Senthil, he's on the call to answer this question in more detail.

Senthil Govindan: So question broke up a little bit, but I think the question was -- do we have an open stack advertising for our ad -tech platform? Or is it closed with an...

Ramanuj Chandak: Can common people access our ad -tech platform directly?

Senthil Govindan: I see. Understood. So yes, so we have a product which is 100% self -serve . So anyone who wants can actually go to the platform which is called Vizibl.ai And they can just log in into the credentials and pay as they go . So the whole purpose of that stack is to try and democratize ad -tech for people who are relatively smaller in size as well. Otherwise, there are some very large minimum thresholds for people to get access to similar products , if they were to approach the market at large.

Ramanuj Chandak: Sir, what are the pricing plans in that platform? How is the pricing decided?

Senthil Govindan: So is the question, how is the pricing decided?

Ramanuj Chandak: Yes, yes.

Senthil Govindan: Okay. So the pricing is essentially a percentage of the budget . So essentially, whatever amount is placed through our Vizibl platform , it will essentially retain a percentage of that advertising budget and the rest of it will go towards the actual media that is being purchased.

Ramanuj Chandak: Do we have a pay -per click or pay -per view?

Senthil Govindan: No. Currently, the platform essentially allows impressions to be a purchased so every time you see an ad, it's an impression. So currently, it allows the impressions to be purchased. It gives algorithms internally, which allow you to optimize towards clicks or conversions.

Ramanuj Chandak: So do you see any more acquisition further needed to expand our adtech platform or is this sufficient what we have as of now.

Senthil Govindan: So I think the current intent is to focus on the acquisition that we have, right? Obviously, as with the larger Nazara ecosystem, if there is something that opportunistically we can look at we might review it. But our current energy is going towards ensuring that we are able to ex tract synergy from the acquisition that we made last year, which was Space & Time .

Ramanuj Chandak: So my second question is regarding PokerBaazi. Are there any tax litigation pending on PokerBaazi? And if there is any , what is the current status?

Nitish Mittersain : Sure. As you know, there has been an ongoing GST litigation on past tax

, which I can ask Puneet to talk a bit more in detail.

Puneet Singh: So as of now there is only the point of the retrospective GST, which is in the court . That's an industry matter, which affects the whole gaming industry. And all the gaming companies, in India are already in the Supreme Court and the court is currently hearing that matter. Apart from that, there is no other tax issue, which is pending at PokerBaazi ’s side or I can see on the gaming side.

Ramanuj Chandak: So I want to know more about PokerBaazi. We have seen that Nazara is a global company, and we have well -established markets in Middle East, Northern Africa, Europe and U.S.A. Is there any opportunity that we could send PokerBaazi into these other markets also, not just India?

Nitish Mittersain: Sorry, can you repeat that I have not heard it properly.

Ramanuj Chandak: We have seen earlier, our games have been very successful in U.S.A., Europe, Middle East and Northern Africa as well -- so do you want to expand PokerBaazi into those markets also or do you want to keep PokerBaazi only for Indian market?

Nitish Mittersain: Yes. Sure. Look, I think right now, PokerBaazi has an amazing opportunity to really grow big in India and it's very important for the team and all the capital that is being allocated to focus on achieving what is possible in India.
That said, PokerBaazi has a fantastic technology platform , it's an in -house technology platform, which are continuously updating. And I believe the product is already very competitive in global markets. So at the appropriate time, the team may consider taking it global. At this point of time, they are focused on the I ndian market.

Ramanuj Chandak: I want to know th at what is the current regulatory regime regarding real money gaming in other countries outside India. Are other countries friendly for real money gaming -- what's the current environment ?

Nitish Mittersain: I think different countries have different regulations. A lot of countries are open to skill -based gaming, including the U.S. markets. But yes, every country has its own specific regulation around skill -based gaming.

Ramanuj Chandak: So compared to other countries, how do you find Indian regulation and our regulatory environment?

Nitish Mittersain: I would say, except for -- at this point of time, the GST taxation issue, there is not a national regulation put out around skill-based gaming. There was some talk about it earlier, but it hasn't come through yet.

Ramanuj Chandak: So my last question is what kind of company should we see a s the competitors of Nazara? We have seen in 2021 that Berkshire -Hathaway was trying to take control of Activision business. But later on, they could not -- so should we consider gaming companies as our competitors or whom should we really treat as our competitors of Nazara ?

Nitish Mittersain: Look, we are quite a diversified platform and of course gaming companies definitely have different IPs, different games and we would be competitors to them. At the same time, we are more diversified in a stand -alone gaming company.
So I would say -- it really depends on how you look at it, you can compare us to Tencent in China, you can compare us to Electronic Arts in the U.S. , could be much smaller companies, much larger companies . I would say, we have our own first company from India with that kind of approach.

Ramanuj Chandak: Are there competitors like Nazara, who have same business model like us where Nazara looks like a holding company ?

Nitish Mittersain: Like I said, there are different companies with different platforms. And yes, it's difficult to compare exactly any company to us, I would say.

Moderator: The next que

stion is from the line of Abhiram Reddy, an Individual Investor.

Abhiram Reddy: I have two questions. One - Poker has been a core growth drivers for Moonshine. So what are our plans to expanding into adjacent categories and RMG space like Rummy and Fantasy - both at Moonshine level and also at Nazara level?

Nitish Mittersain: I think right now for Moonshine, the biggest focus is on Poker given their market leadership in that space and the rapid growth that they're experiencing -- that said, of course, we will continue to look at all opportunities and do what is the right thing for the business.
From a Nazara perspective, given the size of our investment in Moonshine, at this point of time, we are not taking other initiatives ourselves directly on the skill -based RMG space. Like I mentioned earlier, at least in FY '26, a lot of our capital allocation and focus is on the core gaming studio business.

Abhiram Reddy: And the second question is what's the current revenue of Smaaash, if you can share that? And what are the plans to make it either EBITDA positive or profitable and also grow the business moving forward?

Nitish Mittersain: Yes. We will probably get control of this business sometime in June. So we'll be in a position to share specific financial numbers, maybe next quarter or the quarter after that. But we do see a lot of low -hanging synergies between what we do online as well as Smaaash Centers.
So after we acquired the m, given it's been in NCLT for 2 -3 years, the first plan is to get it up to speed and then start driving synergies, for example, we have a large online user base, which we can drive offline. There are a lot of partners with large ecosystem players, which we can bring offline. So I think we have a lot of ideas, but we will detail it out maybe in the next quarter.

Moderator: The next question is from the line of Nikhil Porwal.

Nikhil Porwal: My first question is related to Nodwin . So I think earlier in the call, Akshat mentioned that the core business remains profitable. So what is core here? Does it exclude Freaks and NH7?

Nitish Mittersain: Yes, Akshat. I'll let you take that.

Akshat Rathee: Of course. AtNodwin had three core businesses that Nodwin runs. One is the Live business, one is the eSports business that we have and the third is the media business that we have. These are the three core engines of Nodwin . But as an example of the Freaks business wh ich you talked about, Freaks is a company based out of Germany. They go ahead and do Games Com , which typically happens in Cologne in Germany.
They also do market entry consulting and agency work. They have an IP called Prime League that they go ahead and run -- and so across this, you see the spread across 3, 4 verticals, which is there. We like to go ahead and keep the core business going, which is either the festive business, the Live business or the media business or the eSports business.
The other businesses which are much more agencies than our businesses, we actively try to optimize for centers of delivery across the world . It makes no sense for us to go out and have manpower which is very expensive that is doing just agency business across the world. And those are the optimizations that take time to go ahead and rational ize. Our core businesses remain the 3 long -term value creation businesses of media , eSports and Live events .

Nikhil Porwal: Got it . And in the long run speed, what's the steady state EBITDA margin possible for Nodwin as a consolidated business? And how long will it take for the company to achieve that?

Akshat Rathee: I wish I knew the long -term answer to this question, and I'm not going and just being smart about it and then answering

that, I'm being very honest. See, I think you have to understand where Nodwin is in its journey, started off as a 9 -year-old company, and we've been able to go ahead and make a name that government and Presidents and Prime Minister now invite us to go ahead and build for them.
I believe Nodwin will continue to go ahead and grow its top line, while defending its profitability on a steady level for the next 2 to 5 years. We don't like losing money, I would say that. We believe that for very strong IP s, steady -state EBITDA is typically if you look at any sports IPs there are 25% costs, so you have 70% to 80% EBITDA that come from long -term IP -- that's the one that creates value for you.
That's the reason you create that, but you need typically 5 to 7 years to go ahead and build those out, and you're seeing it, right? You're seeing it with when you do BGMS. We are in Season 4 right now, Playground season 4 - the cost that you would invest typically to go ahead and build IPs would be between 2 and 4 years of cash breakeven, but then they go ahead and create numerous rewards in the future.

Good question is how many can I go and invest in? And obviously, accept the fact that there will be failures as we go ahead and do it, because I wish I knew the answer of which IP will work or not. So a very simple answer on steady -state EBITDA on a long -term basis on IP is that we are looking at between 60% and 80% EBITDA on long -term IPs.
On a consolidated basis because we will keep on running experiment and those would fail, they would ahead bring down that EBITDA into more sustainable levels. We do believe on a long -term basis, that's going to be anywhere between 30% and 35%.

Nikhil Porwal: You already answered my second question partially. I wanted to actually ask what kind of investments have gone into building a few own IPs like BGMI or even Playground for that matter? And I'm sure that actually some of them have already made money.

Akshat Rathee: And among the number of things that you see us make money, we actually lose money on a lo ts that you would not know about because we try smaller expense experiment, right, like a INR 20 lakh experiment here of INR 50 lakh experiment there an INR 85 lakh experiment there. We all hear about the big ones when you do a Comi Con and we're doing 11 Comic Con, but behind every Comicon a lot goes on . But we need to try, otherwise, there'll never be enough suppl y for us to go out and have these big ones that are successful.

Nikhil Porwal: Right, right. Got it. Got it. My next question is related to publishing. Can you talk about how does this business work? In general, now you've acquired Curve Games, and you are also trying to publish a lot of games out of India, take them to the world. Bu t in terms of revenue , etc. , how does the business work?

Nitish Mittersain: Publishing is basically, where you partner with third -party developers. Or you publish your own games, which are first party games and the focus is how to market the games better, monetize them better, leverage distribution platforms and relations over there to be able to get these games distributed widely.
Live ops is another important thing - how these games are ongoing update support to keep it interesting for the users. So I think there's a host of publishing activities that need to be done, which is a value add for the developers, who can't usually do it themselves. Publishers also ,

many times, fund the development process for the developer. So whether it's on mobile, whether it's some PC, console, whether it's in India, whether it's globally, I think that's what the publishing business is about.

In India, we are trying to push the Nazara p

ublishing business because we believe that as an Indian publisher, we can add a lot of value to local developers as well as global developers wanting to promote games in India effectively. Curve is already establ ished globally in the PC and Console space. So they have an existing business that works well and they understand it. And we just plan to put a lot more into the funnel.
Nikhil Porwal: Got it. And in general, we just acquire d Curve Games. N ow how do you look at the return on capital employed in such businesses ?

Nitish Mittersain : Like I mentioned earlier, I think this business is a high EBITDA margin business . On the current business of GBP 20 million, they're doing maybe GBP 9 million or GBP 10 million of EBITDA. But the post capex EBITDA is also pretty good at GBP 4 million, or GBP 5 million. There's high free cash flow generating.
So I think the business is in a good stage right now. A lot of the cleanup, I was talking about a lot of the optimization has already been done and is behind us before our acquisition. I think the whole focus right now is on getting the right games and pus hing it. The return on capital is already very high in this business.

Nikhil Porwal: Okay. My last two questions are related to PokerBaazi. So in the presentation, I see the GGR growth has been higher than the G TV growth. So does that mean that the take rate has increased?

Puneet Singh: The take rate has not increased. As of now, the whole GST hit is something which we are taking, and we are not passing it on to the end user. And you know that post the new GST regime post October '23, the GST is 28% on deposits. So because of that hit which we are taking, most of it gets reduced from the gross before it comes to the net.

Nikhil Porwal: Right. No, I particularly asked about the current quarter where the gross gaming revenue growth has been higher than the gross transaction value. So how does that usually happen?

Puneet Singh : So that is because of the smaller stakes table s because what we have also seen in the past quarter is that smaller stakes table and mi d stake table traffic has increased. And usually, the percentage of the rate that is a service fee is slightly higher. And as soon as you go to the higher stake tables, that percentage goes down. So that's the reason why you are seeing that percentage decre ase as compared to the GR.

Nikhil Porwal: Perfect. So the blended take rate has increased broadly for the business ..

Puneet Singh : That's more to do with the traffic, because the users, which we acquired on lower and mid -stake tables, that has increased.

Nitish Mittersain: Can we move to the next question in line, please. And prior to that Anupriya , can you clarify that one question that was asked earlier which was not answered.

Anupriya Sinha Das: Yes, sure. So the INR 40 crores of purchase of stock -in-trade is all related to E pins, which is a digital recharge inventory that Nodwin sells for Google , Steam , Roblox and Riot Games recharges. I hope that clarifies.

Moderator: Thank you. Due to time constraints, that was the last question. I would now like to hand the conference over to the management for the closing comments. Thank you, and over to you.

Nitish Mittersain : Thank you, everyone, for logging in today. I hope to call us productive for you. Thank you, and goodbye.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect the lines.

Call: Aug 2025

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Nazar aTM

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August 19 , 202 5

To,
Listing Compliance Department
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Scrip Code: 543280 Listing Compliance Department
National Stock Exchange of India Limited
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Scrip Symbol: NAZARA

Subject : Transcript of the Investor/Analyst Earnings Call held on August 13 , 202 5:

Dear Sir/Madam,

In furtherance to our letter dated August 13 , 202 5 regarding the audio recording of the investors earnings call for the Q1 & FY2026 Results , please find enclosed herewith the transcript of the said call. The Transcript is also available on the Company's website i.e. www.nazara.com .

We request you to take the same on record.

Thanking you,

Yours faithfully,
For Nazara Technologies Limited

Arun Bhandari
Company Secretary & Compliance Officer

Encl.: As above
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Nazara Technologies Limited
Q1 FY26 Earnings Conference Call

Moderator:
Ladies and gentlemen, good day and welcome to Nazara Technologies Earnings Conference Call hosted by PL Capital . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal the operator by pressing Star and then 0 on your touchtone phone . Please note that this con ference is being recorded . I now hand the conference over to Mr. Jinesh Joshi from PL Capital . Thank you and over to you , Sir.
Jinesh Joshi :
Good morning, everyone . On behalf of PL Capital, I welcome you all to the Q1 FY26 Earnings Call of Nazara Technolog ies. We have with us the management represented by Mr. Nitish Mittersain , CEO & JMD - Nazara Technologies , Ms. Anupriya Sinha Das, Head of Corporate Development - Nazara Technologies , Mr. Rohit Sharma, Executive Director – Nazara Technologies , Mr. Rakesh Shah, CFO – Nazara Technologies , Mr. Terry Lee, CEO - Fusebox Games, Mr. Akshat Rath ee, Founder - Nodwin, Mr. Anirudh Kumar , CSO - Sportskeeda, Mr. Senthil Govindan, CEO - Dataw rkz, and Mr. Puneet Singh, Co-Founder - Moonshine .
I would now like to hand over the call to Mr. Nitish Mittersain for opening comments .

Over to you, Sir .
Nitish Mittersain :
Sure . Thank you . Good morning, everyone, and thank you for joining us this morning .
In Q1 FY26 , Nazara reported revenues of ■498.8 crores , that was up 99% year -on-year and an EBIT DA of 47.4 crores , up 90% year -on-year . Our core gaming business delivered a healthy 24.4% EBITDA margin. PAT from continued operations was ■36.4 crores and the overall PAT stood at 51. 3 crores reflecting 118% year -on-year increase . These results underscore the strength of our IP -led gaming strategy delivering strong topline growth alongside disciplined cost management and a focus on growth with profitability . We are seeing the early benefits of our sharpened focus on owning and scaling high quality gaming IP s and our Centers of Excellence in user acquisition and analyt ics are taking shape and will enable us to acquire, retain , and monetize players more efficiently going forward . We continue to build on these things with a steady pipeline of titles designed to drive growth across multiple genres and geographies in the coming quarters .

During this quarter, we took a strategic step by proposing the deconsolidation of Nodwin Gaming , and this will sharpen our focus on core gaming, while enabling Nodwin to pursue its esports a

mbitions aggressive ly.
We also strengthened our leadership team with the appointment of Mr. Rohit Sharma as Executive Director . Rohit brings over 25 years of experience in gaming and digital media and his expertise will be instrumental in advancing our IP -driven growth strategy across genres , platforms and markets .
The board has approved two shareholder initiatives . Firstly , a subdivision of one equity share of face value ■4 each into two equity shares of face value ■2 each , and a bonus issue in the ratio of 1 :1.
At Nazara, our vision is to build a globally relevant and highly respected , durable gaming company from India and we believe we are well on our way to achieve the same . With disciplined capital deployment, strong IP ownership , and operational excellence, we are confident in our ability to scale into our global gaming platform that can compete with the best .
With that , I will now hand over to Anupriya to discuss segment wise performance .
Over to you , Anupriya .
Anupriya Sinha Das:
Thank you , Nitish . Good morning, everyone and thank you for joining us today .
In Q1 FY26, on a year -on-year basis, our Gaming segment revenue grew by 160% and our EBITDA grew by 311% with an overall EBITDA margin of the gaming segment at 24.4% .
Moving to Curve Games :
Nazara acquired 100% equity of Curve Digital Entertainment for an equity value of INR 247 crores in an all-cash deal earlier this year . Founded in 2005 and headquarter ed in London, Curve Group is an independent video game publisher focused on platforms such as PlayStation, Xbox , Steam , Nintendo Switch , and PC. Curve Games posted revenue and EBIT DA of INR 54.6 crores and INR 20.7 crores respectively in Q1 FY26 . Curve is building further momentum with recent releases like Wobbly Life on Nintendo Switch and the n ew Human : Fall Flat levels which are performing well across platforms . FY26 is marked by operational discipline, which has freed up capital to invest in upcoming IP -led opportunities, including two invite -only Nintendo Switch 2 titles .
Moving to Fuse box G ame s:
Fusebox Games' revenue grew 49% year -on-year to INR 73 crores in Q1 FY26. EBITDA during the same period was INR 10.4 crores, reflecting a 14.3% EBITDA margin .

Fuse box has successfully expanded from a single -game studio at the time of Nazara investment to a multi -game studio, having launched a new Big Brother Game in May 25 and two marquee IP-based games in the pipeline . In Q1 FY26 , we ramp ed up UA spend s behind the global launches of the Big Brother Games and Love Island 's new season that is positioning us for sustained long -term growth with late -June investments expect ed to start returning from Q2 FY 26 onward s.
Moving to Kiddopia :
Kiddopia posted revenues of INR 45.4 crores and EBITDA of INR 8.5 crores with an EBITDA margin of 18.6% in Q1 FY26. In Q1 FY26, while investing in original content, Kiddopia ramped up its IP -led content by launching the Barbie game island in April, Baby John Playroom (Moonbug's Little Angel) in May and PJ Masks activities (Hasbro) in June and partnerships with Animaj (Pocoyo) and VOOKS as well . Kiddopia ended

this quarter with 227K subscribers as compared to roughly around 228K subscribers at the end of the last quarter . We notice subscriber stabilization attained through more disciplined U A and IP introduction . These strategic investments are expected to drive organic growth going forward .

Moving to Animal Jam :

Revenue increased by 12.1% to INR 26.4 crores, while EBITDA also grew by a robust 55% to INR 5.9 crores on a year -on-year basis in Q1 FY2 6. Animal Jam saw I AP momentum from strong player engagement, community events , and social contests supported by new launches across bundles, portions , and features . It also progressed on its Slinky -partnered casual mobile prototype, whose soft launch is targeted for FY26 .

Moving to Smaa

ash:

Nazara completed the acquisition of Sma aash through NCLT process in early FY26, making the strategic expansion of its offline gaming footprint . Smaaash delivered revenue of INR 8.1 crores and an EBIT DA of IN R 3.3 crores in the consolidation period starting from 6th June in this quarter . Nazara is closely collaborating with the management on revenue diversification, user experience upgrades , center refurbishments to achieve a fully revamped Smaaash relaunch in FY27.

Moving to Funky Monkeys :

The Q1 FY26 revenue expanded by 6.5% year -on-year to INR 4.9 crores and EBITDA also grew to 2.3 crores during the same period . Funky Monkeys close d Q1 FY26 with 12 operational centers across India and open ed a new center in Surat in the mid quarter . It continues to expand aggressively in the current year and is looking to add another 8 to 9 centers this year .

Moving to PokerBaazi :

Moonshine Technologies , PokerBaazi 's parent , is accounted as an associate and not consolidated in our book s. Moonshine reported the highest quarterly net revenue of INR 191.8 with an EBITDA of -73.9 crores in Q1 FY26 . There was an EBITDA loss due to front -load ed marketing costs on account of IPL. PokerBaazi also delivered strong operating metrics in Q1 with gross gaming revenue (GGR) up 46% year -on-year , gross transactional value up 23% and deposits up 19% . The IPL campaign drove record DAU s and MAUs and system use r liquidity, while the May '25 focus on the Pokerbaazi upgrade significantly boosted user engagement .

Moving to other segments :

As Nitish mentioned , in July 2025, Nazara announced the strategic deconsolidation of Nodwin - subject to shareholder approva l - reclassifying it as an associate to align with Nazara's sharpened focus on core gaming IPs. The deconsolidation is subject to shareholder approval and will enable No dwin to independently raise growth capital and operate with greater strategic and financial flexibility while allowing Nazara to allocate capital to core gaming bus iness es. In Q1 FY26 , Nodwin posted a strong revenue growth of 49% with an EBITDA of -11 crores . Continued growth in esports even ts based on popular I Ps such as PUBG and Valorant yielded revenue growth for Nodwin in this quarter .

Sportskeeda 's US organic traffic decline post Google 's March core update led to a 21% year -on-year revenue drop to INR 48 .1 crores and EBITDA was INR 5.4 crores , prompting swift cost optimization t hrough content cost renegotiation and rightsizing . Management expects traffic stability in the coming quarters, drawing up from the recovery experience from a similar algorithm impact on the PFN property . Other properties in the portfolio are delivering strong results with stable growth and stand out performances from recent acquisitions such as PrimeTimer I JR, TJR, and Soap Central . For the first time in Q1 FY26, PFN broke even thereby positioning Absolute Sports for a strong rebound and sustained growth .

On a consolidated basis, Datawrkz (including Space & Time) reported 313% year -on-year revenue growth and 283% EBITDA growth, delivering 106.1 crores in revenue and INR 2.6 crores in EBITDA in Q1 . The combined operations will unlock client synergies, broaden cross -market offerings and open access to new industry segments . Datawrkz also continues on its path to shift to higher margin product lines within its independent a d-tech operations . Further , the Space & Time a cquisition is being leveraged to scale UK growth .

With this , I conclude my remark s. We will now open the call for Q&A . Thank you .

Moderator:

Thank you . We will now begin the question -and-answer session . Anyone who wishes to ask a question may press Star and 1 on their touchtone telephone . If you wish to

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remove yourself from the question queue, you may press Star and 2. Participants are requested to use handsets while as

king a question . Ladies and gentlemen, we will wait
for a moment while the question queue assembled .
Ladies and gentlemen, we request you to please limit your questions to two per participant and rejoin the queue for the follow up question . The first question is from the line of Rahul Jain from Do lat Capital . Please go ahead .

Rahul Jain :

Yeah . Hi. Thanks for the opportunity . Firstly, you know the gaming business is now led by two of the newer addition s to the portfolio . So, it would be good to understand how we should see the seasonality and scale potential in Fuse box and Curve .

Nitish Mittersain :

Hi, Rahul. This is Nitish. I think for all gaming businesses the seasonality is the October to December period - which is Q3 . It's really the best quarter due to Christmas holidays etc. given a lot of our revenue comes from Western markets . I think in addition to that , specifically for Fuse box, the seasonality is also mirrored by the airing of the TV shows that the games are made on . So, f or example, Love Island was airing, you know, in Q1 and Q2, especially in Q2 in the US, which did very well, so you would see a spike in revenues during that period . So, I think there will be certain nuances specific to each business and at the same time an overarching seasonality with the peak of revenues in Q3 for gaming business will continue as well .

Rahul Jain :

Right . Sir, and in Fuse box you're saying Q2 is better for the US market and there we are also expected to announce another IP, so any color you could give on the scalability potential of this business ?

Nitish Mittersain :

Yeah, sure . You know what I can do is, since we have Te rry, who is the CEO of Fuse box on the call and this is the first time he's attending the call, I can ask him to answer what he's working on currently . But lastly, I think Fuse box move d from a one-title company to a multi -title company now with four titles which are either launched or in the process of being launched . So, Terry , over to you to talk a bit about the current status at Fuse box.

Terry Lee :

Thanks Nitish and thanks for the question . So, yeah , as you can see since we've been acquired by Nazara , our main focus has been leveraging some of the center s of excellence at Nazara as well as our core engine to expand away from being a single -IP to a multi -IP studio and that is essentially going to be the continued plan moving

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forward . So, as you can see we've already released one game , we're due to release Bigg Boss very soon , and then we already have another IP which the team are actively building right now with a plan to release early next year . So, yeah, basically leveraging the support from Nazara and continuing to build out and acquire new IP s with our expanded presence and that is essentially the plan for the Fuse box team .

Rahul Jain :

Yeah, thanks a lot for that and just one last bit from my side . Two questions on the Nodwin side of the business - one is that what is driving the additional losses in the Nodwin business and is it specific to this quarter and gradually it should come off , is there an annual plan on what kind of number we could see there? And secondly, the austerity measures that we have implemented in the Sportskeeda business, d oes that mean the pain could last slightly longer ? While you have also commented that your PFN study suggests that this may take one or two quarters . So, any color on that would be great , sir.

Nitish Mittersain :

Good question, Rahul . I'll again have the leaders of each business to answer . So, Aksha t, maybe you can come in for the Nodwin side of things .

Akshat Rathee :

Of course . Hi everyone . I think the simple answer to this question is esports and the youth culture that is being built right now in the world, as you can see from our much higher revenue growth even at a very large base right now which is pred

ominantly led
by a very strong IP push across the world .
Most companies in the world are pushing for newer and newer IP s, So, while we have Playground , we are expanding Comic Con into more locations this year. W e are also going and launching more seasons of Playground as we go forward . Our BGMS series

continues to go out and do extremely well on Star Sports , but we are also growing and competing not only in the Indian market, but everywhere in the world . As we move ahead , we'll keep on focusing on global growth and our mission is to be among the top two companies in youth entertainment across the world in the next three to five years , and we are on track to do that. We're already #3 or #4 in the world but we want to be #1 or #2. I think that if that is the intention for us going forward, you will see some experiments that I do and some acquisitions that I do that may not work . I have two explicit failures that we've tried but have not done well - one was Wings which we talked about earlier in a couple of quarters and the second was Freaks4U which has also not done well predominantly because of the German slow dow n, the broader European slowdow n, the Taiwan risk and then some because of the U.S. sanctions on different parts of the world . So, those headwinds keep on coming in the way of what we are trying to do and some of those investments that we try will not work out . On the other side , some of them work out so phenomenally that it's not funny like Comic Con has e xpanded from 5 to 8 last year . We are going to do 11 this year . We just

announced that and we continue to go ahead and take it global . We'll be going to more than 2-3 countries as we go forward . We will just keep on going and working towards building an IP -led portfolio in entertainment including esports, which will have one or two of these of f chances . Nodwin per se does normal growth out of its own accruals as such but once in a while , we will have these errors that will come in . We've also thought long and hard about the fact that should we be very conservative and just taper down as such a nd we've decided that it's actually better for us to go and do well across the world and keep on delivering what we want to do and Nazara's support in helping us raise funding from around the world is very beneficial and very, very appreciated by us . They have not sold a single share, they believe in us today as much as they believe d when we first got connected with them, but they're also giving us the freedom to leave the parent 's home and go fly and do wonderful things . So, we very much appreciate it . I hope I've answered your questions and hopefully because of this context , for someone else too who might have asked this question .

Nitish Mittersain :

Thanks Akshat and Rahul . I hope that answered your question on Nodwin . For Sportskeeda, obviously you know this last quarter has been disappointing for us after a really fantastic run over many, many quarters in last 2 -3 years . But we're very hopeful that this will recover and Anirudh w ho is the Chief Strategy Officer of Sports keeda can d eep dive into it , explain what has been really the cause of this problem, as well as what are the actions taken and what is our expectation going forward , and also talk about some of the new properties that have been doing quite well for us . Anirudh, o ver to you .

Anirudh Kumar :

Yeah . Thank you, Nitish , and thank you for the question . We've obviously been hit by a Google core update . This is something that happens occasionally to sites , not very frequently , but it does tend to happen . In our Internal portfolio as we mentioned, it happened to PFN, we had you know similar austerity measures at that point in time to make sure that we are you know leaner to figure out how much time this will take and then be flexible on the operational side . So, to answer your questions

specifically

on the austerity measures, they've been carefully calibrated to ensure that we both have a chance of really bouncing back , but at the same time, if the period of recovery gets extend ed a little bit more than what we expect then we are lean enough to ensure profitability and operational stabilit y. So, that's on the sportskeeda.com site. As Nitish mentioned , in our entire portfolio right now only sports keeda .com is affected . If you look at what we have disclosed about our other properties across Soap Central, Deltias Gaming, I JR & TJ R Wrestling, and now PrimeTime r - all of them have been growing fairly healthily .

In fact, the measures that we've put in place for the PFN last year have actually had quite a n impact post the recovery as well . So, we've had the first non -season quarter where PFL has been profitable . That sort of puts us in a very good position as we enter

into the season in September . So, the outlook is that base d both on our internal observations as well as some of the external sites that we observe d, it should ideally take anywhere between one to two quarters . That's the typical timeline . If it takes slightly more or slightly less than that , then we have the flexibility and hence the austerity measures and the cost . Does that answer your question ?

Rahul Jain :

Yeah, yeah . I have just one more point . The good part is that the other pieces are doing well but t hey're too s mall right now to lift -up the game . So, is it safer to assume that on an annual ized basis, r evenue could be retained at the FY25 level or it could be difficult given that one or two quarters, including in Q2 which is an important quarter, we might not see that kind of momentum ? So, we could be down this year , is that a possibility?

Anirudh Kumar :

So, right now we're not commenting on the annual revenue figures . The idea is that we look at how the next quarter plays out and how all of our properties do together . There has just been one quarter since it has happened . Luckily , we got into action really early on just to ensure that we are well prepared, but as things go along in the next quarter or two, we'll give you an update on what that guidance might be .

Rahul Jain :

Sure . That's pretty helpful . Thank you.

Nitish Mittersain :

Thank you , Anirudh . We can move on to the next set of questions .

Moderator:

Thank you . A reminder to the participant , anyone who wishes to ask a question, may press Star and 1 on their touchtone telephone . The next question is from the line of Aditi Parma r from I-Wealth . Please go ahead .

Aditi Parmar :

Hello .

Nitish Mittersain :

Yeah. Hi, Aditi, this is Nitish .

Aditi Parma r:

Hi, sir. Sir, I wanted to understand what 's included in Other Income because it has become so high this quarter ?

Nitish Mittersain:

Yeah, I think the largest contributor to our other income is the gain s that we booked due t o the investment we had made in STAN . So, we had made an investment in STAN last year . STAN is a gaming community product which is doing extremely well and we did a follow on investment of $1 million earlier this year , and we've had many other marquee investors participate for a total fund ing of approximately $9 -$10 million including Google and Bandai Namco, and many other well reputed companies . So, we're quite excited about that business and it's growing extremely fast , but the Other Income largely compromises of an INR 66 crore gain on STAN .

Aditi Parmar :

Okay, okay, sir. Sir, on Curve Game s, can yo u elaborate on how will the growth com e and on the back of which IPs? How can we see the future growth in this company?

Nitish Mittersain:

Yeah, sure . I'm going to call in Rohit Sharma, who joined us as an Executive Director to answer this one . Given Rohit's vast experience in the PC and console gaming space in the last many years, he's actually working very closely with the Curve team on our behalf and will be able to answer this in more detail . Rohit, over to you .

Rohit Sharma:

Thanks , Nitish . Yeah . Hi. So, just to let you know, Curve Games is one of the leading you know indie game publishing studios in U K while obviously , they get revenue globally . Historically they have had great success with a lot of IP s that they have b uilt like For The King and Human : Fall Flat which will continue to do well . The team 's core strength is that they have extremely strong relationship in the PC and console space . They have extremely strong relationships with all the large platforms like Sony, Microsoft , Steam and Nintendo . And on the development side, they are one of the most coveted publishers f or studios to publish their games . In fact , we have just greenl it 2 very, very strong IP s that we will start developing next quarter and will give us growth as we go on . But to answer your question, there are existing IP s and long - tail IP s that are with Curve like Human : Fall Flat, Dungeons of Hinterberg , For The King , and we have Wobbly Life on Switch 2 , which will continue to give us growth, plus we have also, as I said, invested in two or three very strong IPs which will give us growth in the future . So, that's kind of the strategy and the growth trajectory for Curve .

Aditi Parmar:

Thank you, Sir . That answers my question . Thank you .

Nitish Mittersain :

Sure.
Moderator:
Thank you . Before we take the next question, a reminder to the participant s, anyone who wishes to ask a question may press Star and 1 on their touchtone telephone . The next question is from the line of Sachin Dixit from JM Financial . Please go ahead .
Sachin Dixit:
Hi, this is Sachin from JM. I have two questions . The first one is on our dependence on platforms . Now , I don't know how you think of it, right? Obviously , because that dependence has impacted our business in the past as well, right? When Apple changed some rational e and now Google, so how do you think of that dependence ? How do you hedge against it? Or how do you basically mitigate the risks related to these platform -related risks?
Nitish Mittersain:
Sure. So, Sachin, let me take that answer . I think one thing obviously is that there is you know some level of dependence on these very large platforms like Apple and Google and we can't really run away from that . That said, there are a lot of changes happening in the ecosystem which is reducing the dependen ce.
One from a Nazara perspective, our business model which includes in -app purchases , advertising revenues as well as sponsorship revenues hedges the risks of these platforms to a certain extent . In addition to that, for example, web flows are being enabled now on a lot of these platforms where you can b ill customers directly . As you would be reading, there are a lot of global companies contesting some of the policies of these platforms, which will open up the platforms to a certain extent . So, I think there's a natural tendency for the platforms to open up over the next 2 -3 years and we also are very actively working on for example, enabling web flows on products like Fusebox. They already have a pilot running . Lastly, I think the Curve Games business that we have acquired diversifies us to a different set of platforms . We are seeing a lot of business coming in now on the PC and console side from Steam , Nintendo , etc. So I think there's also certain diversification of platform beyond Apple and Google through the Curve acquisition .

Sachin Dixit:
So, basically getting more into these spaces helps us there . So, my second question is on PokerBaazi . So, obviously this quarter losses could be on account of the higher IP spends, but still what is your visibility on the business, while the regulatory environment remains highly uncertain and b

asically if I do a math o f your shareholding
in PokerBaazi, your losses are almost like INR 35-36 cores from that business and your EBITDA overall for the quarter is INR 47 crores, right . So, in that sense, it makes us slightly sort of open to all the challenges that might come on that piece , how do you think of it? What is the visibility and profitability?
Nitish Mittersain :
Yeah . Sachin, I'll give you my perspective and then also pull in Puneet, who is the founder of PokerBaazi to talk a bit about how he sees it from his perspective . I think we are very excited about the PokerBaazi business . They continue to dominate and increase their market share . And as you know, with a lot of these skill -based real money gaming platforms, liquidity on the platform is a very large mo at and I believe PokerBaazi has kind of got that significant advantage and that's what you're seeing when even at a large scale , the year -on-year revenue growth being significant . The EBITDA loss you refer red to in Q1 is obviously on account of a large brand campaign on IPL and most of that has been front -loaded in the year . So, Q1 is where you'll really see that large impact . You won't see much of that in the coming quarters . So, I think overall things are very exciting . All the metrics of the product continue to go North and we believe this is a potentially large cash flow business for us in the years to come . Puneet, you can add to that in a little bit more detail , maybe how you guys are thinking ?
Puneet Singh:
Yeah . Thank you, Nitish . Hi, Sachin. So, like Nitish explained that the spend s during the Q1 were already planned and the aggressive branding campaign in Q1 has achieved this objective of driving the top of the funnel growth which has also resulted in record platform engagement, and our DAUs and MAUs have been on an all-time high . In Q2, our focus is mostly on leveraging this momentum to unlock the full monetization potential for the new and the reactivated users and to optimize the cohort system as well. So, we really believe that with the things lined up in the second quarter such as

The Circuit ’s online qualifiers and the anniversary promotions , we are very well positioned to deliver one of our strongest quarters in Q2. So, as far as the spends in Q1 are concerned , that is actually as per the plan because IPL and Shark Tank were both front -loaded .
Sachin Dixit :
Quickly, if you can share the impact of these sort of one time -ish spends in Q1 on IPL and Shark Tank ?
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Puneet Singh:
Because of these spends, what we have seen during Q1 is that we have not only increased th e session depth of all the users, but the ARPUs have also increased and what we have also seen during this ......sorry ?
Sachin Dixi t:
Sorry I meant the amount of spend that is there which might not sustain in the coming quarters , that's what I was saying .
Puneet Singh:
The IP L's branding spend s and the Shark Tank spends have been completely booked in the previous quarter itself, so they would not be coming in further . The IPL spends were somewhere around INR 85 crores and the Shark Tank spends were around INR 25 crores o n top of that .
Sachin Dixit:
Understood . Sure . Thanks . Thanks so much, Puneet and thanks Mr. Nitish .
Nitish Mittersain:
Thank you .
Moderator:
Thank you . The next question is from the line of Kunal Bajaj from Choice Institutional Equities . Please go ahead .
Kunal Bajaj:
Yeah, hello . Good morning , all. Thanks for taking my question . Firstly, I wanted to understand strategy on Smaaash going forward as to what we are thinking on expanding on this front . Secondly, on the Kiddopia side, we have seen that there has been an arrest in subscriber churn so, do we see any growth coming in this financial year? Yeah, th ose are the 2 questions .
Nitish Mittersain:
Kunal , hi. So, I think in the whole offline entertain

ment and gaming category of ours,
we have two businesses - one is Funky Monkeys and the second is Smaaash. Funky Monkeys is already well on its growth path . It is adding new centers now every month and we believe it's a highly scalable business . It's a profitable business with a quick breakeven on the cape x that we do . So, we are very excited about it and you will se e continued growth in this business in the coming quarters . Now, coming to Smaaash ,
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as you know we've acquired it through NCLT, it's been about you know two months or less and we have a 2-prong ed strategy there . One is to ensure that the existing business is stabilized and revitalized over the next few months and we're operating 11 centers and our whole idea is to ensure that these 11 centers get revitalized . I think the parallel process that we are working on is to reimagine Sm aaash 2.0 . What formats will it have? What are the new experience s it will bring? How will we integrate synergies with the rest of the Na zara ecosystem ? So, I think these are the two approaches we are having . I think in another six months or so we should be able to come out with a Sm aaash 2.0 POC . Once that is established successfully, we will look at expanding this aggressively . So, I think the next two quarters is going to be most of this work rather than very active expansion of centers at this point of time . I think FY27 is when you should expect rapid expansion of centers .
Kunal Bajaj:
Yeah. Thanks Nitish.
Nitish Mittersain :
Yeah, c oming to your question on Kiddopia. I think we've seen a good performance in this quarter . Generally , the subscriber decline has been stemmed and you would have seen in the presentation that we've seen positive KPIs across the board - whether it's churn, CPT, the cost per acquisition that we are getting , etc. So, I think we continue to feel quite bullish about the growth opportunities . I do understand it's taken a long time coming . You know we've been working on this for a few quarters or more, but I do think that we're getting very close to get back to growth . I think another quarter or two and we should be able to see growth again .
Kunal Bajaj:

Sure . Thanks . Also , a follow up question on that - as on the broad corporate level, we had a target of around INR 300 crores EBITDA . So, how is our progress on that?
Nitish Mittersain:
I think we're making great progress . Our guidance has been to achieve INR 300 crore s EBIT DA by FY27 and I believe we are very much on track to achieve that or surpass that.
Kunal Bajaj:
Sure . Thank you .
Moderator:
Thank you . The next question is from the line of Abhishek Banerjee from ICI CI Securities . Please go ahead .
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Abhishek Banerjee:
Hi. Just a couple of questions from my side. First off to Aksha t. The thought process is to focus on growth in Nodwin going ahead and you have often explained to us how the older I Ps kind of make decent margins but as you invest in newer IP s, the overall losses can come up. But given you have been doing this for some time now and some of the older IPs are more than five years old, so, what is the timeline that one should build in for some pr ofit delivery in Nodwin ?
Akshat Rathee :
So, the way to think about all our IP s is again think of it like a portfolio approach . I'll give a n empirical example so you can go into it . At any given time, since we do not know what the new game will be, what the new culture will be, what the new song will be, what the new event will be, what the new influencer will be, we have to have to go and have our ears to the ground . So, think of it as angel investments . We need to have anywhere between 10 to 20 micro IPs under incubation at any given time every year . These don't cost too much . They cost anywhere between INR 50,000 to maybe INR 7 -8 lacs each to keep on running experiments . This allows us to broaden

very quickly through this incubation, and we keep on running experiments . To identify something that is worth investing in either because of critical mass coming in, high engagement coming in , other factors coming in showing its potential, we don't still call it an IP but we've done our first-year experiment . Our first year experiment costs us anywhere between INR 10 lacs to about INR 40 lacs.
So, we tr y this experiment for around INR 10 lacs to about INR 30-40 lacs and look at whether that’s successful or not . Again, in the first stage , we have about a 70 % to 80% failure rate. In the second stage , we have about a 30 % to 50% failure rate because it doesn't work out right given it doesn't have enough depth or it doesn't have any traction . Chess has reached that endpoint has been a success for us . We invested in Chess three to four years ago . Playground is another one that has done well . But behind every success there are umpteen experiments that's don’t come to fruit ion.
Typically , after the first year if we get traction, we can then invest into the second season after the first one . This would typically range from INR 40 -50 lacs to about INR 2 crores investment behind it, and this is the time where we actually would try to make real money out of it . We go to sponsors, we go to media rights, we go to data rights, we strike the right partnerships and there’s again maybe a 30% to 50% failure rate here . Once this is established, it is now 90 %. Then, typically the y scale very, very quickly . This is now in the growth stage . You would normally not have failures in the growth stage . You're looking at acceleration . How much acceleration is always the question . But typically, a fter the first two years , we could look at the payback over two more years and have a full payback and then a long tail that keeps on going and giving value. For example, All That Matters has been there for 15 years , NH7 in 14 year s, BGMS is in its fifth year . You can see that all the global IPs that we take over, we try to build them into multi -decade -long IP s. That allows us not to be dependent on platforms, influencers, talent, IP , games etc., and that's the portfolio approach that we want to go ahead with . If it all works, we get astronomical returns . As we are
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building out of emerging markets and we're not building out of the developed world, the failure rate is substantially higher . But as we move from a developing to a developed economy , we’ll see traction here as we see for most global markets .
Abhishek Banerjee:
Understood . What would be the kind of margins that your mature business is now making, if you could give some clarity on that?
Akshat Rathee :
So, the IP model is a better one to look at . Mature IPs typically would have anywhere between 60% to 75% gross margins , while the net margins would be around 20 -25%.

Abhishek Banerjee:
Got it, got it. And one more question for PokerBaazi - so you were actually speaking on you know how your advertisements have helped in improving your customer engagement and the session depth . So, if you could, you know, talk a little bit on you know how advertisement kind of drives that because if you were to ask me, I can understand how advertising can drive customer acquisition, but how it can drive higher ARPUs etc. would be great to understand .
Puneet Singh :
Yeah, sure . So, on that, you know what we meant was that because of the advertisements we get a strong top of the funnel growth and once we do that, we have enough features within our system which help us drive session depth , retention , and then ARPU . Also, the new product innovation which we have done in the previous quarter, which includes a lot of these features on user set s, user learnings , and we have added a Poker TV app with tailored content, the PokerBaazi School for structured learning of advance d tools

. Poker Shots is one more tool that has also been added in the last quarter, which is a tool for game analysis . So, all these three tools together along with having a big top of the funnel in terms of getting users eventually help us achieving these things .
Nitish Mittersain :
Yeah, I would just add to that that when you have a larger brand campaign happening, it also increases the brand credibility in the eyes of the consumer and therefore has a direct impact on usage and uplift in ARPU because the players are then coming back and playing more because of brand trust .
Abhishek Banerjee:
Okay , good . Thanks . Thanks .

Moderator:
Thank you . Ladies and gentlemen, anyone who wishes to ask a question may pres s Star and 1 on their touchtone telephone . The next question is from the line of Jinesh Joshi from PL Capital . Please go ahead .
Jinesh Joshi:
Yeah . Sir, m y question is with respect to the fundraise of Nodwin . Can you tell us how much is Nodwin planning to raise? And secondly, given the fact that Nazara will not participate in this fundraise, what will be our revised stake in the company?
Nitish Mittersain:
Sorry, what's your second question? What will be our stake in the company ?
Jinesh Joshi:
Right. In Nodwin, w hat will be our revised stake post the fund raise ?
Nitish Mittersain:
Yeah . So, I think there's going to be a bridge round first and then a larger r aise. So, the exact amounts are still to be finalized so, I won't be able to give you a specific equity position, but it will be in the range of 46 -47% from what I understand at this point of time . Obviously , once this is completed , the necessary disclosures will be made in terms of exact numbers , etc.
Jinesh Joshi:
Understood . Sir, secondly on PokerBaazi , I think we mentioned that the IPL spends were about INR 85 crores and what we spent on Shark Tank was approximately INR 25 crores . So, in all, we have spent about INR 110 crores and if I look at our F Y25 EBITDA for PokerBaazi – it was negative at approximately INR 58 crores . Given the kind of spends we have made in Q1, I know these are one-off spends so to say, but given the quantum , should we expect profitability in FY26 at the operating level and if not, when do you expect this business to make profits at the operating level given how the taxation situation is ?
Nitish Mittersain :
Yeah. Look , I think in FY26, we do not expect to deliver profitability for PokerBaazi. In FY27 we should, but it depends on our market positioning at that point of time and what's the right thing to do for the business . What is important to understand is that the marketing and branding spends that we're doing today is very much, you know, driven by our desire to really dominate the market and it is something that is in our control to dial up or dial down as we would like to . The core business in itself is very

profitable and if you were to dial down the marketing spends today, you would see a large amount of profitability be en thrown up by the core business . So, I think it's just our aggressive positioning to continue to dominate the market at this point of time . We believe that is the right strategy for this business .

Jinesh Joshi:
Understood and so one last question on Fuse box. So, w e released Big Brother in May ‘25 and I believe we have quite a few new IPs lined up over the course of the year . But if I look at Q1 and given the fact that there was a big launch expected , our user acquisition s spend s had risen a bit and that is why our EBITDA margin was down to about 14.3 %. Now, given the fact that new launches are lined up, how should we think about the margin trajectory because historically this number was quite high and because of higher spends , it has got diluted a bit to about 14 odd percent . So, basically, your thoughts on the profitability side?
Nitish Mittersain:
Yeah . Jinesh,

I think the important point to understand is that most of the user acquisitions spends that we see in Q1 is driven by spends on the Love Island game and not on the Big Brother game . While the Big Brother game is launched , right now , the team is looking at the initial KPIs which look very good and they’re iterating the game before we start scaling it up . So, most of the U A spend s have happened on Love Island because the team was getting very attractive customer acquisition costs also because of the airing of the TV show at the same ti me. These spends will get dialed down in the coming quarters and you will see the profitability go up and the margins come up again . So, I don't think new game launches will hurt margins a lot . I think over a period of time they will keep adding scale to the business .
Generally, the gaming business, as you see this quarter has delivered a 24% odd margin and we will continue to drive all our gaming businesses towards a 30% margin goal . That's a milestone that we want to try and achieve . I'm not promising any specific time line r ight now, but at least our internal thought process is towards that goal .
Jinesh Joshi:
Understood, sir. Understood . Thank you .
Moderator:
Thank you . The next question is from the line of Rahil from S apphire Capital . Please go ahead .
Rahil:
Hi, Sir . Good morning . Can you hear me?

Nitish Mittersain:
Yeah .
Rahil:
Yeah . So, just one question, if you could just highlight or summarize which of the divisions or the key businesses will be the main growth drivers for FY26 for the topline and if you could provide any guidance to it?
Nitish Mittersain:
Yeah, sure . I think in terms of main growth drivers at this point of time, if you look at Q1, we have seen Animal Jam perform very well for us . We've seen Funky Monkeys get on to the growth pa th. We are very excited about Fusebox , and I think C urve should have a great year as well . The rest of the businesses, you know, we are constantly plugging and working on, and for example Kiddopia - like I was saying earlier - should hopefully get back to growth quite soon . In terms of guidance, we don't have any specific guidance at this point of time .
Rahil :
Okay , sure . Thank you . All the best .
Moderator:
Thank you . Ladies and gentlemen, anyone who wishes to ask a question may pres s Star and 1 on their touch tone telephone . A reminder to the participants that anyone who wishes to ask a question may press Star and 1 . As there are no further questions, I would now like to hand the conference over to the Management for closing comments .
Nitish Mittersain:
Thank you everyone for joining today's call and also thank you to the leadership team of Nazara for spending the time , answering all the questions patiently . Wish you all a very good day . Goodbye .
Moderator:
Thank you . On behalf of PL Capital, that concludes this conference . Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

(no extractable text — likely a scanned image PDF)

Call: Feb 2026

February 10, 2026

To,
Listing Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai - 400 001.
Scrip Code: 543280 Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1. G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai- 400051.
Scrip Symbol: NAZARA

Subject: Transcript of the Investor/Analyst Earnings Call held on February 04, 2026:

Dear Sir/Madam,

In furtherance to our letter dated February 04, 2026 regarding the audio recording of the investors earnings call for the Q3 & FY2026 Results, please find enclosed herewith the transcript of the said call. The Transcript is also available on the Company's website i.e. www.nazara.com .

We request you to take the same on record.

Thanking you,

Yours faithfully,
For Nazara Technologies Limited

Arun Bhandari
Company Secretary and Compliance Officer

Encl.: As above

"Nazara Technologies Limited
Q3 & 9M FY '26 Earnings Conference Call "
February 04 , 202 6

MANAGEMENT :

MR. NITISH MITTERSAIN – CHIEF EXECUTIVE OFFICER AND JOINT MANAGING DIRECTOR
MR. RAKESH SHAH – CHIEF FINANCIAL OFFICER
MR. ROHIT SHARMA , EXECUTIVE DIRECTOR
MS. ANUPRIYA DAS – HEAD OF CORPORATE DEVELOPMENT
MR. SHREYES MENON – HEAD, OFFLINE GAMING
MR. AKSHAT RATHEE – CO-FOUNDER AND MANA GING DIRECTOR – NODWIN GAMING
MR. AJAY PRATAP SINGH – CHIEF EXECUTIVE OFFICER – ABSOLUTE SPORT PRIVATE LIMITED
MR. SENTHIL GOVINDAN – CHIEF EXECUTIVE OFFICER – DATAWRKZ BUSINESS SOLUTIONS PRIVATE LIMITED
MR. TERRY LEE – CHIEF EXECUTIVE OFFICER – FUSEBOX GAMES
MR. JEFF AMIS – CO-FOUNDER AND CHIEF EXECUTIVE OFFICER – WILDWORKS

MR. STUART DINSEY – CHIEF EXECUTIVE OFFICER – CURVE GAMES
MR. CHRIS JONES – CHIEF EXECUTIVE OFFICER – SPACE & TIME

Moderator: Ladies and gentlemen, good day, and welcome to Nazara Technologies Q3 & 9M FY '26 Earnings Conference Call hosted by Choice Equity Broking Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Kunal Bajaj from Choice Equity Private Broking Limited. Thank you, and over to you, sir.

Kunal Bajaj: Thank you, Shubham. Good morning, everyone, and a very warm welcome to all of you. On behalf of Choice Equity Broking, I would like to extend a warm welcome to the Q3 & 9M FY '26 Post Results Conference Call of Nazara Technologies Limited. I would like to take this opportunity and welcome the senior management team joining us on the call today.

Today, we are pleased to have with us Mr. Nitish Mittersain, CEO and Joint MD, Nazara Technologies; Mr. Rohit Sharma, Executive Director, Nazara Technologies; Mr. Rakesh Shah, CFO, Nazara Technologies; Ms. Anupriya Sinha Das, Head of Corporate Development, Nazara Technologies; Mr. Terry Lee, CEO of Fusebox Games; Mr. Jeff Amis, Co -Founder and CEO, WildWorks .Mr. Stuart Disney, CEO, Curve Games; Mr. Shreyes Menon, Head of Offline Gaming at Nazara Technologies; Mr. Akshat Rathee, Founder, NODWIN Gaming Private Limited; Mr. Ajay Pratap Singh, CEO, Absolute Sports Private Limited; Mr. Senthil Govindan, CEO of Datawrkz Business Solutions Private Limited; Mr. Chris Jones, CEO, Space & Time. I now hand over the call to Mr. Nitish for the opening remarks. Thank you, and over to you, sir.

Nitish Mittersain: Hi, everyone. Good morning, and thank you for joining us this morning. In Q3 FY '26, Nazara delivered revenues of INR406 crore, which were lower by 24.1%, primarily due to the deconsolidation of our NODWIN Esports business. However, our EBITDA came in at INR67.8 crore, which was up 29.4% during the same period and our margins expanded to 16.7% as the company refocused on its higher -margin IP -based gaming business.

For 9M FY '26, revenue grew by 29.7% year -on-year to INR1,431.2 crore, while EBITDA increased 73% year -on-year to INR177.2 crore with our overall margins expanding to 12.4%.

Kiddopia achieved a much -awaited resumption in subscriber growth in this quarter, driven by the hard work of the team as well as Nazara's centers of excellence in user acquisition, data analytics, growth and product.

In parallel, the company continued to explore new platforms. And in this quarter, soft launched Animal Jam on the Roblox platform. And we believe these new platforms can unlock growth for us going forward. Also in this quarter, our associate company, NODWI N, which is the leader in Esports space in India, delivered strong operational performance and profitability.

Nazara continues to make strong progress in building a global gaming company focused on creating scalable world -class IP and franchises. This quarter was driven by disciplined

execution, improving operating efficiencies and multiple growth engines across new launches, live content expansion and platform extensions.

I must say we are also doing a lot of work on AI and introducing these components into some of our games, which I believe will have positive benefit for us going forward. We remain focused on disciplined capital allocation, including through strategic M&A.

And our centers of excellence that we have created will bring a lot more synergy in the acquisitions that we do going forward. With that, I will now hand over to Anupriya to discuss a little bit more

details in the segmental performance. Over to you, Anupriya.

Anupriya Das: Thank you, Nitish. Good morning, everyone. In Q3 FY '26, our Gaming segment revenue grew to INR257 crore, growing 66% year -on-year and EBITDA grew to INR64.2 crore, growing 87% year-on-year, resulting in an EBITDA margin of 25% for the segment. In 9M FY '26 on a year -on-year basis, our core gaming segment revenue grew by 119% to INR793.8 crore and EBITDA grew by 172% to INR188 crore with an EBITDA margin of 23.8%.

In mobile gaming, the momentum remains strong with revenues rising to INR534.7 crore, up

48% year -on-year and EBITDA increasing to INR99.2 crore, up 43% year -on-year. As Nitish mentioned, performance is driven by both the management teams and the COE -led initiatives such as user acquisition and data analytics, which tightened the LTV guardrails and strengthen our live ops cadence. Kiddopia returned to subscriber growth in Q3 FY '26 after several quarters, supported by the coordinated COE efforts with the ma nagement team and unlocked multiple levers of growth.

During the period, Animal Jam was also launched on Roblox, a new platform alongside many content updates across Kiddopia, CATS and K oT. A sharp increase in marketing spend for Love Island in December impacted EBITDA in the near term with the benefits expected to translate into higher revenues in the subsequent months.

Moving to PC and console publishing. We continue to deliver high -margin IP monetization and expanding platform reach. Curve's evergreen catalog ue and new platform initiatives supported durable monetization. Human Fall Flat with lifetime sales of 58 million units remains a long tail seller, while Wobbly Life showed strong early momentum on Switch 1 with sales of over 200,000 units.

Turning to offline gaming. The portfolio reported healthy profitability with 36% EBITDA margin in Q3 FY '26. In Q3, Smaaash delivered INR24.3 crore of revenue and INR7.1 crore of EBITDA, while Funky Monkey posted INR6.1 crore of revenue and INR3.7 crore of EBITDA. We also expanded footprint through four new Funky Monkey centers in the quarter and continue to progress the Smaaash Experience 2.0 revamp as a medium -term relaunch.

Moving on to other segments. In 9M FY '26, Adtech delivered stronger growth and improving profitability. Revenue was up 86% year -on-year and EBITDA by 95% year -on-year. In Q3 FY '26, EBITDA increased 26% year -on-year, while revenue was down by 22% year -on-year, attributable to reduced focu s on low -margin non -tech managed services business. This reflects

broader product mix improvement and increasing focus on tech -enabled offerings that are increasingly higher margin.

Moving to NODWIN. As mentioned, our associate company, NODWIN delivered a strong Q3 and demonstrated EBITDA profitability after the impairment and cessation of Freaks. In Q3 FY '26, revenue was up 58% year -on-year at INR261 crore and EBITDA reached INR40 crore. The quarter featured marquee executions and new IPs, including DreamHack and Starladder in Budapest. Within Absolute Sports, the portfolio has stabilized and selective product expansion is happening.

Sportskeeda executed significant cost realignment as Q3 FY '26 costs were down 32% year -on-year. Other properties of Absolute Sports continue to perform well. Pro Football network revenue is up 59% year -on-year on a YTD basis, while PrimeTimer posted strong post -acqu isition revenue gains. With this, I conclude my remarks, and we'll now open to the call for Q&A.

Moderator: Thank you very much. We'll now begin with question -and-answer session. The first question comes from the line of Sachin Dixit from JM Financial.

Sachin Dixit: I had three questions. The first one to start with is on Kiddopia, right? So congratulations on increasing the subscription numbers there. But how do we think of the marg

in dip, right?

Because are there expectations that the stickiness from these acquired customers is going to deliver leverage in the coming quarters?

Or even if you can break down maybe like what is the ratio of monthly versus yearly subscriptions there? So just to understand something on the stickiness side so that we can anticipate a better margin in coming quarters.

Nitish Mittersain: Why don't you complete your questions and then we can answer one by one.

Sachin Dixit: Sure. So, that was the first question on Kiddopia. The second one is if you can explain any seasonality that we see in margins in offline gaming, right? They spiked in this quarter. Last quarter was relatively poorer. How should we expect the sort of bench mark margins for the offline business, if there is a festive quarter related seasonality or anything?

And the final question is on the couple of investments that you highlighted in the press release, nCore Games and Rusk Media. If you can shed some more light there, what's the plan there? Are these just minority investments for now? How should we look at t hose pieces?

Nitish Mittersain: Okay, sure. So let me start with Kiddopia. This is Nitish. I think for us, we have created these centers of excellence on user acquisition, on data analytics, on AI and growth. And we are starting to see these really add value to our existing businesses, s tarting with Kiddopia. We kind of focused on Kiddopia first. And what we have managed to achieve really in the last couple of quarters, which is now showing up in Q3 is that we are able to spend and acquire more users, but at good cost p er trial and CAC.

So if you see in Q2, our CAC was $37.5. But in Q3, we have spent more , acquired more users and at $35.8 per user. At the same time, our ARPUs have been steadily increasing. In Q3, we were at $7.45 per user compared to $7.34 in Q2. So, in effect, what we are able to now do is scale our user acquisition spend, acquire more users, but at the price that we want to, and we will continue to optimize that.

So this is, I would say, the drop in margins is actually a very healthy sign in this particular case because we are acquiring more users that are profitable for us. And over the year s in the coming quarters, you will see revenue growth that will make up for the short -term margin erosion.

Kiddopia usually has a two years LTV that we see. So we will continue to generate users or revenues from users over a two to three years period that w e acquire.

All along the last two years, we've maintained that we will maintain a very strong discipline on the cost of acquisition of the user because we don't want to acquire users at any cost. And I think that's what we are able to achieve now. So we are feeling v ery positive about Kiddopia's growth and defensibility of margins going forward.

Sachin Dixit: Just to clarify on this, right, obviously, margins in Kiddopia have consistently dipped from 25% in Q3 last quarter to reaching 9% this quarter, right? So should we anticipate that margins will remain ~9% range, as you highlighted, like you spent on customer acquisition and without basically seeing a lot of leverage on the currently acquired cohort, unlikely that you will see margin improvement in the near future?

Nitish Mittersain: No. I think the point is the margins have dipped because we have spent more in this quarter.

Sachin Dixit: But do you plan to spend.

Nitish Mittersain: Yes. And we will continue to spend, but also you have to realize that as we keep spending higher, the revenues will also start scaling. So they will start offsetting the higher spends in terms of margins. So margins until unless we really get good fantasti c traction and let's say, we are able to further significantly increase our spend, let's say, if the spends remain as they were in Q3 and Q4, Q1, Q2 of next year, then

the margins will automatically start coming back as the revenues will grow.

Sachin Dixit: And just to close this, do you have any margin number in mind FY '27, '28 that I will hit these numbers?

Nitish Mittersain: I think I would say I would not hazard a guess on margins. The only point I would like to say is that within our profitable equation of acquiring users, we usually follow a policy where we want to earn back 100% in two years period of whatever capital we invest in user acquisition. As long as we are able to achieve that, we will maximize our spends for growth.

On offline business, let me give you -- I have Shreyes here, who's heading our offline gaming business. But let me give a quick overview of what's happening. Our Funky Monkey centers have been expanding pretty rapidly, and we're launching about one to two new centers per month

currently. So we're seeing rapid expansion. These centers have a breakeven period of less than one year. So we can continue to see rapid growth over there.

In terms of Smaaash, we are right now in the midst of relaunching all new imagine Smaaash , I think that will take probably a couple of quarters to launch before we start expanding. So we've kind of optimized a lot of costs in the current operations, which show up in the margins. We've also closed down one center, which was kind of loss -making, so that loss has gone away.

So I think some level of optimization has been going on. But the real growth in Smaaash will come once we relaunch the all -new Smaaash in the next couple of quarters. Do you have any specific question on this? Otherwise, I can move on.

Sachin Dixit: No. I just wanted to comp rehend right? So for example, if I look at Funky Monkey, we have 61% EBITDA margin, right, which means that we are able to sweat our assets quite well. if I have a business which breaks even in a year and does 60% margins, I'll probably invest all my money there . So just to understand, which is why I'm asking the question, is 61% the sustainable margin or maybe something like a 40 -ish percent the right margin?

Nitish Mittersain: I think on a steady -state basis, 35 - 40% is what we should project. But we are doing actually that, right? We have an intent to really expand the number of centers. But because it's launching new centers is operationally heavy, we want to make sure we are well geared to do that before we real ly scale. But right now, this one to two centers a month launch is already in way. If I were to zoom out, I think over the next couple of years, can we get to 100 Funky Monkey centers

in India, we sur ely can.
On core gaming, the last question you asked was on investments, the minority investments we have made. I think the point here really is twofold. One is what is the strategic Indian opportunity. As you know, Indian gaming today, if you look globally, in ter ms of number of downloads on mobile phones is Number 1 on Google Play, Number 1 on Apple Store, 1 or 2 sometimes. So there's a lot of consumption.
However, we are not even in the top 10 on monetization. But slowly and steadily, I'm very confident that we will inch up and get there. And India will eventually become a very large monetizable gaming market going forward. So our intent is that while today , Nazara's revenues are largely coming from international markets.
And in the near term, I believe that will continue to grow faster in the international markets. It's very important for us as our home base being India, we kind of continue to invest very aggressively in this market. So, I think, some of these investments you 've seen in the past also like Stan, Rusk, in this time nCore are with an intent to invest in the local gaming ecosystem and create a network and ecosystem for Nazara that we can continue to exploit as the market grows. Specifically for nCore, they are makers of th

e FAU -G game, which is made in India competitor
to many of the international games like PUBG in India. So I believe that's a game that Nazara is already publishing. The game is on a good track in terms of the KP Is, early KPIs we are seeing

with the quality and the feedback of customers we are getting. So we've taken this call to have a minority position.
These investments are all minority at this point of time. We will continue to engage with the respective companies. And at some point, we may either monetize these investments or we could take larger stakes or we could acquire. So we've kept all the option s open for ourselves.
Moderator: The next question comes from the line of Jinesh Joshi from PL Capital.
Jinesh Joshi: Sir, in the NODWIN business, the turnaround that we have seen in the PPT, we have mentioned that it is primarily attributable to breakeven in some of the IPs like Comic Con. But given the swing that we have seen in this quarter on the EBITDA side, can you talk a bit more about which all IPs broke even? And also the fact that it appears multiple IPs seem to have done well in this quarter. So what led to turnaround in most of them in this quarter? So, yes, your thoughts on that?
Nitish Mittersain: Why don't I get Akshat, who's the CEO of NODWIN to answer this. Akshat?
Akshat Rathee: Thanks so much. I appreciate the question. Look, I think the core business of NODWIN was always doing well, has always been doing well for a very long time. It is the reason why we are such a dominant in the world and one of the top three companies in the world. What clouded us in the last one year was this attempt that we had done to go ahead and build a European business in Germany sp ecifically that didn't work out.
And that was a drag on everything, right? So even if we were making natural profitability in the business for around 20%, 25%, 30% margins, that was all eaten away. And not only was that eaten away, it prevented an R&D investment in growth, which we typica lly do over the business. So, NODWIN actually likes going in profit, building IPs and IPs typically have a three -year build -out cycle for us. Year on e is what we call an experiment.
We typically expense this out. Year two is when it starts going and generating traction, and we know it's successful. We have a 60% culling rate in IPs that you would test in the first year to second year gestation. And then second year once they are good enough to go ahead and do and they scale up in the way, and we believe they will go ahead and have payback periods that are viabl e. IPs start being called IPs really in year three for us.
And that takes time, right? So if you looked at some of the things that we've been building over a certain number of years, most of our IPs in the large businesses are over 10 years old, whether it be NH7, All That Matters, DreamHack, Comic Con, large ones , the BGMI, etcetera . Even the domestic ones that we have are hitting five -year cycles. So all of those cycles that are now sustainable cycles start going and generating farming revenue for us, which is sustainable, long -term, repeatable for us.
The first three years are always the chaotic period for us, and those are the ones that are also going to start showing some offshoots in the next one to three years. Even Starladder, for example, we won the award for the world's best Esport tournament literally, the Grammys and

the Oscars, the way we won the tournament of the year award. This is a team that has total staff size of 18 people.
They were when we acquired them, we then ingested them into the NODWIN ecosystem. We supported them, which is there. And then with Indian hard work and Starladder 's finesse , we were able to go ahead and do this. And the profitability in that business is w

hat you see that
comes out of it. So sustainably on a long -term basis, this is our road map.
The other thing that we've done is we also rationalize the certain costs as all the organizations go through, we have a synergy team whose entire job is to go and integrate every company that we acquire into a more holistic. So, typically, those would be s ix months to nine months after acquisitions, we would have layoffs that would happen on adjustments or some of those people would be put into newer projects. So both cost -cutting exercise and likely maturing has gone and helped. And hopefully, this goes a nd sustains as we go forward.
Jinesh Joshi: Understood. So, basically, just to sum it up, deconsolidation of for you and some of the legacy IPs did well in this quarter, and that is the reason why you see the outperformance, right?
Akshat Rathee: Correct. So Freaks 4U was always a trap like it was something that we made a mistake, right? Like -- and it's not the only mistake we have made. We also had the wings time which are there. So we do keep trying, and we've also done four other investments during this time, which is Comic Con, Tri nity, AFK Gaming, others, which have done phenomenally well for us there.
And that's the reason NODWIN is going out and raising a new round and in that part of the raising the round. The world loves wha t we do. It just makes me a little greyer more and more often when things don't work out, but the world does like what we do. So, yes.
Jinesh Joshi: Understood. Two small bookkeeping questions from my side. First is that if I look at our depreciation expense on a sequential basis, it has basically remained flat despite the deconsolidation of NODWIN. Ideally the amortization figure for you should have b een eliminated and to that extent, the expense should have been lower. So any reason why we have not seen a decline over there? That is one.
And secondly, I mean, in response to previous participant's question, you mentioned about the EBITDA margin profile of the offline business. I just wanted to check because I believe most of these centers would be on lease. So whatever margins you are seein g, whether these are pre-Ind AS EBITDA margins or post -Ind AS EBITDA margin?
Nitish Mittersain: Sure. I think on the depreciation question, while some of the Freaks depreciation has gone out, you have Smaaash and other depreciation that have got added. So, I think, Curve depreciation is also added. So , I think, it's kind of got balanced out in terms of the other acquisitions we have done.
In terms of the other question on the offline business, this is the 40 -45% elevated margin we are seeing is because of also the Ind AS accounting, as you rightly point out, where the lease comes below EBITDA.

Jinesh Joshi: Right. So what will be the true EBITDA margin? Any color you can share on that?
Nitish Mittersain: I think on a steady state, what I said earlier, between 25% to 35% is where we should land up at.
Moderator: The next question comes from the line of Pranav Mashruwala from Dolat Capital.
Pranav Mashruwala: Just doubling down on NODWIN just again. So this is again largely -- which were some of the key IPs that drove this outperformance, almost 60% Q -on-Q growth despite Freaks 4U deconsolidation?
Akshat Rathee: So, NODWIN as its expanded into its global role. Just as a matter of record, NODWIN is among the top 2 Esports companies and gaming companies in the world now, both by revenue. We are the only profitable one, which is the largest emerging market one. So we've been able to go ahead and build this.
What it does is -- I'm going to take a little longer, maybe two minutes to explain this. What it does is when we acquire assets and when we go ahead and build the IP, for example, when I say this Counter -Strike, it just sounds like a normal another event t hat

we do, right? So the Counter -
Strike made is like the World Cup that we hosted. It's the world championship of Counter -Strike. That was in Budapest, the best teams in the world come in, the millions of dollars of high schools are coming in. And when you build something like this and go ahead and do this, it goes and does multiple tens of millions of dollars of a onetime exercise. But what it does really, the reason it is there is that's onetime, right? I mean it's not really sustainable. The next time we'll do this is two to three years later, something as large.
But what it does is it builds credibility for someone like NODWIN, which is coming from India

and the world doesn't think that India is the best place to go ahead and do it, but that reputation is changing really fast with what we do. That gives other publ ishers and other world championships, the opportunity to go ahead and tell us, hey, would you like to go ahead and do our championship?

And so on the back of this acquisition on the back of the world championship that we did and the fact that we won the tournament of the year, we've now got a order book of at least 10 other events that have come in into our portfolio that we would not have . The bigger companies in the world, mostly the Europeans or the Chinese ones would have got the opportunity to do it. So that's the reason why this has happened and that makes it sustainable.

Now on a specific IP level, we've been able to do a Major. We've been able to do DreamHack. We did the Honor of Kings Championship , Kings Championship in Astana, and then we went and did a Dubai event . So all of those have now just started creating on the Esports part of the business, but also the culture side of the business, when we go ahead and do something like a Comic Con .

It creates the opportunity for Disney to come to us and say, hey, would you like to go ahead and do something with our launch portfolio that is interesting for us. So most of these things, when you do great things, go and just does a cascade effect that all ows you to go ahead and do more in the future .

Pranav Mashruwala: Thanks for the detailed answer. The bookkeeping side again, although NODWIN has reported a healthy profit, it has not quite trickled down to share of associates and JV in the P&L statement, which is right now just a mild INR3 lakh loss. What explains this?

Nitish Mittersain: There's, I think, Freaks 4U for impairment that would have translated into below EBITDA.

Pranav Mashruwala: What would be the impairment size?

Nitish Mittersain: Sorry, you are asking for NODWIN's contribution or earnings per share or you're talking of Nazara's?

Pranav Mashruwala: No, I was asking, so have the Freaks 4U impairment really netted off most of the proportionate gains that we recorded in NODWIN?

Rakesh Shah: Rakesh here. In Associate you are not seeing the impact of NODWIN's profit because there is a loss which is coming from the Moonshine.

Nitish Mittersain: Let me explain that. So you have the share of associate of profit coming from NODWIN, but that is completely offset by incurred loss of Moonshine, which is PokerBaazi. They have an operating loss of INR30 crore for the quarter. So we are 46% of that is offsetting the NODWIN gains.

Pranav Mashruwala: Okay. Understood. So, going forward, would there be further loss to record for the real gaming business?

Nitish Mittersain: We had impaired most of the value that we were carrying in the last quarter. Exact amount maybe Rakesh can confirm that we are still carrying on the books, of which INR30 crore would have eroded in this quarter.

So, there could be some, but also they are working on different revenue streams, etcetera . So, hopefully, some of that will reduce going forward.

Pranav Mashruwala: Okay. Just last one. The minority interest of about INR9 million

is attributed largely to Adtech.

Nitish Mittersain: Minority, what?

Pranav Mashruwala: Minority interest outgo of INR9 million.

Nitish Mittersain: Yes, yes.

Moderator: The next question comes from the line of Kunal Bajaj from Choice Equity.

Kunal Bajaj: Congratulations on a good set of results. So I have two questions in particular. Firstly, we see Sportskeeda. So we have observed that there is some arrest in a quarter -on-quarter decline in top line, but on a Y -o-Y basis, still down. So how do we see this business growing? How are we placed in terms of initiatives post the Google update changes? This is one.

And secondly, we see that F usebox obviously has taken a hit this quarter. So do you see any seasonality effect because of absence of an on -air show? Or have any trend on this, that's the question.

Nitish Mittersain: Sure. Let me answer the second one. I think we have Terry here on the call, right?

Anupriya Das: Yes, Terry here.

Terry Lee: I'm here.

Nitish Mittersain: Okay. So, I think, maybe Terry can answer them.
Terry Lee: Yes, sure. Thank you for the question. So, yes, with Fusebox Games being all linked to TV show IPs, we definitely do see seasonality effects, but more specifically somewhat in the organic, but more specifically in our user acquisition. So when the TV shows are on and also depending on how well the TV shows do .
Whether or not there's a virality effect similar to what we saw in the summer in Q2 with like exposure on TikTok and Instagram about particular storylines and celebrities, then user acquisition becomes a lot cheaper for us because it's a lot easier to find our players. And so we end up sp ending very aggressively, still within profitability, but we end up spending very aggressively.
So, what you'll see is over the year, our UA is kind of very stable, but we do have kind of quarterly and even monthly spikes. But as I think the presentation states is whilst we spend aggressively where we can, which is what you're seeing, we will then se e that profit come back, and we normally have a 60 -day payback period for our user acquisition.
Nitish Mittersain: Thank you, Terry. And can we have Ajay, who's the CEO of Sportskeeda to respond.
Ajay Pratap Singh: Sure. Thanks, Nitish. Thanks for the question. See, when you look at the ASPL level, right now, we have a portfolio approach. Along with Sportskeeda, we have seven, eight other domains that we've acquired and managed. Yes, there has been a decline in Sportskeeda pertaining to the March core update that came in FY '25. And since then, we've seen a decline in traffic. Now this is a normal phenomenon, to be honest, which happens across all the publishers.
We've been lucky over the last five years that we've been able to manage it so well that never once was Sportskeeda impacted. But unfortunately, we were wrongly caught in the crossfire last March.

Now to address that, we have significantly decreased cost. If you look at the Y -o-Y quarter cost comparisons, we are down by 32% in terms of cost. However, we are also seeing and witnessing good growth on the other domains that we have. For example, Pro Fo otball Network.
Now Pro Football Network Y -o-Y has seen an increase in revenue of 36% with a decrease in expense of 11%. At a YTD level or nine months level, this has been the best year for Pro Football Network. 58% increase in revenues, while expenses just growing 3%. So we believe Sportskeeda will also come back. Now when it comes back, we don't know, till then we want to run it lean.
Just to add one more point, Pro Football Network also saw this Google Core impact update last year, and it took them around 2.5 to 3 quarters to come back. So we believe in the next couple of updates, we should see some bounce back.
The oth

er thing is that while Google and relying on Google gives us high volume, we have now also started focusing a lot on other initiatives. One such initiative, if I could mention here is CricRocket, which is a live scoring app. We have a well -built dir ect sales team here in India. We have been working CricRocket app for the last 1, 1.5 years.
And come with World Cup and IPL, we will be spending a little higher on that. So, on one end, we would still want to come back on Google for volumes. And on the other hand, we would also want to kind of akin ourselves to the Google volatility and build mor e towards the new initiatives.
Kunal Bajaj: Sure. That's helpful. And one last question to Nitish sir. So, sir, we obviously see that margins have expanded because of the Nodwin desubsidiarisation. So are we seeing this trend to continue going forward for the next quarters?
Nitish Mittersain: Yes, I think you will see higher margins. And I think as our businesses focuses on the core gaming business, which is the IP -driven games that we make. Eventually, the margin should rise to beyond 20% is what we are working towards.
Kunal Bajaj: Okay. Any timeline for that?
Nitish Mittersain: I think in the coming year, maybe in two, three quarters, we should get there.
Moderator: The next question comes from the line of Bhavik from Invexa Capital LLP.
Bhavik: Sir, when I see the presentation and the numbers, I just fail to understand like where exactly our growth will come from, say, in FY '27. Could you just point out some specific divisions or IPs or like things which will actually drive growth in terms of nu mbers, one? And what will lead to improvement in margins?
We say we are doing IP -related work, but I'm just not able to understand how that will translate to numbers in, say, FY '27. So if you could provide some color or some guidance, that would be really helpful. And sir, how much is the net cash in the books? And how do we plan to utilize it going ahead?

Nitish Mittersain: Yes. So while we have many growth drivers and many things happening, maybe I'll give you a couple of specific examples on where we see tangible growth coming in FY '27. One is our portfolio of Fusebox games where we are doing IP licensing, right? Most of the revenues that you see in the current year, FY '26 have come from only one game, which is Love Island. However, in the last six, nine months after we've acquired the business, we work closely with the team to launch many more well -known games, including Big Boss in India, Big Brother globally. And we have a very large launch for the traders license, which i s again a global launch, and that IP is even more popular than Love Island.

So we've got multiple products out there, which we believe will drive meaningful growth in the coming year. That's one example. The second is Kiddopia, as you can see in this quarter, we've got the right traction in terms of the user acquisition in the range of spends or costs we want to do. So we are going to continue to step on the pedal there.

And I believe you will see Kiddopia growing well again in FY '27. Another example is our offline gaming businesses, which are driving growth, especially Funky Monkey, which continues to expand very actively.

So, I would say, by and large, most of our businesses are on a growth curve. We've got good growth plans and new IP launches for the PC and console space through Curve. Maybe I'll just ask after I stop talking, I'll ask Stuart, who is the CEO of Curve to t hrow some light on that. So, I think, broadly, we feel quite confident that our existing businesses will deliver good growth in the coming year.

In terms of the cash question that you have, we have a net cash of approximately INR700 crore in our books at this point of time, including our subsidiaries. In terms of usage, we will deploy in organic

growth where we require the capital.

And we will also undertake additional M&A, especially of gaming studios going forward. If I can just ask Stuart to throw a little light on what's happening on Curve and the IPs that we are adding to the portfolio, it will be helpful. Stuart, are you there?

Stuart Dinsey Yes. Thanks, Nitish. Hi, everybody. As Anupriya mentioned earlier, we are performing in line with our expectations with a relatively high -margin business. And we've been maximizing our catalog ue, and we've also had a number of new platform initiatives. Going forward, with the help of Nazara being part of the Nazara Group, we are investing in new titles. And really growth for us comes from the release of new games.

And we have signed five or six new titles since we were acquired, and they will start to appear through FY '27 and FY '28. So, for us, it's really about increasing the pipeline whilst retaining the relatively low cost base of running a traditional games formats publisher with a comparatively high margin outlook on the performance.

Bhavik: To understand when we say we will expand in offline business, like how many stores do we plan to open? And how much will be the investment we require generally? And what is the time we take to break even at the stores?

Nitish Mittersain: Look, like I said in an earlier question, sorry, since Stuart is offline. So I'll take it up. Shreyes, are you there?

Shreyes Menon: Yes.

Nitish Mittersain: Shreyes, why don't you answer that question?

Shreyes Menon: As this was explained before as well. So in a steady state, we are looking at 25% to 30% EBITDA margin coming in with a typical breakeven point of 18 to 24 months in the offline business, both for Smaaash and Funky.

Bhavik: Yes. And what is generally the economics for to open a new outlet or a store?

Shreyes Menon: So, right now, given that at fundamentally the growth sector that we are looking at, this is a typical investment from a INR1 crore to INR2 crore per store. At Smaaash, like how we have earlier also spoken, Smaaash 2.0, which will open in H1 next year. Post that, we'll be able to give you more clarity on the economics for Smaaash.

Nitish Mittersain: I just want to step in and add one more to your earlier question on the growth for FY '27. I think one more area that we are quite excited about growth into FY '27 is our Animal Jam business of WildWorks because there are multiple things we have done there in terms of the existing product, launching it on Roblox.

And for the first time that studio, WildWorks is launching a new game called Go Slinky. So a lot of activity happening there. And if I may just call Jeff, who is the CEO of WildWorks, to give us a quick overview. It will be helpful. Jeff, over to you.

Jeff Amis: Thanks, Nitish. Yes, thanks for the question. I hope you can hear me okay.
Nitish Mittersain: Yes.
Jeff Amis: We are very excited about an alpha release of Slinky. This is Go Slinky Go, which is a hyper - casual game in the likes of MONOPOLY GO! It has been received so well by those that we have done some beta alpha testing with so far. We'll go to a public release in by the end of the first quarter of FY '27. And we really are advocates that growth within WildWorks is going to principally come from new games .
And we're thrilled over the last several months of development of this new game that we get to launch in the coming months Animal Jam as noted on Roblox now. It will just stay there for a little bit before we're going to see the performance increase, and we will be patient with it.

But our core game, both on desktop and mobile for Animal Jam continues to hold steady, and we're thrilled with opportunities that are coming up to monetize even better as we now have validating our d

ata appropriately after a massive migration away from Ama zon or AWS to Google Cloud Platform and with the COE.
Moderator: The line has been disconnected.
Nitish Mittersain: Okay. Anyway, I think we got the point s. We can carry out.
Bhavik: And any numerical guidance which you can provide?
Nitish Mittersain: Not at this point.
Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments. Thank you, and over to you, sir.
Nitish Mittersain: Thank you, everyone, for the detailed questions. Thank you for all the Nazara management to be on the call, many of them at very early mornings all over the world . And I wish you all a very good day.
Moderator: Thank you. On behalf of Choice Equity Broking Private Limited, that concludes this conference.
Thank you for joining us . And you may now disconnect your lines.

Call: May 2026

May 19, 202 6

To,
Listing Compliance Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai - 400 001.
Scrip Code: 543280 Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1. G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400051.
Scrip Symbol: NAZARA

Subject: Transcript of the Investor/Analyst Earnings Call held on May 13, 202 6:

Dear Sir/Madam,

In furtherance to our letter dated May 13, 202 6 regarding the audio recording of the investors earnings call for the Q4 & FY 2025 -26 Results , please find enclosed herewith the transcript of the said call. The Transcript is also available on the Company's website i.e. www.nazara.com .

We request you to take the same on record.

Thanking you,

Yours faithfully,
For Nazara Technologies Limited

Arun Bhandari
Company Secretary and Compliance Officer

Encl.: As above

"Nazara Technologies Limited 4QFY26 Earnings
Conference Call "

May 13, 2026

MANAGEMENT : MR. NITISH MITTERSAIN - JOINT MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER , NAZARA TECHNOLOGIES LIMITED
MR. ROHIT SHARMA - EXECUTIVE DIRECTOR , NAZARA TECHNOLOGIES LIMITED
MR. RAKESH SHAH – CHIEF FINANCIAL OFFICER , NAZARA TECHNOLOGIES LIMITED
MS. ANUPRIYA SINHA DAS - HEAD (CORPORATE DEVELOPMENT), NAZARA TECHNOLOGIES LIMITED
MR. SHREYES MENON – HEAD (OFFLINE GAMING)
MR. TERRY LEE – CHIEF EXECUTIVE OFFICER , FUSEBOX GAMES
MR. STUART DINSEY – CHIEF EXECUTIVE OFFICER , CURVE GAMES
MR. RAYMOND STAUFFER – CHIEF EXECUTIVE OFFICER AND FOUNDER , BLUETILE GAMES
MR. MANISH GAURAV - HEAD (BUSINESS), KIDDOPIA

MR. JEFF AMIS - CO-FOUNDER AND CHIEF EXECUTIVE OFFICER , WILDWORKS
MR. MAYANK KUMAR - DIRECTOR OPERATIONS , ABSOLUTE SPORTS PRIVATE LIMITED
MR. AKSHAT RATHEE , FOUNDER - NODWIN GAMING PRIVATE LIMITED
MR. SENTHIL GOVINDAN - CHIEF EXECUTIVE OFFICER , DATAWRKZ BUSINESS SOLUTIONS PRIVATE LIMITED
MR. CHRIS JONES - CHIEF EXECUTIVE OFFICER , SPACE AND TIME
MODERATOR : MR. VIVEKANAND - AMBIT CAPITAL

Moderator : Ladies and gentlemen, good day and welcome to the 4QFY26 Earnings Conference Call of Nazara Technologies Limited hosted by Ambit Capital.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vivekanand from Ambit Capital. Thank you and over to you, sir.

Vivekanand: Thank you, Swapnali. Good morning, everyone. A very warm welcome to all of you on behalf of Ambit Capital. We are proud to host the 4QFY26 and FY26 Post Results Conference Call of Nazara Technologies Limited.

I would like to take this opportunity and welcome the Senior Management Team of the company joining us on the call today.

Connected on this call are participants from Nazara, including Mr. Nitish Mittersain – Joint MD and CEO, Nazara Technologies Limited; Mr. Rohit Sharma – Executive Director , Nazara Technologies Limited ; Mr. Rakesh Shah – CFO , Nazara Technologies Limited ; Ms. Anupriya Sinha Das – Head of Corporate Development, Nazara Technologies Limited ; Mr. Shreyes Menon – Head, Offline Gaming ; Mr. Terry Lee – CEO, Fusebox Games; Mr. Stuart Din sey – CEO, Curve Games; Mr. Raymond Stauffer – CEO and Founder, Bluetile Games; Mr. Manish Gaurav – Head of Business, Kiddopia; Mr. Jeff Amis – Co-Founder and CEO, WildWorks; Mr. Mayank Kumar – Director Operations, Absolute Sports Private Limited; Mr. Akshat Rath ee – Founder, NODWIN Gaming Private Limited ; Mr. Senthil Govindan – CEO, Dat awrkz Business Solutions, Private Limited and Mr. Chris Jones – CEO, Space and Time.

I would like to now call upon Mr. Nitish for his opening comments. Thank you.

Nitish Mittersain: Hi, good morning, everyone. And thank you for joining us this morning.

FY '26 was a pivotal year for Na zara. Revenue reached INR 1,829 crores and EBITDA grew 66% to INR 255 crores, our highest ever, with Q4 EBITDA margins reaching 19.5%, - almost doubling on a year -on-year basis. Importantly, cash generation also strengthened significantly with pre -tax operating cash flows growing 81% year -on-year to INR 213 crores.

More importantly, the shape of Na zara has fundamentally changed in FY '26. Gaming contribution to EBITDA increased from 56% in FY '25 to 90% in FY '26, as we strengthened our focus on building a high -margin, globally diversified gaming platform across mobile, PC, and console, and offline gaming.

FY26 also included our largest acquisition to date of Blue tile and BestPlay, which significantly expands our casual gaming scale while adding AI -native development capabilities and a rewarded engagement network to our platform. At the same time, our existing gaming businesses and IPs continue d to strengthen. Kiddopia has returned to subscriber growth. We saw growth in Kiddopia in Q3 and now again in Q4 . Animal Jam has expanded its margins. Fusebox has scaled

its narrative engines across multiple IPs, such as Big Brother, Bi gg Boss, Traitors, and our PC and console game Human Fall Flat crossed 58 million lifetime units globally.

The operating system behind all of this is our Center s of Excellence playbook, which we have actively strengthened over the last 12 to 18 months across user acquisition, data analytics, artificial intelligence, growth, and product. Every gaming IP we own and increasingly every IP we acquire plugs into the sam e system.

Going into FY '27, Nazara is at a materially different scale than it was 12 months ago. The quality and earnings capacity of the platform have also expanded significantly, and we will continue to accelerate growth both in revenues and EBITDA in FY '27. I do believe our operating leverage is real, and it is now starting to compound.

With that, I will hand over to Anupriya to discuss segment al performance before we enter the Q&A session. Thank you very much, and over to you, Anupriya.

Anupriya Sinha Das: Thank you, Nitish. Good morning, everyone.

At the consolidated level, as Nitish mentioned, Nazara delivered FY '26 revenue of INR 1,829 crores, up 13% year -on-year, and EBITDA of INR 255 crores, up 66% year -on-year, with our EBITDA margin expanding to 13.9%. In Q4 FY '26, the company reported revenue of INR 398 crores and EBITDA of INR 78 crores, with EBITDA margin reaching 19.5%.
Within this, our gaming business delivered particularly strong growth and profitability, with FY '26 revenue growing 107% year -on-year to INR 1,072 crores and EBITDA growing 157% to INR 265 crores, resulting in an EBITDA margin of 24.7%. In Q4 FY '26, gaming revenue grew 78% year -on-year to INR 278 crores, while EBITDA grew 127% to INR 76 crores.
Within mobile gaming, revenue grew 38% year -on-year to INR 713 crores, with EBITDA growing 33% to INR 137 crores. Performance was driven by stronger execution across LiveOps , user acquisition and data analytics through our COE -led operating model. Kid dopia had returned to subscriber growth in the previous quarter and has sustained that journey, with improving unit economics, while Animal Jam delivered meaningful margin expansion during the year. Our Narrative Games also continued to grow, with multiple reality TV IPs getting launched in FY '26, with additional launches planned in FY '27.
During the quarter, we also completed the acquisition of Blue tile and BestPlay, which has significantly expanded our casual gaming scale and AI -native capabilities. This business will be consolidated from FY '27 onwards, pending some regulatory approval. PC and console publishing businesses continue to deliver strong profitability, with FY '26 revenue of INR 261 crores and EBITDA of INR 101 crores at 39% EBITDA margin. Human Fall Flat crossed 58 million lifetime units globally, while our broader publishing portfolio continued to demonstrate durable monetization and growing platform reach.

 Our offline gaming businesses with Sma aash and Funky Monkey s also delivered profitability during FY '26, with revenues of INR 99 crores and EBITDA of INR 27 crores. We continue expanding the Funky Monkey s footprint during the year and progressing towards the launch of the re -imagined Sma aash 2.0 format.
Within our other businesses, AdTech delivered strong growth and profitability, with both revenue and EBITDA growing 32% year -on-year. Sports keeda remained profitable despite a softer traffic environment, following Google Core updates, supported by continued cost discipline and improving performance across new properties. NODWIN , our associate company, also delivered a significant EBITDA turnaround during FY26, moving from a loss of INR 14 crores in FY '25 to a profit of INR 21 crores in FY '26, while continuing to scale its youth media and live events platform globally.
With this, I conclude my remarks and will now open the call for Q&A.
Moderator: Thank you very much. We will now begin with the question -and-answer session. We have the first question from the line of Jinesh Joshi from PL Capital. Please go ahead.
Jinesh Joshi: Thanks for the opportunity and congratulations on the margin performance. I have two bookkeeping questions to begin with. First is on the other income b it, which was at about INR 51 crores in this quarter and apparently it appears to be materially higher. So, was there any one - off in this quarter? I just thought of checking because there is no disclosure

in the footnote. That
is one.
Secondly, if I look at our share of losses from associates, I think in this quarter that figure was INR 31 crores and I believe after the deconsolidation of NODWIN , we will own about 46% to 47% stake in the company. So, is it safe to assume that the overall losses for NODWIN in the quarter were at about INR 65-66 crores? I just wanted to cross -verify this thing because NODWIN reported an EBITDA of INR 4 crores in this quarter, which implies that the amortization figure is very high in the business. If you c an just clarify these two things.
Nitish Mittersain: Sure. Hi, Jinesh. This is Nit ish. So, let me take both these questions. The other income is predominantly driven by a one-time gain of INR 31 crores on our investment in Rusk Media. The holding that we had in Rusk Media was revised upwards on the basis of the new round of investment that they have raised. So, that contributed INR 31 crores , and the balance was a mix of things, including some currency gains on the statement of loans to Nazara UK. So, that’s largely forms the other income, including some mutual fund gains, et c.
In terms of the NODWIN question on the losses from associates, these are contributed by one, some losses from Moonshine, which is continuing to find a way to recover some of its business in a compliant manner. But lastly, it came from NODWIN , which wrote off some goodwill it was carrying of INR 50 crores relating to an acquisition of OML assets done 3-4 years back, predominantly coming from NH7 Weekender, which has not delivered the cash flows that were projected at the time the goodwill was established. So, NODWIN took a conservative view and

 wrote it off, although NH7 Weekender as an IP is bouncing back pretty well. So, I think that's largely what is driving it. At an operational level, NODWIN has been a bit more profitable this year and also in this quarter.

Jinesh Joshi: Got that. INR 50 crores is the number that you mentioned, right? For goodwill, right?

Nitish Mittersain: Yes.

Jinesh Joshi: Perfect. And secondly, on the PC and console gaming , in the presentation , we mentioned that we will launch new IPs like Dragon Shelter, Wax Heads, etc. So, if you can just give what is the timeline for the launch? And also, if I compare the full-year revenue of the INR 261 crores with the previous year, there's hardly any growth. So, what are the plans t o boost the organic traffic over here? If you can share some thoughts on that.

Nitish Mittersain: What I will do is I will call in Stuart, who is the CEO of Curve Games , who is dialing in from London, and also ask Rohit Sharma, our ED, who's driving a lot of our PC and console business, to also have add -on comments. So, Stuart, you can go in first and just give a little overview of your upcoming titles, timing, and then Rohit, you can add your comments.

Stuart Dinsey: Yes, thank you, Nitish. To answer that question, since the acquisition, there has been a period of transition. We have completed the transition in a way that hasn't distracted the business. We are very happy with that. And we have begun investing in new games to deliver long -term growth. We expect to launch at least 6 new releases in this current year, maybe a couple more. Wax Heads actually released last week. And other releases in the summer will include Sovereign Tower and Dragon Sh elter.

We believe that the release of these games will bring long -term growth for the company. And we will continue to look at retaining a high margin from our low -cost base where we can, whilst increasing our development spend to build that pipeline.

Rohit Sharma: And this is Rohit here. Just to add to your second question - before Nazara acquired Curve Games, under the previous parent, Curve Gam

es, for the last two years, ha d not been signing a lot of games. So, therefore, you see that kind of growth. But the good part is that our existing IPs like Human Fall Flat and Wobbly Life have still given us the growth this year. And as Stuart mentioned, now we have already gone on a very fast speed of signing new titles, which will be launching in this financial year and subsequent financial years. And that's where we will see the growth as we go on.

Jinesh Joshi: Understood. One last question on Sportskeeda. I think the revenue declined by about 38% in FY '26, while the EBITDA margin has also come off quite a bit. I understand this has been because of the Google Core issue that you have highlighted in the past calls. But I believe it has been four quarters since we have been trying to get over this problem with limited success. So, just wanted to understand is it really possible to mitigate this challenge? Or should we build in a

materially lower EBITDA margin of about 12 % to 15% in this business going ahead? And how to think of growth from here on? So, yes, that is my last question.

Nitish Mittersain: Well, I think we have yet not seen the kind of recovery we want to see over there. We continue to do many things to try and achieve that. Although some of our other existing IPs outside of Sportskeeda like Pro Football Network and PrimeTimer are showing positive signs and good numbers. So, I think at this point of time, we will continue to optimize costs. We continue to do that. We actually expect margins to increase in FY '27 on potentially a smaller base. But I can also have Mayank come in here. Mayank is leading Sportskeeda and he will share his thoughts.

Mayank Kumar: Hi. Like Nitish said, the focus on this year was more to drive or retain the EBITDA than growing revenue or recovering the revenue loss that we have seen in the last year. And that focus will continue going into the next year as well as we plan to mitigate our expenses and then also accordingly increase our EBITDA in the next year.

Jinesh Joshi: Okay, sir. Thank you so much and all the best.

Moderator: Thank you. We will take the next question from the line of Vivekanand from Ambit Capital. Please go ahead.

Vivekanand: Nitish, how do you rate your preparedness as an organization , including your Center s of Excellence, to now serve multiple gaming growth engines across segments, including publishing, and of course, new technologies? And of course, these are all in addition to the existing ones that you have like Love Island, Kid dopia, etc. So, that is my first question. And the second question is on NODWIN . So, could you discuss the IPO timelines there and what is the plan you have for NODWIN ? Will Nodwin be raising cash? Will you also be looking to monetize some of your shareholding? I will stop with these and then ask follow -ups when needed. Thank you.

Nitish Mittersain: So, I think for your first question, you know, the Centers of Excellence that we have invested in and built over the last 18 months and accelerated in FY '26 are really becoming center stage to support the expanding portfolio of IPs, teams and technologies. Most of the Centers of Excellence are led by very senior people with a lot of in -depth experience at scale, I would say. So, I think we are feeling very confident that we have put in these efforts over the last 12 to 18 months and they will actually start showing clear results in FY '27. I would say Ki ddopia is one good example of, you know, being benefited from these initiatives which we have seen in Q3 and Q4. But this will play out more actively across the portfolio in FY '27. AI, of course, is a very big theme for us, not just a narrative but a very important aspect of what we are doing today. And

across the studios that we operate, across the different functions of gaming, w hether it's the development process, how we do user acquisition, how we analyze data, how we engage with the user, right - we are seeing a lot of AI-driven uptick . We are also very excited about Blue tile's AI capabilities. And maybe I can get Raymond just to spend two minutes on how Blue tile is
 leveraging AI as Nazara hope s to extend some of this in FY '27 in many of our other studios. Raymond, do you want to give a quick update on that?

Raymond Stauffer: Sure. So, in our case , and especially after the ongoing integration, we are able to really scale our operations by applying AI to each individual department that we have across all the different functions and processes. So, from creative marketing, marketing operations, product development, technical development, ad monetization, to data segmentation, we are starting to apply AI in different capacities , both through LLMs and through different complex algorithms such as reinforcement learning and other types of AI.

As Nitish mentioned, a lot of these capabilities are also being developed and leveraged from the Center s of Excellence. So, the interaction between them and our specific team has been really fruitful. And we have seen the capacity the team has now with these tools increase exponentially.

Nitish Mittersain: Just moving on to the second question - I think from a Nazara perspective, we will look at potentially monetizing non -core businesses for us. This could be NODWIN , it could be Sportskeeda, or it could be the adtech business in due course. We are not in any hurry, but we definitely see the potential to unlock value and redeploy it in our core gaming business. So, we will continue to evaluate opportunities as and when they come or get created. For specific NODWIN IPO -related questions, Aksh at can come in and provide an update.

Akshat Rathee: Thank you so much for the time. And I appreciate the question. Look, NODWIN has been doing extremely well in training its team under Nazara for the last five years of our life . So, ever since Nazara acquired us, we have been in the training mode . And I think there is no better gift that a parent company can go ahead and take us through everything from complianc e, regulatory to having the discipline to ensure the closing of books every quarter and providing us with the guidance that we can soak up . NODWIN itself has had a very good year despite the Freaks hiccup that we had. We have been able to do many more integrations and natural growth has been sitting between 25 % and 35% of the core business itself . And positioning ourselves as a live youth media company, while gaming remains at the core heart of what we do, has allowed us to have very meaningful conversations. And NODWIN is looking both to raise funds between $100 million to $200 million independently which should be a mixture of primary and secondary, and then also prepare for an IPO as soon as possible.

But while I say as soon as possible, the priority is to do it right. I don't think we get multiple chances to do this. And with the conversations I have with all of you in the analyst community, and obviously our bankers, we have seen very good outcomes of some of our conversations. So, we remain in line to go public independently with the blessings of Nazara as soon as the timing and the business context is right.

Nitish Mittersain: Okay. Thank you, Aksha t.

Vivekanand: Thank you very much for the comments. Ni tish and Raymond , on Blue tile specifically, I have a follow -up - just to understand the segment that it is operating in , you mentioned it's casual social
 mobile games. And my understanding is that this business is designed mostly for global audiences, right? So, if you can help us understand the TAM that this business operates in and the kind of scalability that, say, some of the peers of Blue tile globally have achieved, I think that will help investors understand how to think about Blue tile, let's say, three years hence.

Nitish Mittersain: Sure. I think Raymond is best suited to answer that. Raymond, over to you.

Raymond Stauffer: Sure. So, we are operating in several gaming verticals, but predominantly in the casual space - completely in the casual evergreen space - which are traditional games that everybody knows. They have a very large global exposure, such as Solitaire, Word Search, Word Puzzles, other kinds of board games and puzzle games. So, that will be the casual evergreen category. And in that category, we can see other competitors, such as Triple Dot, which has been valued at over a billion. We also have Easy brain, which was acquired by M iniclip from the Embracer Group for around a billion dollars. So, there's quite a few competitors with quite a large volume. The other space that we are actively developing games in is the hybrid casual vertical. So, essentially introducing launcher mechanics, social mechanics, and allowing users to play these games for a very long time, increasing long -term cohort retention. And these games will have other competitors, such as a recent competitor which has just sold a stake in their company to Scopely,

a company called Loom Games from Turkey, for over $500 million. So, essentially, the market is extremely big and very profitable, and it expands into pretty much any geography in the world.
Vivekanand: Okay, that's great. I have one follow -up for Akshat. So, Akshat, thank you for your comments on how you are thinking about the fundraising. We see the rest of Nazara pivoting more to global markets given the monetization constraints in India . Is that something that you are also now mulling? What will you ideally use the funds for in terms of expanding, either through new events, or is it going to be mostly international?
Akshat Rathee: It's a very deep question, and thank you again for this. You literally had asked me the two growth levers of NODWIN . So, NODWIN is complex, but it's very simple. We have two lines of our business. We consider them the Live part of the business and the Content part of the business. The Content part of the business, think of it as very grassroot. It allows young people to discover their entertainment passions. And across the world, their entertainment passions are multitude. They can be games, they can be music, they can be pop -culture, cosplay, they can be space festivals. It's okay, and we don't judge. It can be reality television that we do with Rusk, with Playground, or with our IPs. So, that's fine. That's how all our influencer s line up, right? That's the Content play. In the age of AI, we believe this will increase both in volume and value and the organic gr owth of between 5% and 10% because monetization still will catch up over a long time. But this is the discovery engine for NODWIN . It's profitable and will subsume both Live and IPs. On the other side, we have the Live business. The Live business is the manifestation of super fandom for the things that people love. So, if you love an influencer, this is where you come and meet the influencer at a YouTube Fan Fest or a Comic Con kind of an event. This is the place where you come for a music festival. This is the place where you come for an esports tournament where you meet the biggest players in the world and in the country. And we believe both of them juxtapose against each other. One does the discovery and the other gives you the

 super fandom. And super fandom obviously is much more profitable as such. And again, it subsumes both white label and IPs.
And the second part of the question is the growth path. NODWIN runs on three vectors. NODWIN's core vector - the first vector – is expansion through something called the Global South. It's a geographical play where we believe we are the youth media company for the world. And we want to be focusing specifically on the Global South. The Global South being everything from the Philippines to Mexico, which is the tropic of Capricorn, and all those countries that are really large in size and materia l. And I think we are nearly there in completing the Global Belt around the South. We have empty spaces right now in Southeast Asia and Latin America. And those ar e the ones we keep on exploring on.
And the other question on where do we do this? We also have the X YZ, the X is geography, Y is IPs, and Z is ways to monetize people. So, we look at everything from merchandising being one way to monetize, but also new payment methods that might be really relevant in another country. So, we build and acquire around youth media, touch points for engagement across geographies, across IPs, and across monetization methods. That's our investment thesis for expansion. We believe we will always be an Indian company first because India remains one of the most robust places where not only the core engine runs but on the top of it, through PROGA, the new law, and the live entertainment space exploding in India, I think India is going to remain one of our anchor s within our core markets.
Vivekanand: Thank you, Akshat , Raymond and Nit ish. Those answers were very comprehensive.
Moderator: Thank you. We have the next question from the line of Atul Bors e from JMFL . Please go ahead.
Atul Borse: Hi, team. Thanks for the opportunity. I have two, three questions. First is how do you thin k overall the Nazara's growth or margin profile will look like in FY '27 post the Bluetile consolidation? And you also mentioned that you plan to divest the non -core gaming segment. Do you have any timeline in mind by when you want to divest the sports or ad tech businesses ? And the last question is on adtech that there was a sequential decline in adtech. So, any reason for that growth slowdown and how does the seasonality work for this segment? Those are my questions.
Nitish Mittersain: Let me take the first one, which is growth in FY '27. So, I think Nazara's existing businesses are expect ed to drive organic growth and expansion of margins due to two things. One is the output or outcome of the Centers of Excellence activity that we have been doing in FY '26. Second is a stronger, faster implementation of AI and how that plays out for us. So, while I don't have specific guidelines, I think these two make us feel very positive that we will be able to deliver both on organic growth and margin expansion from this point onward s as well. If you look at Bluetile, their C Y '25 number s were around INR 1,460 crores revenue and INR 254 crores of EBITDA. The EBITDA profile for C Y '25 for Bluetile was similar to what Nazara's reporting for FY '26. So, on a pro forma bas is, if you combine these two, then obviously our EBITDA - at the least - would double. And then you can add organic growth for both businesses on top of it.

 So, we don't have a specific guidance at this point of time, but very bullish on an overall strong performance on financials in FY '27. In terms of the divestment of non -core busiensses , like I said, we will continue to evaluate opportunities. We are not in a rush, but we do see the opportunity to extract value and monetize and rede

ploy in core gaming, which is much more synergistic with our core business and our stated goal . This will also will help us drive higher margins going forward. I would imagine that we will try and have some actions happen in FY '27 and FY '28 to achieve this goal.

On the AdTech side, maybe Rohit can set the context , and then Senthil and Chris can chime in on what's happening in the AdTech business. Rohit, over to you.

Rohit Sharma: Thanks, Nitish. So, there's a bit of a decline because we have consciously taken a call to focus on our tech -driven DSP business, which is visible, where we see more growth coming. And some of the traditional AdTech businesses, which are anyway declining globally, we have kind of reduced our focus from there, which were earlier contributing to some numbers for us. So, in fact, even Senthil has now moved to the UK as the UK and the US are our key markets for our AdTech products . And I think that because of that shift of focus a nd not chasing scalable revenues , is where you have seen some bit of a decline. But Senthil, over to you, if you want to add on to this.

Senthil Govindan: Thanks, Rohit. So, just to continue from where Rohit left off, we are focusing a lot more on our product -driven part of the business. We relaunched our DSP Vi zibl about 2.5 years ago, and we are seeing really high growth in that area. So, what we are doing is reinvesting in that, both from a sales and marketing standpoint . And as Rohit mentioned, I myself have moved to the UK so that I can more closely oversee our growth in Europe and the US. We are also rolling out additional products through the acquisition that Data wrkz in turn had made of Space and Time in the UK. There are requirements that they have for their client set for which we are now leveraging our product unit based out of Bangalore in order to build additional technolo gies for their clie nts. And through that, the expectation is that we will also be able to expand these products to the broader market . So, all told, there is a temporary decline, but what we are seeing is that the pivot to high margin -led, product -led growth business is clearly underway, and that shows a lot of positive signs for FY '27.

Nitish Mittersain: Chris, do you just want to add to that on Space and Time, since it contributes a large amount to the revenues of AdTech ?

Chris Jones: Yes, I would echo some of the points that were made both by Senthil and Rohit there. I think from a Space and Time-specific point of view, looking at Q4 specifically, we saw a decline in overall revenue, but this was anticipated earlier in the year. So, in the full -year picture, we have finished ahead of where we were expecting to be in the AOP, and we'd expected this reduction in the final quarter for a number of reasons. The main impact on it is really to do with the market conditions we face in the UK. So, we operate in a number of verticals, but one of the core verticals we operate in is the new homes market, and that's facing some very well -publicized challenges at the moment, and that's just having a knock -on effect in terms of their discretionary

 marketing spend. Fortunately, the business has a strategy to diversify our income into more product -led and tech -driven services, which means that the impact isn't felt to the same degree at the gross margin level , and in fact, obviously, in the full -year position, we outperformed EBITDA quite significantly. So, our view is that there is a one-off impact that we are not overly concerned about because the business is well -positioned to capitalize on the changes that are going on in the market, and also the fact that the nature of what we do is becoming more focused on capturing gross margin and profitability from the reven

ue as opposed to the revenue itself.

So, it's following a very natural trend that's in the industry at the moment as ownership of advertising platforms moves in -house. So, we are not overly worried by the trend, and actually, the full -year position for the agency was very, very positive, and we are optimistic and bullish about the following FY '27 as well.

Atul Borse: Thank you, Chris. Thank you for the answer. Just one follow -up. So, you think that this 4Q decline is temporary in nature, right? Will it bounce back to the normalized levels going on?

Nitish Mittersain : Rohit, do you want to respond?

Rohit Sharma: Yes, I think as both Chris and Senthil have mentioned that in the case of Space and Time, there is a seasonality that is happening, and the entire market is facing a bit of a challenge. But I think Space and Time have built very strong tech, data, and AI capability, which is mitigating the impact that for them. And similarly, on the Datawrkz side, as Senthil mentioned, we are shifting our complete focus to product -driven, tech -driven businesses, especially in the Western market. So, to answer your question, yes, I think as we go on, we will be able to see growth. Thank you.

Atul Borse: Thank you for the answers.

Moderator: Thank you. We will take the next question from the line of Vivekanand from Ambit Cap ital. Please go ahead.

Vivekanand: Hey, Nit ish. On the portfolio that you have, I appreciate the job you've done in simplifying it and focusing the company on gaming while identifying appropriate non -core businesses and divestment plans. Just to double -click a bit more on this, we have seen that und er the leadership of the founder of NODWIN , Akshat's leadership, and of course, looking at Nazara's own support that would have gone in scaling up the business, we have seen this business grow to $70 million in revenue. Quite sizable, right? So, when I loo k at Nazara today, it seems like the portfolio has many assets - individually small, collectively meaningful. That's how I look at it. So, just to better understand the success that you had with NODWIN in terms of scalability and now profitability as well, how should one think about your overall portfolio? Let's say if one is taking a 3- to 5-year view today, what could be the one thing or two things that can be very big in size and also can gather investor interest in their own line, just like NODWIN ?

Nitish Mittersain: I think our focus, one, has always been to grow businesses profitably. And while NODWIN is one example that you spoke of, if you see our history over the last few years as we have invested and acquired companies, Ki ddopia was acquired with an INR 15 crore revenue run rate, and in

 two to three years, we took it to INR 200 crores plus. When we acquired Sports keeda , it was an INR 15 crores revenue company which delivered INR 80 crores of EBITDA last year before taking a hit in FY '26. So, I think our focus has always been on how we acquire businesses where we can add value or grow the business after acquiring it. Another example is Fusebox Games in the UK, which has a story -based game s on popular TV shows. And they were doing a very successful one game, Love Island. After acquisition, we worked closely with the team to expand that to now four titles and we will look at scaling it. The second thought has always been to have a diversified, profitable cash flow-generating business because we have often seen that gaming businesses can get disrupted or become one -hit-wonders, whereas our intent always was to, one, build a very resilient business ; second, have multiple IPs that can be leveraged across platforms as these platforms and technologies change. So, I think we have very successfully e stablished that. I think

the third aspect , as you said, is a portfolio of small studios or smaller games which are combined to become meaningful. I think it's a journey, right? And for us, we have slowly over the years built our M&A capabilities. In the last 18 months, we have built our Centers of Excellence that are going to drive synergies. So, I think the value added by the platform is only going to increase going forward. And it's giving us confidence to take larger steps. So, if you see the most recent acquisition, which is Blue tile, that in itself is as large as our combined business. So, I think going forward, you will also see a step change in terms of how we look to scale up the overall Na zara business and platform t hrough potentially larger acquisitions as well as focus on larger margin expansion. We see multiple tailwinds on the margin expansion side. One, of course, is AI and how we are leveraging AI to deliver more content to our existing user bases while maintaining the same cost, right? So, I think that is definitely a large margin expansion lever. The second is today, platform s like Google, Apple, etc. take 30% of the subscription or IAP fees. But over a period of time, that is also coming down. And I think that will also help lead margin expansion. So, I think you shou ld look at Na zara as a platform that will continue to grow profitabl y and generate cash. And resilience is actually a n underrated asset for us, where we can really, whenever there's disruption in the market, grow faster. I hope that answers some of your questions.

Vivekanand: No, I think that's a very, very good point that you made , that do not just look at it from the perspective of a very big asset that you create , but rather focus on some of the other levers, the portfolio diversification, and also the ability of the COEs to leverage technologies like AI and drive greater profitability initiatives . I think that's great. Thank you so much.

Moderator: Thank you. We will take the next question from the line of Pranav Mashruwala from Dolat Capital. Please go ahead.

Pranav Mashruwala: Just a few bookkeeping questions from my side. So, the depreciation & amortization expense in Q4 was down by about 24%. So, which were some of the sub-verticals that had witnessed this decline Q-on-Q?

Nitish Mittersain: Our total depreciation in this quarter was around INR 45 crores. Anupriya, you want to take this?

 Anupriya Sinha Das: Yes, so the total depreciation was around INR 45 crores. And a large part of it is coming from

Curve G ames, which continues to build games across years, which in turn have a life of multiple years. And the deconsolidation of NODWIN has also led to the sequential decline in the overall depreciation number that we report, because the depreciation from the NODWIN business is not getting consolidated in the books . So, that is the reason why you are seeing a sequential decline.

Pranav Mashruwala: Okay. Second, on Bluetile, as we have mentioned that we have completed the acquisition, so

some color on the consolidation timeline would be great.
Nitish Mittersain: Yes, so the acquisition will actually close soon . It's still pending the Spanish FDI approval, which is in process. And we expect to close the acquisition as soon as that comes in. At this point of time, we are expecting it to come in in the next few weeks, I think 3-4 weeks. And that's when the actual closing will happen. We expect to consolidate from Q1 of FY '27.
Pranav Mashruwala: A few questions on the business, if I may. One is, i n Fusebox, in Q3, we had seen almost a 49% Q-on-Q decline due to seasonality, and it bounced back well in Q4. So, my question is, can some of the newer IPs like Big Brother, Traitors , which are poised to launch in FY '27, mean

ingfully
smoothen the quarterly volatility?
Nitish Mittersain: Yes, I think there will always be some seasonality in these businesses. But I think we are very excited about what we are doing with those IPs. And why don't we get Te rry, the CEO of Fusebox , to give us an update?
Terry Lee: Yes, I think as Nitish mentioned, there's always going to be some seasonality. With regard s to the other IPs that we have - Big Brother, Big g Boss, Traitors - offsetting some of that seasonality, it will take potentially a couple of years for them to meaningfully take a chunk out of th at seasonality.
Pranav Mashruwala: Terry, do you want to give an update on where these new launches are linked to Big Brother, Traitors , etc. ?
Moderator: Terry is not connected.
Nitish Mittersain: Anupriya, do you want to share an update?
Anupriya Sinha Das: Yes, sure. So, one is on the question of seasonality. We have a seasonality in the business because whenever there is a new TV show of the original Love Island IP, there is a good influx of installs organically, etc. As Nitish mentioned, we launched two new games, Big Brother and Bigg Boss, in the last year. And we have a very extensive release roadmap in the coming year. We are already live with fresh season d of Love Island and Big Brother. And we are looking to expand the Big Brother season from one season in the last o ne year to three seasons in this fiscal year, as well as we are looking to launch Traitors in the current fiscal year. This plus three new seasons of Love Island in FY '27 will have a very well -rounded season calendar, which will infuse some amount of stability in the earnings, but there will be seasonality, as Te rry mentioned.

 Pranav Mashruwala: Sure. There's a second one on Curve Games. So, Curve Games had about 39% margin in FY '26.
So, as we scale up some of the larger launches on the Switch 2 console , can margins be sustained above 30 %-35%?
Nitish Mittersain: I do think they will sustain, especially as we are launching new IPs across many platforms. But I can let Stuart dive a bit deeper in it.
Stuart Dinsey: Thanks, Nitish. Yes, our margin target is always 50% on any game that we sign. Ultimately, we are a publisher, so royalties payable to the developers can vary depending on the agreement and the risk. But as we invest in new games, depending on the size of the investment, we would expect our margin to certainly be maintained on where we have been currently, which is actually comparatively high compared to the market.
Pranav Mashruwala: Thank you so much for answering those. That's all from me.
Moderator: Thank you. As there are no further questions from the participants, I will now hand the conference back to the management for closing comments. Thank you and over to you, sir.
Nitish Mittersain: Sure, thank you. Maybe what we will do is we will just take two minutes each on talking a bit about Kiddopia and Animal Jam, because both the CEOs are online and they haven't had a chance to speak. So, maybe, Manish, if you can give spend two minutes on what's happening on Kiddopia, that will be useful.
Manish Gaurav: Yes, sure. Thank you, Nitish. So, we definitely see a recovery in Ki ddopia and we feel very confident about it being sustainable. And it's driven largely by 3-4 growth levers. One is the Center of Excellence has made our org anization much stronger and cleaner. And that has given us the growth that we needed in this business. The second is the IP strategy. We integrated four IPs in the last 12 months, and that has led to significant improvement in the overall funnel. And that's really helped. There has been a lot of focus in improving our data visibility across the organization. And that has made our decision making much more in

formed and faster. And
lastly, the paid efficiency has also improved, which has helped to improve the unit economics in the business. So, all put together, we feel very confident about this business. In the coming financial year, we expect to launch a few more apps as well in the adjacent category, which will continue to drive growth in this business, as well as more IP integrations, organic traffic growth, and CRM will help us to monetize and retain our tra ffic better. So, those are some of the things that will drive growth this year and in the coming years.
Nitish Mittersain: Okay. Thank you, Manish. And Jeff, over to you for a quick update on Animal Jam and the new

game we are offering.

Jeff Amis: Thanks, Nitish. So, this FY '27 is an exciting year for us. In Q1 of FY ‘27 , we launched our first IP integration with Mattel into Animal Jam through their Monster High property, and it was successful in April. And we look for quarterly updates that will go on over the next six quarters. We have been the beneficiaries at Wild Works with the Centers of Excellence in both data

 analytics and prepping us for greater ramping of user acquisition to really amp up the engine of Animal Jam for the monetization of our players. And Apple has been more than complimentary about the ability of our game to monetize. It's just getting the right users into the game. And with the COEs now helping us do that, we are quite optimistic about our prospects. Expansion of our IP to new platforms is important. And as we are launching Animal Jam into Roblox and a new Roblox native experience of the belov ed Animal Jam property there, we have great aspirations for what it can be in FY '27. And as Nitish hinted, we are releasing a new game in Q2 of FY '27. And that's a hyper -casual game for kids and women here, principally in North America, where we are based kind of on the lines of Monopoly Go, taking a page out of their playbook and experiencing a nostalgic property that we are bringing to life again that's been dormant for a while. So, this is what's ahead for Wild Works and what we are doing with Animal Jam now in its 16th year of operation , we take great pride in that and protecting the community that we built. We are introducing a new moderation tool through Aiba , a Norwegian company that's using AI in chat moderation and looking forward to looking for new opportunities for AI development in our new game as well. Thank you.

Nitish Mittersain: Okay. Thank you, Jeff. Thank you, everyone, for joining us today and have a good day.

Moderator: Thank you, members of the management. On behalf of Ambit Capital, that concludes this conference. Thank you all for joining us today and you may now disconnect your lines. Thank you.